ICICI Lombard General Insurance Company Ltd. (ICICIGI)

Conference call transcripts, oldest-first. 12 call(s). Generated 2026-06-08.

Call: Jul 2023

ICICI Lombard General Insurance Company Limited

IRDA Reg. No. 115 CIN: L67200MH2000PLC129408
Mailing Address: Registered Office: Toll free No. : 1800 2666
401 & 402, 4th Floor, Interface 11, ICICI Lombard House, 414, Veer Savarkar Ma rg, Alternate No. : +91 8655222666 (Chargeable)
New Linking Road, Malad (West), Near Siddhi Vinayak Temple, Prabhadevi, Email : customersupport@icicilombard.com
Mumbai - 400 064 Mumbai - 400 025 Website : www.icicilombard.com

Ref. No.: MUM/SEC/ 100-07/2024

July 24, 2023

To,
The Manager
Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001 The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot C/1
G Block, Bandra Kurla Complex,
Mumbai – 400 051

Scrip code: Equity (BSE: 540716/ NSE: ICICIGI); Debt (NSE: ILGI29)

Dear Sir/Madam,

Disclosure under Regulation 30 read with Schedule Ill of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Subject: Transcript of earnings conference call for the quarter ended June 30 , 2023

This is further to our letter dated July 13, 2023 and July 18, 2023, please note that the Company had hosted an earnings conference call with investor(s) and analyst(s) on Tuesday, July 18, 2023 to discuss the financial performance of the Company for the quarter ended June 30 , 2023.

In this regard, please find attached the transcript of the 'ea rnings conference call' for the quarter ended June 30 , 2023.

The same will also be made available on the Company's website at www.icicilombard.c om.

You are requested to kindly take the same on your records.

Thanking you.

Yours faithfully,

For ICICI Lombard General Insurance Company Limited

Vikas Mehra
Company Secretary

Encl. As above

ICICI Lombard General Insurance Company Limited
Q1 FY2024 Earnings Conference Call
July 18, 2023

Management:

MR. BHARGAV DASGUPTA – MD & CEO
MR. GOPAL BALACHANDRAN – CFO & CRO
MR. SANJEEV MANTRI – EXECUTIVE DIRECTOR
MR. ALOK AGARWAL – EXECUTIVE DIRECTOR

Moderator: Good evening, ladies and gentlemen. A very warm welcome to ICICI Lombard General Insurance Company Limited Q1 FY2024 Earnings Conference Call.

From the Senior Management we have with us today, Mr. Bhargav Dasgupta – MD and CEO of the Company, Mr. Gopal Balachandran, CFO & CRO; Mr. Sanjeev Mantri – Executive Director, and Mr. Alok Agarwal, Executive Director.

Please note that any statements or comments made in today's call that may look like forward-looking statements are based on information presently available to the management and do not constitute an indication of any future performance as future involved risks and uncertainties which could cause results to differ materially from the current views being expressed.

As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

I now hand the conference over to Mr. Bhargav Dasgupta – MD and CEO, ICICI Lombard General Insurance Limited. Thank you and over to you, sir.

Bhargav Dasgupta: Thank you and good evening to each one of you. Thank you for joining the Earnings Conference Call of ICICI Lombard General Insurance Company Limited for Q1 FY2024. I will give you a brief overview of the industry trends and developments that we have witnessed in the past few months. Post this, our CFO – Mr. Gopal Balachandran will share the financial performance of the Company for the quarter ended June 30, 2023.

India's real GDP recorded a stronger growth than estimates and has surpassed the pre-pandemic levels. Domestic demand conditions remain supportive of growth on the back of improving household consumption and investment activity. Urban demand remains resilient with indicators such as passenger vehicle sales and domestic air passenger traffic posting robust growth, on a year-on-year basis. This growth can have some impact from headwinds such as weak external demand, volatility in global financial conditions and prolonged geopolitical tensions.

For the quarter, as per data published by SIAM, the new vehicle sales continued to grow year-on-year for private car and two-wheelers. However, the growth narrowed in the month of June 2023. The growth in sales of commercial vehicle was at double digit during the quarter. Two-wheeler sales for the quarter, in terms of volume, remains below the pre-pandemic levels. Health insurance continued to remain the largest contributor to overall growth. The commercial lines witnessed growth in line with the current market environment, while the Fire market has seen some rate pressures, the inherent growth remains intact. The focus of the government on infrastructure has led to a 41.3% growth during Q1 FY2024 in the engineering line of business and is expected to show encouraging growth in the future as well. We remain optimistic that the industry will continue to grow given favorable macros, regulatory changes, low penetration and positive consumer sentiment.

Speaking of the performance, the General Insurance industry delivered a GDPI growth of 17.9% for Q1 FY2024. Overall, the underwriting performance improved, with the combined ratio of the industry at 115.8% for FY2023 as against 119.1% for FY2022. For motor business, the combined ratio for the industry remained elevated at 121.1% for FY2023, up from 115.6% for FY2022. The combined ratio for Motor in H1 FY2023 was 123.5%, which improved to 118.8% for H2 FY2023.

Moving to regulatory updates, the Authority on June 30, 2023, published guidelines for remuneration of Non-Executive Directors and Key Management Pers

onnel prescribing limits on remuneration, age, and tenure.

Moving to business impact for us in Q1 FY2024 -

The Company grew by 18.9% as compared to the industry growth of 17.9%. Excluding Crop, the Company grew by 19.2% as against the industry growth of 17.4%.

Coming to the growth of key segments during the quarter-

- In Property and Casualty lines of business, we grew at 17.0%, which was higher than the industry growth of 7.8%. Further during the quarter, we accreted market share across all segments such as Fire, Marine, Engineering and Liability. Discontinuance of the IIB rates had a moderate impact which is in line with our expectations, however we will continue to monitor the development in coming quarters.
- In Motor, the growth was tepid at 5.3% for the quarter, while we grew at 10.8% in June. Further, we witnessed month-on-month growth in the new private car segment during the quarter. With no Motor TP price hike, we have rebalanced our portfolio, resulting in our commercial vehicle (CV) mix at 21.0% and two-wheeler mix (TW) at 30.3% for Q1 FY2024.
- The Health segment continued to be the fastest growing segment for the industry. During the quarter, we grew at 40.4%, which was higher than the industry growth of 20.7%.
- In Group Health – Employer Employee segment, the change in underlying industry pricing sentiment resulted in customers moving towards companies with better underwriting and service capabilities, resulting in our Group Health segment to grow by 43.9% during the quarter.

■ As a result of our continued investment in Retail Health distribution, we have outgrown the industry growth of 18.0% in Q1 FY2024 with a growth of 22.8%. This was driven by business sourced through retail health agency vertical growth of 25.6%.
■ I would also like to share that our one stop solution for all insurance and wellness needs, “IL TakeCare” app, has surpassed ~5.6 million user downloads till date. The incremental download for the quarter was close to 1 million. For Q1 FY2024, the premium sourced through IL TakeCare app contributed ■ 588.0 million to the GDPI, reflecting a 5x year-on-year increase.
■ Our Bancassurance and Key Relationship Groups grew at 27.3% this quarter. Post-pandemic, steady credit growth along with deep mining and increase in wallet share in distribution partners has been the key growth driver.
■ Our business sourced through our Digital One team grew by 24.7%.
o Overall, our digital focus has enabled us to increase our digital revenues, (including IL TakeCare app) to ■3.12 billion, which accounts for 4.9% of our overall GDPI for the quarter.

■ We continue to make significant investments in modernizing our technology architecture. After moving to the cloud in FY2022, we modernized a number of our front-end applications. Being on the cloud and transition to cloud native, has led to increase in reliability of our technology platforms as evidenced by the reduction in error tickets by close to 71% in the last year. At the same time, we have seen an 86% reduction in response times across some of our digital channel partners. RIA (Responsible Intelligent Assistant), our chat bot, has enabled our Do-It-Yourself (DIY) adoption by 3.4x over a 13-month period. Alongside transitioning to the cloud and modernization, we completed the migration of applications and data from the erstwhile Bharti AXA Data Center to our application platforms and cloud data center in just 14 months. We believe that this was one of the fastest migrations of this scale in the insurance industry globally.
■ We also continue to remain focused on leveraging our digital capabilities and building claims efficiency-
o Case in point towards motor claim settlement process, we introduced Cloud Calling Features enabling over

2 lakh
customers during the quarter to connect seamlessly using a dedicated virtual number. 81% of our customers filed e-claim forms in Q1 FY2024, up from 67% in Q1 FY2023. In Q1 FY2024 through our Preferred Partner Network (PPN network), we were able to service 60% of our Non-OEM claims, up from 40% in Q1 FY2023. Resultantly, our overall NPS for non-cashless claims improved to 62% YTD May 2023, up from 42% in Q1 FY2023. Also, NPS for cashless claims improved to 68% in YTD May 2023, up from 60% in Q1 FY2023.
To conclude, I would like to summarize that we are well positioned for the future. We remain focused on growth levers such as innovation, digital advancements, launching new products, strengthening our distribution engine, rationalizing cost while scaling up our preferred lines of business.
I will now request Gopal to take you through the financial numbers for the recently concluded quarter.

Gopal Balachandran: Thanks, Bhargav and good evening to each one of you. I will now give you a brief overview of the financial performance of the Company for

Q1 FY2024. We have uploaded the ‘Results Presentation’ on our website. You can access it as we walk you through the performance numbers.

Gross Direct Premium Income (GDPI) of the Company was at ■63.87 billion in Q1 FY2024 as against ■53.70 billion in Q1 FY2023, a growth of 18.9%, against the industry growth of 17.9%. Excluding crop, GDPI growth of the Company was at 19.2%, which was higher than the industry growth of 17.4% in Q1 FY2024.

Our GDPI growth was primarily driven by growth in the preferred segments. The overall GDPI growth of our Property and Casualty segment grew by 17.0% at ■ 22.86 billion in Q1 FY2024 as against ■ 19.54 billion in Q1 FY2023.

On the retail side of the business, GDPI of the Motor segment was at ■ 18.75 billion in Q1 FY2024 as against ■ 17.82 billion in Q1 FY2023, registering a growth of 5.3%.

Our agents (including Point-of-sale or POS) distribution count was at 117,149 as on June 30, 2023, up from around 113,000 as on March 31, 2023.

The advance premium was ■ 32.63 billion as at June 30, 2023, as against ■ 32.17 billion as at March 31, 2023.

Resultantly, the combined ratio was 103.8% for Q1 FY2024 as against 104.1% for Q1 FY2023. Excluding the impact of cyclone losses of ■ 0.35 billion, the combined ratio was 102.9% for Q1 FY2024.

The technical reserves, which are presented as a part of the reserving disclosures, are not discounted as per the current regulatory framework. However, globally, we understand technical reserves are presented on a discounted basis. If we were to discount the technical reserves, particularly for the long tail businesses (such as motor third party, which constitutes around 80% of our total outstanding and IBNR reserves), our current reported Combined Ratio of 104.5% for FY2023 would look better by around 400 basis points.

Our investment assets rose to ■ 449.05 billion as at June 30, 2023, from ■ 431.8 billion as at March 31, 2023. Our investment leverage (net of borrowings) was 4.16x as at June 30, 2023, as against 4.15x as at March 31, 2023. Investment income was at ■ 8.23 billion in Q1 FY2024

as against ■ 6.55 billion in Q1 FY2023. Our capital gains stood at ■ 1.23 billion in Q1 FY2024 as against ■ 0.32 billion in Q1 FY2023.

Our Profit Before Tax (PBT), grew by 11.8% at ■ 5.20 billion in Q1 FY2024 as against ■ 4.65 billion in Q1 FY2023.

Consequently, Profit after tax (PAT), grew by 11.8% at ■ 3.90 billion in Q1 FY2024 as against ■ 3.49 billion in Q1 FY2023.

Return on average equity i.e ROAE was 14.7% in Q1 FY2024 as against 15% in Q1 FY2023.

The solvency ratio was at 2.53x as at June 30, 2023, as against 2.51x as at March 31, 2023, continued to be higher than the minimum regulatory requirement o

f 1.50x.

As I conclude, I would like to reiterate, we continue to stay focused on driving profitable growth, sustainable value creation and safeguarding the interest of policy holders at all times.

I would like to thank you for attending this earnings call and we will now be happy to take any questions that you may have. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain : Just a few questions. Firstly, could you talk us through the loss ratio like ex-catastrophically, what would be the loss ratios and where is this loss ratio kind of sitting? So, if I might look at a group health loss ratio, your total health loss ratio is at 78.7%. Could you split that up for us in terms of core retail health and group health? And where is this catastrophic loss exactly sitting in which line item, which of the segments?

Gopal Balachandran : Prayesh, the breakup of the overall health loss ratio numbers that you see, which is 78.7% for Q1 FY2024, the breakup of that for employer-employee or the group health is at about 92.6%. Retail indemnity business is at about 64.2%. And to your other question in terms of where is the impact of cyclone losses largely sitting upon, it is predominantly in the property and the casualty line of businesses, which is in the fire and engineering line of businesses. A very small proportion of claims is there in motor, but predominantly a large part of the impact on the cyclone is in fire and engineering. The combined impact is what

we gave as a part of the opening remarks, for this quarter, the net impact of claims on account of cyclone losses has been about ■35 crore.

Prayesh Jain : Any reason for very high loss ratios on the group side, is there a spike in terms of number of claims or frequency or severity?

Gopal Balachandran : So, nothing specific; if you see what we have been speaking about it Prayesh, even in the past on the employer-employee segment, generally we have spoken about the loss ratios to stay in the range of around 95% threshold between 90% to 95%, because it primarily comprises of two books as what we have spoken, one is relatively large corporates which runs at a loss ratio anywhere ranging between 95% to 100%. And then we have SME, which is relatively small and the mid corporate portfolio which runs at a loss ratio experience between 90% to 95%. So, on balance, historically we have run the book at a loss ratio, around that 95% threshold. Currently for the quarter, as I said, the number stands at about 92.6%. So, hence to that extent no specific changes when we see in the context of whether, let's say an increase in frequency or increase in severity with respect to claims.

Bhargav Dasgupta : Actually Prayesh, if you look at our last year full year group health loss ratio, that was roughly about 95%. So, if you look at the current quarter it is actually lower, we don't see any significant pressure on the health loss ratio side. Retail is still performing well and group health because the cost of acquisition is low, this is typically where the loss ratio stands.

Prayesh Jain: Got that and coming to motor segment, again from a profitability perspective and the change of mix that you've spoken about going away from commercial vehicles, would that be a strategy for FY2024 or from a longer-term perspective? And secondly, for many quarters we've spoken about some green shoots on the OD pricing, but that's not really reflecting very heavily in terms of numbers. While you mentioned about the industry combined ratios improving between first half and second half, is there any more clear trends that you see further improvement or it's just getting arrested at the current levels?

Bhargav Dasgupta: So, on the first one, com

mercial vehicles, some of the granular calls that we took, some strategic calls that we took over the last two to three years that we've talked about, we are staying invested with that. There is a bit of rationalization that we did was because the TP price hike this year did not happen, so with our estimate of inflation as we've always talked about, certain marginal portfolios become unviable for that.

Having said that, if you see our CV mix at 21%, is still higher than what our traditional CV market mix had been, which was about 15%-16%. And our sense is that we are not planning to reduce it significantly. It will probably be in the similar ballpark, 20 plus, minus. Coming to your question on OD, again, if you look at this quarter loss ratio for us in the

OD compared to last year, you will see an improvement. Having said that, the expectation that we've had is some of the aggression on sourcing side given the expense of management will cap the flexibility of some of the players, we were expecting some more rationalization, some more improvement. At this point in time, we've not seen it, but we have reached a level where we have ironed out most of the marginal portfolios, so most of the pain is behind us as we think.

Moderator: We will take our next question from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: My question is around the Motor OD business. If I look at the loss ratio numbers, consistently it has been improving from Q2 or Q1 of FY2023. That number is around 67%, so just wanted to understand that this number of 67% is sustainable or what corrective measures you have taken, except for the choice of not seizing the market share, that has led to the improvement in the loss ratio in the Motor segment, OD segment rather. That is one thing and second, just wanted to again understand this IL TakeCare app which you said today probably contributes almost 1% of your GDPI in Q1, so want to understand how you see this channel to be a cross-sell upsell channel, which products and how much it can potentially contribute to the entire GWP as time progresses?

Bhargav Dasgupta : So, Sanketh on the first question, on Motor OD side, there are multiple things that we've been doing and in the sense we've been saying that a lot of heavy lifting we did last year, one is the selection, the marginal portfolio you let go that has an impact. So, our sourcing, which is the target loss ratio when we sourced our business, has also come down. The second is on the claim side, there's been a huge amount of effort that we have made more in terms of some of the misuse that generally happens, but we believe had picked up post COVID. So, on the claims control, we've done a lot of work on using data analytics to reduce waste and misuse. Thirdly, we talked about the percentage increase in PPN that also gives us some savings on the claim side. So, there are multiple initiatives that have happened and if it is sustainable, again, we'll have to wait to see market conduct, but we are reasonably hopeful that we should be able to sustain this at this current level.

Coming to your point on IL TakeCare, the number that we gave out, it's about 5x of last year similar number for the quarter, but in aggregate for the Company even if we add this, IL TakeCare number to the overall digital business, as we said, it's about 4.9% of our total business. Let's say IL TakeCare contribution for this quarter was about ■58 crores (■588 million). So, it's not a material number as yet, but we believe this is actually helping us at multiple levels. One is customer engagement retention, we see some better loss ratio for clients which use IL TakeCare in group levels, we see a better retention of pr

ofitable accounts in the corporate side and we are looking at how we can use that further strategically in terms of increasing cross sell and upsell that's work in progress. But still, honestly in terms of aggregate numbers, we are very heartened by the scale, the speed at which it's picking up, but still small in the overall scheme of things.

Sanketh Godha : Bhargav, there's just one clarification, is this IL TakeCare app you are able to manage cross-sell predominantly retail health at Rs 58 crores or 59 crores or it is other products also you have seen the traction?

Bhargav Dasgupta: It's other mix of products. We are seeing Two-wheelers, Health, Private cars, employees of corporates buying policies on their own. So, it's a mix of most products that we have there.

Sanketh Godha: Got it. And finally, last one, Gopal, if you can explain the reason why the commission costs have boosted, overall expense has not changed, but the commission cost has gone up while the expense has come down. So, you have seen that EoM impact already visible with respect to shifts from advertisement cost to the commission?

Gopal Balachandran: So Sanketh, if you recollect in the way we have always talked about is to look at the businesses from an overall combined perspective because as we keep saying, there are different models of sourcing that exists in the market. There are segments which relatively run on high LR and low expense ratio and the other way around. So, which is what now when you look at from a Q1 perspective, I would always keep urging to look at it more from an expense of management standpoint rather than looking at any break ups around that. So, if you look at the overall expense of management ratio in terms of the breakup of the combined ratio that we reported about 103.8% for Q1 FY2024, of which the loss ratio was about 74.1% and the balance which is almost about 29.7% is the expense of management number. This if you look at it for Q1 FY2023, the expense of management number was about 32.1%. And again, when you look at it even vis-à-vis Q4 FY2023, the

expense of management number was about 29.9%. So, even on a sequential basis, we have seen an improvement in the overall expense of management and even on a year-on-year basis, clearly there have been an improvement in the overall expense of management, that's the way we would want you to look at because as I said, there are different models of sourcing that exists and as a Company, that's what we would want to look at.

Moderator : Thank you. We have our next question from the line of Nidhesh Jain from Investec. Please go ahead.

Nidhesh Jain : Thanks for the opportunity. Firstly, if you could break the digital business, what percentage of business is coming from our own website, plus IL TakeCare and how are the trends in that segment on Y-o-Y basis?

Bhargav Dasgupta: So, if you look at the way we manage this business, there is the Digital One team which looks at, if you remember, we had said there are two objectives that they have. One is the website business growth and the other is working with the digital ecosystem partners and we look at it together, that growth for this quarter is about 37.8%. The IL TakeCare number as we said is relatively small, but that's grown from a small base at 5x, it is around 480%.

Nidhesh Jain : Because if you look at the annual disclosure, I think last year in the public disclosure, the data indicates that the growth from our own website has not been that strong. It has been flattening out. Growth is largely coming from the digital ecosystem. So, are those trends continuing in this quarter also and because the business coming from our own website will be much better quality, though low, though more profitable probably over a period of time. So, how we think about the strategy on the digital side, from sourcing b

usiness from our own website?

Gopal Balachandran: So, Nidhesh, it is a combination of both, so obviously we look at all of them are preferred channels of sourcing, whether you look at business through website, business through alliances and even let's say the "IL TakeCare" opportunity as what Bhargav explained. For us, all the three segments of growth, whether you look at it from a website standpoint, whether you look at it even from an alliances standpoint. In fact, during the quarter, we have further strengthened the number of alliances, tie-ups that we have and that's the reason why that part of the business has done phenomenally quite well, and overall, as we said, the Digital

One contribution in terms of revenue for the Company for this quarter has grown at about 24.7%.

Nidhesh Jain: Secondly, last year we put out a strategy that we will focus on higher loss ratio and low OpEx ratio business in the Motor OD segment, while if you look at our loss ratios have improved quite a bit and OpEx ratio has also seen some improvement, so how is the trend there? How is the share of that business shaping up on overall Motor GDPI?

Gopal Balachandran: Again, it's a combination of both. For us, if you look at this particular quarter, the growth on new private car has come back, which is exhibited when you look at it sequentially on a month-on-month basis, the growth in new private cars seems to be doing well. That typically also comes with a relatively better loss experience. Having said that, we are also increasingly focusing on exactly the point that you mentioned, with respect to focusing on relatively older vehicle segment, which also comes with a relatively high LR and let's say lower cost of acquisition and that's again reflecting also in the expense of management number. And if you recollect what we have been talking about historically, our proportion of motor business, coming in through the OEM channel of contribution, used to be in the range of 75%-80%. Increasingly, that proportion of contribution of business of Motor coming in from, the OEM channel distribution will be in the range of about 60%-65%. So directionally, what we have been trying to do is to balance the overall portfolio between contribution from OEM dealership agency as well as the earlier point that we made in terms of the digital opportunities that one sees.

Moderator: Thank you. We have our next question from the line of Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani: I have two questions. First is on the total Motor segment. So, if I compare Lombard's both loss ratio and growth across the private peers, I will specifically look at the private general insurer. So, many of them would have just a few percentage point higher loss ratio on this segment, but they're delivering about 15% growth in this quarter as per the IRDAI data. So, what can we expect for the Lombard's Motor segment for the full year and any guidance on the overall premium growth for FY2024, that's the first question? And the second question is on the crop loss ratio, it seems a little higher at more than 100% and last year I remember you guys had shared that the crop program that you had participated in, was 80-120 capped plan something like that. So, if you can help us understand on that front?

Gopal Balachandran: So, if you recollect obviously the claim development cycle takes time and that's the reason from a conservative standpoint, whenever we book the revenues, given that we don't have complete experience of loss development we end up providing it to 100% loss ratio basis. Which is why when you look at that number, you will find the loss ratios to be a bit elevated. But when the actual experience starts to play out, you will obviously start getting that r

eflected on actuals. And typically, it roughly takes about 2 quarters for the loss development to play out in the Crop segment. So, as and when we get to see the impact of the cycle, we will actualize those numbers.

To your first point on what is it that we can expect overall growth for the Company as a whole, I think in line with what we have spoken, as we always keep saying, the market needs to get better in terms of pricing. At this point of time, you would have seen for Q1 FY2024, I think we have had close to almost about 200 basis points outperformance relative to the market growth numbers when you look at ex of Crop. And so that's clearly the expectation that we have at the Company, we have the necessary strength so far as distribution, claim service and technology is concerned and hence from an overall market standpoint, we would obviously want to expect to continue to have similar outperformance. Now within that, your first point on how does one see motor? As I said again, when you look at it on a sequential basis, month-on-month, I think clearly we have been able to possibly arrest the extent of degrowth that we had seen in that particular segment. So, for example, in April we had a de-growth in Motor. For the month of May, we had a positive growth of about 5% and for the month of June, we had a growth of almost 10%. Sequentially, we have been able to get better growth and the extent of gap between the industry growth numbers and the growth that we have been exhibiting is getting narrowed down. So, the only thing that would watch out for, to your point on what we could expect for the rest of the year, is the adherence to the expense of management guidelines that's coming to post from this year. In fact, when we were looking at the FY2023 numbers, that's now out for the entire market as a whole, almost close to two-thirds of the industry participants have their expense of management number greater than the regulatory prescribed limit of 30% or 35%. So, this clearly calls for action, which is what I presume even the regulator would be significantly putting a focus on once all companies start putting out their Q1 numbers. I'm sure they will start looking at the expense of management numbers for the overall market as a whole and within that, each individual companies in terms of how they have exhibited. Once some of these things starts to correct over the period of time, obviously,

as I said and so far as our positioning is concerned, we should be able to see relatively better growth, even in Motor as a category.

Bhargav Dasgupta : And the comment that you had, Shreya, in terms of the loss ratios, as we've been explaining this for some time that when you look at Motor, if you split the loss ratio between own damage and third party, you will see certain patterns, you can do the analysis yourself and in third party again if you do a bit deeper dive on the reserving picture which is now available to all of you, you'll be able to figure out the reserving practices and that will probably throw some light on the loss ratio numbers of some of the players in the market.

Shreya Shivani : So, one just clarification I wanted, the retail indemnity loss ratio that you mentioned at 64.2%, this is 64.2% for the retail indemnity sold by agents or the one which is getting sold by ICICI Bank?

Bhargav Dasgupta : Not the group, this retail indemnity is the individual retail indemnity.

Shreya Shivani : And what is the loss ratio of the ICICI Bank portion that is getting sold ICICI Bank?

Bhargav Dasgupta : We are not giving that level of detail, that is not fair on the part of distributor also.

Moderator : Thank you. We have our next question from the line of Rishi Jhunjhunwala from IIFL Institutional Equities. Please go ahead.

Rishi Jhunjhunwala: Just couple of questio

ns. Firstly on the Health side, in the Retail health, the 23% year-on-year growth that we have seen, how much of that is driven by pricing increase that you have taken in February? And secondly on the Corporate side, there is a significant growth that has come here, is that being driven by the normal group health plans or there is a large component of the credit protect plans also which are coming here and is that the reason why unexpired risk reserve has shot up quite significantly for us in this quarter?

Gopal Balachandran: So, on the second part, Rishi, I'll just talk about the commercial lines as a category and within that, then I will talk about your corporate health or let's say the group health point that you wanted to understand. Across commercial lines, we have actually been able to exhibit significant market share as what we also put out as a part of the opening remarks. In fact, relative to an industry growth of which is single digit 7.8%, our growth has been about 17% and this spans across Fire,

Marine, Engineering, Liability etc. across the key commercial line and there the growth is aided by across all factors, which is, it is driven by

volume increase, it is equally driven by, accretion of market share and specifically now also in the context of corporate health, we have also been able to see accretion in pricing as well. So, it's been an all-round growth that one has seen in the overall commercial lines portfolio. To your second point on now, within the group health or within the corporate health, again, it's been a combination of both. As you would recollect, some of the participants in the market had exhibited significant underwriting losses, particularly in the corporate health space. And there have been clear instructions that they have given to their respective operating officers to get better on underwriting. That exactly is what we wait for as opportunities for us to write businesses because as I said, we have the necessary backend strength in terms of distribution and claim service to our advantage. So, hence we have been able to gain or accrete market share from some of those companies into us where customers start to look at more in terms of service as the basis of placing the risk. So, hence the growth is aided by accretion in market share. Again volume we do see in some sectors incremental hiring being done by some of the corporates concerned and hence to that extent it is also volume driven. And three, it's also a function of the relative overall growth that one has seen.
Health is also aided by, reasonable growth even on the Bancassurance space as we had put out even as part of the opening remarks. Our Bancassurance, which comprises distribution through banks and our key relationship group partners, that's done reasonably well at almost about 27% growth on the back of a reasonable growth coming back in terms of credit disbursements. What one would watch for is obviously the extent of disbursement levels as we head into the subsequent quarters, that we will wait for in terms of how the development takes place.
Rishi Jhunjhunwala: And second question while you explained about the expense of management thing and to look at on an overall basis and that's anyways what we are going to do, but just from a purpose of understanding, wanted to understand the change in commission and the business promotion, is it purely a reclassification issue from books of accounts perspective, from the way you are now paying to the distributors or is there any actually on ground business model change also?
Gopal Balachandran: If you ask us that as we always keep saying Rishi, at the end of the day, we always look at the overall cost of acquisition in terms of the way

we do businesses. And that's the reason why I specifically put out that number in the context of expense of management and that's what I would urge to look at. And honestly, the split between what constitutes commission, what constitutes my overall operating expenses, all of them are baked in as a part of our operating model. Fundamentally, if you ask us have you changed anything in the underlying way of doing business? Honestly not. There is no specific change that one has done and hence, which is why I'm saying that once you start looking at the numbers more from an expensive management standpoint rather than trying to look at splits between how much has been the growth in commissions and how much has been the changes in operating expenses.
Moderator : Thank you. We have our next question from the line of Avinash Singh from Emkay Global. Please go ahead.
Avinash Singh : Two questions. So, first one is more on Commercial lines. Particularly fire and engineering, so there were sort of multiple factors affecting the pricing and all. So, just I mean if you can give some color on that adjusting for your cyclone losses, if there has been sort of an impact on overall claims ratio because of the pricing environment or if you can quantify the price changes effectively that happened in this quarter? So, that's one commercial line. Second on group health or employer-employee part, if you can provide some sort of either quantify or some

qualitative disclosure in terms of how has been your experience on the business that you have initially acquired a pre-COVID period and continue to renew with the price hikes and the business you have acquired last year? So, are there sort of a difference in terms of the claims experience in these two sets? These are two questions. Thank you.

Bhargav Dasgupta: So, let me take the second one and Gopal can give you the split of the commercial lines business. In aggregate commercial line business, there has been some softening on the fire side for the reasons that we've been talking about, which is that the IIB rate is no longer there, but it is well in line with our estimates. So, it's a single digit change, not a material reduction that we have seen in the Q1 FY2024, but we'll have to be watchful of how this progresses for the rest of the year. But till now it's largely been in line with expectations. The difference in the loss ratios for fire and engineering with and without CAT, Gopal will answer that separately. Coming back to your question on group health, Avinash, the real good news for us was that the accounts that we had pre-COVID, we've been talking about this in the past as well. From July

of the year, after the second wave, we started increasing prices between 15% to 20% and we used to see more than 90% retention of the large accounts. So, the service proposition that we've delivered, the various features of IL TakeCare etc., overall we've had good experience in terms of retaining these accounts. This year, for the reasons that Gopal explained, we are seeing good traction in business moving from some of the other companies that are coming in. The way we are pricing it is again in line with our general practice of being disciplined about underwriting. So, the question then is that will these guys also renew next year if prices go down that we'll have to wait for. What the approach that we take is even when we go in with any of these accounts, the approach is to look at customers who are not price seekers every year who switched from one Company to the other. But to look at companies who generally being stable with one insurer for some time, maybe wanting to move now because of service experiences or because pricing has significantly gone up and come close to our numbers and we are able to get a slight premium over the market price. So, on balance, I don

't see a big difference between the accounts that we had in the past to the accounts that we have got now on the group health side.

Gopal Balachandran : Avinash to your point on what could be the potential impact on some of this pricing led changes and cyclone led impact. As Bhargav said, the price decline is a single digit number roughly in that range of, 5% to 7% decline in pricing and that's on expected lines. That's what we had mentioned even during the April earnings call at the time when the guidelines had come into force, which is the reason why you see, for the overall market, fire growth for Q1 FY2024 is far more tepid at let's say at 5.9% or 6.0%. Even despite that if you look at, for ICICI Lombard, we have again had an outperformance in that category. We have grown at almost 10% in fire as a line of business. So, that's the impact so far as pricing is concerned. On the other part, what we discussed even in the April earnings call, if you recollect is also the hardening of the reinsurance rate, and therefore, we also had seen an increase in the XOL cost. What happens is the NEP there is a catch up because typically your cost of XOL hit in Q1 and as the book grows, the earnings plays through over the remaining quarters. So, now when you look at the loss ratios, what is put out in the investor deck for fire, at about 85% for Q1 and 98.6% for engineering. Now this has the impact of the XOL cost. It also has the impact of losses from cyclone as what I mentioned, very difficult to separately call out the impact of the XOL cost. But if I were to just exclude the impact of cyclone losses, the loss ratio on fire, which is at about 85%, will look like about 64%-65% and engineering,

which is looking like about 98.6% will look like about close to about 80%-82% in that range. So, that's the kind of numbers that one sees so far as excluding the CAT losses are concerned. But as I said, Q1, particularly for engineering is relatively more long tail as the project starts to build over a period of time is where you will see a relatively larger proportion of earnings coming through. And hence to that extent, you will always find possibly the Q1 loss ratios to be a bit more skewed.
Moderator : Thank you. We have our next question from the line of Swarnabha Mukherjee from B&K Securities. Please go ahead.
Swarnabha Mukherjee : So, couple of questions. First on the retail health, so sir you mentioned around 64% loss ratio in the retail indemnity portfolio, I was just wondering that historically you have told that you have run this book at around loss ratios of between 65% to 70%. So, is there a possibility that we'll push the pedal a little bit more in terms of growth going ahead so that we are in between that mark because profitability-wise we are much better than where we were running the business. So, whether we should expect to see growth panning out at a faster rate and much higher than the industry given that our market share is still lower than our Company average market share is across category. So, that is the first question on retail health. And on the second question on the fire loss ratios, you pointed out that there are XOL losses that are baked in right now. Just wanted to understand given that the elevated loss ratio that you have reported if we were to remove the impact of XOL losses also, should we also see some element of that deregulation playing out in the loss ratio in terms of denominator being lower from the pricing point of view and thirdly on the crop premium for the month of June, I think there was a sizable crop premium so that pertains to Maharashtra and of a similar structure of what it was done last year.
Bhargav Dasgupta: So, let me add to the fire, and ask Gopal to cover the rest. As Gopal explained, the loss ratio for those two businesses look a bit elevated. But

we are very comfortable and very happy with the book. As he explained, big chunk of that incremental loss issues because of catastrophe which happens once in a while. Secondly, the price softening has had a 5% to 6% impact, not as big as one was worrying about. So, in that sense it's a positive. Third is the XOL cost is an upfront cost. As we go through the year, anything keeps accreting and the XOL cost gets spread over the whole 12 months. For the Q1 it looks elevated because it's a smaller book which is absorbing the increment. So, overall, our property and casualty business, we are very happy with the

way things are progressing. Just to give you an overall sense of where we see the business.
Swarnabha Mukherjee : Just a follow up on that. The price softening part that you mentioned 5% to 6%, so in a scenario if the reinsurance market softens next year from where it is, can the softening be more
Bhargav Dasgupta: This is getting into the realms of speculation. You know, too many factors are unknown in terms of global reinsurance markets. So, there's no point in talking about it right now. Maybe we can discuss this post January 1.
Gopal Balachandran: I'll just only add to what Bhargav said, which is what is there in the numbers if you would have seen on the overall basis. While we said our growth in revenues has been, close to about 19% ex of crop. If you would have seen the growth in net written premium has been almost about 23% which is a function of what we retain and what we reinsure. But relative to that, if you would have seen the growth in NEP has been only about 12%. So, that's the catch up that will start to happen and this

is not just specific to any particular segment. I think for across segments when we exhibit growth, you will start seeing NEP doing a catch up over the subsequent quarters. So, which is what you should watch out for and as we always keep saying for us, you should ideally look at outcomes over years, if not ideally on a financial year basis, definitely not quarters. I mean quarters will have lots of elements attached to it. And again, we will urge everyone to keep looking at numbers more on an annual basis, ideally over years, because that's how the insurance cycles typically work. So, that's just in addition to what Bhargav said. To your third point on the crop, pretty much similar to what we have been talking, which is even the one that we have won in Maharashtra that again operates under the 80-110 model which is where we are clear about what risk that we want to undertake. And two, as we had discussed even during the April call, potentially that there is an expectation that this year could be a year of El Nino, and hence to that extent again from an exposure standpoint, I think we would want to be a bit guarded and even otherwise what we have said even earlier as well on crop relative to our overall numbers, we would definitely want to see it at less than 5% of the aggregate annual revenues. So, that stand pretty much remains the same. To your first point on the overall retail health loss ratios, again, I mean this is Q1 numbers, right? I think the range that we gave is the range that we are comfortable to operate with as a segment and what we are quite happy and excited about is the fact

that even if you look at consistently since H2 FY2023 and even for the whole of, in fact FY2023, we have had outperformance on retail health vis-à-vis the market. I mean if you recollect for FY2023, our growth was almost about 17%, industry on retail has grew at 15%. Even Q1, when you look at the numbers for us, individuals or retail health grew at almost about 23%. Market growth was about 18%-19%. So, again, we have had outperformance relative to the ov

erall market. The good news is even when you look at it in the context of standalone health companies, our growth in Q1 FY2024 has largely been in line with the standalone health growth numbers as well. So, hence to that extent, whatever investments that we are doing on retail health, we are quite excited with the way how the investments have played out and that's the reason why you already start to see some small levels of increase in market share that we have seen which used to be sub 3%. Right now we're at about close to about 3.1% market share in the retail health indemnity segment. Of course, as you rightly said, there's a lot of catch up that we have to do and hence to that extent we will continue to stay invested in building that distribution force and loss ratios as I said will be more an outcome and the range is what we largely talked about. Q1 FY2024, honestly again very difficult to comment on one particular quarter. You have to ideally look at it more on a full year basis.

Moderator: Thank you. We have a next question from the line of Prakhar Sharma from Jefferies. Please go ahead.

Prakhar Sharma: Just wanted to get a pulse of this flooding in the Northern Indian part. How big is the business? How should we assess any potential loss? That's part one and just wanted to get a sense on, you know, the full year and next year combined ratio expectation, are we sticking to our earlier guidance, so these were my two questions. Thank you.

Bhargav Dasgupta: So, the second one is easier to answer. Yes, we are sticking to it in spite of these losses that catastrophe losses that we had in this quarter and the North Indian floods will come in the Q2 because these even now, as we speak, the losses are coming in. Till now, it doesn't look to be significantly an area of concern. But it's too early to call Prakhar, what happens in floods is that it takes some time for the customers to come back and report all the claims, so I don't want to give a false comfort that it's low value catastrophe loss. We'll have to wait for some time. But whatever it is, you know as a Company, unless these losses are

significantly out of sync with the past experiences, we are clear that we
are staying within the same guidance level that we've talked about.

Moderator: Thank you. We have our next question from the line of Neeraj Toshniwal from UBS India. Please go ahead.
Neeraj Toshniwal: So, given we have seen some improvement in June in motor which is quite impressive, just wanted to understand the outlook going ahead and are we seeing some pricing improvement which has happened due to expense of management changes and no hike in Motor TP pricing for this year?
Bhargav Dasgupta: As we said on the second point, not much, we have expected some more improvement because of the expense of management constraints. We have seen some bit of correction in terms of certain elements of PA price etc. for the sector. So, a lot of companies have improved some elements of pricing, but it is not to the extent that one had expected given the expense of management, as Gopal explained, you know, for a large number of companies in the sector, they're over their limit. As of now, we've not seen a change, but as we explained, we'll have to see what happens after Q1 FY2024 and how the regulator looks at industry numbers and Company specific numbers. So, we'll be watchful. From our perspective, we are well within the limit. We have a big cushion, but that doesn't mean that we are going to be profligate. We are focusing on building a sustainable business.
Neeraj Toshniwal: So, what kind of growth in Motor portfolio we are now given the momentum is coming back, we are building in?
Bhargav Dasgupta: As I said earlier the difficult part is behind us is what we think. So, our expectation is that we should definitely go in line with the

market for this
quarter.
Neeraj Toshniwal: And last question is on the tenure which you just mentioned in the opening remarks there is the guideline from the regulator, any incremental color on that?
Gopal Balachandran: So, Neeraj, this is something that we have been talking about earlier as well. So, obviously at an appropriate point of time, as we keep saying succession planning is something that actively gets discussed at the BNRC and at the board level across management levels, so maybe at an appropriate time, we will come back if at all wherever we have to make any necessary announcements.

Neeraj Toshniwal: Got it. And one last question on the ICICI Bank stake buy which would be happening over some time? Has any proceeding or approval from the regulators happened because there is no update on that front?
Bhargav Dasgupta: I think they will announce it whenever they're ready to announce it. Obviously, they'll have to wait for to get all the approvals, but they've got enough time to do the same. As of now, we are awaiting all clearances from the regulators.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Bhargav Dasgupta for closing comments. Over to you, sir.
Bhargav Dasgupta: Thank you everyone for joining and look forward to interacting with you over the next few days. Feel free to reach out to us. Thank you very much.
Gopal Balachandran: Thank you so much.
Moderator: Thank you. On behalf of ICICI Lombard General Insurance Company that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Safe Harbor:
Except for the historical information contained herein, statements in this release which contain words or phrases such as 'will' , 'would' , ‘indicating’ , ‘expected to’ etc., and similar expressions or variations of such expressions may constitute 'forward-looking statements'. These forward-looking statements involve a number of risks, uncertainties and other factors that could cause actual results to differ materially from those suggested by the forward-looking statements. These risks and

uncertainties include, but are not limited to our ability to successfully implement our strategy, our growth and expansion in business, the impact of any acquisitions, technological implementation and changes, the actual growth in demand for insurance products and services, investment income, cash flow projections, our exposure to market risks, policies and actions of regulatory authorities; impact of competition; the impact of changes in capital, solvency or accounting standards, tax and other legislations and regulations in the jurisdictions as well as other risks detailed in the reports filed by ICICI Bank Limited, our Promoter company with the United States Securities and Exchange Commission. ICICI Bank and we undertake no obligation to update forward-looking statements to reflect events or circumstances after the date there

Call: Oct 2023

ICICI Lombard General Insurance Company Limited

IRDA Reg. No. 115 CIN: L67200MH2000PLC129408
Mailing Address: Registered Office: Toll free No. : 1800 2666
401 & 402, 4th Floor, Interface 11, ICICI Lombard House, 414, Veer Savarkar Marg, Alternate No. : +91 8655222666 (Chargeable)
Near Siddhi Vinayak Temple, Prabhadevi, Email : customersupport@icicilombard.com
New Linking Road, Malad (West), Mumbai - 400 025 Website : www.icicilombard.co m
Mumbai - 400 064
Ref. No.: MUM/SEC/ 184-10/2024

October 24, 2023

To,
The Manager
Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001 The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot C/1
G Block, Bandra Kurla Complex,
Mumbai – 400 051

Scrip code: Equity (BSE: 540716/ NSE: ICICIGI); Debt (NSE: ILGI29)

Dear Sir/Madam,

Disclosure under Regulation 30 read with Schedule Ill of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Subject: Transcript of earnings conference call for the quarter and half -year ended September 30, 2023

This is further to our letter dated October 10, 2023 and October 18, 2023, please note that the Company had hosted an earnings conference call wit h investor(s) and analyst(s) on Wednesday, October 18, 2023 to discuss the financial performance of the Company for th e quarter and half -year ended September 30, 2023.

In this regard, please find attached the transcript of the ‘earnings conference call’ for the quarter and half -year ended September 30, 2023.

The same will also be made availa ble on the Company's website at www.icicilombard.com .

You are requested to kindly take the same on your records.

Thanking you.

Yours Sincerely ,

For ICICI Lombard General Insurance Company Limited

Vikas Mehra
Company Secretary

Encl. As above

ICICI Lombard General Insurance Company Limited
Q2 & H1 FY2024 Earnings Conference Call
October 18, 2023

Management:

MR. BHARGAV DASGUPTA – MD & CEO
MR. GOPAL BALACHANDRAN – CFO & CRO
MR. SANJEEV MANTRI – EXECUTIVE DIRECTOR
MR. ALOK AGARWAL – EXECUTIVE DIRECTOR

Moderator: Good evening ladies and gentlemen. A very warm welcome to ICICI Lombard General Insurance Company Limited's Q2 and H1 FY2024 earnings conference call. From the senior management, we have with us today, Mr. Bhargav Dasgupta – MD and CEO of the company, Mr. Gopal Balachandran – CFO and CRO, Mr. Sanjeev Mantri – Executive Director, and Mr. Alok Agarwal – Executive Director.

Please note that any statements and comments are made in today's call that may look like forward -looking statements are based on information presently available to the management and do not constitute an indication of any future performance, as the future involves risks and uncertainties which could cause results to differ materially from the current views being express ed.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressi ng "*" then "0" on your touch -tone phone.

I now hand the conference over to Mr. Bhargav Dasgupta – MD and CEO, ICICI Lombard General Insurance Limited. Thank you and Over to you, sir.

Bhargav Dasgupta: Good evening to each one of you. Thank you for joining the earnings conference call of ICICI Lombard General Insurance Limited Company for Q2 and H1 FY 2024 .

Let me give you a brief overview of the industry trends and developments that we have witnessed in the past few months.

Post this, our CFO, Mr. Gopal B alachandran will share the financial performance of the company for the quarter and the half year ended September 30, 2023. The global economy is experiencing a loss of momentum , however, the Indian economy

is gaining strength led by domestic drivers such as private consumption and fixed asset investments by public sector capex. The southwest monsoon rainfall recovered during September 2023 . However, it ended below the long period average. The manufacturing and services PMIs and other high frequency indicat ors exhibited a robust expansion during this quarter. On the demand front, urban consumption is buoyant while rural demand is showing some signs of revival. However, the current geopolitical conditions and higher interest rates in the advanced economies ca n impact global and domestic economic growth negatively, and we have to be watchful of the same.
For the quarter, as per data published by SIAM, the new private car sales continue to deliver robust growth year -on-year. The two - wheeler sales registered moderate growth for the quarter, and in terms of volume, still remains below the pre -pandemic levels. The commercial vehicle growth was driven by growth in infra and other core sectors. Health insurance continues to d eliver robust growth, remaining the largest contributor to overall growth. The commercial segment witnessed growth in line with the current market environment. We remain optimistic that the industry will

continue to grow given the favorable macros, regulat ory changes, low penetration, and relatively positive consumer sentiment.
Speaking of the performance, the General Insurance industry delivered a GDPI growth of 14.9% for H1 FY2024 over H1 FY2023 . Excluding the crop insurance, the growth is at 18% for the same period. Overall, the underwriting performance worsened, with a combined ratio of the industry at 113.3% for Q1 FY2024 , as against 111.4% for Q1 FY 2023 . For Motor business, while the combined ratio continues to remain elevated, the combined ratio for t he i

ndustry improved to 120.1% from Q1 FY2024 , as against 124.5% for Q1 FY2023 .
Moving to the business numbers for us in Q2 FY 2024 , the company grew at 17.4% as compared to the industry growth of 12.5%.
In terms of growth of key segments during the quarte r:

■ The property & casualty line of business grew at 17.2% which was higher than the industry growth of 8.6%. Further, during the quarter, we accreted market share across all segments such as Fire, Marine, Engineering, and Liability .

■ In Motor , our growth for the quarter was 10.9%, as against the industry growth of 13.9%. The growth in Motor segment was aided by robust growth of 27.6% in the new private car segment. The private car mix stands at 51.8% for this quarter. While the competitive int ensity in the motor segment remained elevated, we continue our focus of developing a quality portfolio based on granular data. We

continue to rebalance our portfolio resulting in commercial vehicle mix at 22.1% and two -wheeler mix at 26.1% for Q2 FY2024 .

o We also continue to harness our digital capabilities in building claims efficiency in Motor. In Q2 FY 2024 , through our Preferred Partner Network (PPN network), we were able to service 63% of our Non-OEM claims, up from 44% in Q2 FY2023 .

■ The health segment continued to be the fastest growing segment for the industry. During this quarter, we grew at 20.3%.
o As a result of our continued investment in Retail Health distribution, we have grown in line with the industry at 18.7%. This was driven by growth in business sourced through the retail health agency vertical of 21.7%.
o I would also like to share that our one -stop solution for all insurance and wellness needs – "IL TakeCare " app – has surpassed ~6.9 million user downloads till date. The incremental download s for the quarter was ~1.3 million. For Q2 FY 2024 , the premium sourced through IL TakeCare app contributed to ■884.5 7 million to the overall GDPI, reflecting a 3.5x increase year -on-year.

■ We have been updating you about our digital business initiatives like Digital One and IL TakeCare which we have been driving in an agile manner. We are now scaling these agile models to business lines across the company, completely redefining the ways of w orking and the business

processes. Coupled with the transformation of the core system, we expect this to be a key driver for our future growth as a digitally empowered insurance company.
As you may be aware, I have decided to pursue an overseas opportunity after spending over 14.5 years with ICICI Lombard. It has been a wonderful journey for me and I'm grateful for the collective support of all our stakeholders – our Employees, Customers, Channel Partners, Analysts, and Shareholders . We have made large strides in the industry and made IL a much loved brand and India's largest private sector GI player. I take this opportunity to thank all of you for your support and hope you will extend the same support as I pass on the baton to my dear colleague - Sanjeev Ma ntri.
Sanjeev has been with the ICICI group for over 20 years. Sanjeev has played a stellar role in terms of his achievements within the company. He spearheaded the retail division as an Executive Director, where he was leading distribution of products ac ross agency, bancassurance, direct and alternate channels. He was also in -charge of the strategy, products, pricing , marketing, and corporate communication verticals at ICICI Lombard. I am convinced that ICICI Lombard will continue to be a strong force of positive change in the industry under his leadership. Over to you, Sanjeev.
Sanjeev Mantri: Thank you Bhargav. Your leadership is an inspiration for all of us, and your stellar record over the last 15 year

s has left an indelible impact on the organization and the industry at large. We are excited for you and the opportunities that lie ahead and w ish you the very best. I am looking forward to taking the journey ahead. And we rely heavily on the support of all our stakeholders. These

are interesting times for the GI industry and we are very well positioned to capitalize on this. I look forward to me eting and interacting with each one of you personally. We will continue to remain focused on our overall philosophy of balancing growth and profitability. I will now request Gopal to take you through the financial numbers for the recently concluded quarter and half

year.
Gopal Balachandran: Good evening to each one of you. I will now give you a brief overview of the financial performance of the recently concluded quarter and half year. We have uploaded the 'Results Presentation ' on our website. You can access it as we walk you through the performance number s.

■ The Gross Direct Premium Income of the company was at ■124.72 billion in H1 FY 2024 , as against ■105.55 billion in H1 FY2023 , a growth of 18.2%, as against the industry gro wth of 14.9%. Excluding crop, GDPI growth of the company was at 17.6% which was in line with the industry growth of 18 .0% in Q2 FY 2024 . GDPI was at ■60.86 billion in Q2 FY2024 , as against ■51.85 billion in Q2 FY 2023 , a growth of 17.4%. This growth was higher than the industry growth of 12.5%.

■ Our GDPI growth during the quarter was primarily driven by growth in the preferred segment s. The overall GDPI of our property & casualty segment grew by 17.2% at ■14.76 billion in Q2 FY 2024 , as against ■12.59 billi on in Q2 FY2023 .

■ On the retail side of the business, GDPI of the motor segment was at ■21.38 billion in Q2 FY 2024 , as against ■19.28 billion in Q2 FY 2023 , registering a growth of 10.9%.

o The advance premium number was at ■32.89 billion as at September 30, 2023, as against ■32.17 billion as at March 31, 2023.

■ GDPI of the health segment was at ■13.62 billion in Q2 FY2024 , as against ■11.32 billion in Q2 FY 2023 , registering a growth of 20.3%.

o Our agents (includ ing the Point of Sale or POS) count , was at 1,22,461 as on September 30, 2023, from around 1,17,149 as on June 30, 2023.

o GDPI of the Retail Health segment grew by 19 .0%.

o Group health segment, i.e., the Corporate Employer - Employee segment grew by 20.6% during the quarter.

o The Bancassurance and Key Relationship Group (KRG) grew at 24.3% this quarter.

■ During the quarter, our business sourced through our Digital One team grew by 26.7%. Overall, our digital focus has enabled us to increase our digital revenues which includes the IL TakeCare app to ■3.66 billion which accounts for 6 .0% of our overall GDPI for the quarter.

■ Resultantly, the combined ratio was 103.7% for H1 FY 2024 , as against 104.6% for H1 FY 2023 . Excluding the impact of CAT losses of ■0.83 billion in H1 FY 2024 and ■0.28 billion in H1 FY 2023 , the combined ratio was 102.7% and 104.2% respectively. Combined ratio was 103.9% in Q2 FY2024 , as against 105.1% in Q2 FY 2023 . Excluding the impact of CAT losses of ■0.48 billion in Q2 FY 2024 and ■0.28 billion in Q2 FY2023 , the combined ratio w as 102.8% and 104.3% respectively.Our investment assets rose to ■453.12 billion as at September 30, 2023, up from ■449.05 billion as at June 30, 2023. Our investment leverage (net of borrowings) was 4.07x as at September 30, 2023, as against 4.16x as at Ju ne 30,

2023. Investment income was at ■17.59 billion in H1 FY 2024 , as against ■13.94 billion in H1 FY 2023 . On a quarterly basis, the investment income w

as at ■9.36 billion in Q2 FY 2024 , as against ■7.39 billion in Q2 FY 2023 . Our capital gains (net of impairment on investment assets) stood at ■2.87 billion in H1

FY2024 as compared to Rs 1.43 billion in H1 FY 2023 . Capital gains (net of impairment on investment assets) stood at ■1.65 billion in Q2 FY 2024 as compared to ■1.11 billion in Q2 FY2023 .

■ Our Profit Before Tax grew by 19.4% at ■12.84 billion in H1 FY2024 , as against Rs 10.75 billion in H1 FY 2023 , whereas PBT grew by 25.3% at ■7.64 billion in Q2 FY 2024 , as against ■6.10 billion in Q2 FY 2023 .

■ Consequently, Profit After Tax grew by 3 .0% at ■9.68 billion in H1 FY 2024 , as against ■9.40 billion in H1 FY23. PAT de grew by 2.2% at ■5.77 billion in Q2 FY 2024 from ■5.91 billion in Q2 FY23. Excluding the impact of reversal of tax provision in Q2 FY23, PAT grew by 19.2% in H1 FY24 and 24.8% in Q2 FY24.

■ Return on average equity i.e ROAE was 18% in H1 FY24 as against 19.9% in H1 FY23. The ROE for Q2 FY24 was 21.1%, as against 24.5% in Q2 FY23. Solvency ratio was at 2.59x as at September 30, 2023, as against 2.53x as at June 30, 2023, continued to be higher th an the regulatory minimum requirement of 1.5 0x.

■ The Board of Directors of the company has declared an interim dividend of ■5.00 per share for H1 FY 2024 , as against ■4.50 per share for H1 FY 2023 .

As I conclude, I would like to reiterate we continue to stay focused on driving profitable growth, sustainable value creation, and safeguarding the interests of policyholders at all times.

I would like to thank you all for attending this earnings call, and we will now be happy to take any specific questions that you have.

Thank You

Moderator: We will now begin the question & answer session. Ladies and Gentlemen , we will wait for a moment while the question queue assembles.

Our first question is from the line of Avinash Singh from Emkay Global. Please go ahead.

Avinas h Singh: Best wishes to you, Bhargav, for your future endeavors. And congratulations to Mr. Sanjeev for his new role. Good set of performance. A couple of questions. First one on Motor side, of course, you commented about the competitive intensity, but whatever I see incrementally in Q2 FY2024 , overall motor profitability seems to be quite good for you. Yet, you remain sort of very guarded with the motor. Why such, guarded approach even when profitability seems to be suggesting that things are better than what they were a few quarters back. Tha t is on your entire strategy around motor because even in motor CV, you have started to take more business. But again there, it seems that you are trying to slow down. On overall motor, I would like to understand the philosophy. And on that same point, now I guess, if I understand the regulations correctly, even in motor TP technically a commission is possible because the business line - wise commission caps has gone. So, what are the practices you are witnessing in the market as far as motor is concerned. An d on health, I see that the results are coming from your focus on agency and that is leading to the growth in retail. Yet, if I see, because you are growing strongly in the group both on the ban ca side as well as the employer -employee side, your mix is shi fting

again more towards group. Of course, the banca is largely retail, I understand. Yet, on your individual side, is that growth still a bit of calibrated , because, on the group employer -employee side , the price hike is now behind. So, it would be large ly a volume -led

growth. That growth is strong, Banca growth is strong. On the pure retail, why a bit of a slower as per your own experience?
Sanjeev Mantri: Usually, from a Motor perspective, as you rightly said, ther

e are
more tailwinds available at the i ndustry level, and we are well set to capitalize. In a way, in your question itself I see the answer that we are able to drive it profitably because we have kept ourselves calibrated and we have also always maintained that we will move where we see an oppo rtunity in terms of profit pool. If you look at our own configuration of Motor portfolio overall, you will see that the CV portfolio has marginally gone down in terms of contribution in Q2 has moved to 21.6 %. And we have grown on private cars and two -wheeler as a company. If you ask me in terms of the view the way we expect ourselves, we would continue to exert what is required, but if you see the intensity which is in our mind not working out overall, we will surely b ack track for sure in ter ms of driving it. Overall, our plan of being competitive and being in this space because this is where our key distribution is and we will continue to exert ourselves as a team.
On the health part which you spoke about in t erms of growth coming primarily from group health rather than retail, if you see, our investment largely has been on the retail side, and there you will see a delta over the industry growth of 2%. Group health, we have always maintained that we go in strat egically if we see that we are able to see some sanity in terms of pricing we go in deep. That's what we did in Q1 FY 2024 , but in Q2 FY2024 if you see, we have grown rather subdued vis -a-vis the market. That plan per

se for us as a company will not change but our trajectory on the retail side is far more permanent and you will see us doing much better. There is a marginal improvement in market share, but I would not like to read too much into that because over a period of time, we would do much better and we continue to stay invested as far as the health agency is concerned.
Avinash Singh: And that question regarding current practices around commissions in Motor because technically now one can pay commissions on Motor TP. Basically the commission caps are going to uncap, so post this, what market practices you are seeing as far as payoffs are concerned?
Sanjeev Mantri : Avinash, clearly, we spoke about the industry level numbers on Motor and we see a marginal improvement in the overall combined ratio. From 124 .5% in Q1 F Y2023 it has moved to 120.1% in Q1 FY2024. Frankly speaking, there is not too much you can read in those numbers at this point of time. You wanted to know the expense of management, while it has come in, you see almost 50% of the companies being more than the limit which is there, which is stated. Have we seen overall rationality prevailing across? Frankly speaking, the industry itself is adjusting to it at this point of ti me and over a period of time, I do believe that you will see far more rationalization than what has happened now, and we do expect stability to come in by Q3 or Q4 from an overall perspective.
Moderator: Our next question is from the line of Shreya Shivani from CLSA. Please go ahead.
Shreya Shivani: Congratulations on a good set of numbers. Sir, coming back on the Motor book, I wanted some more understanding on the loss

ratio improvement that has happened in H1 FY 2024 versus Q 1 FY2024 . I know you don't want us to look at loss ratios on a quarterly basis, but even the H 1 numbers look quite good. That would be one question. Second is on the monthly performance , while I understand your monthly performances do n't vary, but if you can give us some color in un derstanding what specifically happened in probably August and September because till July, you guys had a very strong run rate of about 20%. Any color around what happened and any growth outlook tha

t you can give?
And one more question; third question prob ably. You have launched a new product with ICICI Pru Life, the health and protection product; management mentioned in the conference call yesterday , if you can give us some understanding of the economics of such a product – premium, the way the partnership with ICICI Pru works out. I am assuming this will get sold on the ICICI backed platform. Some color on that.
Gopal Balachandran: Shreya, on the first one, if you look at the loss ratios for motor , you are right. We keep saying that you should never look a t numbers over quarters or even on a financial year basis because some of these lines will obviously start to exhibit outcomes over a relatively longer period of time, particularly in the context of motor third party. Having said that, when you look at eve n for the half year on motor OD specifically, in general, what we have talked about is the portfolio loss ratio should range between 65% to 70% threshold on motor own damage. For the half year, that number is at 65% or thereabouts, but that's the range at which you would possibly see depending on what a business mix that we write whether we are able to relatively pick up a higher proportion of new or relatively what proportion are we able to write in the context of the older portfolio. That's probably the r ange at which

we will be able to operate at . Within quarters, obviously the loss ratios will undergo a change, but that's the range that we are comfortable with so far as the own damage book is concerned. On third party, again, the point is still the same , while for the quarter you would have again seen the numbers slightly better or even on a half yearly basis, the number stands at about 66% , but these are experiences that one should logically again look at over relatively longer periods, and also to the f act that depending on what mix of business that we write in terms of private car, two - wheeler, and CV. And that's something that we keep calibrating from time to time, corresponding to which you could possibly see a change in the loss ratio experience. But otherwise, there is nothing specific to call out in the context of Q2 FY2024 numbers. Having said that, what we also keep doing is, from a reserving perspective, generally we have tried to be prudent at all points of time. That philosophy still continues to remain the same even as we write whichever portfolio of the book . But over a period of time, as you would have seen, some of our experiences have actually started to turn out to be much more positive than what our initial estimates have been. That will obviously get calibrated from time to time. But otherwise, so far as the over all portfolio is concerned, it's purely a function of what mix of business that we are able to write.
Bhargav Dasgupta : Just to add to a point that Gopal made is that the way we look at business is on a combined basis, not just loss ratio. And overall, you should study our numbers from a combined perspective. There are certain businesses which have higher expenses but lower loss ratio and vice versa. So, as a team, we look at overall combined as our objective.

Sanjeev Mantri : For the combo product as we hav e mentioned , yes, we are really excited. We have taken the term and the CHI product of ours and given a combined offering to our customers through our agency channel. If you look at it, ICICI Pru Life has a very decent agency practice and we have a very de cent bancassurance practice. And we have all a gap which needed to be filled. We have created this product line to leverage on each other's distribution. And as per the regulatory environment that is there, something which is a very feasible option, we hav e gone ahead and done th

is
partnership with them and we expect this product to probably ramp up in time to come. To be honest, our agents will require a bit of training and process. It will come with a lag over a period of time. But that being said, we are really excited with this partnership that we have done with them to drive the combo product in the market, which in many ways is first of its kind.
Gopal Balachandran : And to your last question, Shreya, on the monthly performance numbers; again, that's purely a function of what businesses do we write between periods. As we had explained even in the earlier call, our businesses do tend to have a bit of cyclicality across businesses. For example, in Q1 FY2024, you will obviously see a relatively higher proportion of some of the commercial lines being underwritten. In Q2 FY2024 , we do see businesses booked, particularly in the context of crop. Now, that could get booked in a particular month and therefore, you may possibly see variations in growth percentages when you look at it relatively on a month - on-month basis. But here again, as we keep saying, a better way to look at given the cyclicality of the business that we get to see, for example, Q3 FY2024 , you will see a lot more business largely driven through some of the retail growth. So again, you may see month -on-month changes between segments of businesses. But

however when you look at it on a full -year basis, in line with what we have spoken, largely looking at the way how things are positively shaping up for us, we should definitely look at ending the year within that high -teens percentage growth that we have talked about. And in general, depending on what Sanjeev also mentioned on the expense of management side, if things start to improve much better from an industry perspective, then the relative outperformance that we have talked about of 100 to 200 basis points over and above the market growth rate, that's something t hat we still believe we will be able to achieve.
Moderator: Our next question is from the line of Nidhesh from Investec. Please go ahead.
Nidhesh Jain: What is the share of OEM and non -OEM business in the Motor and how it has been trending over the last 2 to 3 years?
Sanjeev Mantri : Overall if you see, in our split in terms of the Motor that you are speaking about, we would almost have 70% or thereabout of our business coming from the OEM business and the rest would be coming through other channels which ar e agency and bancassurance.
Nidhesh Jain: Last year, we articulated our intention to increase the share of non-OEM by focusing on high loss ratio and low expense ratio business. How is the progress on that? Is the share of non-OEM going up?
Sanjeev Mantri: Overall if you see, again, incrementally yes, we intend exercising ourselves more on the agency side but the manner in which our motor book that was created, there is a fair amount of contribution and if we see an opportunity there, it's not one for the o ther, we

continue to invest excessively on the agency business side. That

being said, OEM where we have been working for years and we have built a franchise, we will continue to drive that. So, we need to look at both of these in a stand -alone where there are times when OEM contribution can go really up. There is a season coming in Q3 FY2024 obviously, you will find again OEM probably showing a larger percentage. But that being said, agency business should continue to do well but relatively to put percentag e pool would be a very difficult option. It's not one for the other.
Bhargav Dasgupta : Nidhesh, just to add to what Sanjeev said, strategically and philosophically, while we are investing, there will be times when OEM will again come back up. If new vehicl e sale

s increase, as
we said in the opening remarks, the share of new vehicle sales has been very positive for us and those are profitable pools. When we see those opportunities, we want to garner them.
Nidhesh Jain: Secondly, I notice that there is some c hange in the senior management personnel structure. If you can explain what the rationale for that is and what is the emerging market group. If you can share some details on the emerging markets group.
Sanjeev Mantri : Effectively, it's a very minor and not a significant change. But we have an experienced resource which has joined in. He is an expert in terms of driving the emerging markets. So, we are pooling him and to report into Alok which otherwise had a multiple reporting. So, we want to use the be nefit of his presence in the system.
Nidhesh Jain: Emerging market group is in the commercial lines?

Sanjeev Mantri : Emerging market operates across channels and business lines.
Bhargav Dasgupta : Basically, this is the Bharat rather than the top cities. Th is is where, if you remember, last year we had done a little bit of structuring change where Alok Agarwal, who was our ED looking after wholesale business, was given charge of that market with specific focus. And we are investing, and we are growing that business. Typically, let's say, the top 40 cities would be not there, but thereafter, it would be considered to be emerging.
Moderator: Our next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.
Sanketh Godha: My first question is that whether you want to prepone your guidance of 102.5 % to be achieved? Because, ex cluding CAT losses if I see, you are almost there; what we had thought we will achieve it by exit of FY 2025 . Sir, I just wanted to understand whether given the underwriting environment, you believe that could happen a little quicker than expected. That's point number one. And second, within this 102.5 % odd, combined ratio improvement, some weightage was expected to come from the OPEX part. But despite EOM , our OPEX compared to last year still has been higher and in H1 FY2024 it is higher. I just wanted to understand that EOM is overall dragging the OPEX higher or increasing the OPEX on the higher side or you believe sanity will come and expense ratios will improve for the sector as well.
Bhargav Dasgupta : Sanketh, cut a bit of slack to the team, right? You are delivering better than expected numbers and that's what we want to continue to do. No change in guidance. As you know, the market is still very competitive. We have talked about where the combined ratio for the industry is in terms of motor segment. But

clearly, over the last 1 year, the team has done a brilliant job in terms of significantly calibrating the business, as also building a lot of capability on th e cost side, both on the claims and expense side. So, the team is doing really well, but there's no need to change guidance as we see at this point in time. On the cost side, I will ask Gopal to answer.

Gopal Balachandran: Sanketh, we will still continue to maintain what we have been talking about , which is the businesses will always have to be looked at as what Bhargav also just mentioned in response to the earlier one, which is we always look at the businesses from an overall combined perspective, becaus e different businesses will obviously have a mix of a loss experience and the expense ratios as well. Just to look at the overall expense of management, specifically to answer your point, first half of last year, our expense of management was at 27.3 %. Rel ative to that, if you look at our first half of this year, we are at about 26.9 %. Hence, even from an EOM perspective, we have actually seen a marginal improvem

ent in line with what we wanted to drive it towards. And this is despite the fact that we conti nue to make our investments in those areas of building distribution on health agency , technology, some of the core transformation projects that we talked about. Clearly , we would want to continue to make those investments, and hence you may not suddenly se e a big shift happening insofar as specifically in the context of the expense ratio numbers are concerned. We will obviously drive a positive change. But having said that, we will directionally be more guided by the other objectives that we have specifical ly spelt out, which got reiterated as we speak, which is the combined ratio objective of 102% is something that we want to achieve by the end of next year. That's something that we want to clearly drive. And as I said,

purely the breakdown of expenses is a function of loss and expenses.

Sanketh Godha: Just one question which is on data keeping critical loss ratio of retail health and group health that if you can share. And second, I just wanted to understand this IL TakeCare app 6 .0% of GWP is a big achieve ment. How do you see this could be contributing? And if you can give a color how much is the mix driven by Motor and Health in IL TakeCare app.

Gopal Balachandran: The number of 6 .0% is the digital contribution, Sanketh; the second part of your question. Therefore, that also includes the business that we source d through IL TakeCare app. And as we have been talking about consistently whether you look at it on a year-on-year basis, obviously there is a multiplier increase so far as the premium that you are s ourcing through IL TakeCare is concerned. Roughly about 3.7x increase that we have seen. But even when you look at it on a sequential basis, we have been able to grow the contributions coming in from that particular app. We are excited with the way how thi ngs are getting played out, and equally we are getting to see a lot more products per customer so far as the use of the app is concerned. And that will continue to drive both volumes a nd value of the premium insofar as the digital contribution is concerned . To your first point, so far as the breakdown of the loss ratios are concerned, for Q2 FY2024 , the breakdown of the overall health loss ratios into corporate health and retail indemnity, corporate health loss ratios are at 102% and the retail health indem nity loss ratios are 66.6%. This number, when the numbers that we gave out for Q1 last year, corporate health was about 92.6 % and the retail health indemnity numbers were 64.2 %. Obviously, these numbers have to be looked at in the context of how we see som e of the loss incidences play out.

And particularly in Q2 FY2024 , we do get to see a slight increase in loss incidence, primarily because typically it's a monsoon season and we get to see a lot more increase in health -related ailments. And this is not spec ifically only for this particular Q2 FY2024 , even otherwise, when you look at it, even for the last year, for example, clearly, we had seen an increase in the loss ratios playing out between, let's say, a Q2 FY2023 versus a Q1FY2023 . Hence, in that sense, we are pretty much okay with the way how the loss experiences is playing out. And as we had indicated, so far as the portfolio growth is concerned, it is coming at a price at which we are comfortable with, and in the subsequent quarters, we should start seeing some of these loss ratios getting normalized, particularly in the context of lowering down of loss incidences that we see in Q3 and Q4.

Bhargav Dasgupta : Just to supplement what Gopal said and we've talked about this in the pas t, the entire thought process and the approach behind IL TakeCare was consumer

engagement , be it the employer -

employee segment where the individual is a potential retail customer or a retail B2C customer who comes on board. And the approach that we are tak ing is that as we have more engaged customers, they will renew better, you will have cross -sell opportunities, and hopefully the relationship will be stickier . Principally, for us whatever business we get, as long as it's viable, we are not driving Motor numbers or Health numbers there. It is a customer engagement app. And as an organization, we don't want to split that number at this point in time to say, okay, this is my motor number and this is my health number, because it might drive us in a manner whic h is not customer centric. As an organization, we've been giving the numbers in terms of number of app downloads, the total volume of cross -sell and upsell

business that we are doing, which is something that we will continue to do.

Moderator: Our next ques tion is from the line of Swarnabha Mukherjee from B&K Securities. Please go ahead.

Swarnabha Mukherjee: I'll again come back to the Motor loss ratios. I understand that what you have articulated in terms of your experience and maybe some releases that are coming, but just for a view of how the loss ratios are going to pan out, say for in motor activity, your loss ratios have been a little b it fluctuating over the quarters. Right now that there has been a bit of an improvement. Going ahead, if you can give some color for the full year how we should think about this number where it can sustain? Same for OD; given that you are picking up on gro wth on the OD business and particularly private business in the mix, how confident would you be in maintaining this loss ratio? That is the first one. Secondly, in terms of the investment income, I just wanted to understand the yield that you have shown. R ealized return is fairly strong, slightly higher than what we have done in the past. Is there a certain tactical bet that have worked out which might not play out in the coming quarters? And what yield we can think about further going ahead on a normalized basis?

Gopal Balachandran: Swarnabha, on the first one, which is what I responded to the earlier one and when I had talked about the range at which we would be comfortable. One, when we look at Motor as a line of business, we obviously look at it again mo re from a combined perspective which will be a combination of both the loss experience and the expense ratios. And as what we just discussed, it will depend on what proportion of new business that we write, because new typically comes with a relatively bet ter loss experience and correspondingly the expense ratios could slightly stay elevated. And correspondingly the older portfolios, as we just discussed, typically come with a slightly high LR and a relatively lower cost of distribution. So, honestly, that will be an interplay that one would get to see as writing this book is concerned. But the range at which one would be comfortable to operate in the context of Motor OD is what I had responded earlier, which is in the range of between 65% to 70% depending o n what a business mix that we write in respect of proportion of new or the relatively older portfolio. On third party, again, we have talked about; that's what I responded. Obviously, we should again not look at this numbers, particularly for quarters or e ven on a half yearly basis. You have to look at the numbers over a relatively longer period. There again, it will be a function of what loss experiences that one sees. But broadly, I would say that one could see that third party loss ratios again hovering around what you see on a full -year basis. That would be largely representative of the range at whi

ch
we would get to see the loss ratios play out. That's the response to your first one. To your second one on the overall investment book, in fact in the past quarter, people have been asking us why to have we not seen so much of an increase in the overall interest income of the portfolio. If you recollect, what we generally do is depending on the market opportunity that one sees is how we place our overall por tfolio at. For example, in this high interest rate environment, we obviously want to capitalize the opportunity that one sees as accrual to the book is concerned, and which is why our overall duration of the book, stands at about 5.23 years. This number, a t the beginning of the year was at about 4.99 years. So, we have gone a bit long and we are rightly positioned in the portfolio in order to capitalize, as I said the increased interest rate that one sees in the market. Hence, we will obviously get to see

this play out even as we head into the subsequent quarters. What is it that you may not necessarily see playing out over the subsequent periods is purely a function of the extent of capital gains that one sees in the market. That's purely driven by the mark et opportunity that one sees. And even in the past, we have talked about it. Between quarters, you can always see fluctuations in the breakup of the overall investment income. Depending on how market plays out is what you will be able to see some gains playing out. Hence, to answer your point, the way we are positioned in the portfolio is what is helping us in terms of capitalizing the increased interest income.

Bhargav Dasgupta : And just to supplement the point that Gopal made, we have been talking about t his that our carried yield will increase, and Gopal has given the number. If you will also look at the split of the unrealized gain, the unrealized gain in the equity book has increased at the end of this quarter. Obviously, on the debt side, the bond side has come down because interest rates have gone up. But that is not something that we are worried about because these are all calls that we have taken to stay long in the debt market. That's how our yield has increased.

Moderator: Our next question is from the line of Rishi Jhunjhunwala from IIFL Institutional Equities. Please go ahead.

Rishi Jhunjhunwala: Just a couple of questions. Firstly, this September month would have seen the first 5 -year anniversary of the two -wheeler long - term TP. How has the exper ience been in terms of renewal given that 5 years of TP means that the renewals are pretty much down to zero and as a result if you can give some color in terms of what would that amount of premium for September month be as proportion of overall motor TP?

Sanjeev Mantri : Clearly, this was the first month. Overall, at the industry level, there is a good reason why the Supreme Court gives a verdict in terms of having long -term risks. The retention rates continue to be relatively on the lower side. I would not split in terms of the amount but retention levels that we are seeing as a team, right now it is around 15% to 20%. The development of this will happen over summation of probably a quarter in terms of what are in terms of numbers because we will have to pu rsue this with our customers and see where we end up losing it. But it is something as a pool that we are very keen on. So, we are using all possible analytics to see if we can further sharpen our axe and see that we can guide these numbers. Even if it is only TP, we will be more than happy to write this pool.
Rishi Jhunjhunwala: And the second is on the total payouts to the distribution channels. Some of our life insurance peers have talked about industry wide increase in payouts to the distribution channe ls

.
How has it behaved for us in the key ban ca partner channel as well as outside of that in terms of the total payout? I understand there was categorization or reclassification. But just in terms of payout, has there been a demand for increase in payouts for us? And have you seen any anomalies in the industry otherwise?
Bhargav Dasgupta : Overall if you see, for us as a company, Expense of management have stayed within the range and in fact it has come down from 27.3% to 26.9 %. So, frankly speaking, there is no accelerated increase, but in certain pockets where we have seen a bit of an acceleration, you would see that dynamically we will go again to what our basic decisions have been. We will chase where we can get viable busin ess in terms of acquiring it. In a way, to some extent, you can see our motor market share also is reflecting that we had a calibrated growth to maintain profitability over market

share growth. So, you can read in terms of what's happening over archingly , but overall, we seem to be in control at this point of time.
Moderator: Our next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.
Prayesh Jain: Firstly, I missed the agency count number. Can you repeat that Gopal?
Gopal Balach andran: It's about 1 ,22,000 . This includes the agency that includes the point -of-sale distribution as well. This number at the end of earlier period was about 1 ,13,000 .
Moderator: Our next question is from the line of Madhukar Ladha from Nuvama Wealth Mana gement. Please go ahead.
Madhukar Ladha: A couple of questions. One, we are seeing a good increase in the crop business, better doing this year. What is the philosophy behind that? I remember in the past you wanted to avoid that business and I also know that you got this business again from Bharti Axa. Is that only those states or are you also growing in some of the other states? Second, I am just going back to the guidance of 102%. Given that your performance is strong – in the first half itself, you are at 102.7 % – are you being a little conservative over here? And finally, most of the industry is not meeting the EOM norms right now. What regulatory action can we expect and what would you say by when will the regulators start looking at this and implemen ting this?
Bhargav Dasgupta : Let me answer it in the same sequence. One, on crop, there is no change in philosophy. As Sanjeev had explained that there are

certain months where you book a premium, it just shows up in that

quarter. In aggregate, our share o f crop business which we had guided the market would be around 5% of total business for the annual business, not on a quarterly basis. We will be at that range. We are not significantly growing our crop book in spite of the fact that we believe some player s in the market are trying to do that because of the advantage that they get on EOM. But philosophically, we don't believe that's the right strategy. So, we are not doing that. There was some amount of booking in the kharif season because most of the busin ess for us is in the kharif period. So, it's a bit higher in this quarter. Secondly, most of the crop that we got is in the 80 -110 model. So, it's a reasonably well - contained business. And our experience in the last couple of years has been reasonably posi tive on the approach that we have had.

In terms of your question on the combined ratio , whether we are being conservative, that's your call. You take your own views about whether we have been conservative. As I said, the guidance should remain the same. If we can outperform, all of you should be happy. Third, in terms of the regulatory action, it's not for us to talk about what the regulator will do, but a

t least we hope
and we think that this time the regulator is very seri ous about this. At the same time, this is not about a quarterly number that they are monitoring. They have given a leeway for a company on an annual basis. And my sense is that at the end of the year, they will look at who has improved and who has not impr oved and who is the one beyond the 30%. For most companies which are already running at higher than that number, it would be wise for them to bring it under control. But as I said, it's not for us to talk about what the regulator will do. That's a question that time will give us the answer and you will see what the regulator does.

Madhukar Ladha: Just a follow up on this, sir. Are we seeing a heightened competitive intensity in the group health segment also to meet the EoM norms?

Bhargav Dasgupta : Gopal answered that. In the first quarter, we saw the market to be better and we had a much higher share. This quarter, we have seen some amount of aggression, and in fact, we have seen some otherwise sensible companies buy very large chunky group health businesses. Our sense is it's probably to manage the expense of management. But at the end of the day, business is not just about Expense of Management; business is about combined. So, you need to do it in a manner which is sensible. We will be watchful and we will see what happens. But overall, at this point in time, we are quite comfortable with the group health business that we are writing.

Moderator: Our next question is from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahea d.

Nischint Chawathe: Just a small one. When I look at the monthly figures for Motor TP business, did you do any transaction in the last month just as something that you had done probably in Feb or March last year ?

Sanjeev Mantri : No Nischint, we have not done any transaction.

Moderator: Our next question is from the line of Supratim Dutta from Ambit Capital. Please go ahead.

Supratim Dutta: I just wanted to understand a few things. One, the ■ 0.48 billion of net CAT losses, which lines of business are those attributable to?

Gopal Balachandran : For this quarter, it has been largely retail. We have had a higher proportion of losses coming in from the motor line of business but equally we have also ha d some amount of claims coming in here on the Property side. Unlike Q1 where relatively the losses of roughly about ■ 35 crores which was the CAT losses in Q1, that was largely Property heavy as compared to Motor .

Supratim Dutta: So, if I adjust for that n et CAT losses there in the motor OD line, then that would result in the loss ratio being lower than 60%. Is that a correct assumption? And then my follow up question to that is, how sustainable is this loss ratio going forward?

Gopal Balachandran : Supratim , I had already responded to that. But just to reiterate , we will keep saying this and you will get to hear us from time and again, you should never look at quarterly numbers. And it is better to look at the numbers more on a yearly basis. Just to reiterat e, on Motor OD, the loss ratio depending on the mix of business that we write in motor, we are comfortable at a loss ratio range between 65% to 70%. That's the range depending on what mix of business we write. And on TP, again, it's better to look at more annual numbers, which is largely reflective of the loss ratio range that one would be comfortable writing. Hence, whether you adjust it for the Q2 losses from CAT in the loss ratios, but if you do that on a simple basis, then yes, the loss ratio will defin itely look better than what the reported numbers are. But having said that, the range at which we are comfortable at is between 65% to 70%. And wha

t equally we need to remember is that whatever be the amount of losses, we do have appropriate reinsurance su pport such that if there is a very large CAT -led event having an impact on the net, that gets appropriately protected through necessary reinsurance arrangement.

Supratim Dutta: And just one last question. On the Fire side, there has been a slowdown in the second quarter. So, just wanted to understand how much of this is due to the IIB burn rate being removed versus overall competition or you wanting to normalise some business.

Bhargav Dasgupta : On that, the experience what we discussed in the first quarter is the same, which is that roughly about 5% to 6% reduction from the earlier rates, which is better than what actually we had anticipated at the beginning of the year. We will have to see if th is holds. In terms of Fire, there are maybe one or two large policies that have got moved from peer to peer, and there are some policies we had earlier booked in this period, which may have got moved somewhere else. So, you should look at the numbers with a longer periodicity rather than just a quarter.

Gopal Balachandran : The only thing just to add to that, having said that, if you look at across segments on the commercial lines, we still continue to outperform the market. We will continue to accrete marke t share in Fire as a line of business. Or whether you take any of the other commercial lines, we continue to outgrow the market.

Moderator: Ladies and gentlemen, due to time constraints, that was the last question of our question & answer session. I would now like to hand the conference over to Mr. Bhargav Dasgupta for closing comments.

Bhargav Dasgupta: Thank you everyone , all of you have been a great support to the company and me personally, and I really want to take this opportunity to thank all of you f or being great Analysts and Investors in our company. As I said earlier, I am hoping that you will continue to engage with us as you have been in the past. And Sanjeev wants to have the last word.

Sanjeev Mantri: Absolute pleasure and really keen to intera ct with each one of you personally as and when your schedule permits. Nothing much to add, but absolutely in agreement with Bhargav that we have had great inputs and discussions with all of you and that continues. Thank you so much and let's meet up soon. Thank You.
Moderator: On behalf of ICICI Lombard General Insurance Company Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.
Safe Harbor: Except for the historical information contained herein, state ments in this release which contain words or phrases such as 'will' , 'would' , ‘indicating’ , ‘expected to’ etc., and similar expressions or variations of such expressions may constitute 'forward -looking statements'. These forward -looking statements invol ve a number of risks, uncertainties and other factors that could cause actual results to differ materially from those suggested by the forward -looking statements. These risks and uncertainties include, but are not limited to our ability to successfully imp lement our strategy, our growth and expansion in business, the impact of any acquisitions, technological implementation and changes, the actual growth in demand for insurance products and services, investment income, cash flow projections, our exposure to market risks, policies and actions of regulatory authorities; impact of competition; the impact of changes in capital, solvency or accounting standards, tax and other legislations and regulations in the jurisdictions as well as other risks detailed in the reports filed by ICICI Bank Limited, our Promoter company with the United States Securities and Exchange C

ommission. ICICI Bank
and we undertake no obligation to update forward -looking statements to reflect events or circumstances after the date there.

Call: Jan 2024

ICICI Lombard General Insurance Company Limited

IRDA Reg. No. 115 CIN: L67200MH2000PLC129408 You can contact us at:
Mailing Address: Registered Office: Toll free No. : 1800 2666
401 & 402, 4th Floor, Interface 11, ICICI Lombard House, 414, Veer Savarkar Marg, Email :
customersupport@icicilombard.com
New Linking Road, Malad (West), Near Siddhi Vinayak Temple, Prabhadevi, Website : www.icicilombard.com
Mumbai - 400 064 Mumbai - 400 025

Ref. No.: MUM/SEC/479 -1/2024

January 22 , 2024

To,
The Manager
Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001 The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot C/1
G Block, Bandra Kurla Complex,
Mumbai – 400 051

Scrip code: Equity (BSE: 540716/ NSE: ICICIGI); Debt (NSE: ILGI29)

Dear Sir/Madam,

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure R equirements) Regulations, 2015 - Transcript of earnings conference call for the quarter and nine-months ended December 31, 2023

This is further to our letter dated January 9, 2024 and January 16, 2024 , please note that the Company had hosted an earnings conference call wit h investor(s) and analyst(s) on Tuesday, January 16, 2024 to discuss the financial per formance of the Company for the quarter and nine-months ended December 31, 2023 .

In this regard, please find attached the transcript of the ‘ea rnings conference call’ for the quarter and nine-months ended December 31, 2023 .

The above information will also be made available on the Company's website at www.icicilombard.com .

You are requested to kindly take the same on your records.

Thanking you.

Yours Sincerely,

For ICICI Lombard General Insurance Company Limited

Vikas Mehra
Company Secretary

Encl. As above

ICICI Lombard General Insurance Company Limited
Q3 & 9M FY2024 Earnings Conference Call
January 16, 202 4

Management :

MR. SANJEEV MANTRI – MD & CEO
MR. GOPAL BALACHANDRAN – CFO & CRO
MR. ALOK AGARWAL – EXECUTIVE DIRECTOR
MR. GIRISH NAYAK – CHIEF TECHNOLOGY & HEALTH UNDERWRITING & CLAIMS
MR. SANDEEP GORADIA – CHIEF - CORPORATE SOLUTION GROUP

Sanjeev Mantri: Thank you. Good evening to each one of you. Thank you for joining the Earnings Conference Call of ICICI Lombard f or Q3 and 9M FY2024 .
I would like to wish you and your family a great 2024 ahead. While we had a brief interaction in the last quarter, I'm happy and excited to engage with you all in my new role.
I would like to take the first few minutes to share my vision on the journey ahead for our Company .
I firmly believe we are in the midst of exciting times, both as a country and as an industry. India is expected to be the fastest growing economy globally. The i nsurance sector in our country continues to provide a multi decadal growth opportunity supported by the regulatory commitment to enable “Insurance for all by 2047 ”. In my view, this will unleash tremendous positives for the industry in time s to come.
As a Company , we will continue to create newer value pools in the industry and maximize our participation in the existing ones and I believe we can achieve this through our vision of ‘One IL One Team’.

Now let me give you a brief perspective on our vision of “One IL One

Team”:
Over the years, the Company has created multiple function s/ teams to access various business opportunities available. This was an approach which work ed well for us in th at phase of our journey. However, the present scenario is fast evolving and dynamic due to which the existing way of functioning inhibits us from leveraging the combined strength of the organization.
Keeping this in mind, we have decided to bring a consciou s shift in our core philosophical approach . We aim to transcend functional silos and convert the entire organization into a u nited team working towards a single organizational purpose. Simply put , it implies ‘When I CICI Lombard wins, Everyone wins ’.
This will be our core cultural anchor and every decision that we take, whether strategic or tactical, will be guided by this. I am excited to share that we have already taken early steps to align our organization to this in letter and spirit .
However, as we embark on this journey, we will continue to focus on market opportunities and leverage our existing distribution channel s. We have over the years followed a customer centric approach and will continue

with our overarching philosophy of bala ncing growth with profitability.
Let me now give you a brief overview of the industry trends and developments that we have witnessed in the past few months. Post this, our CFO , Mr. Gopal Balachandran will share the ‘Financial Performance ’ of the Company for the Quarter and 9 Months ended December 31 , 2023.
Domestic GDP grew by 7.6% during quarter ended September 30 2023, indicating strong growth, primarily driven by the government infrastructure push . Healthy balance sheets of banks and corporates, improving business sentiments and rise in public and private capex should boost capex activity going forward. Broader economic activity indicators like GST collection s, e-way bills generation, manufacturing PMIs, non -food credit growth indicate global demand in the economy. However, the headwinds for domestic growth can emerge from weak external demand, tight financial conditions and geopolitical tension s.
As we speak , India is globally the faste st growing auto market and is the 3rd largest in terms of sales volume . As per S IAM, in 9M FY2024 , new private car sales continue d to have robust growth despite the

higher base with over 3.1 million vehicles being sold mainly driven by festive demand .
For 9M FY2024 , 13.5 million Two-Wheelers were sold, also hel ped by an uptick in rural demand. For the full year, the sales are expected to cross pre covid levels.
For 9M FY2024 , 1.2 million Commercial vehicles were sold. This was driven by growth in infra and o ther core sectors.
Health insurance continued to deliver robust growth, remaining the largest contributor to overall industry premium.
The commercial lines of business witnessed growth in line with current market environment . Further private and public capex investment s have led to robust growth in the engineering line of business. We expect the commercial line s segment to do well in the future on back of overall economi c growth and capacity creation.
Now, s peaking of the Performance , the General Insuran ce industry delivered a YoY Gross Direct Premium Income (GDPI) growth of 14 .0% for 9M FY2024 . Excluding Crop and Mass health, the growth is at 15.2% for the same period.
Overall, the combined ratio of the industry was at 111.9% for H 1 FY2024 as against 112.2% for H 1 FY2023 excluding the impact of wage arrears for the PSU insurers. Within the industry, the industry Combined Ratio for Motor business was 119.4 % for H1 FY2024 as against 123.5 % for H1 FY2023. While the improvement in combined ratio is directionally

positive, it continues to remain at elevated level.
Further, for 9M FY2024 , the industry has witnessed 3 catastroph ic events, which is expected to have an impact on FY2024 industry Combined ratio.
Moving to business impact for us in Q3 & 9M FY2024 :
The Company grew at 13.4% during Q3 FY2024 , which was higher than the industry growth of 12.3% . For 9M FY2024 , our growth was 16.5% against the industry growth of 14% .
I will now speak about the performance in key business segments during the quarter and 9M FY2024 :

■ In the Commercial line of business, we have developed strong capabilities on the back of a unique distribution franchise , duly complemented by our value -added services, risk based underwriting , and large and highly rated reinsurance capacities. As a result, we have consolidated our market position in this business over the last decade. During Q3 FY2024 , we grew at 12.5% a gainst an industry growth of 13.3% . For 9M FY2024 , we have grown by 15.7% which was higher tha n the industry growth of 9.7%.

■ Motor as a category has always been a focus area for us . As we speak for the first 9 months, we are the 2nd largest Motor insurer and for Q3, we achieved an industry leading position in this segment.
We have a robust reserving philosophy which is demonstrated by our reserving triangle s and granular data for our portfolio decisions.
We will continue to leverage our strong multi distribution structure, which en ables us to access the market , along with the best -in-class claim servicing teams focusing on superlative customer experience .
For the motor segment in Q3, we have registered a growth of 5.6% as against industry growth of 10 .0%. For 9M FY2024 , we grew at 7.1% as against the industry growth of 14.3%.
The growth in Motor segment was aided by strong growth in the new private car segment, which grew at ~30% for 9 months. Our Two-wheeler growth for 9M FY2024 was ~14%, which was higher than the SIAM volume growth of 9.9% . As the rural demand picks up, we hope to see th e trend continue .
The CV segment as we had mentioned in our earlier call s, had no TP price hike for FY2024 and consequently , we focused on targeted portfolio sourcing among the avail able value pools.
For 9M FY2024 , our mix of Private car, Two-wheeler and CV stands at 51.4%, 27 .8% and 20.8% respectively.
We also continue to build efficiency in Motor claims . In Q3 FY2024 , through our Preferred Partner Network (PPN) , we have been able to service 67% of our Agency and Direct claims, up from 51% in Q3 FY202 3.
We are excited about the opportunity in the Motor segment and will leverage all our existing capabilities as One team to carry the momentum in the coming quarters.

■ The Health segment continued to be the fastest growing segment for the industry. We grew faster than the industry both in Q3 and 9M, registering a growth of 24.7% and 29.1% respectively.
Our Retail Health business grew in line with the industry at 19.2% for 9M FY2024 . To create a sustainable portfolio, we are focusing on preferred geograph ies and higher sum insured. Our new business grew at 24.5% during this period. While we would have liked to grow faster , we will continue to invest by focusing on preferred segment s and new product l aunches in the coming quarters.

On Bancassurance , we have developed an industry leading
practice, which continues to be a strong pillar for our Company . Our
Bancassurance and Key Relationship Groups grew at 13.6% for the
quarter and 21.5% for 9M FY2024 . We will continue to deep -mine
our existing relationships by creating new value streams , which at
the same time , focusing on acquiring new relationships . Within this,
ICICI group distribution grew at 19 .9% for Q3 and 16.9% for 9M.
Our one stop solution for all insurance and w ellness needs , the ”IL
Take Care ” app has surpassed ~8.5 million user downloads till date.
We continue d our growth momentum with ~1.6 million user
downloads for the quarter and during the quarter, source d premium
was over ■ 1.00 billion through this app , register ing a 3.2x increase
YoY. Our digital business grew at 39.1% in Q3 and 43 .0% in 9M
and constitute s 6.6% and 5.8% respectively of overall business
numbers. It would continue to be the k ey growth driver for us.
As I look ahead, I'm personally very excited with this opportunity
and committed to creating long term sustainable value for all our
stakeholder s.
Now I would request Gopal to take you through the financial
numbers for the recently concluded quarter and nine months .
Gopal Balachandran: Thanks, Sanjeev, and good evening to all. I will now give you a brief
overview of the financial performance of the recently concluded
quarter and nine months. We have uploaded the ‘Results
Presentation ’ on our website. You can access it as we walk you
through the performance numbers.
Gross direct premium income (GDPI) of the Company was at
■ 187.03 billion in 9M FY2024 as against ■ 160.48 billion

in 9M
FY2023 . This was the growth of 16.5%, which was higher than the
industry growth of 14 .0%. Excluding Crop and Mass health, GDP I
growth of the Company was at 15.6%. It was higher than the industry

growth of 15.2% in 9M FY2024 . GDPI was at ■ 62.30 billion in Q3
FY2024 as against ■ 54.93 Bn in Q3 FY2023 , a growth of 13.4%.
This growth was higher than the industry growth of 12.3 %. Excluding
Crop and Mass health , GDP I growth was at 12 .0%, which was again
higher than the industry growth of 11.3% in Q3 FY2024 .

■ Our GDP I growth during the quarter was primarily driven by growth
in the preferred segments. The overall GDP I of our property and
casualty segment grew by 12.5% at ■ 16.00 billion in Q3 FY2024 as
against ■ 14.22 billion in Q3 FY2023 .

■ On the retail side of the business, GDP I of the Motor segment was
at ■ 28.42 billion in Q3 FY2024 as against ■ 26.91 billion in Q3
FY2023 registering a growth of 5.6%.
o The advanced premium numbers was at ■ 33.04 Bn at
December 31, 2023 as against ■ 32.89 billion at September 30,
2023 .

■ GDP I of the health segment was at ■ 13.79 billion in Q3 FY2024 as
against ■ 11.05 billion in Q3 FY2023 , registering a growth of 24.7%.
o Our agents, which includes the Point-of-Sale (POS) distribution
count was 125,088 as on December 31, 2023 , up from 122,461
as on September 30, 2023.
o GDP I of the Retail Health segment grew by 16.2% during the
quarter three.
o Group Health segment grew by 27.2% during Q3 FY2024
As against last year where we saw no major catastrophic events ,
during this year we witnessed 3 major catastrophes - cyclone
Biparjoy, North India floods and cyclone Michaung . Our share of
insured losses in these CAT events have been lower than our natural
market share. Resultantly , Combined ratio was 103.7% for 9M
FY2024 as against 104.6% for 9M FY2023 . Excluding the impact of

CAT losses of ■ 1.37 billion in 9M FY2024 , the combined ratio was 102.6%. Combined ratio was 103.6% in Q3 FY2024 as against 104.4% in Q3 FY2023 . Again, excluding the impact of CAT losses of ■ 0.54 billion in Q3 FY2024 , the Combined ratio was 102.3%.
Our investment assets rose to ■ 468.67 billion as at December 31, 2023 from ■ 453.12 billion as at September 30, 2023 . Our investment leverage (net of borrowings) was 4.11 x as at December 31, 2023 , as against 4.07 x as at September 30, 2023. Investment income was at ■ 25.96 billion in 9M FY2024 as against ■ 21.60 billion in 9M FY2023 . On a quarterly basis , investment income was at ■ 8.38 billion in Q3 FY2024 as against ■ 7.66 billion in Q3 FY2023 . Our capital gain s (net of impairment of investment assets) stood at ■ 3.95 billion in 9M

FY2024 as compared to ■ 2.94 billion in 9M FY2023 . Capital gains (net of impairment of investment assets) stood at ■ 1.08 billion in Q3 FY2024 as against ■ 1.52 billion in Q3 FY2023 .
Our Profit before tax (PBT), grew by 20.6% at ■ 18.57 billion in 9M FY2024 as against ■ 15.40 billion in 9M FY2023 , whereas PBT grew by 23.3% at ■ 5.74 billion in Q3 FY2024 as against ■ 4.65 billion in Q3 FY2023 .
Consequently, Profit after tax (PAT), grew by 8.3% at ■ 13.99 billion in 9M FY2024 as against ■ 12.92 billion in 9M FY2023 . Excluding the impact of reversal of tax provision in Q2 FY2023 , PAT grew by 20.2% in 9M FY2024 . PAT grew by 22.4% at ■ 4.31 billion in Q3 FY2024 , up from ■ 3.53 billion in Q3 FY2023 .
Return on average equity (ROAE) was 17.1% in 9M FY2024 as against 18.1% in 9M FY2023 . The return on average equity for Q3 FY2024 was 15.3% as against 14.3% in Q3 FY2023 .
The Solvency ratio was at 2.57x at December 31, 2023, as against 2.59x at September 30, 2023. This continued to be higher than t

he
regulatory minimum of 1.5 0x.
As I conclude, I would like to reiterate, we continue to stay focused on driving profitable growth, sustainable value creation and safeguarding the interest of policyholders at all times.
I would like to thank you all for attending this earnings call and w e will now be happy to take any questions that you may have.
Moderator: Thank you. We will now begin the question and answer session. The first question is from the line of Shreya Shivani from CLSA, please go ahead.
Shreya Shivani: Thank you for the opportunity. Congratulations on a good set of numbers. I have two questions. Sir, f irstly, excluding all the calamities that we have seen in 9 months, your Combined ratio has come at 102.3%, right? And we had earlier given a guidance to r each 102% by FY 2025 end. So, clearly a much better growth in new vehicle sales has supported lower loss ratios this year. So, can you help us understand what is your revised guidance for the next year or next 2 years is on the combined ratio side given that we know that you are currently investing in the health portfolio and on the technology front etc. So, that will be the first question. And the second question, s ir, can you quantify the loss ratio trend for Retail health and Group health? And there have been some covid cases in the Southern part of the country. How many cases do you have? Is

it something that we should be concerned about for the fourth quarter? Just trying to understand if there's yet another thing tha t hits us in the next quarter?
Sanjeev Mantri: As far as the combined ratio guidance is concerned, Gopal will share with you in detail the loss ratios that you're seeking on the retail as well as the group health side . Clearly , we stick to the guideline of

what we had mentioned that we will go to 102 over a period of time.
In terms of revision, clearly from an industry standpoint, again we are seeing ourselves doing reasonably well, but does this lead to make us believe that the guidance can go through a change at this point , we would say we hold to this. We want to see this trend holding up over next maybe a quarter or two. And then we'll come back to the market if we believe the re is a revision to be done on that. In terms of r etail and GHI trending by, we have seen improvement over what we have achieved over the last quarter. Gopal will share the numbers and details .
Gopal Balachandran: Shreya, this is the employer employee or let's say the group health loss ratios , for Q3FY2023 , that number was 98.9%. This year Q3, the number stands at about 93.1 %. On a 9 month basis, the G HI loss ratios for 9M FY2023 was 95.9% and for 9M FY2024 , that number is 95.8 %. On retail indemnity, in the same order, Q3 FY2023 was 68% , Q3 FY2024 is at 66%. This is pretty much in line with the range that we have been talking about, which is in the range of between 65 % to 70% is the threshold that we are comfortable with on the retail indemnity side. And on the 9 month basis , again retail indemnity loss ratio for 9M FY2023 was at 65.2 %, this year in 9M FY2024 we are at about 65.6%. So, that is the breakdown in terms of the loss ratio across different segments .
To your last point on covid claims intimations, too early , at this point of time, we don't see any specific instances or any spikes that we get to see. Obviously , we will watch for the development, but nothing at this point of time for us to call out .
Sanjeev Mantri: As of now, no cause of concern .
Shreya Shivani: And the overall combined ratio guidance, I get it right that you may come back to us after maybe a quarter or two if there is any change in the guidance , for now it's 102% for FY25?
Sanjeev Mantri: Right now , it's 102 %. We're not changing it, but as I said, seeing how the Quarter 4 g

oes, we will com e back probably by the year end.
Moderator: Thank you. The next question is from the line of Sanket h Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Sanjeev, we are seeing a little better trend in motor especially in the month of November and December compared to the industry. So, just wanted to understand that our strategy with respect to motor has changed , probably we are seeing little growth coming back. Is it because of the pricing environment changing or we believe we will be little more aggressive or more confident to do motor than what we were doing in the past , that's my first question . And on similar lines again in the third quarter if I see , you seem to have grown retail health especially at a lower rate compared to the industry. I mean, despite doing investments, we thought that you will grow at least 1.2 x to 1.3x of the industry, your growth seems to be broadly lower than the industry, marginally lowe r than industry. So, I just wanted to understand why the cautious stance being taken with respect to health or is it because of the competition on retail health. That's on growth. And just for Gopal, the question is motor TP loss ratio , see the number seems to be again very good at around 62 % in Q3 or 65% in 9 months. So, typically we tend to boost up the reserves in fourth quarter, th e historical trends suggest so . So, is it a case that we will see a similar trend or you believe that 65 % motor TP loss ratio reported for 9 months will sustain for the entire year and similarly, if you can comment on the motor OD too, whether this is the number what we are looking at 65 %?
Sanjeev Mantri: Gopal will cover the T P part. I will cover the motor , what is the trend that we are seeing and the strategy going forward , also on the retail health in terms of the numbers which are relatively subdued which I also said in my initial comment that definitely where we wanted to grow faster than that . First thi ng on the motor , we continue to be a

very competent and relevant player , we saw in the past also and we have given that guidance that whenever we see that kind of market share we shaved off , it was more cautious because the intensity what we thought would get stabilized did not happen, so we had taken a step back and let it flow the way it is . Now, we have seen some of our key competitors who are re-looking at the app roach reeling , have started putting lot more method in that madness and that has given us an opportunity. That being said, Q3 typically has a tendency to have lot more new sales in the season and there we do end up with the structure that we have . Having a lot more to achieve as a team on motor , overall on market share, but more importantly the very critical trend which can highlight to all of you is that YoY we have been losing a bit of a market share but for the month of December , we have gained a market share , we are at 10.7% against 10.5% last year December . So that trend is a critical one and we are well placed in terms of what we believe if we see this environment operating on semblance , we will not participate in any crazy hunt if that's what the market leads to. Every reason to believe there will be a bit more of semblance and in that scenario we will see ourselves exerting a lot

more in quarter 4 for in time to come. So, that's what we have on motor t rend broadly .

On the retail health, subdued number. It's not something which we are very worried, but yes, we would have loved to g row faster. We have taken certain calls in terms of s um insured which category of portfolio to write , because again if you know whatever health book that we write, it is for a lifetime renewability technically and we need to ho

ld on to that customer. We had certain early trends which got us concern ed. That being said, our new book has still grown at almost 25% and we do believe that in time to come with the sort of investment that we hav e done with our human capital as well as the product profile, which will also happen over next couple of quarters from our side, we would be a potent force and the mission that we have shared is formally on track. These are all conscious calls which do not deter us in terms of where we stand. Motor TP, I will ask Gopal to answer in terms of the details that you had sought .

Gopal Balachandran: So, Sanketh, our response will pretty much be on the lines as what I have been talking even in the past few earnings call. So, the range within which motor OD loss ratios will operate, even last quarters we have been talking about in the range of 60 % to 65%. we pretty much stay on course in terms of that part of the range on the motor OD side. That's largely because as an organization we are kind of focusing a lot more in so far as the claims initiatives are concerned whether it is in the context of the average claim size etc. And therefore , the range that we are comfortable with on motor OD is in the range of 60 to 6 5.

On m otor TP, as we keep saying again, quarterly numbers may not be the right way to look at. But even on a 9 month basis, the numbers for us stand closer to about 65%. If I recollect, the range that we have talked about has been in the range of 65 % to 70%, but that again would be a function of what kind of a risk selection that we do and the point that Sanjeev made, clearly as an organization we are significantly focusing on much more granularization of data , risk selection and so on and so forth. A nd therefore the range that we would be looking at operating on third party side would be between 65% to 70%, which is why on balance when you look at motor in the aggregate , that number should be in the range of between 65 % to 67%, which if you look at t he 9-month numbers, the motor at an aggregate basis, the loss ratio stands at about 65% for this year. So, the range that we would be comfortable will be between 65% and 67% on an aggregate basis.

The only point I would say Sanketh is there is no specific trend line for us in Q4 seeing any form of aberration. Possibly what you are

referring to is maybe couple of years back this is financial year 2021 if I recollect it correct, I think there was certain Supreme Court judgments that h ad come through in that particular year and that is the reason why not just for ICICI Lombard, even at an industry level, the companies had to recalibrate their ultimate loss experiences and therefore one had to take some impact of strengthening of losses, but otherwise it is not necessary that we do see any kind of an inch up in third party loss experiences are concerned for Q4 which you are referring to.

Sanketh Godha: No, because I saw a similar trend in Q4 FY2023 too, so that is the reason I was asking the question that 65 number is sustainable, but you answered that you are looking at the broad number of 65 to 70 to play out for the motor TP loss ratio? Sanjeev, just to your comment on motor, just wanted to understand you are saying that in overall mark et competitive environment in motor OD, the relative madness has come up and therefore market is more conducive than it was in the past that is the conclusion I should make?

Sanjeev Mantri: So, I will tell you, that will be a relatively sharper conclusion, but yes, we do see some bit of semblance overall and the LR of the industry has gone down from 93 % to 87 % and so if that is the indication, yes, there is an improvement, but still if you are asking from an overall standpoint, the industry is writing the motor portfolio at a reasonable triple digit of

combined ratio of 118-119%. So, there is a lot more that has to come and even the private sector is writing at 114-115%. It is a long journey, but what I can tell you Sanketh is that where we stand, the lens through which we are looking at the market we are reasonably confident of our practice and we will be able to drive value for the organization in the current environment that is prevailing , but long-term trends have to manifest. You know that the industry numbers come with a lag. We are awaiting the 9 -month numbers for the industry to get a sense post which we will be able to give you closer to when the financial year gets close r for us. At that point of time, we can have a much more evolved discussion on this Sanketh.

Moderator: Thank you. The next question is from the line of Madhukar Ladha from Nuvama Wealth. Please go ahead.

Madhukar Ladha: Congratulations on a good underwriting performance. Clearly, you seem to be achieving your guidance sooner than expected. So, just a couple of questions on the motor side, so I wanted to understand how is the implementation of the entire loss reporting within 6 months ' time period, how is that progressing and what is our sort of expectation on that? And related question on this , is the industry believing that this will get implemented and as a result of that t he competitive intensity had been high or are they looking because they

believe that the ultimate loss ratios will be lower, is that the correct way to think about it or is that the way some industry participants are thinking about it and acting in that wa y? And second question, on your investment yield that seems to have dropped this quarter, so some understanding of what has actually played out over there, so those two would be my questions?

Gopal Balachandran: So, Madhukar, on the 6 -months law of limita tion, as we have been indicating that matter still is before the Supreme Court and obviously we will wait for the verdict to come out. What we understand is most of the state seems to be in favor of getting the law of 6 months implemented and therefore, on e would obviously wait and see how the final verdict play s through, but the direction that states want to take is clearly to get a law of limitation in place. Having said that, what could happen let us assume for a moment that if it goes in favor of, let us say, in line with the 6 -months law of limitation. Again, the impact could vary between players in the market because at an aggregate level for the market, obviously there will be some reduction in frequency as we have been explaining consequent to reduct ion in possible frauds. So, that is a positive so far as the overall market is concerned. Second, in the context of ICICI Lombard, obviously we have been inflating reserves with an inflation assumption between 12% and 13%. This inflation assumption for the market may not be the same and therefore whenever this will play out, the impact could be slightly more beneficial for companies which have been reasonable in their inflation estimation and for us, as I said, ICICI Lombard has been inflating at 12% -13%. M arkets if they have been inflating at a slightly lower number, therefore, the impact could be relatively moderate for those set of players, so hence in that sense, it would obviously translate into an incremental business opportunity for us. Having said th at, this law of 6 -months limitation will be applicable only on a prospective basis, which is effective from April 1, 2022, so hence it is where we would be able to see as I said, a relative benefit play out for us in the context of the market.

The other thing what could also happen, as the flip side to this is, in case, if finally , this law gets implemented, there is a possibility that next year or maybe in future the regulator and the government will

very closely watch for the need for a TP price increas e. While last 3 - 4 years again , we have not necessarily seen any meaningful price change on the third party side, but given the fact that this six month law could lead to a positive development from an overall industry standpoint , we may see periods where w e may not able to see further increases on the third party pricing . But obviously that is the development that we will again closely watch for in the third party six months law of limitation dynamics is concerned.

So, on the investment yield again, Madhuk ar as we have always said our realised return is a function of what do we see as interest accruals and what is it that we see as capital gains. For us given the fact that we have been explaining even in the earlier earnings calls, the high interest rate re gime is something that we have obviously taken advantage of and hence, if you would have seen our yield to maturity on the overall book, that currently in fact at December 31 stands at 7.31%. This number, if you recollect, maybe couple of few quarters back this number was less than 7% at about 6.92%. So, hence, we have actually been taking advantage of the higher interest rate regime and that is kind of auguring well so far as interest accruals are concerned , where you may possibly see in some quarters poss ibly a decline in yield is consequent to let us say maybe relatively lower levels of capital gains. That is purely a function of what we believe our market opportunities for any gains to be realized. We have generally not seen any instance where we have se en uniform levels of capital gains across quarters. So, in fact there again, I would urge similar to the discussions that we have been having on the loss ratio side, the yield on the overall portfolio should be looked at again, ideally over on a financial year basis, ideally over longer years, but definitely not on a quarter -on-quarter basis.

Sanjeev Mantri: So, just to add Madhukar, in terms of the point that you had mentioned on TP, directionally and we all will agree that even on the part of Motor Vehicle Act, the adoption at the state level would have always gone through its course , but if the inten t is to make the overall consumer benefit, these things , in spite of the hiccups, I believe over a period of time will get implemented. In a country like ours, it will always be a little more complex, but multiple decisions which have been taken by the body, we remain positively cautious and see that this will flow in that direction over a period of time, but one bigger thing which I want to add Madhukar is , the way IIB has come up the stream and improve d the quality of data sharing that can happen at the industry level , that has been transformative and the level of accuracy and the real time manner in which we can think all of the industry will benefit and we with the level of business that we do and that kind of an accuracy, I mean banking got transformed and Bureau came into place and you could really figure out where what stands and this data once it gets created in th at form will also en d up helping us figuring out fraud and so on and so forth, so the base work has got done. To me, that is also a big positive which can benefit companies like us substantially to drive efficient equation in the market.

Madhukar Ladha: Just one question on t he investment book, what is the amount of capital gains this time around, if you could give that versus the last quarter?

Gopal Balachandran: The number of capital gains for the Q3 FY2024 was about ■ 108 Cr as against ■ 152 Cr, which was the capital gains that we had Q3 FY2023 .

Madhukar Ladha: And last quarter, what was the number?

Gopal Balachandran: Q2 FY2024 number o

f capital gain , that number was about ■ 164 Cr.

Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Just a few questions, firstly, Sanjeev sir, could you elaborate on your strategy that you were talking about in your initial opening remarks? Could you just elaborate on that new philosophy th at you are talking about? The second question was more on motor business granularity as to we have seen faster premium growth as compared to the vehicle growth and that is possibly because of certain factors like premiumization, share of EV's going higher, CNG share going higher, top models going higher or automated vehicles going higher, any of these cohorts where you think , particularly EVs , where your experience would have been kind of much better than what you have expected earlier and you see some pric e corrections out there or in with respect to drive as you use or the pilot project that we were working on earlier, how is that mix evolving? Some granularity on the motor business will help us kind of look forward into the future on this business? And la st question was on commission ratio , where how do you see the commission ratio kind of panning out this quarter, it was at 17% there about s and so how do you look at this ratio from a full year perspective in this year as well as years going ahead?

Sanjeev Mantri: Let me give you a quick perspective on ‘One IL One Team ’, as I also mentioned when I spoke earlier in my script the fact that it is core philosophy change, we have been in the business for the last 22 years and obviously as an organization, we had created multiple center of excellences and these departments hav e gone on to deliver a lot more for the organization than one could have thought at the inception level, but the time has come where we need to add an overarching level, see that we are able to derive value at a multiplier level for the organization. To gi ve you an example, we had value - added services which were being driven by us as a Company , we have our own patents which are registered to manage risk, but these value -added services used to work more on a project basis with the entities. What we have ensu red is that we are getting this embedded with the organization and multiple departments on the commercial side to drive the impact. Another part is on the data analytics side, the data engineers, we do have that particular department which was running and quite effectively, but it was not embedded , they used to operate on a project basis. What we have done is that we have gone ahead and got that department working with business teams to direct reporting in terms of making it work. So, there is lot of synerg y benefits that can be driven on this at multiple counts , we would be driving and cost leveraging it. Our practice as we have always mentioned on the corporate side has been very extensive, but our ability to harness , to even procure retail business become s a significant part of our strategy. It is not even cross sell. It is actually all embedded solutions. The bulk of the products that we deal with , are naturally inclined towards sta tic requirement, whether it is SMEs on the commercial side or motor, healt h is the only discretionary product that corporates indulge in. You will also see product launches in time to come, which would be harnessing this opportunity across the segment. We have got a large presence for the consolidated approach that was required , but the word of caution is it does not mean that the dissecting of the market and ensuring that we leverage on our distribution will get diluted at any point in time for us. So, that is my two bit in terms of discussing 'One IL One Team ' as a Company .

Now, coming onto the motor part of the strategy as you see, we have

seen a significant transformation. I just covered the EV part of business which you spoke about. From an overall industry penetration level, it has 9 months penetration was 3.5 %. It has go ne to almost 4.2% for us. We as a Company have a very dominant share on the EV side. On the private car, which is the passenger's car, we are talking about, we have a market share of almost 18% and on two - wheeler, we have a market share of almost 28%. We a re obviously bullish and we do believe that over next couple of years we will have the inflection point. So, two points, one infrastructure and other the price point which makes it workable. We would continue to invest and loss ratio, yes we do see that i t is relatively better, but I would not rush to conclude that again because these are very early days. This will emanate over a period of time, but we will stay invested because this is the category which can rule the market.

In terms of overall motor, cl early Q3 new sales which you spoke about and you have read those numbers that we have seen a growth in private car of 30% , in two -wheeler by almost 14%, much higher than what the industry has done. Again, multiple things, one, we are well equipped in terms of the new business. As and when that growth comes back, our ability to operate in a decisive manner is pretty much existing and we do believe that this should exhibit over next probably a quarter or so . But we never expected the industry on the private car to grow at the level of almost 7-7.5% because the base for last year itself was high and India has moved on to become the third largest manufacturer of overall motor vehicles which itself speaks

about how the volumes are getting driven. Another big cha nge which has happened is the SUV cars have started dominating, for which the average ticket size is high, so you would also see that getting exhibited in a number as we speak about the motor growth that will come in. So, overall we remain positive in term s of driving our motor initiative as a team.

On the commission ratio, I will ask Gopal to just quickly give you an update. We have been pretty much within the regulatory limits as prescribed and since in Q3 new vehicles growth is higher , the expense ratio tends to be elevated historically for the industry and more so for us.

Gopal Balachandran: So, Prayesh, in line with what we have been mentioning even in the earlier earnings call, a better metric to look at as we keep saying is combined rat ios because there will always be businesses which could be high on LR and low on cost of acquisition and the vice versa as well. So, hence, one would urge to continue to look more at the combined ratios of the Company as a whole. Having said that, in line with what Sanjeev said, if you look at our expense of management (EOM) numbers at the percentage of GWP this number for the 9 M FY2023 was at about 28.6%, for the 9M FY2024 this number stands at about 28.1%. So, there has been some improvement in the overall expense of management numbers, but as I said, a better metric to look at is the combined ratios for the Company as a whole.

Moderator: Thank you. The next question is from the line of Nidhesh Jain from Investec. Ple ase go ahead.

Nidhesh Jain: Firstly, on the health insurance, we have been investing in that distribution for last almost two years, but still our growth has been broadly in line with the industry, in the month of December, we lagged the industry, so what are the aspirations there and when we think the growth pickup in the retail will be?

Sanjeev Mantri: As I was mentioning, even when I was talking earlier in the call, we also would have preferred growing faster. If you see our growth in Q1 was quite higher than the industry, but we have taken certain calls on the sum insured as well as the nature of new busines

s that we want
to procure. These are very finite definite calls. We are very much on track in terms of what we want to achieve. The new business side of this call has grown by almost 25% as a Company . So if you ask me, where will we see a real growth coming in this since these changes have been done over Q1 and Q2, you will see this playing out very clearly over next financial year an d what we have spoken with the market and probably three quarters back in terms of the growth, at that point, these calibrations that we have done because we felt

health as a portfolio which comes with lifetime re newability requires real time c aliberation . So, we chose to take that call at this point of time. So, that the long -term value creation that we want for the organization does not get compromised, but you will see our convergence as a team, not only in terms of growth, but also product launches, whi ch, if you ask us, on a score of 10 on product, our solution stack that we want to create on the health side, we would probably be 6.5 and th ere about over 10 as a score. So, we have that distance to be covered and that also will get done in the next coupl e of quarters. So, we are very positive , and we do see good value creation coming from the next financial year onwards.

Nidhesh Jain: Secondly, the motor side sir, our profitability has improved quite well and our loss ratios are tracking one of the best that we have seen, so why don't we push the pedal on the growth and start focusing on market share gains in that segment given the profi tability is quite good for us?

Sanjeev Mantri: I think that you have only answered the question in terms of where we stayed focused and we had some loss of market share, but we decided to stick the course and that is what we are doing. At this point of tim e some of the other partners who were being aggressive also pulled down. So, it is a combination of we sticking to the cour se and as I was also stating that December was the first month in which we have seen relatively better market share. In our mind, we do believe that quarter 4 should hold good for us as a team.

Moderator: Thank you. The next question is from the line of Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh: Couple of questions, the first one on commercial line, i.e. fire, marine, engineering, if I look on a 9 -month basis the movement Y -o-Y in claims ratio is material now, in terms of NATCAT it would have played out maybe a bit higher this year, but not material, so now this question is that is this sort of a claim s ratio increase in the commercial lines an outcome of any pricing deterioration at the industrial level or is it largely due to the reinsurance price hike that industry has seen, so I mean some color on what is driving this commercial line loss ratio increas e and if the factors , that I just mentioned, the pricing deterioration or reinsurance price hike if they are largely done this year and should improve going forward next year? That is one, second again going on health, overall growth is reasonably good, growth is of course led by the pricing as well as some kind of volume growth, yet the claims ratio at the aggregate level of course, if you go segment by segment, there could be some difference, but at an aggregate level, claims ratio is still inching up, no w is this an outcome

of just the claims inflation or claims frequency is reflecting some kind of increase year -on-year?

Gopal Balachandran: So, Avinash, on the first one on the commercial lines, pretty much in line with what you mentioned, which is primar ily whatever you see as change in the loss ratios whether it is for fire, engineering or some of the key commercial lines, the last part of the change in the l

oss

experience is predominantly driven by the impact that we have seen on account of flood events and this year unfortunately if you would have seen , which is what we put out also as a part of the opening transcript, the aggregate impact that we have seen on account of various catastrophic events last year was about ■ 28 Cr. This year, if you look at 9 months, we are already that number is about ■ 137 Cr. A large part of it is of course, some of the commercial lines, but maybe the recent Chennai floods I would also say, we have also got a reasonably large number of claims that is coming on the retail s ide, which is more on the motor side of the business as well . But to stay within the commercial lines, the large part of the loss ratio change is predominantly driven by the impact that we have seen on account of the various flood events that we have seen and not because of any other reason. In fact, the overall growth in the commercial lines, particularly on fire has pretty much played out in line with what we have been speaking even in the earlier quarters, as if to say that the price drop consequent to t he removal of the IIB rates has been broadly in that range of 5% to 7% and which was largely offset I would say by the increase in the reinsurance rates that we had seen at the time of negotiating the program at the beginning of the year. So, hence the gro wth for the overall market has been largely muted in line with what we spoke even during the April call.

What will happen in the next year's reinsurance renewal program, maybe we will be able to come back with a much better insight when we announce number s on a full year basis in April because that is the time when we would have largely concluded the reinsurance placements, but otherwise on so far as the attritional losses are concerned, there is nothing other than, let us say, some of the impact on catast rophic losses related numbers.

To your second point on the health loss ratio, it is pretty much which is why in response to one of the earlier questions that I had come through is where we had kind of put out the breakdown of the loss ratios. So, in that sense there, if you clearly see, the loss ratios are pretty much in line with the range that we are comfortable which is just to kind of reiterate group health loss ratios we have generally spoken about it being in the range of 94 -95% that is the number at which we have ended even the current 9 month numbers . Retail health indemnity, the range that we have spoken about has been

between 65 % to 70%. If you have looked at the 9 month numbers, again that is pretty much in line with the range that we have spoken about. Of course, we do see inflation and let us say possibly at times increase in claim frequency, particularly, let us say, during Q2 largely driven by monsoons and other related seasonality, but tha t is something again like what I mentioned on motor where we actively

engage in kind of driving the PPN initiatives on the motor side for example, we would obviously want to drive a large part of the motor accidents to a preferred network of garages. The s ame thought process is what we have even on the health side, which is to kind of, we have a separate network management team, which significantly looks at focusing on driving a lot more traffic to a preferred network of hospitals , where we are not only abl e to guarantee so far as the policyholders are concerned, quality of care which is very important for us and more importantly, an outcome which is, let us say, a possible reduction in the average claim side and thereby which is how we are able to kind of m anage the possible change that we see on inflation/frequency, but on an overall basis, we are comfortable at the range at with the loss experiences playing out.
Moderator: Thank you. The next question is from th

e line of Supratim Datta from
Ambit Capital. Please go ahead.
Supratim Datta: My first question is on the new strategy of 'One IL One Team ', so could you help me understand what would be the impact on the topline from the strategy and would this also have a cost impact in the form of cost savings tha t is my first question? My second question is on the reinsurance, so globally if we see the reinsurance rates, this year at 1st Jan has gone up somewhere between 30 -50%, what are we expecting here in India given CY23, number of NATCA T events , which were higher than what we had seen in CY22, so that is my second question? And lastly, I would just like to understand , currently that now that the growth has returned on the motor side, what is the market share that you have now within the private c ar segment or the two-wheeler segment and the commercial vehicle segment if you could help me with that?
Sanjeev Mantri: So, on the 'One IL One Team ' part in terms of the topline as well as the cost it will get embedded as Gopal said in the combined ratio and what we are able to deliver as a team, we have taken certain initiations in terms of what we have done structurally. It will be early days for us to quantify anything of that to the market. You will see that getting exhibited in time to come. We believ e that we rather do it than announce that this is what we believe will get transpired . But clearly what I can assure you is we do believe there is a kicker available on the topline as well as bottomline on account of what we are pursuing as a team. So, that is where it is. On the reinsurance

part, I will ask Gopal to just give an update. We don't expect the premiums to go up significantly (whenever we do have a guideline) maybe say 5 to 7 -7.5% and there about is what we expect to come in, but it will all get clearly called out in specific over Q4.
Gopal Balachandran: Supratim, as I said, we are in the midst of the negotiations, in so far as renewing the reinsurance program is concerned and as I mentioned, we will be able to give you a much better insight when we announced numbers for the April call , is when we would have switched in the reinsurance program and the rates for the next year, but the initial indication seems unlike last year where we had seen a significant increase in the cost of reinsurance for protecting the net retention or let us say the XOL cost that we are seeing for protecting catastrophic event related losses, our sense is obviously the hike may not be as much as what we had seen last year. Exact numbers as I said, we will be able to c ome back and give you much better clarity when we announce numbers in April, that is on the reinsurance side.
To your point on market share within , the new market share for private car and two -wheelers, private car, we have a market share of roughly about 12% around that range and on two -wheelers, the new market share has been currently in the range of about 22%. This, of course is slightly lower than what we would have normally had. I mean, in the past, maybe our market share on the private car side

would have been higher by almost about 3 -4% and even on two -
wheeler, almost at a similar level. I mean would have been, we have
always been saying that on new two -wheelers, one in four two -
wheeler sales is the policy of ICICI Lombard. So, this is pretty much
in line with what we have seen over the last two years where we have
lost some market share . But as Sanjeev indicated, the momentum
for us as we speak looks to be very strong and positive and which is
why, if you look at some of the Q3 or month of December numbers,
the headstart that we are getting into in Q4 and thereafter seems to
be very positive for us and that is what we are very optimistic and
henc e even in the earlier earnings call, if you recollect what we h

ad
said was , motor we should see on an aggregate basis growth coming
back in line with the market. The early trend seems to indicate that in
fact for the month of December, just to reiterate, w e have actually
had an outperformance relative to the industry growth of 8.8%.
Moderator: Thank you. Ladies and gentlemen, due to paucity of time, we will now
take the last question from the line of Ashish Sharma from ENAM
Asset Management Company . Please go ahead.
Ashish Sharma: Just one question on the combined ratio, given that we are trending
better in terms of improvement in combined ratio, so as you

mentioned that we will take another quarter, so before you would
want to change the guidance, but just wondering now, is there a
possibility now that the business can operate at combined ratio of
100% or below?
Sanjeev Mantri: So, fair question Ashish from your perspective, but as things stand,
once we will discuss this fairly by next quarter as to where w e are
seeing because we still want the overall trend coming out in the
consolidate d, but we don't want to jump the gun while the early signs
do look better for us, but this sort of opportunity that we have as a
Company , we will continue to invest. So, I would be very honest we
can be where we are and the industry combined overall, it is still
112%. So, there are structural changes. My firm belief is which I can
share with you, we would love to see industry itself improving in a
significant way because t oday where industry is, we are able to
perform well, if the whole industry improves structurally , I don't see
any reason why ICICI Lombard can't drive far better benefit out of it.
So, we are operating both at industry level as well as the Company
level to make an impact, but for a Company like us, every opportunity
which I have said in the opening remarks again is significant, so we
would definitely use some percentage of what comes our way to
reinvest to ensure that we are future ready in terms of the opp ortunity
that comes. Would not jump the gun to call out and say 100 is what
it is, it will be a mix of things, health will continue to seek more
investment from us because we have reasonable competition as well
as opportunities being made available to us. And similarly on the
digital space, we will continue to do what is required to harness our
own vision of where we want to be. So, with all that in mind, I don't
want to close out things as is and what it would be, but let us discuss
this when we are there on April in the call.
Moderator: Ladies and gentlemen, due to paucity of time, that would be the last
question for today. I now hand the conference over to Mr. Sanjeev
Mantri for closing comments. Over to you, sir.
Sanjeev Mantri: Thanks so much. I think the call has gone beyond the distance, but I
absolutely enjoyed interacting with each one of you and look forward
to catching up with each one of you in time to come. We stay positive
and we do believe that we have a great set of col leagues operating
in this segment with very extensive experience and we would
definitely do what is required to add further value to the Company in
terms of the industry, which gives us tremendous opportunity. Thank
you so much and have a great 2024 and se e you soon.
Moderator: Thank you. On behalf of ICICI Lombard General Insurance Company

Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Apr 2024

ICICI Lombard General Insurance Company Limited

IRDA Reg. No. 115 CIN: L67200MH2000PLC129408 Toll free No. : 1800 2666
Mailing Address: Registered Office: Alternate No.: +91 8655222666 (Chargeable)
601 & 602, 6th Floor, Interface 16, ICICI Lombard House, 414, Veer Savarkar Marg, Email: customersupport@icicilombard.com
New Linking Road, Malad (West), Near Siddhi Vinayak Temple, Prabhadevi, Website : www.icicilombard.com
Mumbai - 400 064 Mumbai - 400 025

Ref. No.: MUM/SEC/33-04/2025

April 23, 2024

To,
The Manager
Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001 The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot C/1
G Block, Bandra Kurla Complex,
Mumbai – 400 051

Scrip code: Equity (BSE: 540716/ NSE: ICICIGI); Debt (NSE: ILGI29)

Dear Sir/Madam,

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of call with media and earnings conference call for the quarter and financial year ended March 31, 2024

This is further to our letter dated April 10, 2024, April 15, 2024 and April 17, 2024, please note that the Company had hosted call with media and earnings conference call with investor(s) and analyst(s) on Wednesday, April 17, 2024 to discuss the financial performance of the Company for the quarter and financial year ended March 31, 2024.

In this regard, please find attached the transcripts of the call with media and of earnings conference call with investor(s) and analyst(s) for the quarter and financial year ended March 31, 2024.

The above information will also be made available on the Company's website at www.icicilombard.com .

You are requested to kindly take the same on your records.

Thanking you.

Yours Sincerely,

For ICICI Lombard General Insurance Company Limited

Vikas Mehra
Company Secretary

Encl. As above

ICICI Lombard General Insurance Company Limited
Q4 and FY2024 Media Conference Call
April 17, 2024

MR. SANJEEV MANTRI – MD & CEO
MR. GOPAL BALACHANDRAN – CFO

Moderator: Good evening, ladies and gentlemen. A very warm welcome to ICICI Lombard General Insurance Company Limited Q4 FY2024 and FY2024 Media Conference Call.
From the Senior Management we have with us today Mr. Sanjeev Mantri – MD and CEO of the Company and Mr. Gopal Balachandran – CFO. Ladies and gentlemen this is a Media Call for the ICICI Lombard General Insurance Company Limited and will be followed by the Investor Call at 7:15 pm today.
Please note that any statements or comments made in today's call that may look like forward looking statements are based on information presently available to the management and do not constitute an indication of any future performance as the future involves risks and uncertainties which could cause results to differ materially from the current views being expressed.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing "*" and "0" on your touchtone phone.
I now hand the conference over to Mr. Sanjeev Mantri – MD and CEO – ICICI Lombard General Insurance Limited. Thank you and over to you, Sir.

Sanjeev Mantri: Thank you. Good evening everyone. Thank you for joining us today for our Q4 FY2024 and FY2024 Media Call.
I'm pleased to provide an overview of our Company's financial performance for the

quarter and year-ended March 31, 2024. This has been a momentous year from an organizational and industry standpoint, reinforcing our leadership stance as the largest private sector general insurance player in the country.
We have been observant of the industry trends and market dynamics which have brought along their share of opportunities and challenges for us.
We are committed to meeting the needs and the expectations of our stakeholders by fostering a diverse, enabling and inclusive environment. This has been strengthened by our organizational philosophy of 'One IL One Team' which transcends all businesses and functions into a cohesive team focused on broader organization goals.
The critical enabler for our journey has been the large-scale integration of digital technology, which has facilitated agility, innovation and growth.
We have strengthened our leadership team with the addition of Mr. Anand Singhi -- Chief Retail and Government Business and Priya Deshmukh – Head, Health Product – Operations & Services. Their rich experience in the insurance space will help us drive sustained growth.
We are optimistic about the future for the industry as well as about ICICI Lombard fueled by regulatory reforms. With our strong team, we are confident in our ability to navigate challenges and capitalize on opportunities that lie ahead. We remain committed and focused for the upcoming year with more tech enabled offerings, customer centricity through efficient systems and processes, and talent acquisition, nurturing and retention. Thank you.
Now I will invite my colleague, Gopal, to share the Performance Highlights of the Company.

Gopal Balachandran: The Gross Direct Premium Income (GDPI) of the company stood at ■ 247.76 billion in FY2024 compared to ■ 210.25 billion in FY2023 a

growth of 17.8% which was higher than the industry growth of 12.8%.
The GDPI of the Company was at ■ 60.73 billion in Q4 FY2024 as against ■ 49.77 billion in Q4 FY2023 a growth of 22%. This growth was higher than the industry growth of 9.5%.
Combined ratio stood at 103.3% for FY2024 compared to 104.5% for FY2023. Excluding the impact of CAT losses of ■ 1.37 billion the combined ratio was 102.5% in FY2024. The combined ratio stood at 102.2% in Q4 FY2024 as against 104.2% in Q4 FY2023. Profit before tax grew by 21.0% to ■ 25.55 billion in FY2024 as against ■ 21.13 billion in FY2023 whereas profit before tax grew by 21.9% to ■ 6.98 billion in Q4 FY2024 as against ■ 5.73 billion in Q4 FY2023.
Capital gains were at ■ 5.51 billion in FY2024 compared to ■ 4.53 billion in FY2023. Capital gains were at rupees 1.56 billion in Q4 FY2024 as against ■ 1.59 billion in Q4 FY2023. Consequently, Profit After Tax (PAT) grew by 11.0% to ■ 19.19 billion in FY2024 as against ■ 17.29 billion in FY2023. Excluding the impact of reversal of tax provision in Q2 FY2023, Profit After Tax (PAT) grew by 19.8% in FY2024. Profit after tax grew by 18.9% to ■ 5.2 billion in Q4 FY2024 up from ■ 4.37 billion in Q4 FY2023.
The Board of Directors of the Company has proposed a final dividend of ■ 6 per share for FY2024. This payment is subject to the approval of shareholders in the ensuing annual general meeting of the Company. The overall dividend for FY2024 including the proposed final dividend is ■ 11 per share. Return On Average Equity (ROAE) was 17.2% in FY2024 compared to 17.7% in FY2023. Return On Average Equity (ROAE) was 17.8% in Q4 FY2024 compared to 17.2% in Q4 FY2023.
The Solvency Ratio was 2.62x at March 31, 2024, as against ■ 2.57x at December 31, 2023, and continues to be higher than the minimum regulatory requirement of 1.5x. The Solvency Ratio was 2.5x at March 31, 2023.

This is a brief snapshot of our performance for the quarter and the overall financial year ended March 31, 2024. We will now be very happy to take any questions that you may h

ave for us. Thank you.
Moderator: Thank you very much. We will now begin the question-and-answer session. We have the first question from the line of Sheersh Kapoor from ETBFSI. Please go ahead.
Sheersh Kapoor: I wanted to ask you that how much was the return on the investment income that you made in the quarter compared to the last quarter?
Gopal Balchandran: If you look at it on a full year the overall investment return that we had on the overall portfolio was about 7.98% that's on a full year basis and that's the number that we largely talk about, because between quarters there will always be opportunities of realizing interest accruals and maybe capital gains will be more opportunistic.
Having said that, if you look at this number for the last year on a full year basis FY2023, the return on the investment book on a realized basis was 7.5%.
Sheersh Kapoor: So, have you made any changes in the investment portfolio? What are you more bullish on? Are you more investing in the equity side or the fixed income side with that also?
Gopal Balachandran: So, approach to investments has always been using the right asset classes depending on how we see the market environment. Currently, for example, if you look at historically, generally we have had a very large proportion of our book in the fixed income group though we have always been positive even on the equity.
Currently, as we speak our exposure to equity stands close to about 11% of the overall book. But having said that we will obviously keep looking at opportunities to increase allocations to equity as well and at the same time in the last couple of years given that we have seen a high interest rate regime operating in the market. So, we have obviously leveraged the high interest rate regime that the market has experienced

and that's why if you look at our yield to maturity on the overall book,

that on the fixed income side stands at about 7.4%. So, at all points of time it will always be a combination of different asset classes, a combination of both fixed income as well as equities.
Sheersh Kapoor: Just one last thing that I want to ask you that what growth have you seen on the term insurance side, if you can answer that please because there have always been some debate going on the products that give you benefits and then there is pure insurance, term insurance that you call it. What has been the segregation on that?
Gopal Balachandran: Maybe you want to look at term insurance in the context of the life insurance business. What we can talk about is the general insurance business, that we are in. On an overall basis for the full year we have seen growth across different segments at about 17.8%. This number is higher than the industry growth of about 12.8%. It's to that extent on overall basis as a Company across different segments, we have had a significant outperformance related to the market.
Moderator: Thank you. We have the next question from the line of Shilpy Sinha from Economic Times. Please go ahead.
Shilpy Sinha: I have two questions. One is on your combined ratio, your combined ratio for the quarter is around 102%, but for the year it's a little higher. So, if you can give some light on that and what is the target for this year and also on the management expense front now that this year we've seen the commission relax, what was the impact on the total expense of management that the Company has incurred?
Gopal Balachandran: So, the first one Shilpy if you look at it on a combined ratio basis, you are right on a full year basis our combined ratio stood at about 103.3% and for Q2 we are at about 102.2%. But directionally, if you look at it what we have been talking even to all of you and even to the market at large is a directional improvement in our combined across periods and that's exactly what we have been able to deliver even if you look at it on the current FY2024 on

a full year basis. Even to the market what we have talked about is by the end of next year we had said that we would

look at getting to a combined which will be around 102%. Given the market momentum that we are seeing in the way things are getting shaped up we would obviously explore opportunities in terms of how we could look at bringing that down to 102% combined by the end of FY2025. So, that's in response to the first one. On the management expense front in line with what we have been again speaking with all of you the change that the regulator has brought about in the expense of management regulation it's been a very, very positive change from an overall market perspective. It kind of gives flexibility for players in the market to operate at and within this obviously the EOM guidelines as we all know has put a limit of 30% of the overall gross premiums for companies like us which are into multiple segments. And if you look at it on a full year basis again for ICICI Lombard, we have been well within that limit of 30%. For us the overall expense of management as a percentage of the gross premium return stands at about 29%.
Shilpy Sinha: And what is the outlook there as in have things stabilized here or do you see competition in the market that people are trying to undercut and pay more to the intermediaries just to get more business?
Gopal Balachandran: So, the markets have always been generally competitive. But having said that, the fact that the regulator has put out this guideline on the EOM front and this being the first year in which you would obviously see all players taking action in terms of making sure that they are able to come down within the limit of 30% or 35% basis public information which is available for on a 9 month basis, maybe roughly about half of the market slightly in excess of half of the market are within the threshold. And I'm sure the rest of the companies possibly are working out ways and means to bring them within the threshold as the regulator has laid out. On a full-year basis, most of the companies will start reporting numbers either in Q1 or Q2 of this year. So, I'm sure the regulator will get to know the numbers of the market and directionally they would change the necessary messaging particularly maybe for those companies who have not been able to bring down their expense

of management threshold.

Shilpy Sinha: And one last one, your cashless everywhere it's a new initiative that the entire industry has taken up. What has been the progress and has the number moved up like from earlier it was around 64%, 63% has that number gone up since the time it was announced?
Gopal Balachandran: So, again, if you look at Shilpy the thought process from an industry standpoint is something that got announced maybe in the last four weeks or so, slightly in excess of that period. But if you look at it from an ICICI Lombard standpoint we had talked about this initiative of launching anywhere cashless in fact at the beginning of this year. So, hence to that extent obviously we have had a head start in terms of making sure that we create convenience from a customer perspective. As you rightly said this has become more a market phenomenon and therefore to that extent what we have been able to clearly see is more number of hospitals being empaneled as a part of the cashless network. Hence we've obviously seen a change consequent to the fact that the announcement has been made at an industry level as well.
Moderator: Thank you. The next question is from the line of Yash Jain from CNBC. Please go ahead.
Yash Jain: I had a couple of questions. One thing, of course FY2024 is behind us and now we look at FY2025. I wanted to understand how you see FY2025 for the Company in terms of two aspects. One is your net earned premium. What kind of growth do you see?
And the second one is combined ratio. What is the target in

ternally that
you would want to achieve since you're so close to now 100, how do you see that moving in FY2025?
My second question is we've seen in this year the regulators come out with regulations which talk about de-tariffication of the terms of motor third party, the prices still continue to be regulated. Do you think FY2025 could be a year of de-tariffication of prices when it comes to motor third party and how would the prices go up or down, what is your sense?

And last one ICICI Lombard and Policy Bazaar, what took you so long to come on the largest aggregator platform? Why now?
And I was just looking at some numbers The last reported numbers you just get about 0.09% of your premium through insurance aggregator platforms, where does this number go to let's say in the next 2 years?
Sanjeev Mantri: We would mirror the way industry will come out in terms of the overall growth. We've spoken numerous points of time. Clearly there is enough and more tailwinds, the industry has in the current year grown by 13%. I would have believed it could do slightly better than how it has turned out, but that being said the number of yardstick which are present, we do believe industry should continue this journey on growing between 13% to 15% in the coming year.
If that happens as the place where we stand, we should at least try to keep pace and grow at least in line with the industry. So, that's what we have as far as the overall growth from our side is concerned.
On the combined side Gopal has just mentioned that yes we've closed the quarter with 102.2. It's a lot to do with again the way industry comes. If you see 9-month numbers at the industry level for the combined there has been an improvement that has come through and if that improvement has come through, it's also reflecting to some extent in the numbers that we have seen.
Again, with expense of management, multiple things that are coming in play. We do believe that we want to believe, but we are not the only players who operate in the market that this can continue. If this trend continues, it augurs well for the industry. With respect to what happens to motor third party. Frankly speaking, this is beyond our control and the right questions should go to the set of organizations or teams which are involved in this they would be recipient of the information whenever as and when motor third party moves in.
Last but not least with respect to the tie up with policy bazaar why now

and why not before? So, we had our own reasons we wanted to fuel our

own ambitions in terms of digital journey and that's what we have done.
We are also build teams almost 5 years back that we have created
virtual an organization an organization with an intense focus to drive our
digital business. Once that has reached certain levels of traction that
we wanted we do work with partners the bulk of our business does get
done on a B2B2C basis.
Policy Bazaar has been force to reckon with when it comes to
aggregating platforms and we thought it's appropriate that we even join
hands with them.
Yash Jain: Just this 0.09% that you currently get from aggregators how much could
this grow, let's say I'm not talking about next year itself, but if we take a
horizon of next 2 to 3 years since it's an important partnership, what
would this number go to?
Gopal Balachandran: I know it's very early days for us Yash. I don't want to jump into, they
will be discovering us. We'll be discovering them. Are we excited joining
hands with them? Answer is a big yes, absolutely delighted to work with
them, but we probably would be in a better position to reply this in
quarter 3 or Quarter 4 as to what traction can come out of it. At this point
of time it's just too early, too hard a guess for us as an entity as to where
we will be and where we are.
Moderator: Thank you. We have the next question from the line of Sheersh Kapoor
from at

ETBFSI. Please go ahead.
Sheersh Kapoor: So, the general insurance industry maintains double digit growth in
FY2024. Maybe in crop insurance and areas like fire insurance, marine
insurance. What, according to you, could be some of the areas where
Lombard can contribute more and what are some of the areas because
you think that were responsible sort of because of this de-growth and
what can be the factors that could improve going further in FY2024?
Sanjeev Mantri: So, I'll tell you in terms of Lombard contribution we have known delta
5% vis-a-vis the industry and that's something which is already put

across. So, our contribution part is coming, but our hunger and desire
to do more for the industry and ourselves remains totally intact.
What has led to this de-growth at the industry level or not probably
taking a 3,00,000 crore mark which falling short around 10,000 and
thereabout at this point of time. Crop has remained negative in the
current year at an industry level that definitely could have contributed
by another factor of few thousand could have come from there if you
ask me.
We've also seen that there was no TP hike which the industry is seeking
otherwise that also would have contributed to some extent in terms of
the growth of the industry. So, I would say largely these are two factors
which we can look at and see net of that if we adjust to that probably
you would have seen a 3-lakh crore mark. Health continues to be the
fastest growing segment as far as the industry is concerned.
Sheersh Kapoor: So, again the masses lie at the bottom of the pyramid and crop
insurance being one of the important parts of the segment. What is the
Lombard doing in that area?
Sanjeev Mantri: So, how the crop works, you have to participate, it's a tender business.
We also very actively participate. We win some, we lose some and
that's where we are always excited to participate. But if it's a risk price
driven model and we do our bit and we have always been a keen
participant but would like to do it at the value that makes sense for us
as an entity.
Moderator: Thank you. We have the next question from the line of Shilpy Sinha
from Economic Times. Please go ahead.
Shilpy Sinha: I wanted to understand in terms of your segment growth, you are
present in your other segments of health, but not in the mass health.
So, is that a deliberate decision not to be there or is it because the states
are going through the trust model and not actually coming to insurance
for business.

And also, the crop you're saying that 4.10% of the GDPI is not crop. What was this number last year and as you just now mentioned that you win some and you lose some. So, what will be the strategy here and because of crop you've seen the industry actually decline not decline but overall the growth has been slower than previous years because of the slowdown in crops. So, what is the strategy going forward for you and for the industry how do you see this segment now?
Gopal Balachandran: So, Shilpy on the second part of your question if you look at in general, the approach for crop insurance has been more opportunistic and obviously we keep looking at developments in this space in terms of what the contours of the scheme operate at. And of course, given that this is very high on exposure. We also have to be mindful of what kind of reinsurance terms we get.
Through a combination of both, currently or even this year or even if you look at the last year in general the crop contribution to the overall revenues for us has been a mid-single digit number in that range of 4% to 5%. But in response to your first one on the mass health, again it is similar to what we said on crop. As in to say that we will obviously give, of course these are schemes which are significantly based on tenders and some of the states obviously in line with what you said have moved into the trust

model. So, therefore to that extent, it may not necessarily be available within the space of insurance.
Having said that, we do look at developments in the space wherever we believe the pricing is appropriate for the risk that we are assuming then obviously we will be open to looking at writing this segment. So, that's something that we keep looking at again, not just marked as a category, even otherwise every segment of the business, depending on what risk reward does it present is the lens through which we look at segments and on that basis is how we have been taking calls of writing some of these portfolio.
Shilpy Sinha: On group distribution front, you said that ICICI group distribution grew by 22.5%, so what part of the business came through group and what was the contribution of the bank here versus last year?

Gopal Balachandran: So, again if you look at, as we have always kept talking about ICICI group or ICICI Bank within that has always been a very, very important distribution partner for us and obviously we as a Company we would want to significantly leverage the opportunity that the group presents to us.
But in terms of the operating model that we have always followed as a Company is of a multi-product, multi distribution setup, so that we are able to harness the opportunity that different segment presents. Which is why when you look at the overall contribution of let's say the ICICI Group to the aggregate revenues, would be in the range of about anywhere betwee 5% to 6%, but that's a segment that's again doing well within the framework that the group has kind of laid out.
And we do see a lot more potential that we can leverage on in terms of our ability to even grow that particular distribution channel as well.
Shilpy Sinha: And one last one the policy wording which got de-tariff now on March 20th, what is the impact that you see on the commercial lines products and on the retail side?
Sanjeev Mantri: It's again too early. These are all draft. There are lot of discussions which are going on, but every time there is this freedom getting created you will find innovation, you will find more customer-centric products coming through. So, it's a big plus for the industry and we are excited with what opportunity lies ahead for us, but at this point of time is there anything finitely available to say.. It's a bit early for us in the whole thing.
Moderator: Thank you. Ladies and gentlemen, we have no further questions. I would now like to hand the conference over to Mr. Sanjeev Mantri for vote of thanks. Over to you, Sir.
Sanjeev Mantri: Absolutely. Thank you so much for joining on Rama Navami which is actually a holiday for many and look forward to great year and we'll be

in touch. Thank you so much. Take care.

Moderator: Thank you. Thank you, on behalf of ICICI Lombard General Insurance Company Limited. That concludes this conference. Thank you all for joining us. You may now disconnect your lines.

ICICI Lombard General Insurance Company Limited
Q4 & FY2024 Earnings Conference Call
April 17, 2024

MANAGEMENT:

MR. SANJEEV MANTRI – MD & CEO
MR. GOPAL BALACHANDRAN – CFO
MR. ALOK AGARWAL – EXECUTIVE DIRECTOR
MR. ANAND SINGHI – CHIEF RETAIL AND GOVT BUSINESS GROUP
MR. SANDEEP GORADIA – CHIEF CORPORATE SOLUTION GROUP
MR. GIRISH NAYAK - CHIEF TECHNOLOGY & HEALTH (UW & CLAIMS)

Moderator: Good Evening, Ladies and Gentlemen. A Very Warm Welcome to ICICI Lombard General Insurance Company Limited Q4 & FY2024 Earnings Conference Call.

From the senior management, we have with us today, Mr. Sanjeev Mantri – M.D. & CEO of the Company ; Mr. Gopal Balachandran – CFO; Mr. Alok Agarwal – Executive Director; Mr. Girish Nayak – Chief Technology and Health Underwriting and Claims; Mr. Sandeep Goradia – Chief Corporate Solutions Group; and Mr. Anand Singhi – Chief, Retail and Government

Business.
Please note that any statements or comments made in today's call that may look like forward -looking statements are based on i nformation presently available to the management and do not constitute an indication of any future performance as the future involves risks and uncertainties which could cause results to differ materially from the current views being expressed.
As a remind er, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touchtone phone.
I now hand the conference over to Mr. Sanjeev Mantri – M.D. & CEO, ICICI Lombard General Insurance Limited. Thank you. And over to you, sir.
Sanjeev Mantri: Thank you. Good evening to each one of you. Thank you for joining the earning s conference call of ICICI Lombard Limited for Q4 & FY2024 .
Let me give you a brief overview of the industry trends and developments that we have witnessed in the past few months. Post this, our CFO, Mr. Gopal Balachandran, will share the Financial Performance of the Company , for the quarter and the year ended March 31, 2024.
During the quarter, the Indian economy continued its robust growth trajectory with key high frequency indicators reflecting healthy economic conditions. For the Financ ial Year 2024 , India's GDP growth is expected to be 7.6%1 Looking ahead, a normal south-west monsoon should support

1 Source: Ministry of Statistics & Programme Implementation

agricultur al activity, boost rural demand and help overall sentiments. However, any worsening of geo -political tension s or a global slowdown may have an adverse impact.
Now, talking about Auto Industry , Private car sales witnessed robust growth for the FY2024 , aided by improved supplies and sustained customer demand. As per SIAM data, over 4.2 million vehicles were sold in the year. The industry also saw a shift in the customer preference from entry level cars to SUV s. Thus contribution of SUV in private car sales has gone up from 37% to 49% in the last two years.
As mentioned in the last earning s call, the uptick in rural demand saw two-wheeler sales grew by 25% in Q4 to touch 4.5 million. The annual two-wheeler sales also surpassed the FY2020 figure s and stood at 18 .0 million vehicles. During the year, around 1.7 million commercial vehicles were sold, which was driven primarily by good traction in infra and other core sectors.
Health insurance continue d to be the largest product segment for the industry. As per data published in the IRDA I annual report for FY2023, the growth in number of lives has been primarily driven by the Group Health business and we expect this trend to continue for FY2024 as well.
The Commercial line s of business witnessed growth supported by strong government capital expenditure related to infrastructure development . Consequently , Engineering lines of business witnessed a robust growth during the year.
We remain optimistic that th

e industry will continue to grow given the favorable macros, regulatory changes, low penetration and relatively positive consumer sentiment.
Coming to Performance , the G eneral Insurance industry delivered a year -on-year Gross Direct Premium Income (GDPI) growth of 12.8% for FY2024 . Excluding crop and mass health growth stood at 14.8%.
Overall, the Combined ratio for the industry was at 112.2% for 9M FY 2024 as against 116.2% for 9M FY 2023. For Motor, the Combined ratio was at 118.2% for 9M FY 2024 as again st 121.9% for 9M FY 2023. In our last Earning Call , we had mentioned improvement in the industry Combined Ratio for Motor for H1 FY2024 by ~400 basis points, 119.4% from 123.5% for H1 FY2023. There has been a further improvement of ~300 basis points with the Q3 FY2024 combined ratio for Motor at 115.9% as against 118.9% during the same period last year. The Motor Combined ratio for

Private players in Q3 FY2024 was at 110.7% versus 111.8% for the same period last year. This improvement indicates a semb lance of discipline coming back to the market.

As you may be aware, no Motor TP rate hike has been announced for FY2025 as yet. We will be watchful of how the industry responds to this in coming days.

Now, I would like to touch upon certain regulatory announcements . On March 20, 2024, after a comprehensive review of regulatory framework, the Authority notified a number of principle -based prescriptions. The new regulations include :

■ De-notification of all tariffs notified by the erstwhile Tariff Advisory Committee which continued to be in force since December 2006. With the de-notification of the existing tariffs, the Company is at liberty to design all the general insurance products in line with its own underwriting policy. This would facilitate insurers t o respond faster to the emerging market requirements and to design innovative products to cater to customers ' needs. It may be mentioned that the pricing of Motor TP line of business continues to be under the tariff regime.

■ Rural , Social sector , and Motor Third-Party Obligation s Regulations, prescribe the minimum insurance business to be undertaken by the insurers. The compliance and measurement of these statutory obligations has been revised in order to enhance the insurance penetration.

■ Bima Sugam - Insurance Electronic Marketplace Regulations allow for establishment of a Digital Public Infrastructure/ I nsurance Electronic Marketplace. With this, the authority has set out a vision for democratizing insurance to achieve the goal of insurance for all by 2047 .

We believe the regulatory developments are favorable for the industry. I would like to further reiterate that as a Company we will continue to leverage the benefits of being a diversified , multi -product and multi - distribution organization as we capitalize on the existing and emerging business opportunities in the sector.

Now, I will speak about the business impact for us in Q4 and FY2024 :

The Company grew by 22 .0% during Q4 FY2024 . Excluding a one -off transaction in the Motor segment last year, growth was 15.8%, which was higher than the industry growth of 9.5%. For FY2024 , the Company grew by 17.8% as against the industry growth of 12.8%. Excluding the one -off transaction last year, growth for FY2024 was 16.4%.

Let me now touch upon our performance in key business segments during the quarter and FY2024 :

■ In the Commercial business segment, we continue to consolidate our market position , by leveraging our unique distribution network enhanced by the value -added services , prudent risk based underwriting and highly

rated reinsurer capacities. During Q4 FY2024, we grew at 11.3% as against an industry growth of 11 .0%. For FY2024 , we grew at 14.7%, w

hich was higher than the industry growth of 10 .0%. Further, during the year, we accreted market share across segments such as Fire, Marine Cargo, Engineering and Liability . As we speak, we are at an industry - leading position in Marine Cargo and Liability line s of business, while being the 2nd largest in Fire and Engineering line s of business.

Last year, we experienced significant rate hardening in the reinsurance terms in line with global trends. However, as anticipated, the recent April 1st renewals have largely been benign.

■ Motor continues to be the largest contributor to our product mix. Over the years, we have developed strong capabilities across distribution, underwriting, claims, servicing and acturial practices. Given our presence across all three sub -segments of private car, two-wheeler and CV, we would continue to balance our portfolio mix depending on the market opportunities. As we saw some discipline return to the market, we scaled up our position in a calibrated manner and consequently entered the year as an industry leader.

The grow th for us during the quarter was 27.3%. Excluding the one -off transaction last year, the growth for Q4 FY2024 was 13.4% , as against the industry growth of 9.6%. For FY2024 , we grew at 12.3%. Excluding the one -off transaction last year, the annual growth wa s 8.9% against the industry growth of 12.9%.

The growth in Motor segment was aided by strong growth in new private car segment, which grew at ~23% for Q4 FY2024 and ~28% for FY2024 , which was higher than SIAM volume growth of 12% and 8.4% respectively. Our new two-wheeler growth was ~11% for Q4 and ~13% for FY2024 , while the SIAM volume growth was 24.9% and 12.3% respectively. As rural demand picks up, we expect to see the trend continue for two-wheeler s. In the new CV segment, we de grew by 2.1% in Q4 FY2024 and 1.9% in FY2024 while the SIAM volume growth was 0.1% and 14.4% respectively.

For FY2024 , our mix of Private car, Two-wheeler and Commercial vehicle stands at 51.4%, 26.8% and 21.9% respectively.

We also continue to build efficiency in Motor claims. In Q4 FY2024, we were able to service 70% of our Agency and Direct claims through our Preferred Partner Network (PPN) , up from 54% in Q4 FY2023.

For the next year, we expect m id-single digit growth in private car sales, while the Two-wheeler segment is expected to deliver 8% to 10% growth.

CV sales are expected to grow in double digits in line with the previous year on account of demand from infra sector.

■ The Health segment c ontinue d to be the fastest growing segment for the industry. We grew faster than the industry both in Q4 and FY2024 , registering a growth of 29% for the quarter and full year.
In Group Healt h- Employer Employee segment , we grew at 31.7% in Q4 FY2024 and 30.3% in FY2024 . The change in the underlying industry pricing sentiment resulted in customers moving towards insurers with superior servicing capabilities.
Our Retail Health business grew by 21.8% in Q4 FY2024 against the industry growth of 19.9% . For FY2024 , our retail business grew at 20 .0%, as against the industry growth at 19.1%.
We would continue to invest in this segment in terms of human capital, technology and knowledge capital to further improve our market share. Our current retail healt h agency manager count stands at 1,600. We will continue to strengthen our growth lever s as we expect to achieve far more in this segment.
Our Bancassurance and Key Relationship Groups grew at 16.7% for the quarter and 20.2% for the FY2024 . Within this , ICICI Group distribution grew by 39.4% for Q4 FY2024 and 22.5% for FY2024 . We will continue to deep -mine our existing relationships by creating new value streams , and at the same time , focus ing on acquiring new relationship s. During the year, we added over 8 0 b

anca partnerships.
■ In our last call, we spoke about a vision of One IL One Team. Under this, one of our initiatives that we have outlined is, our One IL One Digital Strategy. Through this, we aim to consolidate our customer -facing digital assets of IL TakeCare , Website and alliances along with our distribution facing front end s. This will allow us to exploit the synergies across all our platforms, which will result in benefits to the Company .
Our one -stop solution for all insurance and wellness needs, t he IL TakeCare app, has surpassed ~9.3 million user downloads till date. We continue d our growth momentum with ~0.8 million user downloads for the quarter. In the same period , we sourced premium over ■ 1.13 billion and a premium of ■ 3.68 billion for FY2024, registering a 3x increase year-on-year.
Our overall customer -facing digital business grew at 29.5% in Q4 and

39.0% in FY2024 and constitutes 6.8% and 6 .0% respectively of our overall business.

Last week, we announced a strategic tie -up with Policy Baza ar. Our tie -up is aimed at leveraging the strength of the 2 institutions to create a superior customer value proposition.

After transitioning to cloud, we have continued to make significant investments on modernization of our technology platform s. Along with this, our core business and technology transformation project , “Project Orion ” is also underway. Project Orion would entail three pivotal pillars of reimagining processes with a digital -first approach, modernizing technology by shifting away f rom legacy systems and enhancing stakeholder experience through superior engagement models.

We are excited to share that we have kick -started the transformation journey with some of our preferred line of businesses and are witnessing the initiatives shaping up nicely.

We firmly believe project Orion will be a key enabler on a vision of - One IL One Team.

As we embark on the new financial year, we will focus on leveraging our multi -product, multi -distribution strategy . Through effective use of data, digital advancements and launching new products, we will maintain focus on scaling up our profit pools , while continuing to grow as One IL One Team.

Now, I would request Gopal to ta ke you through the financial numbers for the recently concluded quarter and the year.

Gopal Balachandran : Thanks, Sanjeev, and good evening to each one of you. I will now give you a brief overview of the Financial Performance of the recently concluded Quarter and Financial Year . We have uploaded the “Results Presentation” on our website. You can access it as we walk you through the performance numbers.

During the quarter, ICICI Bank acquired additional equity shares of the Company . Consequently, the sha reholding of the bank in the Company has increased to more than 50% and the Company has become a subsidiary of the bank.

Gross Direct Premium Income (GDPI) of the Company was at ■ 247.76 billion in FY 2024 as against ■ 210.25 billion in FY 2023, a growth of 17.8%, which was higher than the industry growth of 12.8%. Excluding Crop and Mass health, GDPI growth of the Company was at 17.1% which was higher than the industry growth of 14.8% in FY 2024.

o GDPI of the Company was at ■ 60.73 billion in Q4 FY 2024 as against ■ 49.77 billion in Q4 FY 2023, a growth of 22 .0%. This growth was

higher than the industry growth of 9.5%. Excluding crop and mass health, GDP growth was at 22 .0%, which was again higher than the industry growth of 13.8% in Q4 FY 2024.

Our GDPI growth d uring FY 2024 was primarily driven by growth in the preferred segment s. The overall GDPI growth of our property and casualty segment grew by 14.7% at ■ 68.51 billion in FY 2024 as against ■ 59.73 billion in FY 2023.

On the retail si

de of the business, GDPI of the Motor segment was at ■ 96.34 billion in FY 2024 as against ■ 85.82 billion in FY 2023, registering a growth of 12.3%.

o The Advance Premium was at ■ 33.30 billion at March 31, 2024 as against ■ 33.04 billion as at December 31, 2023 .

GDPI of the Health seg ment was at ■ 61.71 billion in FY 2024 as against ■ 47.82 billion in FY 2023, registering a growth of 29.1%.

o Our agents, which included the point -of-sale distribution count was at 1,28,411 as on March 31, 2024, up from 1,25,088 as on December 31, 2023.

Durin g the year, we witnessed catastrophic events, namely Cyclone Biparjoy, North Indian floods and Cyclone Mich aung. Resultantly , combined ratio was 103.3% for the full year FY 2024 as against 104.5% for FY 2023. Excluding the impact of these CAT losses of ■ 1.37 billion for

the full year, the combined ratio would have been at 102.5%.
o For the quarter, Combined ratio was 102.2% in Q4 FY 2024 as
against 104.2% in Q4 FY 2023.
Our investment assets rose to ■ 489.07 billion as at March 31, 2024, up
from ■ 468.67 bil lion as at December 31, 2023. Our investment leverage
net of borrowing was 4.09x as at March 31, 2024 as against 4.11x as at
December 31, 2023.
Investment income was at ■ 35.26 billion in FY 2024 as against ■ 29.77
billion in FY 2023. On a quarterly basis, i nvestment income was at ■ 9.3
billion in Q4 FY2024 as against ■ 8.17 billion in Q4 FY2023 .
Our capital gains, net of impairment and investment assets, stood at ■
5.51 billion in FY 2024 as compared to ■ 4.53 billion in FY 2023. Capital
gains, net of impairment and investment assets stood at ■ 1.56 billion in
Q4 FY 2024 as compared to ■ 1.59 billion in Q4 FY 2023.

Our Profit Before Tax grew by 21% at ■ 25.55 billion in FY 2024 as against
■ 21.13 billion in FY 2023, whereas Profit Before Tax grew by 21.9% at ■
6.98 billion in Q4 FY 2024 as against ■ 5.73 billion in Q4 FY 2023.
Consequently, Profit After Tax grew by 11% at ■ 19.19 billion in FY 2024
as against ■ 17.29 billion in FY 2023. Excluding the impact of reversal of
tax provision in Q2 FY 2023, Profit After Tax grew by 19.8% in FY 2024.
PAT grew by 18.9% at ■ 5.2 billion in Q4 FY 2024 from ■ 4.37 billion in Q4
FY2023.
The Board of Directors has proposed a final dividend of ■ 6 per share for
FY2024. This payment is however subject to approval of sha reholders in
the ensuing Annual General Meeting of the Company . The overall
dividend for FY 2024 including the proposed final dividend is ■ 11 per
share. Last year, the overall dividend was ■ 10 per share.
Return on average equity i.e ROAE was 17.2% in FY 2024 as again 17.7%
in FY 2023. Return on average equity for the Q4 FY 2024 was 17.8% as
against 17.2% in Q4 FY 2023. Solvency ratio was at 2.62x at March 31,
2024 as against 2.57x as at December 31, 2023, continue d to be higher
than the minimum regulatory requ irement of 1.5x.
As I conclude, I would like to reiterate that we continue to stay focused on
driving profitable growth, sustainable value creation and safeguarding
interest of policyholders at all times.
We would like to thank you all for attending this e arnings call and we'll be
happy to take any questions at this point. Thank you.
Moderator: We will now begin the question -and-answer session. The first question
comes from the line of Shreya Shivani from CLSA. Please go ahead.
Shreya Shivani: I have three questions, sir. First is on the overall growth outlook. So health
book for us has done quite well since past two years; since FY 2022, the
growth has been north of 25%, 30%, 40%, right? So, expecting some
moderation in growth going ahead, what will be the k ey drivers for growth
in FY 2025-26, which segments would be driving majority of the growth
and how much higher than industry growth can we deliver in the years to
come, given that in the

Motor segment, though there has been an
improvement and discipline ha s come in, but it's still quite a high
combined ratio for one to expect us to grow very fast in the Motor
segment. So that's my first question on key growth drivers and how much
faster than industry can we grow in FY 2025-26. Second is on the Motor
TP segme nt. Looking at the reserving triangles for the Motor segment, TP
segment specifically, so there has been a much higher reserve release in
accident year '18, '19, '20, I mean the trend looks much better than the
prior year trend. So how should we read this data -- does this also

significantly add to your FY 2024 loss ratio improvement on YoY basis
apart from more new cars being sold? Third question is on the combined
ratio, we've done quite well on the combined ratio side, for the fourth
quarter that has gone by much better numbers over there. So going
ahead, what is our guidance on combined ratio? And one question that I
had also asked at the analyst meet about considering natural calamities
as business as usual going ahead, does that change our combined rati o

guidance in anyway?

Gopal Balachandran : On the first one, if you look at it from an overall market perspective, as we have always been saying, we have always been looking at this business in the context of being a multi -product, multi -distribution setup. And therefore, to that extent, different segment of businesses present opportunities for growth, maybe at different points of time an d hence to that extent is where we have been able to put in place a model by which we are able to leverage the growth pote ntial. In that context , when you look at the overall year gone by, we have been able to have an outperformance relative to the market growth. And if you look at in terms of how we are heading into the next year, there's a lot of positive momentum that we see from an overall market perspective as well .One , of course, the slew of regulatory reforms that we spoke as a part of the introductory remarks, that augurs well both from a market standpoint and even from the opportunity that it gives for ICICI Lombard , it's very, very positive.

Second, if you look at the thrust that the government is putting on in general, looking at significant thrust of infrastructure development, that obviously presents a lot more opportunities on multiple segments of businesses, whether you look at it in the commercial line space, maybe for example, thrust on engineering projects to begin with. Obviously, , it aids in logistics, transportation to again look at growth profitably, and more import antly, it is also expected to lead to, let's say, highe r number of jobs. And therefore, as I said, augurs very well in terms of the opportunity that one sees. Sp ecific to your point on health, as we have always said even in the past, the opportunity that one sees in the market, if you look at few years back, the market was significantly stressed in terms of the loss experience and more importantly whether you look at it from a combined ratio standpoint. Given that some of the players are a lready looking at reversing some element of pricing within Group Health and particularly on the Employer -employee side, it obviously augurs well and that's the reason why you see us continuing to grow disproportionately relative to the market, and even a s we head into FY 2025, we believe health for the industry as well will continue to be by far the one of the fastest growing segments. And within that even for ICICI Lombard, we see an opportunity on Health, both in the Group Health as well as in the Retail Health segments. Whether the growth will be continuing to be at 25%, will it

slightly get moderated? We will obviously w

ait for things to evolve. But honestly, as we have said even in the past, I don't think from a market perspective, we will continue to see prolonged periods of 25% to 30% growth f rom an industry standpoint. So that's something that we will obviously watch for.

The second question on yours in terms of the Motor third-party reserving triangle, it's good that the market is starting to look at the triangle disclosures from an overall market perspective. That again augurs well, because then every Company is being moved to appropriate level of scrutiny from a market perspective and hence, it again augurs wel l from our overall market discipline. In terms of some of the releases that you spoke about, if you ask us, the way I would respond to it is, is there any change in the approach of our reserving philosophy, the approach has not changed. And in line with wh at we have been speaking even in the earlier quarters, the way to look at on the third -party book as you rightly mentioned , is more on an annual basis. And in fact if you recollect even last time in the quarter's earnings call, we did speak about the range within which we see the loss experience play out for Motor as a category. And just to refresh that, we had said Motor own damage loss experience is something that we see in the range of 60% to 65% and Motor third-party as a segment we had said we would be operating at a range between 65% to 70%. And both of that blended is where we had said Motor as a category would run in th at range of 64%, 65%. And if you look at the full year numbers both on Motor own damage as well as on Motor third-party, broadly the outcome of the book that we have been able to underwrite has been within that range that I just refreshed. Having said that , one of the key deliverables that we would obviously watch for which we put as a part of the introductory remarks is on Motor third-party pricing. Now as we speak, statement of fact is we have not seen the price change. So we will watch for developme nt in that space and therefore the risk selection will continue to be driven by some of the factors that we see as we speak in terms of no price increase thus far. So hence we will be guided more by that in terms of how we see the opportunity. The range of loss experiences is a function of what I mentioned. Your last point on combined ratio .

Sanjeev Mantri: The Q4 numbers on the combined ratio which leads at 102.2 % and thereabout. The overall commentary in terms of what we have spoken tailwinds available, sector al reform which are being initiated by the regulator , we see a play and we do see that we can have overall 50 basis improvement further to what we said we will achieve as a team by Q4 of next year. But again, we will keep revisiting and absolutely we'll ke ep communicating, but we do see green shoots and that an improvement can come in overall for us as an entity.

Shreya Shivani: So what you're saying basically by FY 2025 we were targeting 102 %, that can be 50 bps lower at 101.5 % unless there is some other? And what about the catastrophe events, are we still watching it or have we come to a conclusion on how we should be dealing with?

Sanjeev Mantri: Gopal also in the past has been mentioning that the frequency of catastrophic eve nt on an annual basis has increased and do we factor that when we speak about it? Yes, there is a level of factoring, but like last year was an exceptional one which was more than the factoring and that's why we keep stating in terms of what would have hap pened if those CAT events would not have been in terms of quantum . We are in the business of writing risk at a fundamental level, do we watch, do we factor, all of that is part of the process, but the extent of the event is something which we all await. We will keep

you updated on that part, but there is some element which obviously is b aked in when we see that we are overall expecting an improvement of 50 basis points.

Moderator: We have the next question from the line of Sanket h Godha from Avendus Spark. Please go ahead.

Sanketh Go dha: I have two key questions. One question is with respect to the regulation. My understanding of that new obligation norms on Motor TP seems to be more stringent than it was in the previous regime. So just wanted to understand whether we would be confident to fulfill the obligation of Motor TP in the new norms, is the point we wanted to understand and how we will achieve it? Second strategy question which I want to understand is that you have highlighted about One IL. But if you want to quantify the number , due to One IL, what are the synergies you are expecting to see either in the form of GDPI growth because you are now aligning agents across the business segment or distribution across the segments, so you expect synergies, and quantify the number in terms of GWP, additional GWP or maybe an additional improvement in the expense ratio because of these synergies? Lastly on data keeping, if you can share Retail and Group Health loss ratio? Gopal, if there is no TP price hike, are you still confident that 65 to 70 Motor TP loss ratio is achievable or not?

Sanjeev Mantri: So I'll take the first two and then the other data that you're seeking in the last question Gopal will come in and give it to you. In terms of the new TP regulation s that have come in, see, I mean, in the insurance industry, the authority has clearly said that they are looking for insurance for all by 2047, and for that some initiation has to be done. The contours of how this will emerge for all of us still has to em erge, it's work -in progress, but that being said, we have multi -line, multi -product, well distributed franchise with so much of retail, I mean the number of TW we do as an entity is humongous . So we are present. We would definitely back ourselves to achiev e the objectives that are set by the regulators, but we wouldn’t be speculating beyond a point as to where we will be placed,

complete clarity in terms of what's expected from us. So that's point 1. Under ‘One IL One Team ’ that we have been talking about a nd really emphasizing , quantification fundamentally comes with the quarter results that you will see us announcing and we would refrain from attaching finite value because the overall performance is subject to scrutiny which we keep announcing to all of yo u. Are we excited in terms of seeing both top line and cost getting controlled in a relatively better manner? The answer is yes, definitely, and we do believe coming quarter we will accrue, but we would not be culling it out and calling that this has happe ned because of this. Overall, the efficiency of the Company will be reflected in how we perform as an entity and there are multiple other aspects that come. We may have some genuine savings. We may choose to reinvest also that. So we would not like to dwell on those aspects.

Sanketh God ha: Sanjeev, if you have a 5 0 basis points better guidance than what it was last year, so is it because of this One IL One Team ?

Sanjeev Mantri: I get where your excitement is coming from. This would be one of the contours. We have always maintained th at the industry sentiments also has to move in the positive direction. We have always maintained the fact that we would be an output of where the overall industry growth is and how our own placement is. So is this an element that comes in and binds us together as an organization? 110% an swer is yes. But to quantify from this output, this much has come because of One IL One Team will not be fair is all I'm saying. So there are multiple things. For the other two questions, I will a

sk Gopal to revert to you.

Gopal Balachandran : Sanket h, on t he health loss numbers, again, I will give you Q4 numbers first and then I will give you the full year numbers . Q4 on the GHI which is the employer -employee segment, this is for Q4 of last year, which is FY2023, that number is at 93.2%. That number for Q4 of this year is at 88.1%. And on a full ye ar basis for the same segment, the range that we have spoken about is to operate in the range of 94%, 95%. If you look at FY2023, the overall loss ratio on the GHI side was 95.2% and this year we are at about 93.7% . On Retail Health, again, just to refresh, what we have talked about ev en in the past several quarters are we are comfortable operating in the loss ratio range, which is between 65% to 70%. In that context when you look at the Q4 FY 2023 numbers, retail, which is on the indemnity side, that loss ratio was about 61%, that number for Q4 of this year is at 64.6%, and on a full year basis, last year number was 64.1% and the current year number is at about 65.4%. That's in response to your second point on the he alth loss numbers.

Your last question is whether the range that I spoke about of 65% to 70% in the context of Motor third-party. So again, that's the range that we have largely operated at. The only factor that I would say is in line with again what we have been speaking even in the past few quarters , as in to say

that, what we are seeing on ground is also maybe an increased preference of the courts to start giving compensation in favor of the victims of the insured. So that's the trend that we will obviously observe. The other factor which we have again spoken of , which should be directionally positive is also this whole six months' law of limitation in terms of how that gets played out. Last year, of course, we did see some developments. And finally, as we have been saying, the matter is presently at the Supreme Court. Once the verdict comes out, we will again have to see in terms of how that gets played out on ground. So hence there are again balancing forces in terms o f ones that could possibly see or reflect an increase in the loss experience. Then it's up to us in terms of what risk selection do we do. And the second is more a positive benefit at least for ICICI Lombard from an overall RoE accretion standpoint. And hence that should aid us in terms of maintaining the loss ratio range of 65% to 70%. So there are a lot of moving pa rts. Now at this point of time we would want to stick with the 65% to 70% range and of course we will see some of these factors in terms of how that gets played out through the year.

Moderator: The next question is from the line of Nidhesh from Investec. Please go ahead.

Nidhesh Jain: First question is on IFRS. So any update what are the timelines on the expected implementation of IFRS and wha t will be the impact on our P&L

and balance sheet?
Gopal Balachandran: Again in line with what I had mentioned e ven in the last earnings call, we had said that we are pretty much progressing well in terms of doing the impact assessment, making sure that we get ourselves ready for the implementation which is effective from FY 2025-26 financial year. And even last quarter, we did say that we will come back in maybe a couple of quarters time frame. So honestly internally while we are doing all of those and also watching for the developments in terms of all the necessary guidelines and standards getting issued in the context of the IFRS transition. So therefore, at this point of time, too early to call out, but as I've always maintained, we have clearly spoken ab out three or four key areas or aspects, which is where we would likely to see the impact of transition play out in the context of IFRS. So that doesn't change , whether it is in terms

of acquisition cost, whether it is in terms of discounting of reserves, w hether it is in terms of mark -to-market and the investment book. And maybe for a few set of compa nies which have issued, let's say, stock units or stock options, so there will be an element of cost through the earnings. So those are three or four key areas where one would see an impact of the transition play o ut. Specifically, to call out, we will come back and obviously keep all of you updated in terms of where we are on the IFRS transition.

Nidhesh Jain: Secondly, in terms of solvency ratio, we are operat ing at significantly higher number versus the regulatory threshold and our ROEs have also now improved to 17% to 18%. So do you think of better utilization of capital going forward?
Gopal Balachandran: No, of course, that's obviously something that we always look for ward . one of the factors that you see, which also led to let's say, improvement in solvency and of course improvement in earnings over the last few years that’s been our approach to, as what Sanjeev has also been talking about, is to sustai n profitable growth as a theme. And hence let 's say relative to the market, we have been slightly going slow on some of the segments. And therefore , we have not been able to completely utilize the solvency capital. What we are seeing is what we put out as a part of the introductory remark which is , to say that on -ground we are seeing semblance coming back in some of the segments where we have bee n a bit cautious and therefore as we see, let's say, incremental growth play out in line with our approach to con tinue to grow as well as remain profitable. Obviously, there will be consumption of capital that one would see in terms of the way forward. And secondly, the approach or the philosophy that ICICI Lombard has always worked with is to be slightly more pruden t in terms of the level of solvency that we want to maintain given the fact that the Indian market still continues to operate on a solvency one regime. Thanks to the regulator, they have been significantly working on getting the market again transitioned t o a risk -based capital regime. Obviously, we will get to know more in terms of the firm date of transition. So hence that's something again that we will see in terms of how does that result s into so far as the consumption of capital is concerned. So, while we do see growth opportunities and hence we believe we will continue to use the capital judiciously.
Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.
Prayesh Jain: So firstly, just a clarification. When yo u say 101.5 as a CoR guidance, that is for the exit rate of Q4 of next year or it's for the full year? Secondly , on the Motor TP business on the obligation, if the share of CV goes up, do you still believe that 65% to 70% guidance can be maintained? And within that, Gopal, time and again we've seen Q4 loss ratios increased sequentially for Motor TP. Is it just because of the adverse judgments that come in Q4 or wh at is it that really gives that a loss ratio uptrend in every fourth quarter?
Gopal Balachand ran: Maybe I'll take the TP loss ratio part first. whenever there is, let's say, a possible reduction in the TP loss ratio, the questions get asked the ot her way around. I have always maintained that this is the book which is much more long tail in terms of loss development. And therefore, given the

nature of the business, you will always see cyclicality / fluctuations in the

loss experience of the book in terms of its outcome. So therefore, which is why I keep harping on looking at the numbers ideally ove r longer term, but definitely not between the quarters, look at it more on an annual basis. An

d as I keep saying, again, there are various factors that influences the loss experience of the book. Hence you will get to see fluctuations in the TP loss ratios across quarters. On a full year basis is what I spoke about in terms of trying to maintain and operating at a segment loss ratio in that range of 65% to 70%. Now, coming back to your second part of the question in terms of linked to Motor third-party is t he obligation. Now obviously the obligation is something that is applicable to industry at large and therefore as a Company , I mean, we have to make sure that we meet those obligations and I'm sure we will have in place a plan by virtue of which we are abl e to meet the regulatory expectations. the thought process in terms of where the regulator is coming out with the need to bring about this change is again very, very positive. Because the whole thought process is to try and make sure that the industry comes under the ambit of insurance, and that's very, very positive. And as an industry, if you're able to work collectively and maybe bring the larger set of, let's say, uninsured vehicles within the ambit of insurance, that to my mind is a great positiv e. And hence , we would obviously work and make sure that we're able to meet those obligations on the third -party side.
The first part on the combined ratio part, obviously, yes, directionally the length that we have ta lked about, Prayesh, is that we have been saying that directionally the trajectory for us is to bring down the combined over a period of time and obviously this has to be looked at in the context of how we see the market environment operate at which is why even as a part of the introductory remark, we did point out to say that the market is clearly showing signs of , at least from the reported numbers on a nine months basis, there is almost a 400 basis points improvement in combined , from an overall market perspective. And within that one of the key segments which has been a larger contributor of significant competitive intensity has been Motor. That's again a segment which has not just on a half yearly basis, even if you look at the Q3 numbers for the marke t, that's again shown an improvement of almost about 30 0 basis points. So which is why we say that there seems to be some a semblance coming back and that's also getting reflected in terms of the growth numbers that many of these players were exhibiting in terms of competitive aggression. Clearly, you can see a lo t many players are starting to pull back. So that gives us possibly some confidence in terms of how do we look at achieving the combined objective that we laid out. Even in the past, what we have m aintained is, if the market environment is favorable, there is no reason why we would not be able to accelerate the expectations of combined and that is why we stand, and in all fairness, we hope to achieve the thought process that we laid out from a combi ned perspective.

Prayesh Jain: For the full year, right, that's the clarification I was looking at?
Sanjeev Mantri: Probably we'll be in touch on this, Prayesh. We believe the exit overall with the 50 basis less. There are serious plans of investments also . We would continue to update as the quarters unfold because as Gopal said, these are early signs that makes us optimistic and seize the visibility of this. But there are multiple things that will unfold. As of now, in our mind, it would be probably exit b y Q4 is where we would see this and if it gets further accelerated we will come back and connect with you all by end of Q1 of this year.
Moderator: We have the next question from the line of Madhukar Ladha from Nuvama Wealth. Please go ahead.
Madhukar Ladh a: Investment yields have improved again this quarter and even if we exclude the capit

al gains, we're doing quite well. So what is the number that we should be sort of looking at in this and what is the duration, how are we driving this actually?

Gopal Bal achandran: So Madhukar, again, I'm sure you guys know far better. obviously investments have to be looked at in terms of its return profile o ver a period of time. And hence is what we keep saying is to look at market opportunities in terms of having a ble nded mix of the right asset classes between both fixed income and equity . And that's what we have been looking at over the period of time in terms of realizing the opportunity. Now, specifically to answer your point on what led to, the increase in the interest yield or let's say the overall return on the portfolio, it is in line with the higher interest rate regime that we have seen. And obviously one leverages the opportunity and even if you look at historical past in terms of what mix of our overall retu rns have been in terms of interest accruals to capital gains, that mix has broadly been on the interest accrual side in the range of 75% to 80%, and on the capital gain s side number that could range between 15% to 20%, aro und that a threshold. So hence is how we see the opportunity play out. And specifically if you look at our yield -to-maturity on the fixed income side, the yield -to-maturity currently stands at about 7.4%. And that's the opportunity that one was able to see in the market. And now can we sustain this? Obviously, we will have to wait and see how the interest rate cycle play out. There are expectations that you will st art seeing some rate reduction cycle play through at some point of time. Again, we are positioned well even to capitalize th at opportunity. But what could happen at those points is our ability to reinvest those realized flows , will obviously get invested at a lower return on the accrual side. But obviously we are well positioned to capitalize the opportunity from a capital gain s standpoint. And therefore now to answer your point on the overall range of returns that we can operate with, again, if you look at FY2023, the overall return on the realized book was roughly at about 7.5%. This number if you look at for FY 2024 was roughl y at about 7.98%,

closer to 8%. And the range, I mea n internally the range that we run with is to give a return profile between 7% to 7.5%. Now that we are almost into 23rd, 24th year of operations, the return profile has been definitely better than that p articular range. So that's the range that we woul d be comfortable with and hence is where we would like to operate at.

Moderator: We will now take the last question for today from the line of Aditi Joshi from J .P. Morgan. Please go ahead.

Aditi Joshi: I wanted to understand on the investment intensity in the channel. So for FY2025, what is the outlook of the investments in the channel? In terms of the intensity, are you going to increase further or just wait for the investments in the last couple of years t o fructify and then just some guidance on that will be helpful?

Gopal Balachandran: Again, if you look at, what we put out even as a part of the introductory comment is just to refresh again, we have always looked ourselves as a multi -distribution Company and therefore is how we see opportunity play out across different channels. If you ask us, would we stay entrenched with each of these channels? The answer is a clear yes. so far, as we see new Motor vehicle sales gaining momentum and therefore , obviou sly, we will leverage on the access/partnerships that we have been able to create historically of working with OEM more importantly the dealership touch points. And that's the reason if you look at across the years , the proportion of dealership access that we have had out of the total number of dealership s as a country, again, j

ust to refresh that number used to be between 50% to 55% at the time when we did our listing. Currently, we have been able to reach that number slightly upwards of 65% in terms of the total number of dealerships. So that will continue to be an important channel of distribution. Agency, which encompasses between Motor, Health, SME, has always been an area of opportunity and that's a segmen t which obviously we have been expanding a lot more. And clearly we have seen benefits of the investments play out, whether you look at on SME, the growth rates over the last several years have been very positive. Even on, let's say, I would say agency motor, that's a segment where we have talked about trying to create a balanced mix between dealership, agency and let's say ou r direct distribution. So hence , obviously, we will continue to leverage on Motor agency specifically. And in specific , since we're talking in the context of agency, Retail Health is always a positive opportunity that one sees. And that's the reason why we put out that number of the headcount that we have on our own health agency managers, which is currently at about 1,600 and we would want to continue to see expansion in that parti cular space. So you will obviously see a lot more expansion initiatives being undertaken in the context of retail health and therefore that should logically translate into an improved market share in that particular segment. While even this year, we would

have loved to have done better, but honestly, we have not been able to completely leverage the opportunity that one sees. But given the fact that we have been able to strength en our leadership team as well, one would expect a lot more to happen in terms of expanding distribution, launching new products and obviously strengthening the technology deliverables. So the agency will continue to be a very, very important channel of sourcing. And Sanjeev, in the last earning call did speak about One IL One Digital channel and therefore that will again continue to be a very, very important channel of sourcing. And if you look at just from the current year standpoint, the overall contribution of the digital opportunity that spans across, IL TakeCare, Website, Alliance partners, etc., that contribution has been almost in the range of about 6% to 7% of the over all revenues. And that's again compounding well in excess of almost about 20% year -on-year. So all in all, it is going to be a combination of all channels. There is going to be thrust of investments in each of them. If you ask me which channel by far gained the maximum traction, obviously, Retail Health is an area where we would want to significantly leverage faster. And then of course, we have the digital opportun ity that one sees and then we will continue to leverage on the other channels. I did miss one of them, which is the bank partnerships. Again that will be a very important area of sourcing. And within that ICICI Group will be a very important contribution for us. And hence we would obviously want to leverage on each of these channels of distribution.

Aditi Joshi: Can you please share your outlo ok of the health insurance pricing both in the retail segment and the group that would be helpful?

Sanjeev Mantri: It's a function of loss ratio. And as we said, we will continue to be a prudent underwriter in both the segments. Most of the industry includ ing us have taken a hike on the retail health price last year. As things stand, we would like to operate in this range and while we will obviously keep revisiting in terms of frequency as well as the loss ratio that comes along with it, but that's what ret ail health is. The group health is far more dynamic and driven by multiple factors in the market. Is it holding up? Overall, yes, there has been some sort of a discipline that continues to exist

and if that's what stays, then we would obviously stay releva nt. If it does not work out for us, we would not hesitate to move away and let go that business if it's not making sense, that clarity we have. And again reiterate that profit pools keep moving and accordingly we have to be agile as an organization, we wil l take those calls because to the best of our effort, we want to ensure that we deliver what the market is expecting with us, with the multi -line multi -product Company like us.

Moderator: I would now like to hand the conference over to Mr. Sanjeev Mantri f or closing comments. Over to you Sir.

Sanjeev Mantri: Thank you so much for joining in. It's an auspicious day of Ram Nav ami and so some of you are in a holiday. It's always a pleasure interacting with all of you. The opportunity as it stays, the momentum that we have developed, we are excited about the opportunity ahead. Look forward to interacting with you in time to come and all the best, take care. Thank you so much.

Moderator: On behalf of ICICI Lombard General Insurance Company Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Safe Harbor : Except for the historical information contained herein, statements in this release which contain words or phrases such as 'will' , 'would' , ‘indicating’ , ‘expected to’ etc., and similar expressions or variations of such expressions may constitute 'forwar d-looking statements'. These forward -looking statements involve a number of risks, uncertainties and other factors that could cause actual results to differ materially from those suggested by the forward -looking statements. These risks and uncertainties in clude, but are not limited to our ability to successfully implement our strategy, our growth and expansion in business, the impact of any acquisitions, technological implementation and changes, the actual growth in demand for insurance products and service s, investment income, cash flow projections, our exposure to market risks, policies and actions of regulatory authorities; impact of competition; the impact of changes in capital, solvency or accounting standards, tax and other legislations and regulations in the jurisdictions as well as other risks detailed in the reports filed by ICICI Bank Limited, our holding company with the United States Securities and Exchange Commission. ICICI Bank and we undertake no obligation to update forward -looking statements to reflect events or circumstances after the date there.

Call: Jul 2024

ICICI Lombard General Insurance Company Limited

IRDA Reg. No. 115 CIN: L67200MH2000PLC129408 Toll free No. : 1800 2666
Mailing Address: Registered Office: Alternate No.: +91 8655222666 (Chargeable)
601 & 602, 6th Floor, Interface 16, ICICI Lombard House, 414, Veer Savarkar Marg, Email :
customersupport@icicilombard.com
New Linking Road, Malad (West), Near Siddhi Vinayak Temple, Prabhadevi, Website : www.icicilombard.com
Mumbai - 400 064 Mumbai - 400 025

Ref. No.: MUM/SEC/113 -7/2025

July 25 , 2024

To,
The Manager
Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001 The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot C/1
G Block, Bandra Kurla Complex,
Mumbai – 400 051

Scrip code: Equi ty (BSE: 540716/ NSE: ICICIGI)

Dear Sir/Madam,

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure R equirements) Regulations, 2015 - Transcript of earnings conference call for the quarter ended June 30 , 2024

This is further to our letter dated July 9, 2024 and July 19, 2024, please note that the Company had host ed earnings conference call wit h investor(s) and analyst(s) on Friday, July 19, 2024 to discuss the per formance of the Company for the quarter ended June 30, 2024.

In this r egard, please find attached transcript of earnings conference call with investor (s) and analyst (s) for the quarter ended June 30 , 2024.

The above information will also be made available on the Company's website at www.icicilombard.com .

You are requested to kindly take the same on your recor ds.

Thanking you.

Yours Sincerely,

For ICICI Lombard General Insurance Company Limited

Vikas Mehra
Company Secretary

Encl. As above

ICICI Lombard General Insurance Company Limited
Q1 FY2025 Earnings Conference Call
July 19, 2024

Management:

MR. SANJEEV MANTRI – MD & CEO
MR. GOPAL BALACHANDRAN – CFO
MR. ALOK AGARWAL – EXECUTIVE DIRECTOR
MR. ANAND SINGHI – CHIEF RETAIL AND GOVT BUSINESS GROUP
MR. SANDEEP GORADIA – CHIEF CORPORATE SOLUTIONS GROUP
MR. GIRISH NAYAK – CHIEF TECHNOLOGY & HEALTH (UW & CLAIMS)
MR. GAURAV ARORA – CHIEF UNDERWRITING AND CLAIMS – PROPERTY & CASUALTY

Moderator: Good evening, ladies and gentlemen. A very warm welcome to ICICI Lombard General Insurance Company Limited 's Q1 FY2025 Earnings Conference Call.
From the Senior Management we have with us today Mr. Sanjeev Mantri – MD and CEO of the Company , Mr. Gopal Balachandran – CFO , Mr. Alok Agarwal – Executive Director, Mr. Girish Na yak – Chief Technology and Health Underwriting and Claims , Mr. Sandeep Goradia – Chief Corporate Solutions Group, Mr. Anand Singhi – Chief Retail and Government Business and Mr. Gaurav Arora – Chief Underwriting and Claims – Property and Casualty.
Please note that any statements or comments made in today's call that may look like forward looking statements are based on information presently available to the management and do not constitute an indication of any future performance as future involves risks and uncertainties which co uld cause results to differ materially from the current views being expressed.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you nee d assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.
I now hand the conference over to Mr. Sanjeev Mantri – MD and CEO – ICICI Lombard General Insurance Limited. Thank you , and over to you, sir.
Sanjeev Mantri: Thank you. Good evening to each one of you. Thank you for joining the Earnings Conference Call of ICICI Lombard General Insurance Company Limited for Q1 FY2025.
Let me give you a brief overview of the industry trends and developments that we have witnessed in the ensuing months. Post this, our CFO, Mr. Gopal Balachandran will share the financial performance of the company for the quarter ended June 30, 2024.

During the financial year 2 024, the Indian economy surged by an impressive 8.2% , which is better than the expected growth of 7.6%, maintaining its position as the fastest growing major economy globally.

During Q1 FY 2025, the key high frequency indicators such as toll collection s, GST receipts and E -way bills continue d to remain buoyant. Manufacturing and construction sector s showed strong activity and PMI data also highlighted robust demand and strong export orde rs. However, global geopolitical tension and uneven distribution of domestic monsoon can be a key risk to th e ongoing growth momentum.
Now talking about the auto industry, during the quarter, we have seen decent growth in the wholesale numbers as reported by SIAM with private car growing at 3.0%, two -wheeler at 20.4% and CV at 7.8%. This entails approximately 1 million private cars, 5 .0 million two - wheelers and 0.4 million CV 's being sold during the quarter. However, the retail numbers as reported by FADA has seen muted growth for private car at 2.5%, two-wheelers at 12.6% and CV at 6 .0% for Q1 FY2025 .
Despite relatively lower retail sales during the quarter[1], we expect the onset of the festive season in the coming months to augur well for auto industry.
Health insurance as a segment continues to be driven by under penetration in the retail health business coupled with enhanced awareness. In the last 5 years, health as a segment is growing more than 20% CAGR and we expect this trend to persist for FY2025.
The Commercial lines of business grew by 10.3% during the quarter. Fire line of business continued to witness pricing pressure due to impact of discontinuance of IIB rate s. However, with better awareness of new age risk s and continued govern

ment focus on infras tructure
development and related capital expenditure, the commercial line business is expected to do well in coming quarte rs.
Overall, from an insurance industry standpoint, we see a significant convergence with macro and micro factors supporting the growth.
Coming to the performance of the General Insurance (GI) industry, it delivered a year on year Gross Direct Premium Income (GDPI) growth of 13.3% for Q1 FY2025. Ex -crop and mass , GDPI for the industry was at 14.8% for the same period. We have seen Q1 FY 2025 growth being sequentially better than Q4 of last year and we expect this trajectory to continue in the coming quarte rs.

1 FADA

Overall, the combined ratio of the industry was at 112% for FY2024 as against 115.8% for FY2023. For motor, the combined ratio was 118.5% for FY2024 as against 121.1% for FY2023. While there seems to be some improvement in the overall combined ratio, with no motor TP rate hike and the Motor combined ratio for the industry continues to remain under pressure.
In our previous call, we discussed the series of regulations prescribed by the authorit y. The regulatory environment is becoming more cohesive , and recently , the authority has issued various circulars including master circulars on health and general insurance respectively. These developments are expected to augur well for policyholders and the industry over the long term.
Now I will speak about the business impact for us in Q1 FY 2025.
The company's GDPI grew at 20.4% during Q1 FY 2025 which has been higher than the industry growth of 13.3% during the same period.
Let me now touch upon our performance in key business segments during the quarter.
■ In the Commercial line s segment during Q1 FY 2025, we grew at 9.7%. We continue to maintain leadership position in segments such as Engineering, Liability and Marine Cargo.

As mentioned earlier , while the Fire segment has seen pricing pressure, the inherent growth continues to remain intact. Despite the head winds , we have maintained our market share in the Fire segment. We remain vigilant in terms of risk selection and will continue to monitor development in the coming quarte rs.

In motor for Q1 FY2025, we registered a growth of 26.3% vis-à-vis industry growth of 12%. We continue to harness our strong capabilities in this segment across distribution, underwriting, claim s servicing and actuarial practices. The overall growth in the motor segment was aided by strong growth in the old business.

The new private car business grew at 13.4% is as against SIAM volume growth of 3%. Two-wheeler segment registered growth of ~21% in Q1 FY2025 in line with the SIAM volume growth . While the new CV segment grew b y 20.3% as against SIAM volume growth of 7.8% during the same period.

During the quarter, we have continued to maintain a balanced portfolio with private car, two -wheeler and CV mix at 51.5%, 26% and 22.5% respectively.

We also c ontinue to build efficiency in M otor claims. In Q1 FY2025, we were able to s ervice 69.9% of our Agency and D irect claims to our Preferred Partner Network (PPN) , up from 56.3% in Q1 FY2024 .

With the de -notification of tariff wording s and the operational guidelines of m aster circular, we expect new er product opportunities in the motor segment, which will enable the segment to expand further. We are excited to share that we have recently introduced long -term product for private car and two -wheeler segment.

We stay positive on the motor segment and are leveraging our multi -distribution strategy to drive growth across channels, which e

nables us to sustain market leadership in the segment.

■ The health segment grew at 28.5% in Q1 FY 2025 again st the industry growth of 16.6%.

In the Group - Health Employer -Employee segment, we grew at 31.1% in Q1 FY2025. The change in the underlying industry pricing sentime nt resulted in customers moving towards insurers with superior servicing capabilities, helping us to build this portfolio.

For the first couple of months during the quarter, Retail Health business grew lower than our expectation. However, with the launch of a new health insurance solution, growth reached 14.4% in the month of June. Overall, the retail business grew at 12.6% i n Q1 FY2025 compared to the industry growth of 19 .0%.

As updated earlier, we continue to remain committed to invest, create differentiation, and provide solutions for the Retail Health segment. In this endeavor to enhance our value proposition, we recently launched a new revolutionary Retail Health insurance solution, 'Elevate ' Powered by AI. Elevate offers key add -ons such as infinite sum insured , infinite care, power booster, jumpstart, etc. These add -ons are industry first or industry best offerings. Further, the solution is backed by AI engine, which offers optimal coverage based on customer persona. We launched this solution across the country through 200+ Bandhan events, with our agency dist ribution.

■ During the quarter, with lower credit disbursement growth of our Key Relationship Partners , our BANCA business grew by 7.5%. However, ICICI Group distribution grew by 31.4% for Q1 FY2025 due to strategic focus on branch banking business. When it comes to our relationship s across distribution, we continue to deep -mine our existing relationships by creating new value streams and at the same time , focus on expanding relationship s by staying invested in this channel.

■ As mentioned in the last call , we continue to stay invested in strengthening our digital business. Resultantly, our customer facing digital business grew by 20.7% in Q1, constituting 4.9% of our overall business.

■ Our one -stop solution for all insurance and wellness needs, the 'IL TakeCare ' app, has surpassed 10.0 million user downloads till date. We registered a premium of ■ 504.5 Mn for the quarter.

■ As far as servicing our customer is concerned, we continu e to leverage solutions such as :-

o Cloud -based calling for motor claims, which has enhanced our customer experience by allowing direct interaction with the assigned claim manager, bypassing the need for the Interactive Voice Response (IVR) system s at call cente rs. This advancement has provided them immediate clarity on claim s process , current status, and prompt resolution for their inquiries.
o Our clients are increasingly embracing the self -service capabilities of our chat-bot RIA, which provides assistance across all our digital customer interfaces. The utilization of RIA for c hecking health claims status, and downloading policy copies have doubled in comparison to the previous year.

During our previous call, we spoke about "One IL One Team" vision. As a part of this initiative, we continue to drive synergies whether in terms of One IL One Digital , One IL One Agency , or One IL One Call Center . Our collective efforts focus on the organization's goals has created tailwinds, which are driving superior growth in the recent months. We will continue to consistently leverage the power of One IL One Team through efficient systems and processes driven by our teams.

■ In our previous update, we discussed our core business and technology transformation project , 'Project Orion '. We initiated this transformation journey with our 'Health ' business and are now progressively extending these efforts to our other lines of busine

ss es.

We will remain focused on leveraging our multi -product, multi -distribution strategy. We aim to achieve profitable growth by harnessing data effectively, em bracing digital advancements and introducing new products. Simultaneously, we will continue to foster growth as "One IL One Team."
I will now request Gopal to take you through the financial numbers for the recently concluded quarter.
Gopal Balachandran: Thanks , Sanjeev , and good evening to each one of you. I will now give you a brief overview of the financial performance of the recently concluded quarter. The results have been uploaded on our stock exchanges and you will be able to see the same getting reflected on our website as well. You can access it as we walk you through the performance numbe rs.
The Gross Direct Premium Income (GDPI) of the company was at ■ 76.88 billion for Q1 FY2025 , as against ■ 63.87 billion in Q1 FY 2024. This was a growth of 20.4%, which was higher than the industry growth of 13.3%. Excluding Crop and Mass health , GDPI growth of the company was at 19.7%. Again, higher than the industry growth of 14.8% in Q1 FY 2025.
Our GDPI growth during the quarter was primarily driven by growth in the preferred segments. The overall GDP I of our property and casualty

segment grew by 9.7% at ■ 25.08 billion in Q1 FY2025, as against ■ 22.86 billion in Q1 FY2024.
On the retail side o f the business, GDP I of the motor segment was at ■ 23.69 billion in Q1 FY2025, as against ■ 18.75 billion in Q1 FY2024, again registering a growth of 26.3%.
■ The advance premium numbers was at ■ 34.56 billion at June 30, 2024, as against ■ 33.30 billion as at March 31, 2024.
GDP I of the Health segment was at ■ 23.37 billion in Q1 FY2025, as against ■ 18.19 billion in Q1 FY2024, registering a growth of 28.5%.
■ Our agents, which includes a Point of Sale distribution count, was at 1,31,021 as on June 30, 2024, up from 1,28,411 as on March 31, 2024.
Our combined ratio was 102.3% for Q1 FY2025, as against 103.8% for Q1 FY20 24.
Our investment assets rose to ■ 510.04 billion as at June 30, 2024, up from ■ 489.07 billion as at March 31, 2024. Our investment leverage was 4.14x as at June 30, 2024, as against 4.09 x as at March 31, 2024.

Investment income was at ■ 11.28 billion in Q1 FY2025 as against ■ 8.44 billion in Q1 FY2024. The investment income for Q1 FY2024 has been revised basis the recent IRDAI Master Circular dated May 17, 2024.
Our capital gains , net of impairment on i nvestment assets increased to ■ 2.84 billion in Q1 FY2025 as compared to ■1.23 billion in Q1 FY2024 .
Our Profit Before Tax (PBT) grew by 48.8% at ■ 7.74 billion in Q1 FY2025 as against ■ 5.2 billion in Q1 FY2024 .
Consequently, Profit After Tax (PAT) also grew about a similar number at 48.7% at ■ 5.80 billion in Q1 FY2025 as against ■ 3.9 billion in Q1 FY2024.
Return on Average Equity (ROAE) for Q1 FY2025 was 19.1% as against 14.7% in Q1 FY2024 .
Solvency ratio was at 2.56 x at June 30, 2024, as against 2.62 x as at March 31, 2024 and this continues to be higher than the minimum regulatory requirement of 1.5 x.
As I conclude, we remain steadfast in our commitment to driving profitable growth, creating sustainable value and safeguarding the interest of our poli cyholders at all times. I would like to thank you all for attending this earnings call and we will now be happy to take any questions that you may have. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. Our firs t question is from

the line of Shreya Shivani from CLSA.
Please go ahead.
Shreya Shivani: Sir, I basically have a question on the Motor Segment where you guys have delivered quite well, particularly in the first two months of this quarter. Some color , if you can give about, I know you have said that more growth came from old vehicles than ne w vehicles. I a m not sure if I got that right, if you can help me with that.
Second, the thing with the motor segment is that the motor TP book has seen quite a strong growth. OD is the fastest for you, but TP growth was also very strong given that competition in this segment has been de -growing. Also, the loss ratio or the reserving triangle for a lot of competition for FY2024 saw a bit of worsening. So, i s there any dramatic shift in the industry dynamics or the competitive landscape or any color that you can give to us about the motor segment? And whether we can sustain this 20 % -25% plus growth rate in the motor segment, that will be useful.

Sanjeev Mantri: Thanks, Shreya . Yes, clearly, not couple of months, I think the full quarter, the team has been able to do pretty well as far as motor segment is concerned. But look, we always maintained a very steady line that being a multi -line, multi -product company, i n that sense, we will

go where we believe there is value.
At some point in time, if we go back in time in terms of our quarter 1 , quarter 2 call last year, you had seen that we had retracted significantly because it was not making commercial sense to pursue what was going on. We spoke about the industry number s for FY2024. There is a bit of a semblance in terms of the loss ratio which is there. We see an overall industry -wide some improvement, while still it stays concerning. We were able to leverage t hat part of it.
With respect to the new and old, new sales per se, as I said, the FADA number has given a very muted number, but overall supply has increased and that should hold good in the ensuing quarter when you have festive season coming in.
For us, again, from deep mining, we were able to do a much better job on getting the old book . So you are right. Our new gr ew at around 1 6%, 17%, but the old book has g rown at almost 33%. So , that's what has given value for us as a company.
Question on the last one, I can leave it to Gopal if he wants to add something, is this sustainable? I mean, this kind of a market share gap, I don't think sustainable will be a right thing. But we will continue to stay vigilant. If there is a value on the table for us, you will see us operating with same intensity. It's not that we were not gaining market share, we were not doing what was required. We will continue doing the right things and hopefully the outcome will fall in place, but yes, on motor, overall as a segment , we continue to remain committed as an entity.
Gopal, you would like to add something?
Gopal Balachandran: Yeah, I will just add on to say that , the good news is there seems to be semblance p laying out in motor as a segment . Which is what we put out also as a part of the opening remarks, to say that directionally, the combined ratio for the industry looks to be going down almost by about 3% or 4% when you look at it on a full year basis. This is obviously a trend that we will watch for even for the su bsequent quarte rs.
And linked to this is your last question that you asked in terms of what has been the loss experience, or let's say the loss ratios for the industry, vis-a-vis what has worked out for us. Honestly, I am sure each companies will have their own approaches to write risks in the way they would want to source , and the outcome is more a reflection of the thought processes that they would have had taken in their respective

companies. So, very difficult to comm ent on the way the reserving triangle disclosures are moving for those playe rs. But at least from an ICICI Lombard's standpoint, we continue to stay prudent in our approach to reserving. And even if you recollect what we have been talking through since the last few quarters - is on motor as a category, we have said the loss ratio band at which we would be largely comfortable at , on an overall basis has been between 65 % to 67% ; and within that on own damage, we have generally talked about the loss ratio stay ing in the range of 60 % to 65 %, and third party in the range of , 65% to 70 %.
So, that's largely the loss ratio band that we have been kind of largely working with. And at this point of time, given the point that Sanjeev made in terms of our ability to go after micro segmentation and doing the right risk selection, we believe , we are pretty much poised to stay around those loss ratio bands. But obviously, it's all a function of what business mix that we write at the end of the day.
Shreya Shivani: And s ir, just last one comment . Are you guys seeing any benefit from the Motor Vehicle Act , in sense of are you seeing faster claim intimation ? Is there some change in the industry dynamics from that perspective?
Sanjeev Mantri: No, actually, Shreya, it's early days , but we do see overall on a sequential basis claim intimation on faster note than what it used to be , but can we be conclusive about it as yet ? No, but overall early signs are positive in the direction that augurs well for the industry , not only us .
Moderator: Thank you. The next question is from the line of Madhukar Ladha from Nuvama Wealth Management . Please go ahead .

Madhukar Ladha: So, a couple of things . First, you know , I know it's early days , but maybe you can talk a little bit about the health product , what's the kind of numbers that you are seeing and what are you sort of building in your mind as a target for this year ? And second , you have done very well on the investment income side . So, I am not sure whether you gave this number out or not, but what is the capital gain amount and if you can split the investment income in capital gains and normal gains ? And then in the opening remarks , you had mentioned about the numbers for private car , two-wheeler and CV . If you could just repeat the CV number , what is it for the industry and what is it for us ? So, those would be my questions .

Sanjeev Mantri: Madhukar , thanks for your question . I will speak on the health product and then I will ask Gopal to share with you the details of investment income as well as the private car and two -wheeler . Again, it's been a thoughtful process for us . We have been talking on health more from

the retail health side in a very big way . As a team we have launched this product ‘Elevate ’. Supremely excited in terms of the way it has been received by the market across channels and partners at this p oint of time.

Number wise probably we will wait till it comes to the end of the quarter 2. As you rightly said in your question itself , early days , but what I can tell all of you on the call is that, the way it has been received in terms of multiple industr y first covers that we have put across , we do see a significant traction . And as a team , all of us are very excited as to where it can take us in the health segment and yes , this should be one of the typical steps to make our journey more concrete. So, as I said in couple of calls , that our efforts on health at many times have not reflected the output. Hopefully , we are seeking through this some con vergence on that as an entity is all I can say. Now I will hand it over to Gopal to take the other two questions of you rs

Gopal Balachandran: So, maybe I will go in the reverse sequence. I will take the third one , which is relatively easier. We put that as a part of the opening remarks . Just to kind of reiterate , the mix between overall motor on private car , two-wheeler and CV , that mix is at 51.5 % is private car , 26% is two -wheelers and the CV mix is 22.5 %. To your other question on the investme nt.

Madhu kar Ladha: Sorry, Gopal. Gopal , I wanted the number of new CV growth was for the industry and what is it for ICICI Lombard?

Gopal Balachandran: What are the SIAM numbers ?

Madhukar Ladha: SIAM numbers, yes.

Gopal Balachandran: So SIAM numbers for private car, two-wheeler and CV for this quarter , private car growth was 3%, two-wheeler is at 20.4% and CV is at 7.8 %.

Madhukar Ladha: And what is it for us for the CV?

Gopal Balachandran: For us new CV growth is at about 20 %. Now coming back to your second question on terms of what is the split between the overall investment income , we called that out as a part of the opening transcript. See the capital gain numbers for this quarter is at ■ 2.84 billion. This number in quarter 1 of last year was ■ 1.23 billion.

Moderator: Thank you. The next question is from the line of Sanketh Godha from Avendus Spark . Please go ahead.

Sanketh Godha: My first question is on the reasons that led to the significant improvement or decent improvement in the Opex ratio, because if I look

outside commissions, your overall Opex has declined by 7-8% year on year. So , where this saving has come ? Is it because we have focused on old versus new vehicle ? Has that played a role in significant improvement in the Opex ratio? That was my first question . Just wanted to understand what led to it and how sustainable it is going ahead .

And the second question what I had is that when you do long term what you launche d in private cars and the two wheelers , just wanted to understand from accounting point of view , it is recognized on cash basis, or it is 1/n for other than the new TP what you write for 3 years and 5 years ?

And lastly , my question is on , you said that n on-ICICI Bank has seen a growth issue , which is even reflected in personal accident cover growth , which is declined year -on-year for the quarter. So , is it because the major bank channels like HDFC or Axis have slowed down our business ? And how do you think it to play out going ahead ? Yeah , these are my questions.

Sanjeev Mantri: So, I think , thanks , Sanketh . With respect to the Opex part that you are referring to , definitely , configuration of the portfolio has played a role. There is no doubt about it . The growth of old has definitely helped us in overall averaging of cost.

So, you are absolutely right . And besides this , even the growth in GHI which comes on a relatively lower Opex which we have grown as a business at almost 31.1 % has played a role . Some bit of crop business also has got booked on an incremental basis , but I wouldn't say that that has changed the Opex. It is largely driven by the nature of business in which it has got done .

Whether it is sustainable ? See, this is a very dynamic situation. We have a regulatory requirement that we need to manage our expense of Management below 30 %. We will stay committed at the same time to dynamically operate and ensure that the profit pools are taken care of. We would take calls that are appropri ate in the interest of the company . So, I wouldn't go and say that it's all sustainable, but some way or the other, yes, we will seek efficiency and that is the direction that we will operate on.

With respect to the long -term piece, I would request Gopal to speak . On the non -banca channel, which is non -ICICI banca channel that you are referring to, we have a larger relationship which is driven by NBFCs and the overall

unsecured part, we have seen in the market that the disbursement has gone down because of the changes in the regulations for them. That has impacted our sourcing . Else we remain very committed to this business and it has been a key value driver for us as

an organization. And as and when the overall disbursement improves, we will be there pre sent with the relationship to drive our own market share with them. And on the long -term part, Gopal , if you can just.

Gopal Balachandran: And on the second question, Sanketh , pretty much similar to the same prescription . As you rightly mentioned, whatever is true for the new private car or new two -wheeler prescription, the same prescription is what we are following with respect to the long -term motor offering that we do for the rest of the businesses as well.

Sanketh Godha: Just on the Op ex part, I just w anted to, see, I understand the ratio improvement is because of little more G HI and crop, but absolute decline in the cost is the point I was more focused on, that it declined by 7.5% to 8%. So, is it largely attributed to the fact that your retail health growth was lower and old component has increased in the motor? Just wanted to understand, if that is a strategy going ahead, then we can see such an improvement in the Op ex ratio.

Gopal Balachandran: Yeah. So, Sanketh again this is something that keeps coming to us every quarter, right , in terms of where is the directional movement on the overall expense numbe r I would again keep reiterating the fact that end of the day as an institution, what I think everyone should be largely watching out for is the c ombined ratio outcome. Because again, rightly mentioned by you, businesses obviously get impacted by different mix, different growth levels within a particular segment and each of them have obviously its own nuances and dynamics with respect to the overall cost of acquisition.

Having said that, if you look at generally quarter 1 obviously tends to be slightly lower because the relative proportion of commercial line insurances tends to be higher. So, hence to that extent , there is an element of cost of acquisition that plays out. But having said that, I think

what we have also been able to achieve is the relative efficiency and
the productivity gain on even motor as a category in terms of the top
line coming back to us at the acceptable level of cost of acquisition.
And again , the point that we made within that segment, the growth has
also largely stemmed from what Sanjeev mentioned. The old growth in
motor has been 33% plus. So, obviously as the older portfolio grows
faster, the relative cost of acquisition relatively is lower. And that's
something that we keep mo nitoring.
If you ask us what will be the directional trend that this expense ratios
will take, the only thing that we would call out to say is at all points of
time - we stand committed to staying within that threshold of 30%. Very
difficult to pull out and say what will we finally end the number with. The

endeavor is obviously to make sure that we operate within that ov erall
objective.
So, hence lots of moving parts . Very difficult to call out a particular thing
to say what has led to the overall efficiency in the expense numbe rs.
Moderator: Sorry to interrupt. Mr. Godha, may we request you return to the question
queue for follow -up questions as there are several other participants
waiting for that. Thank you so much. We will take the next question from
the line of Aditi Joshi from J.P. Morgan . Please go ahead.
Aditi Joshi: So, I have three questions. Sir, can you please help us understand on
the Group Health side, what are the competitive dynamics you are
seeing , and also in te

rms of pricing trend that was observed and your
outlook as in going forward in the coming quarters , how do you see the
health insura nce pricing both in the retail segment as well as in the
group segment , that is the employer -employee?
The second question is related to the combined ratios items. We came
up in the last call suggesting that the improvement in the combined ratio
might be faster than the previous expectations. But in the first quarter,
it was around 102% level v s 101.5% that we were expecting. So, sir,
can you please help us understand if that is what you continue to think ?
And if so, then what would lead to that faster than expected
improvement?
And then just the third question is on the, in the underwriting profit
segment -wise there was a significant improvement in miscellaneous
group and corporate. So, can you please suggest what this precisely
is?
Gopal Balachandra n: So, Aditi , I will go in the same sequence. Let me start with corporate
health . Again, pretty much similar to what Sanjeev explained on the
motor side. As a thought process, I think when markets have been quite
aggressive, we have obviously tried to take a guarded stance , but
continue d to stay invested in our distribution / servicing capabilities.
The same thought process is what we have even on the corporate
health. I think market did see signs of stress for some time, at least in
the last few yea rs. That seems to be coming back, which is why even
as a part of the opening remarks, we did call out to say that there seems
to be pricing discipline coming back, particularly from players who have
been very aggressive in writing this particular segment.
So, obviously, now the fact that let's say pricing discipline is happening
on corporate health, that obviously is giving us an opportunity, which is
why as a segment, I think we have been able to outgrow the market at

an underwriting outcome, which is to ou r liking, which also responds to
the last question that you asked in the context of , let's say , the
corporate / miscellaneous group segments in terms of the absolute
outcome on the underwriting side.
On the retail, I think obviously one keeps looking for what is the quality
of the book that we want to write. I think we stay to the loss ratio
thresholds that we have generally spoken about, which has been
around 70% numbers on the retail health. I think that loss ratio band is

something that we would obvious ly want to stay focused on and the fact that we have been able to launch this new health insurance solution will obviously aid in terms of the loss ratio outcomes that we are expecting for the rest of the year as well. And obviously , we continue to monit or the portfolio in terms of its development. We believe , we are fairly priced for the risk features that we have launched as a part of this solution. But as I said, at the end of the day, we would obviously want to see that particular segment operating in that loss ratio range of about 70%.

On the second question in terms of the combined ratio trajectory, I think what we are seeing is obviously a directional improvement in the way we have been able to exhibit our combined ratio outcomes. But again as we keep saying, this has to be looked at in the context of the industry movement on combined. The good news is again, what we called out, at least basis public disclosure on the full-year numbers for FY2024, has been relatively better than FY 2023 by almost 4 % points improvement in combined for the overall market.

Now obviously , if this trend line continues and within that motor has seen almost again a 3 % to 4% improvement from an overall industry standpoint. If this trend line was to further continue for the rest of the year, I think we believe that we should be able to kind of sti

ck to our Q4
combined ratio thought process that we have of about 101.5 %. I think we should be able t o get to that trajectory by the end of the year. So, that's in response to the second one.

The last one, I will keep saying that an absolute underwriting outcome in itself may not mean much, particularly when you look at it in a quarterly context because as we know that whenever you end up doing relativel y higher growth, this could be across any segment, the relative cost of acquisition comes and hits you upfront . But all that we can say for sure is hence to keep looking at the combined ratio numbe rs

The good news is as I said the fact that we have been able to write a risk portfolio which is to our underwriting outcome , and hence to that extent the combined ratio trajectory for the company as a whole has been in line with what we would want to see ourselves at.

Aditi Joshi: Just a clarification . What categories come under the miscellaneous in this disclosure , please?

Gopal Balachandran: So anything which is not covered by the rest of the segments for which there is a separate disclosure that is put out, all of them come as a part of the miscellaneous segment.

Aditi Joshi: So that will include the engineering part in it.

Gopal Balachandran: Yeah, so all those separate segments that have been specifically put out in terms of regulatory prescriptions have been put out separately. Anything which is not there as a part of those separately laid out requirement , they will all form a part of miscellaneous . That is correct.

Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Sir, on the health ratio, loss ratio front, there is an increase from 78.7% to 83.6%. What is this really reflective of , are there any adverse trends that we have seen in the quarter and how should we think about this? That would be my first one.

Second is on the motor strategy , wherein you have spoken about the older vehicles' growth has been stronger. Generally, you know, OEM channel has been our strength and that generally drives our growth in the new vehicle business. So , what's different ly we have done to grow the older vehicle channel ? It's digital where we have become more competitive or it's through the agents' channel. How has this kind of come across and whether that's sustainable?

And lastly, on the motor TP price hike, with this kind of loss ratio trending, do we really envisage a price hike coming this year or even for that matter , if it sustains anytime soon, what is price hike we should work with ? Those would be my three questions.

Sanjeev Mantri: Thanks, Prayesh , for your question. On the health side , in particular, where we see relatively increased loss ratio, I think Gopal in a way also

spoke about it as to where we expect it to be around. There are two segments , which is retail health and then the other part is the group health.
But that being said, there is no denial of the fact that we have seen a relative increase in frequency which has impacted the loss ratio overall. Also, from what we are aware of, it has been at the industry level. And it is something which is witnessed acr oss is what we are understanding. Whether this trend will be secular and will be there , quarter 2 typically

has a n elevated loss ratio because of the monsoon that comes in . There are vector borne diseases , which can have an impact over on this . But for us, since we have also launched the product, which is expected to do well , I think the mix should also play out over coming quarters to help us in rebalancing our book and we remain committed to the overall health as a segment and more so on the retail hea lth, whi

ch we want to
continue to invest and grow . So, that's the first part as far as health is concerned .
On motor p er se as a strategy where it stands new and old , so it's not that the new part , which we have shared the numbers also has not done well f or us , we have done well on the new side , but it is the growth of old which has also significantly exceeded new . Both sections have done well, but definitely old has grown at double the rate of what new has grown as far as the company and that has helped us rebalancing it. Agency also has done well and other channels also from wherever we are able to source motor like broking channel has done we ll.
In terms of overall strategy , we are deeply entrenched in every single section , whether it is private car, t wo-wheeler and commercial vehicle , we will continue to explore opportunities . There is a lot of work that has been done by our actua ry as well as underwriting in terms of further micro -segmenting the market to create white spaces and see if we can do further business in that.
On motor TP hike, the last part that you have spoken about , look, I mean , this is something which comes under the regulatory requirement . We continue to pursue because at the industry level , there is still a need in some segments to see an increase and maybe there are some segments where there can be a decrease also on third party to overall rebalance the book . And it is not only for growth . It is also for us as an entity , if that pricing factor comes in since it is regulated , it will help us to further expand our market . That's what it is Prayesh from our side .
Prayesh Jain: Just clarification on moto r part. So, have we, you know , like in the last 6 to 9 months got more competitive in terms of pricing or what has been the change in the approach of ours which has , one, obviously , the industry trends have been feasible , but even from our side , what changes we have done with respect to pricing ? Does that play a role?
Sanjeev Mantri: Yes, obviously , there is an element of pricing, but we have continued to be in a similar journey to be very honest. Others have, who were far more aggressive, recalibrate d it and that gain also has accrued to us. It is not that we have gone dramatically on the price cut side . We have stayed moderate in the zone, which is what we have always been talking to each one of you. It 's just that the others who were being far

more aggressive in the market have gone ahead and taken some more of control in terms of numbe rs
So, that's where it stands. We have been consistent and also moderating whichever way we want to acquire in the market that we want to acquire, we have done what is required to stay valid in those.
Another piece which is there is the PP N network that we have started leveraging very exte nsively and today , we would be on the agency and direct side, we have got almost 70% of our claims which are being processed at the PPN network, which is the preferred partner network that we have. That drives significant efficiency also for us overall and

helps us in the motor profitability.
Moderator: Thank you. The next question is from the line of Nidhesh from Investec . Please go ahead.
Nidhesh: My question is on health insurance product. What is the underwriting process or philosophy in that product g iven that pricing is quite attractive? So , how are we controlling underwriting at the customer origination level? And what are the rejection rates for that product?
Sanjeev Mantri: So, pricing obviously is a function of our own modeling that we have done and clearly I would say that we are aware of what we are doing . Further details in terms of what is the rejection and all , I mean , honestly , we would not like to share that . But yes, the business is, since there is a decent p ull, besides we

launching this product, it does give us the leeway of underwriting what we believe will make sense and the ones which will not , we wouldn't.
So, it's at a simple level . And if you see the construct of the product which is very important, if you all have not seen it , you must go through it. It's a very modular product where the features are available as Add-on. So, it's up to the customer whether they want to pick it up and all. So, there is a risk pricing element that has got created which otherwise was not the case. So , it was one shoe fit all kind of a product which will say that this is what's available. But in this you go through a modular model. They say that this is the core which you will get, and there are features , if they suit your requirement, you must opt for it. So , it avoids mis-selling and at the same time , it allows us to price the risk appropriately.
Moderator: Thank you. The next question is from the line of Neeraj Toshniwal from UBS Securities . Please go ahead.
Neeraj Toshniwal: So, three questions. First is on the duration of the book and the things which worked well. Second is on the retentions have been given are

fewer and are lower. So , commissions should have been a little lower. Is it the motor of the mix which has come up and driving the higher commissions as in last Q1? And third is more towards today’s incident of the global IT outage. Wanted to understand any cyber insurance , from the cyber insurance risk perspective, a re we seeing any impact or how should we work the things about it? Though the portfolio might be little small , but just wanted some thoughts here.
Gopal Balachandran : Maybe I will take the last one first. So , I think , obviously too early to call out because it's like a cyclone happening and can we kind of estimate what will be the impact of losses that has hit our book. So , obviously , it will take a while for us , if at all there is any impact so far as claims is concerned. But again , just going back to the underwriting discipline, what we have tried to do from an underwriting standpoint is obviously to write and r isk select books which we think will be within our underwriting appetite .
And hence , end of the day, whatever underwriting we do , we are in the business of paying claims . And therefore to that extent , if there is genuinely a claim , and obviously to that extent , we will honor those commitments. But too early to call out , but obviously maybe in the subsequent quarter , we will be able to give you a much better update in terms of where we are consequent to this outage that one would have possibly seen.
To your first point , in terms of what is the duration of the book , the duration of the book currently is at about 5.48 yea rs This is something if you recollect, I think we have been obviously taking advantage of the higher interest rate regime over the last couple of yea rs. And that again augurs very well in terms of the portfolio interest accruals and we are well-positioned to capitalize the opportunity depending on how the interest rate cycles move in the market.
So, that's what we keep doing. It's not just in this period. I think even over years , when we have seen periods of high intere st rate regime , during those times , we have obviously tried to go long. And as possibly the cycle of interest rate starts to reverse , we have been able to see the

benefit of maybe higher realization getting accrued towards in terms of capital gains and obv iously till that time , higher interest accruals. So , that's the response to the duration of the portfolio.
On the second question , if I got you right on the commission ratios , again , as I explained earlier , I think at the end of the day what we will be largely guided by the combined ratio objective , which will obviou

sly
be a function of what is it that one sees on the loss ratio and what is it that one sees on the expense of management.

To call out one ove r the other honestly for us may not be the right thing because that's the inherent nature of the business that we are in. We are a multi -product, multi -distribution set-up, we source different type of businesses and therefore each business mix will have an outcome which will be very different. So , hence , again just to reiterate , we stand committed to the trajectory of the declining combined ratio that we have spoken about and at the end of the year , assuming the market continues to show improved trajectory , we stand committed to see a combined ratio which is Q4 FY2025 exit of about 101.5 %.
Moderator: Thank you. The next question is from the line of Avinash Singh from Emkay Global. Please go ahead.
Avinash Singh: Couple of questions. The first one, if you can help again on motor where you explain ed that share of old had gone up. How it has panned out in various distribution channels, I mean , agents, or is it gaining share from other peers at the OEM dealer point or is it something to do with the new corpora te broker or online broker t ie up you have done? That's one.
Second is, I mean, if I look at the motor third party loss ratio of 69 % for the quarter, is it just based on this quarter or is there some support coming ? Because if I see the industry, you are the only one who has in motor TP for FY2022 or FY2023, you have not taken any kind of a year TP ratio so far . So, is the 69% now getting some support from this quarter only? And if you can give some kind of idea that how, if, I mean, in the Ind AS, when reserve discount ing is allowed, how the 69% would typically look ?
Gopal Balachandran: Maybe I will take the second one and maybe I will respond to the couple of questions on TP loss ratios and maybe the related impact on the Ind AS front. Let me start with the reverse order. Ind AS for us is work in progress. And as I have been saying, even in the earlier calls, we will come back to the market at an appropriate time to talk about what exactly will be the relative impact when we transition to the Ind AS from a discounting of reserve standpoint.
But one element which I will again keep retreating is irrespective of whether it is Indian GAAP or whether it is a transition to Ind AS, the underlying economic profit of the business that we are writing is not undergoing a change. It's more a reflection of what profits you see under the current accounting prescription vis a vis let's say a change d accounting prescription . That could be the only dynamic, but the core underwriting objective or let's say the economic outcome will be something that we will be largely working towards in terms of its outcome. Specific numbers, we will wait for a couple of quarters to come back.

On the third party loss ratio, Avinash, I think again, which is why one called out at the beginning to say what is the range that one is comfortable with in terms of the third party loss ratio outcomes. But having said that, I think you are absolutely right. Does it make sense to look at the number more on a quarterly basis is something that we again keep talking about. I think , ideally all of you understand this far better. Particularly on third p arty, this is a segment which you have to look at numbers over long term. Hence, the range is something that we have talked about, a nd that's what we will possibly end up doing in terms of the mix of the business that we write within private car, two -wheeler and commercial vehicles. And that's what we keep revisiting. Forget about the numbers that we put out on a quarterly basis to all of you, internally for us, it's on an ev

eryday basis in terms of the way how we risk select portfolios between private car, two-wheeler and commercial vehicles. So, hence, I think the range, just to reiterate, on third party, what we would be comfortable is within the range of 65 % to 70 %. And obviously , the experiences on third party book has to be looked at over longer cycles.

Sanjeev Mantri: Also, on the motor in terms of the old part, as I mentioned in the previous question that was asked, our growth has been across channels. Clearly , there is no way the old can grow at double the rate of new if we don't have better retention coming from our dealer network. So , that also has played out. And that being said, even the agency as well as the website and b roking business has contributed. Bu t it is not something which is that one of the few which has delivered. It's been overall a very , very comprehensive, well -thought plan.

Again, it's a question of where we believe we are able to derive value for sourcing. If we see that o ver the coming q uarters not playing out, we may choose to stay where we are. So , these are all very dynamic calls that we have to take as an entity on real-time basis. And fortunately , as far as private car in particular, which is almost 51% of our motor book , the ability to read the own damage numbers is pretty current. And we don't have to wait to see it play out. These calls we will take on a virtually month to month basis.

Moderator: Thank you. We take our next question from the line of Supratim Datta from Ambit. Please go ahead.

Supratim Datta: My first question is on the recent I RDAI change with respect to commissions for long -term motor policies. Now, the commission limit has been done away with . So, just wanted to know your observation that how do you see this playing out in the industry and what impact could this have? That would be the first one.

The second one is, when I look at the quarterly numbers, there appears to be a provision release of around ■ 355 million. Now there was a lower kind of provision release last year in the first quarter as well. Just wanted to understand why does this keep happening in the first quarter and is there something that we need to be cognizant of going forward? That woul d be my second question .

And lastly , on the health insurance space, if you could help us understand what is the profile of customer that you are targeting with this new product and what was the retail versus group loss ratio breakdown for this quarter?

Gopal Balachandran: So maybe I will go in the same sequence. On the IRDAI recent guidelines on accounting for long term, I think at this point of time, we would not want to put out specifically in terms of what the impact could be. Primarily because at this stage, as you all know, the regulator has rightly put forth the implementation of this to be deferred for a couple of quarters and in the interim obviously industry and the regulator will work to see what finally and in which shape and form does this guid eline eventually translate into. So honestly , maybe at that point of time , once we have a finality to the way how this will get played out , is when we will call out in terms of what impact could it have on the overall book.

To your second point, Supratim , if I got you correct, this ■ 355 million provision, are you referring it in the context of any specific line item?

Supratim Datta: Yeah, it's the provision for diminutive investments.

Gopal Balachandran: Understood. All right. So , which is what I was just wanting to try to understand. So , obviously , that's again a function of what does one see. We do have our own impairment policies , which is more internal , that we have put in place. And that obviously gets assessed on a time to time basis. What effectively happens is in case if we find that a part

icular value of a stock has reached a price which we believe is right , then to that extent, obviously we take calls in terms of making an exit and whenever we take calls to exit maybe that particular stock, at that point of time, this is more an accounting reflection.

As in at that point of time, one would see a reversal of the provision for impairment happening in the quarter in which the call to exit the stock would have been taken , and correspondingly there would be an element of capital gain , as one would have possibly seen given the fact that we have seen the value of the stock reaching a price at which we are comfortable to take that call.

So, there is no unusual or specific instance that one has seen specifically happening in quarter 1 that is more coincidental than

because as I said , it's more a call that the investment as a treasury function does basis individual stock that one picks.

To your point on the last one , which is with respect to the health insurance segment in terms of what profile of customers that we want to underwrite obviously is across bands. I guess , again , if you look at the entry age of this particular health insurance s olutions that we have , that's again something that we have been able to kind of expand. I think it starts from 18 and it goes on to whichever age limit that one would want to kind of get in as a part of the portfolio underwriting.

So, therefore , the ende avor for us is not that we would want to pick and choose any particular category of custome rs. Our endeavor is , I think again what Sanjeev mentioned , I think the good part of the solution is what we want to create as an offering is something that will be more unique and personal to an individual and hence to that extent , whatever is the right health insurance solution for that customer or that individual is what we would want to recommend as a part of the solution. That's the profile of customers that one would want to write and that could cut across various age groups, that could cut across various geographies, that could cut across various limits of sum insured expectations because each customer will have its own expectations. So , that's what I would leave it with .

And finally , just on the loss ratios front , I think , again , as we have spoken , quarterly numbers again may not be largely reflective of what the portfolio experience of the overall book will be. Again , just to reiterate , the corporate health or the group health book is something that we would see on a full year basis at a loss ratio range anywhere between 94 % to 95 %. That's the range that we have spoken about even in the past and retail health indemni ty again we have spoken about a loss ratio of about 70 %.

Sanjeev Mantri: Just one last one on, obviously the target which we want to have is healthy lives . It's very difficult and I can share with you quickly, if you only write younger population, the persistency drops because they have a tendency to move away if they have some other expenses to incur.

So, it's a healthy mix of young as well as relatively older population , is the mix that we have. The idea is to overall source as much as possible healthy lives . That is the criteria that it works on . Each one of it comes with its own set of challenges.

Supratim Datta: That's absolutely fair, Sanjeev. Just one clarification . So, you have called out that the relative increase in c laim frequency within the health insurance portfolio . Now was that at a retail level or a group health level?

Sanjeev Mantri: So see, I tell you . It's important to understand whether we write group or we write retail, the unit when it comes to report sick ness is an individual customer, the mode of writing is of no consequence .

So the

elevated frequency would come at a category level, you know, whether it is individual or group. I hope you are able to understand . It's always the category that we are seeing more people falling sick . Which manner they will come, whether they will come from group or retail is part of the process of how the product of health insurance has been picked up by them.

Moderator: Thank you. Ladies and gentlemen, we would take that as a last question for today. I would now like to hand the conference over to Mr. Sanjeev Mantri for closing comments.

Sanjeev Mantri: Great . I think thank you so much for joining in and wish you all a great quarter 2 and look forward to connecting with you individually as and when you are visiting our offices . All the best.

Moderator: Thank you. On behalf of ICICI Lombard General Insurance Company Limited , that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Oct 2024

IRDA Reg. No. 115
Mailing Address:
601 & 602, 6th Floor, Interface 16,
New Linking Road, Malad(West),
Mumbai - 400064 CIN: L67200MH2000PLC129408
Registered Office:
ICICI Lombard House, 414, Veer Savarkar
Marg, Near Siddhi Vinayak Temple,
Prabhadevi, Mumbai - 400025 Toll free No.: 1800 2666
Alternate No.: +918655222666 (Chargeable)
Email: customersupport@icicilombard.com
Website: www.icicilombard.com Ref. No.: MUM/SEC/176-10/2025
October 24, 2024
To,
The Manager
Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001 The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot C/1
G Block, Bandra Kurla Complex,
Mumbai – 400 051
Scrip code: Equity (BSE: 540716/ NSE: ICICIGI)
Dear Sir/Madam,
Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of earnings conference call for the quarter and half-year ended September 30, 2024
This is further to our letter dated October 11, 2024 and October 18, 2024, please note that the Company had hosted earnings conference call with investor(s) and analyst(s) on Friday, October 18, 2024 to discuss the financial performance of the Company for the quarter and half-year ended September 30, 2024.
In this regard, please find attached transcript of the earnings conference call with investor(s) and analyst(s) for the quarter and half-year ended September 30, 2024.
The above information will also be made available on the Company's website at www.icicilombard.com .
IRDA Reg. No. 115
Mailing Address:
601 & 602, 6th Floor, Interface 16,
New Linking Road, Malad(West),
Mumbai - 400064 CIN: L67200MH2000PLC129408
Registered Office:
ICICI Lombard House, 414, Veer Savarkar
Marg, Near Siddhi Vinayak Temple,
Prabhadevi, Mumbai - 400025 Toll free No.: 1800 2666
Alternate No.: +918655222666 (Chargeable)
Email: customersupport@icicilombard.com
Website: www.icicilombard.com You are requested to kindly take the same on your records.
Thanking you.
Yours Sincerely,
For ICICI Lombard General Insurance Company Limited
Vikas Mehra
Company Secretary
Encl. As above
ICICI Lombard General Insurance Co. Ltd. October 18, 2024

ICICI Lombard General Insurance Company Limited
Q2 & H1 FY2025 Earnings Conference Call
October 18, 2024

Management:
MR. SANJEEV MANTRI – MD & CEO
MR. GOPAL BALACHANDRAN – CFO
MR. ANAND SINGHI – CHIEF RETAIL AND GOVT BUSINESS GROUP
MR. SANDEEP GORADIA – CHIEF CORPORATE SOLUTIONS GROUP, INTERNATIONAL & BANCA (ICICI GROUP)
MR. GIRISH NAYAK – CHIEF TECHNOLOGY & HEALTH (UW & CLAIMS)

ICICI Lombard General Insurance Company Limited
Q2 & H1 FY2025 Earnings Conference Call
October 18, 2024

Moderator: Good evening, ladies and gentlemen. A very warm welcome to ICICI Lombard General Insurance Company Limited's Q2 & H1 FY2025 Earnings Conference Call.

From the Senior Management Team, we have with us today, Mr. Sanjeev Mantri – MD and CEO of the Company, Mr. Gopal Balachandran – CFO, Mr. Girish Nayak – Chief Technology and Health Underwriting and Claims, Mr. Sandeep Goradia – Chief Corporate Solutions Group, Mr. Anand Singhi – Chief Retail and Government Business.

Please note that any statements or comments made in today's call that may look like forward-looking statements are based on information presently available to the management and do not constitute an indication of any future performance as future involves risks and uncertainties which could cause results to differ materially from the current views being expressed.

As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentatio

n

concludes. Should you need assistance during this conference, please signal the operator by pressing "*" and then "0" on your touchtone phone.

I now hand the conference over to Mr. Sanjeev Mantri – MD and CEO – ICICI Lombard General Insurance Limited. Thank you, and over to you, sir.
Sanjeev Mantri: Thank you. Good evening to each one of you. Thank you for joining the Earnings Conference Call of ICICI Lombard General Insurance Company Limited for Q2 and H1 FY2025.
Let me give you a brief overview of the industry trends and developments that we have witnessed in the ensuing months. Post this, our CFO – Mr. Gopal Balachandran will share the financial Performance of the Company for the quarter and the half year ended September 30, 2024.
During the Q1 FY2025, India's real GDP grew by 6.7%, primarily driven by private consumption. Moving into Q2 FY2025, the government expenditure started witnessing an uptick. GST collections continue to remain steady for Q2 and the direct tax collections are growing at a decent pace. This may provide much needed support to retail spending in the upcoming festive season. Further, a normal monsoon may help drive rural demand in coming months. Nevertheless, the current situation in the West Asia region and any substantial increase in crude prices remains a major risk for the overall economic growth.
Speaking of General Insurance (GI) performance:
The industry delivered a Gross Direct Premium Income (GDPI) growth of 7.0% for H1 FY2025 over H1 FY2024, impacted by Q2 FY2025 growth of 2.0%. However, excluding crop and mass health segments, the industry registered growth at 10.9% for H1 FY2025 and 6.9% for Q2 FY2025.

Now talking about the auto industry, growth for the quarter was muted as reported by SIAM. Private cars with higher base de-grew at 1.8% (Q1 FY2025: 3.0%), two-wheeler grew at 12.6% (Q1 FY2025: 20.4%) and CV de-grew at 3.2% (Q1 FY2025: 7.8%). This entails approximately 2.1 million private cars; 10.2 million two-wheeler and 0.8 million CVs being sold in H1 FY2025. Further, the retail numbers as reported by FADA has also seen de-growth for private car at 5.1%, two-wheeler growth at 4.7% and CV growth remained muted at 1.1% for Q2 FY2025.
The Health segment during the quarter continued to deliver double-digit growth, largely driven by Retail business registering growth of 17.7%. The growth in the group business was moderated due to pricing pressure and the health business was impacted due to relatively muted disbursement by financial institutions.
The Commercial Lines segment during the quarter was a mixed bag, with industry growth at 2%. While Fire segment de-grew at 10.7% on account of pricing pressure. However, government spends on infrastructure development and acceleration in private sector investments has spurred positive growth especially in segments such as Engineering, Liability and Marine.
The regulatory environment continues to focus on policyholder's interest while fostering innovation, competition and sustainable growth for the industry, thereby reinforcing the authority's vision of ‘Insurance for All by 2047’.
Overall, for the medium to long term, we remain positive that the General Insurance industry will continue to grow, given the favorable regulatory changes, low penetration and rising disposable income.

Now speaking of the underwriting performance of the industry, the

Combined ratio for the industry remains at 113.9% for Q1 FY2025 as against 113.5% for Q1 FY2024.
For the Motor business, the industry's Combined ratio worsened to 125.6% in Q1 FY2025 from 121% in Q1 FY2024 which can be largely attributed to the increase in the

loss ratios.
Now let me update you on the performance of Key Business Segments for us:
The Company's GDPI for Q2 FY2025 grew by 10.4% as compared to the industry growth of 2.0%. Excluding crop and mass health, the Company grew by 9.4% as compared to the industry growth of 6.9%.
■ In the Commercial Lines segment, we grew at 1.2% as against industry growth of 2.0%. We continue to maintain leadership position in Engineering, Liability and Marine Cargo segments. However, in the Fire segment, we remained vigilant in terms of risk selection while maintaining our market share.
■ In the Motor segment during the quarter, we registered a growth of 16.1% as against the industry growth of 6.2%. The overall growth in the Motor Segment during the quarter was aided by growth in old business. We continue to maintain our market leadership with robust capabilities across distribution, underwriting, claims servicing and actuarial practices.
During the quarter, we sustained a balanced portfolio with a mix of private car, two-wheeler and CV at 54.4%, 24.6% and 21.0% respectively. Our Preferred Partner Network (PPN) enabled us to

service 72.8% of our Non-OEM claims in Q2 FY2025, up from 63.4% in Q2 FY2024.
■ The Health segment grew at 12.3% in Q2 FY2025 led by Retail Health. We registered growth of 41.4% in Q2 FY2025 as against industry growth of 17.7% in the Retail Health segment. Our growth in Q2 was supported by our recently launched product ‘Elevate’. Our market share for Retail Health segment has now reached 3.5% in Q2 FY2025.
In the Group Health- Employer Employee segment, we took a cautious approach due to increased competitive intensity. Consequently, we grew by 1.0% in Q2 FY2025 as compared to growth of 34.6% in Q1 FY2025.
During the quarter, our Banca business de-grew by 2.6% due to lower credit disbursement growth in our Key Relationship Partners. Within this, ICICI Group distribution grew by 19.6% for Q2 FY2025 due to our continued strategic focus on branch banking business.
■ We continue to strengthen our Digital business. During the quarter, our customer facing digital business grew by 14.7% constituting 6.3% of our overall GDPI. Our investments in new customer acquisition strategy through website led to growth in fresh business of Motor and Health segment by 45.9% in Q2 FY2025.
■ Our one-stop solution for all insurance and wellness needs, the ‘IL TakeCare’ app has surpassed 11.6 million user downloads till date registering a premium of ■ 556.8 Mn for the quarter.
As discussed in our previous call, we continue to harness energies through the ‘One IL One Team’. Under this, one of our initiatives- ‘One IL

One Call Center’, we have consolidated multiple call centers into three specialized teams: fresh acquisitions, renewals and servicing to drive improvement in operational efficiencies and the overall customer experience. Additionally, our investments in CRM technology and AI tools have further increased productivity by high teens and improved

customer service, particularly in Retail Health and Motor segments.
In conclusion, we continue to strengthen our multi-product, multi-distribution strategy, led by our focus on product innovation, data analytics, and digital enhancements. These initiatives, coupled with the spirit of 'One IL One Team' position us well to capitalize on future opportunities and drive profitable growth.
I will now request Gopal to take you through the financial numbers for the recently concluded quarter and half year.
Gopal Balachandran: Thanks, Sanjeev, and good evening to each one of you. I will now give you a brief overview of the financial performance of the recently concluded quarter and a half year. We have uploaded the results presentation on our website. Y

ou can access it as we walk you through the performance numbers.
Gross direct premium income (GDPI) of the Company was at ■ 144.09 Bn in H1 FY2025 as against ■ 124.72 Bn in H1 FY2024, a growth of 15.5% against the industry growth of 7.0%. Excluding Crop and Mass health, GDPI growth of the Company was at 15.0%, which was higher than the industry growth of 10.9% in H1 FY2025.
■ GDPI was at ■ 67.21 Bn in Q2 FY2025 as against ■ 60.86 Bn in Q2 FY2024, a growth of 10.4%. This growth was higher than the industry growth of 2.0%. Excluding Crop and Mass health, GDPI

growth of the Company was at 9.4%, which was higher than the industry growth of 6.9% in Q2 FY2025.
Our GDPI growth during the quarter was mainly driven by preferred lines of businesses.
On the retail side of the business, GDPI of the Motor segment was at ■ 24.82 Bn in Q2 FY2025 as against ■ 21.38 Bn in Q2 FY2024, registering a growth of 16.1%.
■ The advance premium number was ■ 35.13 Bn as at September 30, 2024, as against ■ 34.56 Bn as at June 30, 2024.
GDPI of the Health segment was at ■ 15.29 Bn in Q2 FY2025 as against ■ 13.62 Bn in Q2 FY2024, registering a growth of 12.3%.
■ Our agents, which includes the Point-of-Sale or POS distribution, count was 1,33,683 as on September 30, 2024, up from 1,31,021 as at June 30, 2024.
The overall GDPI of our Commercial Lines segment grew by 1.2% at ■ 14.93 Bn in Q2 FY2025 as against ■ 14.76 Bn in Q2 FY2024.
During the quarter, the industry witnessed multiple catastrophic (CAT) events, namely floods in Andhra Pradesh, Telangana, North India, Gujarat, etc. impacting our combined ratio, which was 103.2% for H1 FY2025 as against 103.8% for H1 FY2024. Excluding the impact of CAT losses, of ■ 0.94 Bn in H1 FY2025 and ■ 0.83 Bn in H1 FY2024, the combined ratios were 102.2% and 102.7% respectively.
■ Combined ratio was 104.5% in Q2 FY2025 as against 103.9% in Q2 FY2024. Excluding the impact of CAT losses of ■ 0.94 Bn in

Q2 FY2025 and ■ 0.48 Bn in Q2 FY2024, the combined ratio was 102.6% and 102.8% respectively.
Our investment assets during the quarter rose to ■ 515.57 Bn as at September 30, 2024, up from ■ 510.04 Bn as at June 30, 2024. Our investment leverage (net of borrowings) was 3.91x as at September 30, 2024, as against 4.14x as at June 30, 2024.
Investment income was at ■ 22.52 Bn in H1 FY2025 as against ■ 18.00 Bn in H1 FY2024. On a quarterly basis, investment income was at ■ 11.24 Bn in Q2 FY2025 as against ■ 9.56 Bn in Q2 FY2024.
Our capital gains (net of impairment on investment assets) stood at ■ 5.21 Bn in H1 FY2025 as against ■ 2.82 Bn in H1 FY2024. Capital gains (net of impairment on investment assets) for the Q2 FY2025 stood

at ■ 2.37 Bn as compared to ■ 1.65 Bn in Q2 FY2024.
Our Profit before tax (PBT) grew by 31.9% at ■ 16.93 billion in H1 FY2025 as against ■ 12.84 Bn in H1 FY2024, whereas PBT grew by 20.3% at ■ 9.19 Bn in Q2 FY2025 as against ■ 7.64 Bn in Q2 FY2024.
Consequently, Profit after tax (PAT) grew by 31.7% at ■ 12.74 Bn in H1 FY2025 as against ■ 9.68 Bn in H1 FY2024. PAT grew by 20.2% for this Q2 FY2025 at ■ 6.94 Bn, up from ■ 5.77 billion in Q2 FY2024.
Return on average equity (ROAE) was 20.3% in H1 FY2025 as against 18.0% in H1 FY2024. The return on average equity for Q2 FY2025 was 21.8% as against 21.1% in Q2 FY2024.
Solvency ratio was healthy at 2.65x as at September 30, 2024, as against 2.56x as at June 30, 2024, continued to be higher than the minimum regulatory requirement of 1.50x.

The Board of Directors of the Company has declared

an interim dividend
of ■ 5.50 per share for H1 FY2025 as against ■ 5.00 per share for H1 FY2024.
As I conclude, I would like to reaffirm that we continue to stay focused on driving sustainable value creation and profitable growth while protecting the interest of policyholders at all times.
I would like to thank you all for attending this earnings call and we will now be happy to take any questions that you many have. Thank you.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Shreya Shivani from CLSA. Please go ahead.
Shreya Shivani: I have two questions. First is on the net commission rate for the quarter. It seems like it's slightly elevated when I compare it to the second quarter of last year. Could it be because of higher sales in the Retail Health segment? Have we changed our commission structure in that product or is it just because the product mix has shifted more towards that segment? That's the first question.
Second, sir, majority of the rise in the combined ratio in this quarter has been because of the catastrophic losses. So, will we still hold on to our guidance of being able to touch 101.5% as a closing combined ratio in Q4 FY25? Given that the majority is from catastrophe and in case we don't see any more surge in claims, so just the guidance around that.
Sanjeev Mantri: Yeah, I think Gopal will answer the first one and I will talk about the guidance part.

Gopal Balachandran: Yeah, Shreya, I think you are absolutely right, so far as the net commission ratio numbers are considered, it's obviously a function of the mix of business that you underwrite. And as you would have seen, our approach to writing risk as what we put out also as a part of the opening transcript was to drive profitable growth. Therefore, in that context, when you look at the mix of business, largely what we have been able to drive is profitable businesses in Motor and the Retail Health segment in specific and relative to that, our growth in, let's say, the Group Health/Commercial Lines have been relatively muted and that is clearly a factor that has contributed to the change in the net commission ratio. Also given the fact that we have also been a bit cautious on the Commercial Lines, there is also some bit of impact, so far as reinsurance commissions are concerned because the ratio is on a net commission basis. Therefore, it is a factor of both change in the business mix as well as let's say our approach to being a bit cautious on the Commercial Lines side, which is what has contributed to the net commission numbers.
To your point on have we changed anything on commission structures, the short answer is No, we keep looking for market opportunities in terms of how we want to write businesses, but at an aggregate level I

think what we stand committed is to make sure that from an Expense of Management standpoint, which includes both commission plus operating expenses, both of t hat put together, as a Company we stand committed to make sure that we are well within the limit of 30% at an aggregate level.

Sanjeev Mantri: So, overall, you are right. The CAT event in Q2 has impacted the loss ratio by 1.9% and thereabouts. Otherwise, overall the combined ratio of the Company, if net of CAT event is looked at, has shown an

improvement. In terms of the guidance, as things stand, we have no reason to change the guidance at this point of time. We very keenly will look at the industry numbers also as they come out on the Q2 and the H1 P&L. I spoke about in my own script which I said that the Q1 number for the industry has come out relatively status quo while we used to have a year on year improvement last year and that also has come o

n

account of elevated loss ratio and little bit of impact on account of expenses. We stay committed. At this point of time, we have no reason to deviate from it. We do look at the intensity in the landscape that you see in the commentary overall as to what is happening on the commercial end of business. We grew GHI business at almost 31% and thereabouts and the Q2 again you look at the numbers, we have gone down and we clearly do understand that these are all changes. The fire business has gone through a bit of a concern in terms of where the discounting has increased again. We have abstained from any wild participation and still we have been able to maintain the market share on each of these business lines. So, yes, we stay committed to that, but we continue to watch the market scenario.

Gopal Balachandran: Just to only add to that, Shreya, what we would say is, in fact, we will start seeing this impact felt from an overall market as well and if you would have seen in general given our ability to risk select- portfolios, our exposure from some of these CAT events have been relatively lower compared to the natural market share that we have had as a Company. Hence, a large part of this change consequent to the CAT losses will be reflected from a market perspective at the time of the reinsurance renewal that will start happening from the next year. So, in fact, the real impact is something that you will start seeing from an industry standpoint at the time of the reinsurance renewals which will kick in for next year.

Shreya Shivani: So, you are saying your catastrophe reinsurance will be priced worse off for us for the industry going ahead, right, because of the numbers?

Gopal Balachandran: No, I think these are events that are playing out, right? So, honestly, if you ask us, could we have anticipated, let's say, about four events coming and hitting us at an industry level in one quarter, the short answer is no. With wavering weather patterns that you are seeing across periods, honestly one will have to wait and see how this develops and then maybe as things move forward, we will be able to start giving you better insights.

Moderator: We have the next question from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: This question is on the Motor segment. So, in the last quarter, you had mentioned about the growth in new versus old. So, it would be great if you could share a similar trajectory for H1 and just an extension to that, whether, if the growth in the renewal or the older business of the new vehicle has been stronger, what are the drivers for the same that you have been able to get more growth there?

And second question would be on the motor outlook again. You mentioned in the opening remarks that the growth has been slowing down in terms of number of vehicles and whatever the outlook that we

are hearing, is that its outlook is also going to be muted in the second half. Even for festival season, the demand outlook is not expected to be great. So, what kind of growth trajectory should we anticipate for the Motor segment, especially in the H2? Those would be my questions.
Gopal Balachandran: So, Prayesh, on the first one, if you recollect what we had said in Q1, when the aggregate growth in motor for us was about 26%, at that

point of time we had said the growth in new was about 16% and the growth in renewal was roughly about 33%. Given what we had talked about as a part of this opening transcript in terms of as you rightly indicated new being relatively muted, pretty much on similar lines, if you ask us for Q2, the growth in new has been flattish and a large part of the growth of that 16% that we spoke about has been significantly aided by growth in the renewal book or let's s

ay the old book which has grown at almost about 26%. So, that's the split. This is specifically in the context of Q2 vis-a-vis what we had seen in Q1.
To your point on what's driving some of this growth, as a Company we have always been looking at, which we have spoken about even in earlier calls, while we stay invested in obviously leveraging our relative strength on OEMs/dealerships- partnerships. But at the same time, we have also been significantly investing on our agency/ other distributions as well. In that context our strength on distribution, service, use of technology, all of that is what is significantly aiding the growth in the renewal book. Plus equally if you recollect what we also talked about was to significantly move into 'One IL One Call Center' initiative, which is also what we put out as a part of the opening transcript, under which we wanted to have a significant focus as one of the streams where retentions are concerned and that is also in a big way, aiding the growth in the old book.
Sanjeev Mantri: So, on the second point on the motor outlook, you are right. The overall numbers that have come out for the industry has been muted, and there is nothing new that we are talking about. It's all over, every possible channel as to where the industry is. But I must also highlight one fact that on private car in particular, which contributes more than 50% of our portfolio as far as motor is concerned, it's on a very high base. We have

had a very secular run on private car as an industry, almost when COVID was still there and then it kind of continued for a while. So, on a very high base, if it is flattish also, it does not overtly concern us. Yes, two-wheeler has shown better numbers, but two-wheeler also had recovered only 80%-85% of pre-COVID levels while private car has moved in the zone of 130% to 140% of what it was pre-COVID peak. Commercial vehicles, mixed bag, but which can be a proxy in many ways to the industrial activity, which takes place. We do believe it can pick up in end of Q3 or maybe by Q4. So overall, yes, we are expecting single-digit growth in H2, but that itself should suffice. This also is the backdrop that as an industry we have not had much of a TP hike for almost the last three years, if I may say. It's a combined factor, but we stay committed to harness what works for us. We are excited with H2 also and the festive season has just got started. Footfalls have been high, the sales numbers are still building up, probably we will have a much better sense how the festive season goes by November mid and thereabout once the Diwali part is over.
Prayesh Jain: Just a clarification on this. You mentioned the single-digit growth that you expect in H2, is for vehicle sales or is it for the premium growth of the Motor Segment for General Insurance industry?
Sanjeev Mantri: I am talking about the vehicle sale, is what I am referring to.
Prayesh Jain: The vehicle sales?
Sanjeev Mantri: Yeah.

Moderator: The next question is from the line of Madhukar Ladha from Nuvama Wealth Management Limited. Please go ahead.

Madhukar Ladha: So, first I think in your opening remarks you mentioned that on the Motor Segment industry, combined ratios have worsened. Now, in this backdrop, I think in H1, your performance has been very good. Do you think that this will be sustainable given industry loss ratios have worsened and so how do you think this can pan out? Do you think the competitive intensity has got higher, so that's question number one. Second sir, last year we were discussing that a lot of your competition is above the 30% expense and commission ratios and is not in compliance of the EOM norms. So, is IRDAI looking to do something about it? What is the thought process of this, that may

help in getting industry combined ratios under check and we can benefit in that scenario?

Sanjeev Mantri: I will answer both of them. On the combined ratio side, when we spoke about motor, the combined ratio for the industry has moved from 121% to 125.6%, so clearly it's worsened. When you look at the loss ratio on that, the industry had in quarter one last year loss ratio of 84.5%, it's gone to 87.6% and there is an increase on the expense side also which has taken it from 36.5% to 38%.

Interesting place when you split this in PSU and private sector, clearly PSU has worsened from 134- 141%, driven by significant increase in loss ratio. Private from 115%- 118%, so that has been a movement that you have seen in loss ratios for PSU. For private sector in particular, it also in a way answers as to what ICICI Lombard can look at. It has remained in the zone of 74.2% to 75%, and there is a marginal increase in the private sector as far as expense ratio is concerned, where it has moved from 41.1% to 43.5%.

So, from the balance perspective and where IL journey can be, we stay committed and we do back ourselves on two counts. One is in terms of the selection that we are able to do as an entity, and secondly the manner in which we are able to service our customer, which is at speed and in a far more efficient manner. So, all of that in combined, we would love to probably put this across that we stay committed to where we are.

Yes, at an industry level, finally we are part of the overall operations of the business. As things stand, we would love to see improvement at the industry level also, because if that happens, it can create further niche for us and improve our combined ratio. So, that's my take, and we stay committed to take care of our motor practice. We would be agile enough to make movements between private car, two-wheeler and commercial vehicle, as it warrants in a dynamic manner at any point of time.

On the second question, in terms of what we mentioned on expense of management, yes, the data is out. It's there with the regulator. We are in no position to put a comment. We continue to pursue with them as to what strictures they will put at some point of time. There are multiple nodes and there is a lot of proactive work being done by the regulator on multiple counts, including the master circular which has come for each of the product categories. So, we do believe something is in the offing, but we are in no position to comment as to when and how this would get transpired.

Madhukar Ladha: But you definitely expect some action to bring the industry in line.

Sanjeev Mantri: From our position, we definitely will expect, but we are not the right set of people to comment as to how and when they will do it. That decision fairly and squarely stays with them. But yes, we do expect that some action will be taken by them at some point of time.

Madhukar Ladha: And one more question, finally on the Health segment. Health segment loss ratios have worsened in the first half and Q2, I know seasonally is a little bit of a weaker quarter in that respect, but is there any structural problem in the industry? Is pricing adequate? What is your sense?

Sanjeev Mantri: If we continue to monitor closely this structural problem, my answer is no. Are there challenges, which comes on account of some bit of seasonality, which leads to increase in frequency? Answer is yes. There is an element of that, that does come in. Nevertheless, the way the process works and the way the regulators care in the environment, if there are challenges, each one of us is well within the rights to seek a repricing of the portfolio. So, in an agile mode, all this can be addressed over a period of time.

Moderator: We have the next question from

the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Gopal, can you split the motor growth for the quarter and for the half into new and old and in this old, can you give a bit of color that this old is driven by the existing customers, that is, they are renewing what they bought last year with you? Or is it the business which is coming from other companies? Because compared to industry, we seem to be gaining significant share of market in this business. So, if you can give a color bit there and how sustainable it is, it will be useful to understand the future of outlook too.

The second question related to that is, that if you are doing more old in OD, then ideally the loss ratio should deteriorate in OD, but we are

seeing an improvement in H1 or quarter compared to the last year. So, just wanted to understand what is playing in our favor to see that better loss ratio in motor OD?

Lastly, on TP, I believe you guys said last time that loss ratio of 65% - 70% is the number what you need to watch out for. That's the guidance you have given and that was last year. And now it is tad below 65% for first half. Just wondering, given there is no TP price hike, whether you believe this number is still sustainable, because I am asking this question from the perspective that in last three years loss triangles, that is FY2023, FY2022, FY2021, you did not choose to take any reserve release from motor TP, so, just wondering whether this number is sustainable or not?

Also lastly, if you can give a data point, health loss ratio broken down into retail and group. That's it.

Gopal Balachandran: Thanks, Sanketh. So, I will take it in the sequence, I will start with last and go to the first. So, on the breakup of the health loss ratio, in Q2 FY2024, on the employer-employee side, was 102%, vis-a-vis that Q2 FY2025, was about 98%. On the retail indemnity, again Q2 FY2024 numbers were roughly about 66.6% and Q2 FY2025 was about 70.3%.

But again, the point that we have always maintained is, if you look at on the employer-employee side, largely we have said, the portfolio should possibly end the year in that range of about 94%-95%. This is I am referring to corporate health. And on the retail side, broadly we have talked about trying to run the portfolio at a loss ratio around that 70% threshold. So, that is what we are largely working towards, at least so far as the portfolio build-up is concerned.

Your third question on the TP loss ratio range that we spoke about, I think when I talked about at an aggregate Motor Segment level, we had said broadly the range that we are comfortable operating at is between 65%-67% and within that, we had said OD, possibly you are looking at

running between 60%-65% and third party, as you rightly mentioned, was between the range of 65%- 70%. What we also keep saying is, honestly you should keep looking at numbers more on ideally multiple annual cycles, because these are third-party books which typically runs over multiple long-term periods in terms of development. Hence, to that extent, at this point of time, we stay within that range of what we spoke about, which is motor at an aggregate level of 65%- 67%. And within that third party, we believe should broadly kind of run at a range of about 65% - 70%. That also kind of resonates with one of the other points that you rightly mentioned, which is what we are also seeing is obviously no TP price increases and therefore, to that extent, that is another factor that we will be equally mindful of in terms of how we kind of risk select the portfolios. So, that is in response to question 3.
To your point on question 2 on the OD loss ratios, I largely answered as a part of question 3, which is, the range that you see even on a ha

lf
yearly basis or even within that, if you look at on Q2, broadly that loss ratio range on own damage has been running between in that range of about 60%-65%.
But having said that, one of the things that we have been speaking about even in our earlier earnings call is, there is a lot of thrust and focus on us to make sure that we are able to significantly leverage on the service parameters, particularly on trying to see how we can manage the overall cost of claims in the context of motor specifically. Also if you remember, one of the initiatives that we spoke about driving in that front

was to leverage on our PPN network. And there again, if you would have seen, what we have tried to do is to, the proportion of claims that has got settled through the PPN network, the numbers have clearly increased.
So, all in all, pretty much comfortable with the range at which we are operating at in the context of own damage, to your point on the second one. And to your first point, I did give out the numbers of the growth between new and old. Just to reiterate, Q1 FY2025, new grew at about 16%, old book had grown at about 33%. Q2 FY2025 as I said, the growth in the new has been largely flattish, and the growth in the renewal book has been about 26%. On a half yearly basis, the growth in new has roughly been about 7% - 8%, and the growth in the renewal book has been close to about 29% -30%. So that's been the break up.
Now in terms of where is that growth largely coming in on the old side, I think, as I said, there is a significant thrust on us in terms of making sure that we are able to retain as many customers of ours and so far as the initiative that I also spoke about. But equally what we have also been able to see is some expanded market as well, which is why if you see, for example, on motor as a category where we used to possibly actually see us running at a market share of slightly less than 10%. Right now, we are at a market share of close to 11%. So obviously, we have also been accreting some of the businesses from the market as well. It's been a combination of both. But as I said, the endeavor is to try and see how we can maximize retention, particularly at times when you see some slowdown from a market perspective, then we leverage our strengths on distribution, service and technology to increase customer retention.

Sanketh Godha: Gopal, just a follow-up. Can you give a trend last year on how was our retention and what is today in motor, just to give a colour, whether it is driven by our own book?
Gopal Balachandran: So, on an average, what I would say, Sanketh, is if you look at it from a motor standpoint in general, and I am largely just confining to private car and two-wheeler as categories. On an average, I would say we

would have seen an increase in retentions ranging between 2%-4%. That's the increase in retentions that one has seen. And the same trend line while you are talking in the context of motor, just to possibly expect a follow-on on the health side as well.
I think even there, what we have seen is obviously a slight uptick, where retention numbers are concerned, pretty much around similar ranges. So, as a Company, we believe there is a lot that we can do so far as retaining the customers are concerned and to that extent is where we are driving a lot of our initiatives now.
Moderator: The next question is from the line of Aditi Joshi from J.P. Morgan. Please go ahead.
Aditi Joshi: Just two questions from my side. Firstly, on the investment leverage side, I see that the first half investment leverage was slightly downward. So, can you please help explain the reason behind that? And going forward, what do you think of investment leverage trend?
Secondly, on the retention side, premium

retention, it was slightly on the higher side. So, I just want to understand your strategy going forward. Will you plan to retain more on your books or how are you thinking about it? That's all.

Gopal Balachandran: Again, I will go in the reverse sequence. So, if you look at the premium retention, as I said, it's largely a function of the change in the business mix. As I outlined at the beginning, in Q2, our sourcing on the Commercial Lines have been relatively muted, where we typically have a slightly higher reinsurance and therefore to that extent retentions are lower. And given that we were cautious, that book has grown at a relatively slower pace. Compared to that, we have seen a significant uptick on both the retail lines, which is both retail health as well as our motor lines of businesses. Both of which predominantly we end up retaining pretty much everything on the net account. So hence, to that extent is where you would have possibly seen a slight uptick as far as the premium retentions are concerned.
To your point on what can we expect going ahead, purely very difficult to comment on a number because it all depends on how we see the momentum play out in terms of different lines of businesses. But if you ask us, is there any change in the thought process in terms of retention versus reinsurance? At this point of time, obviously there is no change in stance. But obviously, we will take it as we play through once the discussions for the reinsurance programs happen at the beginning of Q4 of maybe the next calendar year beginning. So, that is where we are on premium retention.
To your point on investment leverage, we have put that in the opening transcript, in the context of the market being a little slow, particularly in Q2. If you would have seen, as I said, industry grew at about 13%, we grew at 20% in Q1 vis-a-vis that market grew at about 2%, or thereabout in Q2, and we grew at roughly at about 10%. So, to that extent, the fact that there has seen a relative slowdown in growth, that obviously acts as a factor where investment leverage is concerned.

Secondly, in general, if you would have seen the trend line, Q2 over Q1, generally the investment leverage seems to show a declining trend. And this trend starts to reverse as we head into the festive season or maybe Q3 where you will start seeing a lot more collections play through. Hence, to that extent is where we are. On a normal trajectory, I think broadly what we should say is, we have talked about trying to maintain investment leverage around 4x. That's broadly the trend line that one should expect. But in a particular quarter, you can always see some of these aberrations.
Sanjeev Mantri: And then also one more thing just to add is, mathematically speaking, if

your growth of profit is higher than the growth of investment, there can be a bit of a denominator that will come out, it should get moderated with cash flows over time.
Moderator: The next question comes from the line of Nidhesh from Investec. Please go ahead.
Nidhesh: Sir, my question is on Motor TP. In Motor TP, last three years, there is no price hike and because of which, the loss ratio in the segment should ideally be going up. Also some of the companies, I think, are also going slow in Motor TP. So, what is giving us confidence that the business that we are underwriting is of appropriate quality in terms of profitability?
Sanjeev Mantri: So, Nidhesh, yes, there has been no hike and I spoke about that just some time back. The configuration in terms of how our book is placed, the contribution of commercial vehicle is around 21%, and we always say it will remain in the range of 18% - 19% to 23% - 24% is what we expect the commercial vehicle is, which is the bare minimum. We are m

ore driven by private car and two-wheelers. So, there is a mix and selection that comes into play. Clearly yes, industry would love to see

certain categories increase on the third-party premium and we continue to be in discussion with the regulator and all the other authorities who are involved in that. But we stay committed to our process of selection. The rigor which we go through, even in times when industry was doing extremely well in certain categories, we had let go and had shown a declining trend. So, we have stuck to our course and the reason to believe that we should be able to play it out the way we have been giving our numbers. That's all I can say at this point of time.
Nidhesh: The 60% loss ratio that we are showing on Motor TP, is it a function of decline in accident incidents? So, this number looks pretty good, so what has led to that? How we are able to deliver this number? Is it our underwriting or it is a structural decline in incidents of the accidents? Or it is the benefit of Motor Vehicle Act that we are setting now?
Gopal Balachandran: Again, Nidhesh, we have reiterated this even in our Q1 earnings call. Particularly in the last piece in terms of are we factoring in any element of a benefit in the context of the likely implementation of the six month rule, the short answer is no. So, at this point of time, we are not necessarily factoring in anything in the context of reserving at least so far as the law of limitation is concerned. But if you ask us, insofar as the third party is concerned, as I keep saying, you should ideally start looking at this number over longer cycles because of the inherent nature of the business in terms of how the loss development takes place and that's the reason why we said generally at an aggregate level, the range that we are comfortable operating at is between that 65% to 70% threshold. Even the point that Sanjeev made in terms of our mix of business, there if you would have seen a large part of our third party is significantly also contributed by the relatively higher mix that we have on private car and two-wheelers relative to let's say the exposures that

one has so far as the commercial vehicle segment is concerned. So, hence that's also a factor that plays out.
Also, in general, I think what we have also been able to do not just now, over periods, we have been able to significantly work on making sure that we are able to identify pockets, which we believe are viable from an underwriting standpoint and to that extent, that aids in risk selection. Also, if you also remember even within CV, while I said we have been underweight, the call that we took if you remember almost about 4-5 years back, is to stay invested in the segment where we think there is an opportunity, we would possibly take those calls in possibly earmarking some capital on doing the right risk selection. And in the hindsight, we have actually seen some of these calls play out to our

advantage.
So, all in all, multiple factors that are aiding, but as I keep saying, we just want to reiterate, the range that we are comfortable operating is between 65% to 70%.
Nidhesh: Last question on two-wheeler. In two-wheeler, the sector growth has been reasonably strong, but our share of two-wheeler business on a year on year basis has declined from 28% to 25%. So, what is happening there?
Gopal Balachandran: So, that is primarily the mix, Nidhesh. Again, as we keep saying, it is all a function of how you see the market play out. Let's say, for example, Q3 typically the cycle could again undergo a change once you see some of the demand picking up. So automatically, you will see the mix of business within motor undergoing a change. So, all in all for us, there is no specific change in thought processes.

Sanjeev Mantri: No, I will just add to this. So, the decline of 28% to 25% which you are referring to Nidhesh is more the configuration. We haven't lost market share in two-wheeler, but we have gained more in private car at a faster pace. So, that changes the percentage distribution of our business. Otherwise, motor overall, if you look at it, and which is a bigger number to see, we move from a 9.8% kind of a market share to almost 11%, which is 10.9%. So, there is an overall gain. And in that journey, whichever way the configuration comes out, it's more driven by output of percentages of portfolio distribution, not that we have lost anything in two-wheeler.
Moderator: The next question is from the line of Jayant K from Jefferies. Please go ahead.
Jayant K: Just a bit on the renewal book, can you help us understand how the renewal rates across the segments within motor have been trending, and how much has improved over the last, say, one or two years, and maybe even the last two quarters, is that contributing to the renewal growth?
Gopal Balachandran: So, Jayant, I think I already answered that. I don't think we are talking specifically in the context of specific sub segment within motor. All that we can talk about is to say that at an aggregate level, motor as a category, we have seen an improvement in retention broadly increasing between 2% to 4% and that's what I also referred to helping us relatively grow our proportion of the old business, the breakup of which I had given in response to one of the questions.
Jayant K: And do you expect this to continue improving from here, I mean, basis the efforts that you guys are taking on improving the renewals?

Gopal Balachandran: The short answer is yes, Jayant, because I think one of the other points that I spoke about is our increased thrust that we are putting on customer service. Also, if you see one of the other things that we keep talking a lot about, which is also there in our annual report and even in multiple of our disclosures that we have made is clearly at least as far as customer satisfaction score/ NPS scores are concerned, it is only seeing an uptick, and that automatically in some sense aids customers to stay hooked, as far as retentions are concerned. So, hence, to that extent, that's definitely a factor and the fact that we are also able to divert maybe a lot of our customers where the Preferred Provider Network is concerned, where also the customer is concerned, they are assured of clearly two things - One, it helps in the managing the overall average cost of claims, and two and more importantly what we are able assure the customer there, is the quality of repair, and the relative turnaround time that we are able to exhibit, so far as servicing those claims are concerned. So, that is exactly what a customer looks for, when he or she gets a claim, the earliest possible time within which a

vehicle can be repaired and given back, that possibly results into a
delightful experience, and there we have seen a significant uptick on the
PPN network, which, again, is translating it to an improved retention for
us.

Jayant K: One last follow-up on this. In terms of channels, is some channel sort of
helping over others in terms of improving the retention rates over here?

Sanjeev Mantri: Channel-wise, when it comes to retaining our own customers, we have
our own direct channel reach out to them. To some extent, its channel
agnostic, but yes, certain categories may end up having better retention
than other channels. Website has a good retention. Agency business
has a much better retention. OEM, relatively, at times, gets distributed,

may have a lower one, but when we approach ou

r customers through
call center in terms of retaining it, it's more a process improvement and
a consistent reach out that we have created, which is helping us retain.

Jayant K: Is digital slightly better over agency for you?

Sanjeev Mantri: Historically, it has been better.

Moderator: We have the next question from the line of Prithvish Uppal from Elara
Securities. Please go ahead.

Prithvish Uppal: Just wanted to understand the context of the rising CAT losses. Can you
put some color in terms of how the pricing is on the reinsurance side,
specifically on the CAT events, how do you see that possibly moving the
next year or in the medium term? And in case there is some kind of
reinsurance price hike, what strategy do you think would be viable at an
industry level, the passing on of the cost or the absorption?
Second, I wanted to understand in the Health segment, what is the mix
between the old and the new book? And if possibly you could give some
color on the loss ratio split between the renewal book and the new
book?

Gopal Balachandran: So, on the first one, as far as rising CAT losses are concerned, I think your
point is absolutely right and that is exactly what we keep looking for.
Now, again if you have to slightly go back to history, if you remember
almost about four or five years back when the market had seen stress,
particularly in fire line of business, at that point of time, clearly reinsurers
had stepped in and they had said, in case if companies want to avail
appropriate reinsurance capacity, the market has to be more disciplined
where pricing is concerned.

To that extent is where they had calibrated pricing terms and the extent
of possibly reinsurance commission that they would be ascribing to
individual companies. And in that context, if you would have seen from
an ICICI Lombard standpoint, given that we were largely exhibiting a
profitable book in terms of our ability to risk select better quality book.
We were actually able to keep improving our panel of reinsurers and
relatively our terms on reinsurance were also better. Therefore, now
when you look at in that context if the market further improve pricing,
that is very positive because that in some sense aids the market to get
far more disciplined because if reinsurers were to define an increase in
price, then there is a call that companies will have to take in terms of
their ability to pass on to, let's say, what they are able to do so far as
keeping it on the net. So, any increase in pricing, but all this will start
getting reflected once we do our reinsurance conversations, which will
happen towards Q4 of this year. So, we will see how that plays out.
To your point on the health side, for us the growth is aided by both
contribution by, as I said even on the motor while I spoke about on
retention, even at that point of time I had said even on health, there is a
significant focus for us and therefore to that extent, we have also seen
an improvement in the retention ratios of customers on health as well.
So far as the growth numbers are concerned, it is a growth that is aided

by both retention of customers and more importantly, if you see the newly launched solution ‘Elevate’ particularly that we launched in Q2 of this year, that has been received very well across multiple stakeholders. That's why when you look at retail health as a category, the market share which was largely hovering around 2.9% or there about, for Q2 that number stands at about 3.5%. While it's an outcome of just one quarter as we launch this solution, but obviously we are quite excited

and happy with the way how this has played out and honestly, we will have to keep this momentum going as we kind of look forward.

To your point on what could be the split where the

loss ratio of new and the renewal book is concerned, honestly, to my mind, that's purely a function of what kind of a mix of business that we write and our objective will be to write a combination of both new and renewal. And that's why I kind of talked about in the context of the overall loss ratio that we are comfortable on the retail health side which is roughly at around 70%. The mix there on is the split between new and renewal will be purely a function of what mix of business that we write.

Prithvish Uppal: So just one follow up, in terms of the industry loss ratios that we are seeing across the board have been rising. So, is that driven more by frequency of claims or is it just purely claim size that has been increased?

Sanjeev Mantri: Such frequency numbers at the industry levels are not available so very difficult to comment, but if the loss ratio is the one which is contributing more, it can be a contribution of nothing but frequency and the average claim size that comes into play is what our understanding is.

Moderator: Thank you. Ladies and gentlemen, we will take that as our last question for today. I would now like to hand the conference over to Mr. Sanjeev Mantri for closing comments. Over to you, sir.

Sanjeev Mantri: Thank you so much for joining in. I think we are in the midst of the festive season. Wishing you all a great Happy Diwali to you and your family members. Stay good, stay fit, stay happy. And we are excited in terms of what Q3 entails for us and I hope it brings us all good luck. I look

forward to interacting with you one to one as and when your time permits. Thank you.

Gopal Balachandran: Thank you so much.

Moderator: Thank you. On behalf of ICICI Lombard General Insurance Company Limited, that conclude this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Jan 2025

IRDA Reg. No. 115
Mailing Address:
601 & 602, 6th Floor, Interface 16,
New Linking Road, Malad(West),
Mumbai - 400064 CIN: L67200MH2000PLC129408
Registered Office:
ICICI Lombard House, 414, Veer Savarkar
Marg, Near Siddhi Vinayak Temple,
Prabhadevi, Mumbai - 400025 Toll free No.: 1800 2666
Alternate No.: +918655222666 (Chargeable)
Email: customersupport@icicilombard.com
Website: www.icicilombard.com Ref. No.: MUM/SEC/250-1/2025

January 23, 2025

To,
The Manager
Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001 The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot C/1
G Block, Bandra Kurla Complex,
Mumbai – 400 051

Scrip code: Equity (BSE: 540716/ NSE: ICICIGI)

Dear Sir/Madam,

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015-Transcript of earnings conference call for the quarter and nine-months ended December 31, 2024

This is further to our letter dated January 7, 2025 and January 17, 2025, please note that the Company had hosted earnings conference call with investor(s) and analyst(s) on Friday, January 17, 2025 to discuss the financial performance of the Company for the quarter and nine-months ended December 31, 2024.

In this regard, please find attached the transcript of the earnings conference call with investor(s) and analyst(s) for the quarter and nine-months ended December 31, 2024.

The above information will also be made available on the Company's website at www.icicilombard.com . You are requested to kindly take the same on your records.

Thanking you.

Yours Sincerely,

For ICICI Lombard General Insurance Company Limited

Vikas Mehra
Company Secretary
Encl. As above

ICICI Lombard General Insurance Company Limited
Q3 & 9M FY2025 Earnings Conference Call
January 17, 2025

Management:
MR. SANJEEV MANTRI – MD & CEO
MR. GOPAL BALACHANDRAN – CFO
MR. ANAND SINGHI – CHIEF RETAIL AND GOVT BUSINESS GROUP
MR. SANDEEP GORADIA – CHIEF CORPORATE SOLUTIONS GROUP
MR. GIRISH NAYAK – CHIEF TECHNOLOGY & HEALTH (UW & CLAIMS)
MR. GAURAV ARORA – CHIEF UNDERWRITING AND CLAIMS – PROPERTY & CASUALTY

ICICI Lombard General Insurance Company Limited
Q3 & 9M FY2025 Earnings Conference Call
January 17, 2025

Moderator: Good evening, ladies and gentlemen. A very warm welcome to ICICI Lombard General Insurance Company Limited's Q3 and 9M FY2025 Earnings Conference Call.

From Senior Management, we have with us today, Mr. Sanjeev Mantri – MD and CEO of the Company; Mr. Gopal Balachandran – CFO; Mr. Girish Nayak – Chief Technology and Health Underwriting and Claims; Mr. Sandeep Goradia, Chief Corporate Solutions Group; Mr. Anand Singhi, Chief Retail and Government Business; and Mr. Gaurav Arora, Chief Underwriting and Claims for Property and Casualty.

Please note that any statements, comments are made in today's call that may look like forward-looking statements are based on information presently available to the management and do not constitute an indication of any future performance, as future involves risks and uncertainties which could cause results to differ materially from the current views being expressed.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes.

I now hand the conference over to Mr. Sanjeev Mantri – MD and CEO, ICICI Lombard General Insurance Limited. Thank you and over to you, sir.

Sanjeev Mantri: Thank you so much. Good evening to each one of you. Thank you for joining the Earnings Conference Call of ICICI Lombard for Q3 and 9M FY2025. At the outset, let me wish you all a very happy New Year.

As I complete my first year in my current role, I am excited to share developments we have made together since we connected on January 16, 2024. We outlined our vision of “One IL One Team,” building cohesive teams to leverage synergies and complementary strengths to tap into new business opportunities. In this endeavor, we realigned our teams to work collaboratively under a unified product / business practice. Today, I am pleased to share many of our initiatives such as One IL One Call centre, One IL One Digital, and One IL One Agency have started yielding results. Any change of a significant magnitude requires continuous reinforcement, and we continue to learn as we co-create an environment conducive to growth, innovation and collaboration.

Let me now update you on industry trends and developments that we have witnessed in the past few months of FY2025.
For the quarter ended September 2024, as per the data released by MoSPI1, the GDP2 growth slowed down to 5.4% as compared to 8.1% in the corresponding quarter of previous year. Let me dwell on certain key data points during last quarter, which can have an impact on GI industry at large -

■ On the corporate side, the industries supporting infrastructure and construction like steel, cement and commercial vehicle sales witnessed muted growth as government spending towards capital expenditure remained sluggish, which is also reflecting the Commercial Lines of general insurance industry.

1 MoSPI – Ministry of Statistics and Programme Implementation
2 GDP – Gross Domestic Product

■ On the auto sector, the industry reported muted growth in Quarter 3 of 2025 as per SIAM3, with growth in private car at 4.5%, growth in two-wheeler at 3%, and de-growth in CV at 0.5%. The retail numbers as reported by FADA4 has seen improvement in the growth on account of uptick in rural demand with private car growing at 5.9%, two-wheeler at 12.4% and CV at 1.6%.

■ Health Insurance continues to be the fastest growing and largest contributor of the industry on the GDPI mix, attracting

significant
investment across stakeholders.

■ The bank credit growth also moderated to ~11% due to the slowdown in credit to NBFC 5 segment and unsecured loans. In addition, the MFI6 sector growth also got adversely impacted due to structural changes.

Further as we move towards the next quarter, we believe infra based spending, lower insurance penetration, enhanced risk awareness in a conducive regulatory environment is expected to have a positive impact on the general insurance sector over medium to long term.
Coming to the regulatory update, general insurers are mandated to recognize premium for long-term products on a 1/n basis, effective October 1, 2024. As an industry, new motor policies due to long-term TP were recognized on 1/n basis. Thus, there is no impact on this line of business. The premiums under long-term health and other line of business were recognized in the year of underwriting itself. This change has an impact on the reporting of health and other line of business for the industry in Q3 FY2025. However, this does not impact the economic value, so we continue to evaluate business

3 SIAM - Society of Indian Automobile Manufacturers
4 FADA - Federation of Automobile Dealers Associations
5 NBFC – Non-Banking Financial Company
6 MFI – Micro Finance Institution

opportunities which is expected to deliver sustained returns to stakeholders .
Secondly, on solvency norms, the authority issued guidelines on inadmissibility of assets, which changes disallowance of receivables, primarily from net basis to gross basis. Due to this, there is a reduction of ~30 basis points in our solvency ratio as at December 31, 2024. Consequently, our solvency ratio was 2.36x as at December 31, 2024, which is higher than the minimum regulatory requirement of 1.5x. Thus, this change does not impact our growth journey. The General Insurance Council has represented the matter

to the Authority, emphasizing the significant implications of this change on the solvency positions for the industry players.

Now coming to the industry growth, Gross Direct Premium Income (GDPI) has grown by 9.5% and 7.8% for Q3 FY2025 and 9M FY2025 respectively as published by GI Council. Excluding Crop and Mass Health segments, the industry registered a growth of 5.7% and 9.1% for Q3 FY2025 and 9M FY2025 respectively.

Speaking on the specific segments within the industry during the quarter -

■ Under Motor insurance, the industry grew at 7.6% for Q3 FY2025.

o The total number of vehicles sold as per SIAM data is approximately 3.1 million private cars, 15 million two-wheeler and 1.2 million CV’s for 9M FY2025.

■ The Health segment during the quarter delivered double digit growth, within this, Group Health grew at 14.6% and Retail Health grew at 6.6% year on year in Q3 FY2025. Further, subdued credit disbursement by financial institutions has resulted in a slower growth of Health Benefit business.

■ The Commercial Line segment de-grew at 8.4%. Within this, the Fire segment continued to de-grow, registering a de-growth of 22.0% on account of pricing pressure. We expect the pricing to improve in the Fire segment in the coming months.

Now speaking of the underwriting performance for the industry, the Combined ratio for the industry worsened to 113.3% for H1 FY2025 as against 111.9% for H1 FY2024, largely on account of increase in expense ratio.

For the Motor business, the industry combined ratio worsened to 124.8% in H1 FY2025, from 119.4% in H1 of FY2024.

I will now speak about the Company's performance across key business segments during Q3 FY2025:

The Company’s GDPI for Q3 FY2025 registered a growt

h of 4.8%.

With 1/n accounting norm, the Company registered de-growth of 0.3% as against the industry growth of 9.5%, during the same period. Excluding Crop and Mass Health, the Company de-grew by 0.7% as compared to industry growth of 5.7%.

■ In Commercial lines segment, we remained cautious due to continued pricing pressure, resulting in de-growth of 8.6%, however, we continue to maintain our market share in the segment. Further, we have maintained our leadership position in Liability and Marine Cargo segments.

■ In Motor, we grew at 9.4% for Q3 FY2025 as against the industry growth of 7.6%. Our growth in this segment was driven by festive led auto sales as well as old book. During the quarter, we sustained a balanced portfolio with a mix of private car, two-wheeler and CV at 52.9%, 26.7% and 20.4% respectively.

■ Moving to the Health business, during the quarter, we grew at 10.3% for Q3 FY2025 and with 1/n accounting norm, we de-grew at 4.6%.

o Within Health, our Retail Health segment registered a growth at 44.3%. With 1/n accounting norm, the growth was at 19.1% as against industry growth of 6.6% during the same period. Resultantly, we gained market share in Retail Health, reaching 3.2% in Q3 FY2025.

o As updated in our previous call, we continue to invest in product innovation and technology integration. This includes upgrades to Elevate, revamping our super top-up product - Activate Booster, and travel product – TripSecure+ during the quarter.

o In the Group Health – Employer Employee segment, we continue to maintain cautious approach on account of competitive intensity resulting in muted growth at 1.1% in Q3 FY2025. Our Group Others business grew at 1.8%, with 1/n accounting norm, the de-growth in this segment was at 33.0% during the same period.

■ We continue to harness our digital capabilities to enhance customer experience, leading to our customer facing digital business growth of 9.9%, constituting 7.4% of our overall GDPI.

■ During the quarter, our IL TakeCare App has surpassed 13.2 million user downloads registering a premium of ■ 664.2 million for Q3 FY2025.

■ Additionally, I would like to highlight efforts we have undertaken towards improving claims efficiencies across Retail line of business -

o Our Preferred Partner Network (PPN) serviced 73.6% of our Non-OEM claims in Q3 FY2025 as against 67.3% in Q3 FY2024.
o Our average claim settlement period on Retail line of business has seen improvement. It has improved from 6 days in FY2024 to 5 days in 9M FY2025 for Motor OD, and from 5 days in FY2024 to 3 days in 9M FY2025 for Health.
o Our initiative IL Sahayak, which was launched in April 2024, offered an on-ground claim support to over 65,000 customers across 2,500 hospital networks.
o We continue to monitor our customer feedback through independent agencies in form of Net Promoter Score (NPS) study on a regular basis. Our NPS continues to be healthy at 69 and 65 for H1 FY2025 for Health and Motor claims respectively, supported by customer trust.

■ In one of the previous updates, we discussed the core business and technology transformation project- 'Project Orion'. We initiated transformation journey of our Health business and have now achieved a critical milestone by rolling out our flagship retail indemnity product "Elevate" on our new core platform. Going forward, we expect a shorter period for the development of products on our new system, Artemis. We are excited to see this extending across our product categories under the Health business and beyond.
We firmly believe Project Orion will be a key enabler of our vision of One IL One Team.
As we conclude, we are positive and determined to achieve profitable outcomes led by our robust multi-product, multi-distribution stra

tegy, focus on product innovation, data analytics,

and digital enhancements with our guiding force of the One IL One Team.
I will now request Gopal to take you through the financial numbers

for the recently concluded quarter and nine months.
Gopal Balachandran: Thanks Sanjeev, and good evening to each one of you. I will now give you a brief overview of the financial performance of the recently concluded quarter and nine months. We have uploaded the 'Results Presentation' on our website. You can access it as we walk you through the performance numbers.
With effect from October 1, 2024, Long-term products are accounted on a 1/n basis, as mandated by IRDAI. Hence, Q3 and 9M FY2025 numbers are not comparable with prior periods or prior years. Please also refer to slide number 15 of our investor presentation for further details on this.
The Gross Direct Premium Income (GDPI) of the Company was at ■ 206.23 billion in 9M FY2025 as against ■ 187.03 billion in 9M FY2024, a growth of 10.3% as against the industry growth of 7.8%.
■ GDPI was ■ 62.14 billion in Q3 FY2025 as against ■ 62.30 billion in Q3 FY2024, a de-growth of 0.3% as against the industry growth of 9.5%.
On the retail side of the business, GDPI of Motor was ■ 31.09 billion in Q3 FY2025 as against ■ 28.42 billion in Q3 FY2024, registering a growth of 9.4%.
■ The advance premium numbers for the Motor segment was ■ 36.44 billion as at December 31, 2024, as against ■ 35.13 billion as at September 30, 2024.

GDPI of the Health segment was ■ 13.16 billion in Q3 FY2025 as against ■ 13.79 billion in Q3 FY2024, registering a de-growth of 4.6%.
■ Our agents, which included the point-of-sale distribution count was 1,40,077 as at December 31, 2024, up from 1,33,683 as at September 30, 2024.
GDPI of the Commercial Lines was ■ 14.63 billion in Q3 FY2025 as against ■ 16.00 billion in Q3 FY2024, registering a de-growth of 8.6%.
Resultantly, the Combined ratio was 102.9% in 9M FY2025 as against 103.7% in 9M FY2024. The Combined ratio was 102.7% in Q3 FY2025 as against 103.6% in Q3 FY2024.
■ Excluding the impact of CAT losses of ■ 0.94 billion in 9M FY2025 and ■ 1.37 billion in 9M FY2024,the Combined ratio was 102.3% and 102.6% respectively.
■ Excluding the impact of CAT losses of ■ 0.54 billion in Q3 FY2024, the Combined ratio was 102.3%. There were no major catastrophic losses for Q3 FY2025.
Our investment assets during the quarter rose to ■ 515.97 billion at December 31, 2024, up from ■ 515.57 billion at September 30, 2024.
Our investment leverage (net of borrowings) was 3.76x as at December 31, 2024 as against 3.91x as at September 30, 2024.
Investment income was at ■ 33.73 billion in 9M FY2025 as against ■ 26.57 billion in 9M FY2024. On a quarterly basis, investment income was ■ 11.21 billion in Q3 FY2025 as against ■ 8.57 billion in Q3 FY2024.
Our capital gains (net of impairment in investment assets) stood at ■ 7.96 billion in 9M FY2025 as compared to ■ 3.95 billion in 9M

FY2024. Capital gains (net of impairment) on investment assets stood at ■ 2.76 billion in Q3 FY2025 as compared to ■ 1.08 billion in Q3 FY2024.
Our Profit before Tax (PBT) grew by 42.8% at ■ 26.53 billion in 9M FY2025 as against ■ 18.57 billion in 9M FY2024, whereas, PBT grew by 67.3% at ■ 9.6 billion in Q3 FY2025 as against ■ 5.74 billion in Q3 FY2024.

Consequently, Profit after Tax (PAT) grew by 42.9% at ■ 19.99 billion in 9M FY2025, as against ■ 13.99 billion in 9M FY2024. PAT grew by 67.9% at ■ 7.24 billion in Q3 FY2025, up from ■ 4.31 billion in Q3 FY2024.
Return on Average Equity (ROAE) was 20.8% in 9M FY2025 as against 17.1% in 9M FY2025. The ROAE for Q3 FY2025 was 21.5% as against 15.3% in Q3 FY2024.
So

lvency ratio was at 2.36x. This is after factoring in the impact of 30 basis points as Sanjeev had mentioned, as at December 31, 2024, as against 2.65x as at September 30, 2024, which continued to be higher than the regulatory minimum of 1.50x.
As I conclude, I would like to state that we are aligned with our ethos of driving profitable growth, consistent and sustainable value creation for all our stakeholders, while ensuring that the interest of policyholders are in the forefront at all times.
I would like to thank you all for attending this Earnings Call, and will be happy to take questions that you may have.
Moderator: We will now begin the question-and-answer session. We will take our first question from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.

Nischint Chawathe: Just a little bit of commentary on the Motor side. We can see the loss ratios improving for you, both on a sequential and annual basis, and significant improvement very specifically on the third-party side. Just if you could give some commentary in terms of what's happening over here, how is the competitive intensity? And I believe we have gained market share in this quarter in both the segments.
Gopal Balachandran: Yes, so Nischint, you're right. Clearly over the last few years if you would have seen, we have been slightly selective in the way we have been writing the risks, and that has stood with us in times of reflection on the combined outcomes. Having said that, obviously, what we are seeing right now is renewed opportunities in the way we can write risks, and that's reflective also in terms of the increase in the market share that we have seen relative to 9M FY2024.
Generally, if you see, I think we have been able to see, let's say in this particular quarter, between new and renewal, largely the growth has been more or less similar when you look at a category level. And therefore, we continue to look for opportunities in each of private car, two-wheeler, CV. Broadly, if you look at the mix, it's in line with what we have normally seen over prior periods.
On the loss experience, specifically Nischint, this is something that we keep speaking about. Obviously, when we write or maybe just select the portfolio, we have an ultimate loss experience that we go with an assumption at the time of writing the risk and over a period of time, given the fact that we have generally been prudent/conservative in our loss estimates, as the loss experiences starts to develop, you can see this not just for this year, across years, we have been able to see, let's say, favorable loss development and that starts to get reflected on the numbers as we see across different financial periods. So that's where we are.

But broadly, if you ask me, in terms of the overall loss ratio range that I have spoken about even in the past, and again, as I keep saying, it's always better to look at motor as a category, rather than looking at own damage and third-party independently. The range that we have spoken about running overall motor in that range of 65% to 67%, I think that's broadly the range that we believe we should continue to see as an outcome in terms of the portfolio experience. So that's where we are.

The positive news is, some of the market participants possibly who had gone quite aggressive in the past, you can clearly see most of those companies when you look at their individual month –on month growth numbers, clearly, there has been an element of calibration that has happened. That's also reflective in the outcomes that these companies had to exhibit in some of their Combined ratio outcomes. So that's where we are. We continue to be cautious in building the book and so far as the ethos on writing or selecting the portfolios

continues to remain the same. As in, we will keep looking for on a sustained basis economic output, which we think will be viable from a longer-term perspective.

Sanjeev Mantri: Absolutely. And also, just the thing is, in our mindset, we will do what makes sense to us. Market share, of course, this year looks better, but we also had explained the market maybe almost 4 quarters back in terms of why our market share is where it is. So, it's more of an outcome of how multiple factors work. It's not something that we chase that this month we have to do this much only. It's more driven by outcome, and as and when it makes us look good, it's primarily driven by an ecosystem development, as we continue to pursue what we believe makes sense for us.

Nischint Chawathe: And the delta this quarter or the much lower loss ratio in TP this quarter, could it be maybe because of better releases this quarter?

Gopal Balachandran: So again, as we keep saying, Nischint, TP, again, I've spoken in numerous occasions even in the past, right? Given that, and all of you understand, you all have been tracking us pretty much for a very long period of time. And this is clearly a book, which is much more long tail in terms of loss development. Loss experiences, obviously, have to be looked at over a period of time. Also as I said, obviously, the level of prudence that we kind of go with, in terms of our reserving estimate, that's stands pretty much intact, absolutely no change in the philosophy of reserving. Therefore, as the portfolio actually starts to experience outcomes, you could see, say, some of the releases play out at different periods. It could be in a particular quarter, it could be in a particular financial year. But on an overall basis, which is why if you look at our reserving triangle, now that you also have a specific triangle outcome in the context of third party as well. There again, you will see consistently for us, there are small amount of favorable loss development that we have seen over the years. This is, again, not just for one quarter or one year or two years. It's across financial periods that we have been able to see some small amount of favorable development. Hence, to that extent, the approach to reserving will continue in terms of a favorable loss development. That's how we have been kind of going about risk selection, as I talked about.

Nischint Chawathe: And just finally, in this backdrop, do we really sort of now expect a third party tariff hike this year?

Sanjeev Mantri: So, there Nischint again, you know, well, industry is expecting it for last few years, and it's not something which we control. The answer to this is, yes, we do expect a hike, but can it come, can it not, is something which will come from the regulator as well as MoRTH, the way TP price is decided. But we do believe, yes, it's been 3 to 4 years and there might be possibly a hike at least which we'll get for next financial year.

Moderator: Next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Just harping, Gopal, on this point on the loss ratio on the motor side again. So you were mentioning that for the Motor as a piece, we

should be looking at a loss ratio of 65% to 67%, but we are way below that currently. So would you still say that the full year number would be in that range? Or that's more of a longer-term loss ratio that you would be looking at? That's my first question.
Second is on the health loss ratio, could you give the granularity on how much was the Retail Health loss ratio and how much was the employer-employee loss ratio?
Also, just on the Fire piece, you mentioned that there could be price hike, so why would that be, because your loss ratio outcomes seems to be pretty contr

olled at 50.1%? Yes, that would be my questions.
Gopal Balachandran: Perfect, so maybe I'll go in the reverse sequence. So let me start with the Commercial Lines. So again, Prayesh, all of you understand that Commercial Lines in general is a relatively high exposure portfolio, therefore, to that extent, you can obviously see experiences, which could be relatively with low frequency, high severity outcomes. Therefore again, in a given period, you can obviously see experiences on loss numbers, which could be significantly adverse or maybe, at the same time, in case you don't have large number of catastrophic events, then what you normally expect as attritional losses is how the portfolio will develop.
Clearly, we have seen not just in the Indian market, across the globe, we have clearly seen increased incidences of some of these catastrophic events impacting insurers, reinsurers, customers at large. Therefore, clearly, when you look at the overall portfolio outcome from a market standpoint, it's leading to an outcome, where

the experiences, from a reinsurance standpoint may not be necessarily in that sense viable at the level of pricing that they have given to the market at large. So hence, given the fact that some of these events are more frequent, more in numbers, there is obviously a need for the entire market across stakeholders to look at what should be the level of price that you should offer for risk selection. Equally, in the past, for example, you would have seen very long periods of soft pricing as well. So that's how the nature of the business is. You will obviously see through various price cycles. At sometimes, you will obviously, as I said, experience soft pricing. Currently, the regime where maybe because of these increased incidences, you will see some bit of hardening in price. At least, which is where we are coming from. The expectation is at least so far as the Quarter 4 and, more importantly, the April 1 renewals, which will largely be where bulk of the corporate renewals will happen. We do expect the overall market to be far more sensible so far as pricing those risks are concerned. So that's where we are, and that's what we believe from an overall positive sentiment.
To your point on the health loss breakdown and what every quarter we keep asking for this split, on Corporate Health, which is the GHI segment, again, I'll give the Quarter 3 numbers for both the segments first, which is Corporate Health and Retail Indemnity. So for Corporate Health, Q3 FY2024, that number was 93.1%, that number for Q3 FY2025 is at 97.2%. And Retail Indemnity numbers last year was 66%, which is down to about 65%.
On a 9 month basis, again, in the same sequence, Corporate Health last year 9M FY2024 was 95.8%, which is currently at about 97.7% in 9M FY2025. The Retail Indemnity numbers, which was 65.6% for 9M FY2024, that number stands at about 69.1% in 9M FY2025. But more than, let's say, some of these numbers, in general, what we have seen is, pretty much, we do see maybe some continuation of

increased incidences of claims playing out in the context of the

Health segment specifically. Therefore, in line with what we have spoken even in quarter 1, we said we will obviously observe for the development of this increased incidences over the next few quarters. So that's where we are and in that context is where the numbers are for the health loss numbers.

To your last point on Motor, the range that we spoke about at 65% to 67%, you're absolutely right. That's obviously the preferred range at which we would want to run the book again, not just over a 1 or 2 year horizon, that's something that we would want to look at it over a much more long-term play. Having said that, obviously, now when it comes to specific financia

l periods, it could be purely a function of what mix of business that you write. Again, we have discussed this in the past, particularly when it comes to new motor, that typically comes with a relatively low loss outcome, but possibly a slightly higher cost of acquisition. But equally, on the fixed side, when you start to source more of the renewal or the older book, that invariably comes with a slightly higher loss outcome, but obviously a lower cost of acquisition. So that's how we manage the overall portfolio in the way how we see the market opportunity. But over a medium to long term, the range that we are comfortable with to operate with will be between 65% to 67% for Motor as a category.

Prayesh Jain: Any price hikes contemplating in the Health segment?

Gopal Balachandran: That's something that we keep looking for, Prayesh and we have not shied away from taking a price change. You would recollect again, slightly going back to some of our conversations even in the past, if you were to go back maybe almost 4 years back, Q3 FY2021, at that point of time, we did effect an average price increase of roughly about 8% on the overall renewal book. And then roughly about 1.5 to 2 years thereafter, again, we had effected a price increase, which ranged anywhere between 20% to 22%.

So, in general, I think, again, on the Retail Indemnity book specifically, you had spoken about the fact that the range that we are comfortable on running the book is a loss ratio of around that range between 65% to 70%, more towards, I would say, slightly on the higher end of the range. At this point of time, as you would have seen the outcome largely is playing out within the range that we are comfortable with. But having said that, if the portfolio warrants any price revision, we will not shy away from taking one.

Moderator: We have our next question from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: So, Gopal, you said that you want to work Motor TP and on Motor OD loss ratio in the range of 60 -65%. If I take at the other end for Motor TP at 65%, is it fair to assume that in Q4, the loss ratios in Motor TP will be more 70-75%, compared to what you have reported 60.1% for 9M FY2025? So that's a fair assumption to make to remain conservative with respect to motor TP reserving?

Gopal Balachandran: Sanketh, just for the sake of reiterating, I will keep saying that I would always urge all of you to look at numbers more over long-term horizon, particularly for Motor third-party. It would be in that sense, when I use this, to say that ideally quarters will have multiple factors to it. As I just mentioned, one factor would be in terms of the business mix that we see as an opportunity. So that by itself will determine what the loss ratio outcome could be. Also, as I said, we keep looking for the outcome of the large development of the book that we have written the past. This is not just something that we do at a particular point, this is something that we keep evaluating every quarter. That would be true even for Quarter 4. In case if in any of the past book reflects something better in terms of outcome, then obviously, to that extent, you will see some of the impact play out even in Quarter 4 as well. Hence, I think, rather than talking about a point estimate or a point number for a particular period, it's better that we keep looking at, which is where I said, the medium to long-term range on Motor as a category. Again, this is something that all of you understand, it's always, in that sense, given the fact that Motor own damage is free to price, Motor third-party is fixed and tariff. Better to look at motor as a category, rather than trying to even split between motor own damage and third-party. And hence, just

to reiterate, medium to long-term range that we are comfortable on running the book will be between 65-67%.

Sanketh Godha: Got it. And see you reported 102% on 1/n and 102.8% if you exclude 1/n. So the Management guidance was to end up with 102% for FY2025, and probably 101.5% for the fourth quarter. So even factoring a bit of negative impact from 1/n, do you still continue to maintain that guidance to play out for the full year? Also, if I take exit as 101.5% for the fourth quarter, should we fairly assume that is a number which will be there too for FY2026? The second thing is that if you can break down the exact growth of Motor into new and old vehicle, the way you did it last time.

Gopal Balachandran: Yes. So maybe I think I will give you the numbers for new and old. This again, I'm giving you for Quarter 3. So new was again, 9.5% which is what I just mentioned in response to one of the calls, largely the numbers were similar. 9.5% growth for new and almost a similar number of 9.3% for the old. So as a category, the overall growth was 9.4%.

Sanjeev Mantri: Okay and on the guidance part, Sanketh that you spoke about, clearly, as we had put across as to where we want to finish the whole year, at that point of time, there was no visibility that 1/n will come and when such changes happen, the configuration of product which we procure from the market also can go through a transformation. There's no reason to believe that, directionally, we are not there, but at the same time, we also have to evaluate what the opportunity comes through. So it's a combination of all this

aspects that will decide the way forward. Its early days. This is the first quarter where the industry and we are giving numbers, which are on a 1/n basis, and the strange part is the configuration where the first 6 months are not on 1/n and this quarter is 1/n. So to that extent, it will play out over the course of time. The industry's performance, which we spoke about, and I said, has moved to 113%, whereas it was 111%, so it's relatively worsened. So all of these factors will also weigh in. But what we also stay committed, is besides Combined ratio the ROE range that we want to operate, which we spoke about it when we have met up. So it's a combination of things, which will keep us excited in terms of doing selection also.

Moderator: Next question is from the line of Nidhesh Jain from Investec. Please go ahead.

Nidhesh Jain: The first question is on this 1/n, has the impact been passed on to the distributor, are they also getting commission on a yearly basis? Do you expect any impact on the business growth because of that?

Sanjeev Mantri: The answer is yes. It's regulatory, and whatever needs to be done is done. So it will be also taken where the annuity commission payment will happen to the distributors.

As far as growth is concerned, there is an overarching impact in terms of long-term product being sold. But internally, from our organization perspective, the economic value that comes in selling the long-term product stays intact. So we continue to pursue in the market selling long-term products. The accounting part of it will emanate as and when it happens. Gopal?

Gopal Balachandran: So Nidhesh I think the only thing that I'll just add to what Sanjeev rightly said, I think this is the first quarter, and therefore, to that extent, the market practices will also see an evolution, in terms of some of these changes that gets paid out. So for example 6 years

back, when the regulator has mandated third-party mandatory for 3 years, 5 years, in between there were changes in terms of the product construct to get Motor line of business recognized on a 1/n prescription, similar to what you see for the rest of the lines as we speak today. So those

practices, obviously, evolve over a period of time. Hence, we will obviously watch the market developments very, very closely. Obviously, the intent, when you look at it from a regulatory standpoint, I think is very positive, in the way they have wanted this particular change. Therefore, our practices will be very clear to make sure that we clearly meet regulatory expectations. But obviously, we will keep a very close watch on market development as well, and keep taking actions corresponding to that, yes.

Sanjeev Mantri: Also, if I was a distributor, and if I am able to do a long-term health, there is no reason, because it is 1/n, that should go through a change. What you're not getting in 1 year on the front-end basis, you will get over 3 years. So there is annuity income, that will flow over a period of time. So there can be a short-term thought process. If you're not getting it, you may not want to pursue with it. Hopefully, better sense will prevail, and they will also look at economic value, and go ahead and stay long term as always required.

Nidhesh Jain: Sure. Second question is on the reinsurance, the retention ratio has increased quite materially this quarter to 82%. So is there any change in strategy with respect to reinsurance? Or it is just the business mix?

Gopal Balachandran: So honestly, there is no change, Nidhesh. So, if you ask us our reinsurance program typically gets decided at the beginning of the year, that is what we have mentioned earlier as well. Again, purely it's a function of what is the split between mix of Corporate, mix of Retail and within that, if you recollect in the past, we have spoken about, let's say, in the context of Health, for example. On Health Indemnity as a line of business, we have always operated without, in that sense, leave aside the obligatory, which is true for everyone

in the market. Rather than the obligatory reinsurance, we don't have any other reinsurance requirements from a Health Indemnity standpoint.

On Health Benefit as a category, not just again this year, across years, we have obviously operated on a reinsurance structure. If you recollect, particularly not just against this quarter, this year, in general, the Health Benefit segment has seen an impact on growth. Therefore, to that extent, that will obviously have an impact on the net retention numbers. So that's one.

Second, for whatever it is, even Quarter 3 does have an element of Corporate Business as well. It's not that Corporate Business comes down to zero. There, the approach for us, again, if you look at it over a 9-month basis, we have been very selective. Largely, we have tried to hold on to maintaining market share in that particular category. Also, given the fact that, that particular business is slightly in that sense subdued, that again contributes to the overall retention numbers. But if you see the overall retention numbers, the way we look at it on a net premium to gross premium, I think at least if you look at it on a 9 month basis in the current year, if you look at it even with the 1/n impact, I think the retention number will be roughly at about 72%. I think that's where we are. To answer your point, no change in the reinsurance strategy, nothing specific. It's not a case where we had an element of reinsurance for the first 6 months or

something, and suddenly we have decided to change our approach
to reinsurance. No significant change therein. And the other aspect
is the bulk of the reinsurance renewal conversations will now happen
in Quarter 4 for the next financial year.
Moderator: We have our next question from the line of Jayant Kharote from
Jefferies. Please go ahead.

Jayant Kharote: First question is on the competitive scenario. Given that we are
approaching the EoM glide

path last couple of quarters, how do you
see it play out over the next year, and specifically the impact that is
having on Group Health and Fire and what would be our sort of
stance in case it intensifies, going into the next, say 4 to 6 quarters?
That's the first question. I'll come back with the second one.
Sanjeev Mantri: So Jayant, clearly, our stand has been pretty clear on that. We
continue to operate within the EoM guidelines, and there is no reason
under any circumstances, we would like to violate that. As and when
we see intensity building up, we will choose to withdraw rather than
participate in that business intensity.
Another point is that the regulator has taken certain actions. So, in
terms of expecting companies which are not within the EoM
guidelines to fall in line with that, there is a possibility that it will get
disciplined and will not crush in pricing. If you see business lines like
GHI and some others, further going low, we would abstain rather
than participate. So we have absolute clarity as a team to let go
what is not making commercial sense for us.
Jayant Kharote: Sir, do you see this playing out in the claims of your competition and
by when do you expect some more rationality on the pricing in these
products? Any time line?
Sanjeev Mantri: See, we are no one to judge in terms of what everyone else will do.
But that being said, we did speak about where Fire went and where
Fire is expected to be. So anything which goes below our threshold,
will tend to autocorrect itself as it's not viable. It will play out. It's not
that it will not play out. But there's a point of time when others will,
and we respect that, we'd like to fall in line for EoM, and manage this
subsequently as and when things go apart. My sheer presumption is
that each one of us who operates in the industry wants to run the

business in a profitable manner, and a better sense will prevail over
a period of time.
Jayant Kharote: So second question is on IFRS. We know we've guided or at least
indicated on some improvement on the Combined ratio, but it's been
almost 3, 4 quarters now, any more disclosures or anything that you
would have gone back, and then can help us understand what could
be the possible impact?
Sanjeev Mantri: So on IFRS, obviously, as and when the rules come in, we will fall in
line, there is no question of we not falling in line. We've also spoken
about the overall benefit it can have on account of discounting of
reserving, and also deferred expenses coming into play. It will
emanate in time to come. But one fundamental thing, which we all
have to understand is that this is just mode of accounting, right? The
economic value that gets driven, whether it's 1/n, whether it's IFRS,
all of it is part of the process in which manner you will do the
accounting of it. The business being sought, the long-term value that
is to get treated, they all remain similar. You can project this number
in multiple manner, it doesn't change how we want to operate. It's
not that IFRS will change the manner in which we want to do
business. We still would like to do what we are pursuing at this point
of time. So there is excitement of that coming through, and we will
be more than happy. In fact, we are very clear to say that by only

large player, everybody in the industry should start publishing on
IFRS basis.
Moderator: Jayant, I request you to join back the queue, please, as we have other participants waiting. Next question is from the line of Subramanian Iyer from Morgan Stanley. Please go ahead.
Subramanian Iyer: I had an accounting question. So on Slide #15, you have given basically the comparison between profits, excluding 1/n and with 1/n and you have given the GDPI and PAT. So PAT is actually higher

under the with 1/n i

mpact. So is it fair to conclude that your commissions are lower, because of deferrals under 1/n method and that's what is resulting in higher profits?
Gopal Balachandran: Subramanian, again, which is why I responded to say that the prescription under 1/n need not necessarily be, in terms of outcome, go in the direction of only an increase in profits. Because again, this will be a function of what business mix that you source, what is the reinsurance structures that you may have in practice, and what is the acquisition cost that you relate to, with respect to sourcing any of those businesses. So there are multiple factors which will drive, let's say, an outcome when you look at it from a transition to a 1/n slash without a 1/n outcome.
Now talking specific in the context of Quarter 3, I think obviously this has been a quarter where we were just talking about. In general, I think the credit-linked disbursement across financial institutions have clearly been muted. And obviously, to that extent, and we have been one of the key writers of some of those risks. That's an area where I said, we have always been historically operating also with the reinsurance structure. The fact that the business growth has been relatively subdued, obviously, that does have an impact, both in terms of growth in premiums, and therefore, correspondingly the impact that it has.
I mean when you look at it, 1/n, effectively, the prescription is to say that whatever acquisition costs that you incur, you defer it over the contract period. Similarly, if there's an element of reinsurance income that you may have, that is something, again, you defer it over the policy contract.
So in a quarter, if you do see businesses where you already had an element of a reinsurance arrangement, and if that business gets subdued, and therefore, the relative impact in outcome will not

necessarily be the same as compared to a line of business, for example, in Quarter 3, we also have contracts of other lines of businesses, where we don't have a reinsurance arrangement, but there's a cost of acquisition and by this very inherent nature of a transition to 1/n, the cost gets deferred. There is nothing in terms of income for us to defer over the policy period, leave aside the obligatory. That's a very small component. So that's the reason why you see an outcome for Quarter 3 in terms of profits to be higher than what you would have normally reported on without 1/n approach.
Now this can change. Going ahead, if let's say, the proportion of mix of businesses undergo a change in terms of the various factors that I spoke, the outcome could be either reverse. You could possibly see a situation of neutrality in terms of no change in profits or equally, you could see maybe an outcome similar to what we are seeing for Quarter 3 this year. So lot of moving parts. Hence, to that extent, very difficult to attribute any specific reasons, but Quarter 3, this is the reason. It has been more businesses which are long term are the ones where there are only cost of acquisitions to be amortized, but relatively, there are no reinsurance commissions to be done.

Moderator: Next question is from the line of Madhukar Ladha from Nuvama Wealth Management. Please go ahead.
Madhukar Ladha: A couple of questions from me. First, I see a very sharp increase in commission cost. Now can you explain what has led to that? And second is in the new 1/n, now that's the way we will be reporting numbers, so what should our guidance deal in terms of exit in Q4 for Combined ratio and also then what are we looking at for the next few years. So, yes, some help on that would be very useful.
Gopal Balachandran: So Madhukar, I will always keep again urging all of you to look at numbers more on a combined ratio prescription, rather than even looking at breakdown of that combined into loss

ratio, and let's say,

maybe the expense ratio and within that, you are maybe asking the question which is more further breakdown on commission number corresponding to that. So given the nature of the business that we have, you will obviously see a mix of outcome. As I just mentioned, Q3 in specific, I think you have seen on let's say, for whatever corporate business that we used to write in the past, that particular part of the business has been muted and therefore, you will obviously see a relatively lower cost of acquisition, which otherwise would have been there, had that particular growth of Commercial Business been there in Quarter 3. Hence, the large part of Quarter 3 are businesses which are fundamentally driven, so far as the retail line of opportunity is concerned. Secondly, Quarter 3, in general if you see, it's a period of festive season. So when you put both of this together, you will obviously find an outcome in terms of, even in the context of just the commission numbers or let's say, the commission ratio, you will obviously possibly see an increase therein.
But at the end of the day, even as what Sanjeev mentioned, I think for us, I think what is something that we are very conscious of, is to make sure that we run the overall operations at an Expense of Management which cannot exceed 30%. So that's a guardrail for us, is something that we are very conscious of. Second and more importantly, I think for us, we will obviously keep looking for outcomes in the form of combined ratios on businesses. At the end of the day, we are all here to give at what we have put also in the opening remarks, which is a sustained return on capital for stakeholders. So that's equally important. From an ROE outcome, it's something that, again, we are very conscious of. I think the range that we have spoken about is to be within that range of 16% to 18%. Also, as things start to improve relative to the market, obviously, we would want to see that getting better as well. So those are guardrails within which we operate with. Hence, I would again urge each of you to look at outcomes with some of these guardrails at the benchmark.

To your point on what would be the outcome on Quarter 4 Combined, and maybe, let's say, as we get into the next financial year, I think Sanjeev already responded to that in response to one of the earlier questions. I think again, as we keep saying, let's say, when we look at Quarter 4, two factors. One, we obviously have to wait and see how the environment plays. So, to that extent, that's a variable. Second, we will have to see how the market responds. I think what we have said, our combined will, again, be in relation to the industry outcomes. At least the first half seems to indicate that the market is slightly more adverse, compared to 111%, it's at about 113%. So we'll wait and see how Quarter 3 numbers are for the other players in the market and corresponding to that is how our own Quarter 4 outcomes will play out.
But what we are conscious of, I think in all fairness, when we look at

maybe just the return on equity to stakeholders, I think the broad comfort that we can give you is we should definitely end the year within that range of about 16% to 18%. As we head into the next year, the approach to writing risk will still remain the same, and then we will keep looking for profitable opportunities.

Sanjeev Mantri: I'll give you a small perspective. So clearly, you'll get a better understanding of what Gopal also is talking about it. If you look at our last year number, even before that, Commercial Business for us was clearly doing a very good growth numbers and you know that Commercial Business overarchingly worked in a Combined ratio which is far lower. So when we started working on the planni

ng for this year itself, we had a belief that Commercial Line per se remains secular on the contribution, which is what Gopal also alluded in this conversation. As things stand, it's not Commercial Line which has grown, but the Retail line of business which we're talking about, also Retail Indemnity that was Motor line of business which has given us growth. When the configuration changes, it's pertinent to

understand that the combined ratio will also change. But the overall value that we want to give the stakeholder may not get impacted at all. So the obsession with Combined ratio, I do understand from your angle. But how we look at businesses has to be understood in a far more comprehensive manner to give a particular level of targeted ROE. There will be changes. If we had stuck to the same plan, maybe we wouldn't have done what is required on Retail, and still stuck to a low growing growth. So we would have done a much lesser top line as well as shown a better combined, but it would not have served the purpose.

So the point that Gopal keeps making is, look at the business in a far more comprehensive manner. We will have to stay agile in terms of what opportunities get provided. While we do give guidance and we did speak about it, we don't want to get ourselves tied down because we have had “X" combined number, we will let go an opportunity, which will serve us much better in long term. It's an overarching thought which I want to put across and why we'll have to also real time change our plans as the market forces us to react to it.

Moderator: Next question is from the line of Rishi Jhunjhunwala from IIFL Institutional Equities. Please go ahead.

Rishi Jhunjhunwala: So just firstly, on the investment leverage, right, So if you look at it, it's already down to 3.77x for us, and there has been a sharp decline in the last 6 months. This is despite the fact that I'm assuming that Motor Vehicle Act-related benefits haven't really completely played out as yet. So just wanted to understand your thoughts in terms of with or without that implementation on a pan-India basis, where do you see the investment leverage stable out or stabilize?

A related question to that is 2 - 3 years ago, we had given up this 20% ROE and 100% combined ratio target in order to ensure that we are not missing out on growth opportunities. Given that we are now

at 20% ROEs, and combined ratios are trending closer to 100%, I mean, we are still 200 bps away, do you think there could be a recalibration to that target in the medium term?

Gopal Balachandran: So Rishi, let me take again in the reverse sequence. So if you ask us, the narrative in terms of our intent to keep looking for profitable growth opportunities remains the same. So therefore, do we stand committed to staying within that return on equity objective? Of course, that pretty much stays intact. That's the range I talked about. In the medium term, given the level of Combined, we should be getting to an outcome, which would be between 16 -18%.

The reason why I'm saying this is because you will still appreciate the fact that we don't want to lose opportunities for investment in areas which will propel growth in the future. So that's something that we are very conscious of. Therefore, these investments, which we have been speaking to even in the past, will entail an upfronting of expense in the P&L. That by itself, when you look at it just from years' outcome, it will possibly look at maybe an ROE which may not be equal exactly to 20%, for that matter of fact. But these are investments, which we think is something that we should make at this point of time, the effect of which will play through maybe over the next 2 to 3 years.
But if you ask us, ag

ain, the point that we keep saying, the economic objective in terms of what we want to write, clearly is within that range of ROE objective that I responded in response to one of the earlier questions. Same thought process on Combined. The lens with which we look at each of the business opportunity, again, not just any particular line, across lines, I think the lens that we apply is obviously Combined and equally, ultimately, the returns that would fetch to stakeholders for the capital that is being infused.

So obviously, both of this does not fundamentally changed, and we stand committed to the range that we have spoken through. But all of these have to be looked at in the context of how the market operates. Hence, to that extent, this may be something that we will see playing out over long term, assuming the market starts responding sensibly. But at times, in case if the market responds more aggressively, in terms of competition, then to that extent, maybe some of these metrics will possibly get postponed by a year or two. So that's where we are.
On the first point, the investment leverage, I think, again if you look at the way the leverage gets computed, obviously, there is a numerator, which is the investment assets; and the denominator, which is net worth. Then investment assets is obviously in the context of the various investments. Some of these investments are carried at a market value, and these are point estimates at the point of time. As you would have seen, particularly since you're looking at the numbers on a Quarter 3 basis, for example, we have seen obviously particularly equity markets relatively exhibiting a slightly more subdued sentiment. In that context, if you look at maybe the mark-to-market position that you would have at the book as at September, relative to as of December, obviously, at a point of time, that number would have seen a decline. So that would have some impact when you look at the investment leverage.
Second, again, as what we have been speaking, there has also been a relative slowdown in growth, in general for us. That, by itself, clearly also contributes to the overall available cash flows, and that has also had an impact on the overall investment leverage.
Third, I think, again, clearly, particularly for some of the Commercial Lines, which generally is very profitable, that's also been a segment where we have not seen as much of growth as what one would have expected. So all these factors is where we are on the leverage. But

as the environment improves, we should start seeing the leverage coming back.
Sanjeev Mantri: Also, just a small thing is that the Motor Vehicle Act that you refer to, Rishi, there's a faster intimation, then there will be a lower investment leverage, not higher. So that's one small thing. It's more driven by cash flow, and contribution in terms of the nature of business that comes through. Ironically, as much I don't want to, but

if you have a growth of PAT also that bulges the denominator and net worth will go up, and that itself will lead to investment leverage going down. I mean it's more mathematical is what I'm saying, but multiple things will go in. It's, again, an outcome, we do understand the value of leverage in your mind. But we write business in terms of what makes sense, and this comes out as an outcome. It's not that we don't look at cash flow, but that is not the reason why we end up writing certain businesses or eliminate many businesses.

Moderator: We'll take the next question from the line of Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh: Just one question. Again coming to that, I mean, I recall your kind of focus on combined, not of claims and expenses. But more on the expenses, if you put together, one that each r

egulator now kind of looking for any kind of a change with their EoM targets, because the rule of EoM has been changed in between this 1/n accounting. And if you can help us, even kind of a commission plus OPEX basis, which are the business lines particularly that you see a bit of, I would say, intensified payouts or competition in terms of payout that is leading to this overall OPEX, including commission increase?

Gopal Balachandran: Yes. So again on the point on EoM, Avinash, so at this point of time, I don't think the regulatory is contemplating anything specific in terms of any change in the thought process. As a regulator, what

they're looking for is to make sure that the overall industry operates within a defined threshold. At this point of time, that number stands at about 30-35% as the case maybe. This has been just put into practice maybe since the last 1 year or so. So hence, to that extent, to expect anything suddenly changing, given even the change that they have put in the context of 1/n or thereabout, I think that's something that's not within our knowledge in terms of whether the regulator is looking for any specific changes to be made. So at this point of time, the limit of 30-35% stands intact.

Having said that, what we at least understand from the market is the regulator is obviously keeping a very close watch on making sure that the larger market players continue to make sure that they run their overall operations at an EoM which is less than 30% or 35% as the case maybe. If you look at basis public disclosure of financial outcome, still there are a large number of players, who even on an FY2024 basis, have exceeded the threshold and clearly, from market, we understand that the regulator has asked each of these companies to come out with a plan of action, to make sure that they are able to come within the threshold. So that is where we are. We don't think there is going to be anything immediate insofar as change in the expectations on meeting the limits or expense of management is concerned from a market perspective.

To your second point on what are the business lines that invariably contributes to, let's say, a high expense of management. Again, multiple factors. So for example, the point that I made saying that if you make any investments in opportunities for the future, so that entails a cost, that will be a part of my expense of management numbers today. So that will increase the ratio. Second, in terms of the mix of business that you write, which is what I explained earlier, if I'm writing, let's say, a relatively new portfolio on the motor side, that invariably comes with maybe a low loss ratio, high expense. So

that will result in higher expense numbers. Third will be, again, given the fact that we are driving a lot more of Retail Health, so that invariably comes with a slightly higher cost of acquisition. So multiple moving parts. And that's the reason why I keep saying look at more

on Combined as compared to just the expense ratio number.
Moderator: Ladies and gentlemen, that was the last question for today. I now hand the call over to Mr. Sanjeev Mantri for closing comments. Over to you, sir.
Sanjeev Mantri: Great. Thank you so much for joining us. This is always a pleasure, and your questions also give us tremendous clarity. We look forward to interacting with each one of you over the course of next few weeks. Look forward to your support, as always, and have a great year ahead. Thank you so much. Bye-bye.
Gopal Balachandran: Thank you.
Moderator: Thank you. On behalf of ICICI Lombard General Insurance Company, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.
Safe Harbor: Except for the historical information c

ontained herein, statements in this release which contain words or phrases such as 'will' , 'would' , ‘indicating’ , ‘expected to’ etc., and similar expressions or variations of such expressions may constitute 'forward-looking statements'. These forward-looking statements involve a number of risks, uncertainties and other factors that could cause actual results to differ materially from those suggested by the forward-looking statements. These risks and uncertainties include, but are not limited to our ability to successfully implement our strategy, our growth and expansion in business, the impact of any acquisitions, technological implementation and changes, the actual growth in demand for insurance products and services, investment income, cash flow

projections, our exposure to market risks, policies and actions of regulatory authorities; impact of competition; the impact of changes in capital, solvency or accounting standards, tax and other legislations and regulations in the jurisdictions as well as other risks detailed in the reports filed by ICICI Bank Limited, our holding company with the United States Securities and Exchange Commission. ICICI Bank and we undertake no obligation to update forward-looking statements to reflect events or circumstances after the date there.

Call: Apr 2025

IRDA Reg. No. 115
Mailing Address:
601 & 602, 6th Floor, Interface 16,
New Linking Road, Malad(West),
Mumbai - 400064 CIN: L67200MH2000PLC129408
Registered Office:
ICICI Lombard House, 414, Veer Savarkar
Marg, Near Siddhi Vinayak Temple,
Prabhadevi, Mumbai - 400025 Toll free No.: 1800 2666
Alternate No.: +918655222666 (Chargeable)
Email: customersupport@icicilombard.com
Website: www.icicilombard.com Ref. No.: MUM/SEC/13-4/2026

April 21, 2025

To,
The Manager
Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001 The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot C/1
G Block, Bandra Kurla Complex,
Mumbai – 400 051

Scrip code: Equity (BSE: 540716/ NSE: ICICIGI)

Dear Sir/Madam,

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of earnings conference call for the quarter and financial year ended March 31, 2025

This is further to our letter dated April 3, 2025 and April 15, 2025, please note that the Company had hosted earnings conference call with investor(s) and analyst(s) on Tuesday, April 15, 2025 to discuss the financial performance of the Company for the quarter and financial year ended March 31, 2025.

In this regard, please find attached transcripts of the earnings conference call with investor(s) and analyst(s) for the quarter and financial year ended March 31, 2025.

The above information will also be made available on the Company's website at www.icicilombard.com .

You are requested to kindly take the same on your records.

Thanking you.

Yours Sincerely,

For ICICI Lombard General Insurance Company Limited

Vikas Mehra
Company Secretary

Encl. As above

ICICI Lombard General Insurance Company Limited
Q4 & FY2025 Earnings Conference Call
April 15, 2025

Management:
MR. SANJEEV MANTRI – MD & CEO
MR. GOPAL BALACHANDRAN – CFO
MR. GIRISH NAYAK – CHIEF – TECHNOLOGY AND HEALTH UNDERWRITING & CLAIMS
MR. SANDEEP GORADIA – CHIEF – CORPORATE SOLUTIONS, INTERNATIONAL, BANCASSURANCE
MR. ANAND SINGHI – CHIEF – RETAIL AND GOVERNMENT BUSINESS
MR. GAURAV ARORA – CHIEF REINSURANCE, UNDERWRITING & CLAIMS FOR PROPERTY & CASUALTY

Moderator: Good evening, Ladies and Gentlemen, a very warm welcome to ICICI Lombard General Insurance Company Limited Q4 and FY2025 Earnings Conference Call.
From the Senior Management, we have with us today, Mr. Sanjeev Mantri – MD & CEO of the Company; Mr. Gopal Balachandran – CFO; Mr. Girish Nayak – Chief – Technology and Health Underwriting & Claims; Mr. Sandeep Goradia – Chief – Corporate Solutions, International, Bancassurance; Mr. Anand Singhi – Chief – Retail and Government Business; Mr. Gaurav Arora – Chief Reinsurance, Underwriting & Claims for Property & Casualty.
Please note that any statements, comments are made in today's call that may look like forward-looking statements are based on information presently available to the management and do not constitute an indication of any future performance, as future involves risks and uncertainties, which could cause results to differ materially from the current views being expressed.
As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

I now hand the conference over to Mr.

Sanjeev Mantri – MD and CEO,
ICICI Lombard General Insurance Limited. Thank you and over to you.
Sanjeev Mantri: Good evening to each one of you. Thank you for joining the Earnings Conference Call of ICICI Lombard General Insurance Company Limited for Q4 and FY2025.
Let me give you a brief overview of the trends we observed in the economy, as well as the industry, followed by an overview of the business. Post this, our CFO – Mr. Gopal Balachandran will share the financial performance of the Company for the quarter and the year ended 31st March 2025.
The GDP[1] growth for the quarter ended December 2024 stood at 6.2% versus 5.6%[2] for the quarter ended September 2024, as per the data released by MoSPI[3]. High frequency indicators like e-way bills, toll collections, diesel consumption and GST collections during Q4 FY2025 are all indicating positive economic conditions. Further, MoSPI has revised the full year GDP estimates to 6.5% on February 28, 2025 versus 6.4% published on January 7, 2025.
Let me now dwell on certain industry trends, which can have an impact on the General Insurance (GI) industry at large:
■ As indicated during last quarter, the government expenditure remained flat, which impacted the Commercial lines segment growth for the current quarter. However, we have started seeing an uptick in government spending towards capital expenditure in the

1 GDP – Gross Domestic Product
2 Real GDP for September quarter of financial year 2024-25 has been revised upward to 5.6% from 5.4%
3 MoSPI – Ministry of Statistics and Programme Implementation

past few months. This may be positive for the Commercial lines business.
■ For the auto industry, we had seen growth in rural market in Q3 FY2025, specifically for Two-wheeler segment at 12.7% and for the Tractor segment at 20.1% as reported by FADA[4]. However, in Q4 FY2025, we have seen a de-growth of 1.9% for the Two-wheeler segment and a de-growth of 4.6% for the Tractor segment. This indicates a softer rural demand. The Private Car segment grew by 1.1% and the Commercial Vehicle segment had a de-growth of 3.8% for Q4 FY2025 as reported by FADA, which had an impact on Motor insurance growth for Q4 FY2025. However, for the coming year, the auto industry is expected to have mid-single digit growth. We remain positive for the Motor insurance business with increasing penetration in the Old Vehicle segment.
■ The Health segment continues to be one of the fastest growing segments and is the largest contributor to the industry, constituting 38.1% of the GDPI[5] mix for FY2025. However, the industry growth in FY2025 was impacted due to the 1/n accounting norm and lower growth in the Health Benefit segment, attributable to lower disbursement of credit by NBFCs[6] and MFIs[7]. We believe that the increasing demand for health protection, coupled with increasing medical inflation, may drive double digit growth in the Health segment in the coming year.

4 FADA – Federation of Automobile Dealers Associations
5 GDPI – Gross Direct Premium Income
6 NBFC – Non-Banking Financial Company
7 MFI – Micro Finance Institution

There were some key economic changes, which were announced during Q4 FY2025:

■ The budgetary announcement of income tax relief provided, is expected to result in an additional ■ 1 trillion8 in the hands of Indian tax paying population, thereby leading to a high disposable income.

■ The second consecutive interest rate cut, tweaking of norms applicable to NBFC lending, coupled with infusion of liquidity by RBI should also support credit growth.

These policy changes aim to encourage spending and investment. They are also expected to stimulate demand for

goods and services, thereby
boosting consumption and propelling demand for risk protection through insurance solutions.

However, we remain vigilant on the ongoing geopolitical developments, which may pose risk to both global growth and the Indian economy.

Now let me give you an update on the regulatory developments:

The Regulatory Authority during Financial Year 2025, continued with various reforms, seeking to expand the market and increase the penetration of insurance products towards the mission of "Insurance for all by 2047". I would like to mention key circulars which were introduced in Q4 FY2025, regarding capping the increase in senior citizens Health insurance premium rates to 10% per annum and the introduction of BIMA-ASBA facility for Health insurance policies. We believe these regulatory changes will improve affordability and create operational ease for policyholders.

8 ■ 1 Trillion – Budget Speech 2025-2026

Overall, we remain positive that the GI industry is poised to grow in the medium to long term, given the favorable economic and regulatory environment, low penetration and relatively higher disposable income.

Now coming to the industry performance for Q4 and FY2025:

The Gross Direct Premium Income (GDPI) grew by 1.7% and 6.2% for Q4 FY2025 and FY2025 respectively. (Excluding the impact of the 1/n accounting norm, the GDPI grew by 8.6% for FY2025.) Excluding Crop and Mass Health, the GDPI grew by 4.9% and 8.0% for Q4 FY2025 and FY2025 respectively as published by GI council.

Speaking on specific segments within the industry:

■ The Commercial segment reported a marginal de-growth of 1.2% and growth of 1.5% for Q4 FY2025 and FY2025 respectively. Within this, the Fire segment registered a de-growth of 1.8% and 5.3% for Q4 FY2025 and FY2025 respectively on account of pricing pressure. Excluding the Fire segment, the overall Commercial segment grew by 8.5% for FY2025.

■ The Motor segment grew by 6.9% for Q4 FY2025 and 8.0% for FY2025. The growth in the segment has been lower due to muted vehicle sales and continued pricing pressures reflected by higher industry Combined ratio.

■ The Health segment grew at 3.7% and 9.0% for Q4 FY2025 and FY2025 respectively. Within this, Group Health grew at 4.5% and 10.6% for Q4 FY2025 and FY2025 respectively. Retail Health grew at 7.6% and 12.1% in Q4 FY2025 and FY2025 respectively.

Looking at the underlying performance of the industry, you may recall our discussion a year back during our earnings call, where we expected

some semblance in underwriting discipline in the market due to improvement in the industry's Combined ratio during that period. However, the Combined ratio for the industry has actually worsened to 113.2% for 9M FY2025 as against 112.2% for 9M FY2024. The

Combined ratio for the private sector has worsened to 111.2% for 9M FY2025 from 108.3% for 9M FY2024. The industry worsening was largely due to Motor segment Combined ratio, which increased to 123.8% in 9M FY2025 as against 118.2% in 9M FY2024. Our continued focus on driving profitable growth, helped us to improve our Combined ratio from 103.7% in 9M FY2024 to 102.8% in 9M FY2025 and from 103.3% in FY2024 to 102.6% in FY2025 on 'n' basis.
I will now walk you through the Company performance across key business segments during Q4 and FY2025:
The Company's GDPI registered a growth of 8.0% for Q4 FY2025 and 11.0% for FY2025 on 'n' basis.
With the 1/n accounting norm, for Q4 FY2025, the Company registered a growth of 2.3% as against the industry growth of 1.7%. And for FY2025, the Company registered a growth of 8.3% as against the industry growth of 6.2%. Excluding Crop and Mass Health, the Company's growth was 2.2% and 7.7% compared to the indust

ry
growth of 4.9% and 8.0% for Q4 FY2025 and FY2025 respectively.
■ In the Commercial lines segment, in Q4 FY2025, our growth was at 2.8% as against the industry de-growth of 1.2%. For FY2025, we grew by 2.1% as against the industry growth of 1.5%, thereby maintaining market share. This indicates the strength of our brand, relationship and service quality in an environment where the industry faced continued pricing pressure throughout the year. In the

Fire segment, we grew in line with the industry. In Marine Cargo, Engineering and Liability lines of business, we reported growth higher than the industry leading to market share accretion.
■ In the Motor segment, we grew at 0.1% for Q4 FY2025 as against the industry growth of 6.9%. We continue to drive our motor strategy based on granular portfolio segmentation and prudent risk selection. For FY2025, we grew by 11.5% as against the industry growth of 8.0%. Consequently, our market share grew to 10.8% for FY2025 versus 10.5% for FY2024. The portfolio mix for Private Car, Two-wheeler and Commercial Vehicle stood at 53.4%, 25.4% and 21.2% respectively. Our continued focus on multi-channel distribution, underwriting capabilities, efficient claims settlement and actuarial practices helped us in maintaining our leadership position.

Moving to the Health segment, we grew by 22.1% and 19.2% for Q4 FY2025 and FY2025 respectively. With the 1/n accounting norm, we grew by 9.7% and 12.6% for Q4 FY2025 and FY2025 respectively.
o Our Retail Health segment registered a growth of 47.7% for Q4 FY2025. With the 1/n accounting norm, the growth for Q4 FY2025 was 25.1% as against the industry growth of 7.6%. For FY2025, the overall growth stood at 38.1%. With 1/n accounting norm, the growth for FY2025 was 25.0% as against the industry growth of 12.1%. As a result, we gained market share from 3.0% in FY2024 to 3.3% in FY2025.
o The Group Health Employer-Employee segment witnessed growth of 24.9% and 18.5% for Q4 FY2025 and FY2025 respectively. Our Group Others business de-grew by 5.5% and with the 1/n accounting norm, the de-growth was 30.0% for Q4 FY2025. For FY2025, Group Others business had a muted growth of 5.3% on account of impact on Health

Benefit business through the Banca channel. With the 1/n accounting norm, this segment showed a de-growth of 10.5% for the year.
We had spoken about various ‘One IL One Team’ initiatives in our earlier

earnings call. One of the initiatives we had spoken about was the consolidation of Customer-Facing Digital Assets like IL TakeCare Health App, Website and digital alliances under 'One IL One Digital' to deliver a superior customer experience and to drive efficiencies. Some of the digital outcomes achieved in FY2025 include:

■ Increasing unique customer visit by 2x on our digital platforms.

■ 37% growth in fresh transactions on our digital platforms.

■ Downloads for our one-stop solution, 'IL TakeCare App', surpassed 14.9 million. The business done through the app stood at ■ 927.7 million and ■ 2,653.2 million for Q4 FY2025 and FY2025 respectively.

Consequently, our Customer-Facing Digital Asset business grew by 15.8%, constituting 6.6% of our overall GDP for FY2025.

Now I would like to share with you some initiatives taken by us for improving customer experience and driving efficiencies for claims.

■ On the Motor side, our Preferred Partner Network (PPN) serviced 74.1% of our non-OEM claims in Q4 FY2025, up from 69.6% in Q4 FY2024. For FY2025, this number stood at 73.2%, up from 65.0% in FY2024.

■ Our cloud calling facilities were used by 89.6% of our Motor customers in Q4 FY2025 as against 77.0% in Q4 FY2024. For the full year, this number was at 86.0% as against 49.0% for the previous

year. This resulted in a reduction of calls-to-claims ratio by 21.0% for the year.

■ Our average claim settlement period for Retail lines of business has seen improvement from 6 days in FY2024 to 5 days in FY2025 for Motor OD, and from 5 days in FY2024 to 3 days in FY2025 for Health.

■ Our IL Sahayak initiative, which was launched in April 2024, offered an on-ground claim support to over 90,000 customers across 56 cities and 2,500+ hospital network in FY2025.

Our focus on customer experience and process efficiencies has led to healthy NPS of 67 and 69 for Health and Motor claims respectively for 9M FY2025.

With all the above efforts, we are pleased to share that the Company's premium growth has been higher by 210 basis points as against the industry growth rate. Our focus on driving profitable opportunities has further resulted in improvement in the Combined ratio from 103.3% in FY2024 to 102.6% in FY2025 on 'n' basis. On the 1/n accounting norm, the Combined ratio stood at 102.8%, leading to a PAT growth of 30.7% and a delivering ROE for the year at 19.1%.

As we enter into the new financial year, we remain committed to achieving the desired scale through creation of positive customer experiences, leveraging data analytics and a technology-first approach, harnessing our multi-product, multi-distribution strategy and with a continued focus on product innovation. With our core philosophy of 'One IL One Team', we continue to scale up the profit pools and to drive sustainable growth.

I will now request Gopal to take you through the financial numbers for the recently concluded quarter and financial year.

Gopal Balachandran: Thanks, Sanjeev, and good evening to each one of you. I will now give you a brief overview of the financial performance for the recently concluded quarter and the financial year. We have uploaded the 'Results Presentation' on our website. You can access it as we walk you through the performance numbers.

With effect from October 1, 2024, long-term products are accounted on a 1/n basis, as mandated by the regulator. Hence, Q4 & FY2025 numbers are not comparable with prior periods. For more details on the impact, refer to Slide no.15 of our investor presentation.

The Gross Direct Premium Income (GDPI) of the Company was at

■ 268.33 billion in FY2025 as against ■ 247.76 billion in FY2024, a growth of 8.3% as against industry growth of 6.2%.
■ GDPI of the Company was at ■ 62.11 billion in Q4 FY2025 as against ■ 60.73 billion in Q4 FY2024, a growth of 2.3% as against industry growth of 1.7%.
On the Retail side of the business, GDPI of the Motor segment was at ■ 107.40 billion in FY2025 as against ■ 96.34 billion in FY2024, registering a growth of 11.5%.
■ The advance premium for the Motor segment was at ■ 37.17 billion as at March 31, 2025, as against ■ 36.44 billion as at December 31, 2024.
GDPI of the Health segment was at ■ 69.50 billion in FY2025 as against ■ 61.71 billion in FY2024, registering a growth of 12.6%.
■ Our agents, (including Point of sale or POS) was at 1,40,736 as at March 31, 2025, up from 1,40,077 as at December 31, 2024.

GDPI of our Commercial lines segment was at ■ 69.95 billion in FY2025 as against ■ 68.51 billion in FY2024, registering a growth of 2.1% as against industry growth of 1.5%.
Resultantly, our Combined ratio stood at 102.8% for FY2025 as against 103.3% for FY2024. Excluding the impact of CAT losses of ■ 0.94 billion in FY2025 and ■ 1.37 billion in FY2024, the Combined ratio was 102.4% and 102.5% respectively.
■ Combined ratio for Q4 FY2025 was 102.5% as against 102.3% in Q4 FY2024.
Our investment assets during the quarter rose to ■ 535.08 billion as at March 31, 2025, up from ■ 515.97 billion as

at December 31, 2024. Our
investment leverage (net of borrowings) was at 3.74x as at March 31, 2025 as against 3.76x as at December 31, 2024.
Investment income was at ■ 42.50 billion in FY2025 as against ■ 36.10 billion in FY2024. On a quarterly basis, investment income was at ■ 8.77 billion in Q4 FY2025 as against ■ 9.54 billion in Q4 FY2024. Our capital gains (net of impairment on investment assets) stood at ■ 8.02 billion for the full year as compared to ■ 5.51 billion in the previous financial year. Capital gains (net of impairment on investment assets) stood at ■ 0.06 billion in Q4 FY2025 as compared to ■ 1.56 billion in Q4 FY2024.
Our Profit before tax (PBT) grew by 30.0% to ■ 33.21 billion in FY2025 as against ■ 25.55 billion in FY2024, whereas PBT de-grew by 4.2% to ■ 6.68 billion in Q4 FY2025 as against ■ 6.98 billion in Q4 FY2024.
Consequently, Profit after tax (PAT) grew by 30.7% to ■ 25.08 billion in FY2025 as against ■ 19.19 billion in FY2024. PAT de-grew by 1.9% to ■ 5.10 billion in Q4 FY2025 as against ■ 5.19 billion in Q4 FY2024.

The Board of Directors of the Company has proposed a final dividend of ■ 7.00 per share for FY2025. This payment is, however, subject to approval of shareholders in the ensuing Annual General Meeting of the Company. The overall dividend for FY2025, including the proposed final dividend is ■ 12.50 per share. Last year, the overall dividend was ■ 11.00 per share.
Return on average equity (ROAE) was 19.1% in FY2025 as against 17.2% in FY2024. ROAE for Q4 FY2025 was 14.5% as against 17.8% in Q4 FY2024.
Solvency ratio was at 2.69x as at March 31, 2025, as against 2.36x as at December 31, 2024, continued to be higher than the regulatory minimum requirement of 1.50x.
As I conclude, I would like to assert that we remain focused on our strategy of driving profitable growth, consistent and sustainable value creation for all our stakeholders, while ensuring that the interest of policyholders is in the forefront at all times.

I would like to thank you all for attending this Earnings Call, and we will be happy to take any questions that you may have. Thank you.

Moderator: Thank you. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press "*" and 1 on their touchtone telephone. If you wish to remove yourself from the question queue, you may press "*" and 2. Participants are requested to use handsets while asking a question.

Ladies and Gentlemen, we will wait for a moment while the question queue assembles.

The first question comes from the line of Prayesh Jain from Motilal Oswal Financial Services Limited. Please go ahead.

Prayesh Jain : A good set of numbers especially on the Combined ratio front. Just your thoughts on how do we see the growth from here, firstly, from an overall GWP perspective, given the 1/n impact would continue to be there in H1 FY2026, and second half could see unwinding of the GWP and contributing to some part of growth? So that would be the first question.

Second question would be on your Combined ratio, whether you would look at Combined ratio further improving from the one that reported in for FY2025.

And third bit on the Fire segment, if you could highlight what are the kind of renewals we've seen in January and also in the April renewals? Those would be my 3 questions.

Sanjeev Mantri : Yes. Thanks, Prayesh. With respect to the growth, even when I was reading in terms of what it is line by line, I had covered. But again, I'll talk about it. Motor per se, we are expecting on the new sale mid-single digit. We're also going by the numbers as has been put across by other OEMs as to what they are seeing, albeit the base on the Private Car in particular, is high.

I also spoke about the fact that the Q4

FY2025, Two-wheeler numbers were negative, which was a bit of a surprise vis-a-vis what we saw in Q3 FY2025 and Commercial Vehicle, I would be more positive overall because government CAPEX and a lot of other activities, which in the last financial year had remained subdued, should get picked up. So net-net, Motor, we will see single digit, maybe just about double digit growth

is what our prediction is. And look, all of these things can change real time. We'll keep you updated, but that's what our belief is.

On the Health side, Prayesh, our own belief is we should see double digit growth. Now Health is two components, Retail Health and as well as the Group Health part of it. I'm more clearly talking about the Retail Health part, which will continue to see far more incremental business in terms of new to insurance, and also there would be whatever inflationary growth that comes out in terms of overall. So we would remain positive on Health. Also, Health with a 38.1% contribution, we will not be surprised if we see that contribution probably going to a 40.0% thereabouts and will continue to be the largest player.

Last but not the least, in terms of the Commercial lines of business, we've had one of the most difficult years on Commercial lines, if you see. We've never seen a growth of this nature going to low single digit in the last 7 to 8 years. Clearly, it had multiple factors, Fire pricing, which we spoke about it. However, going forward, and you spoke about, and I'll probably talk about the other question that you put across, we saw a lot of semblance in the industry overall on the Fire side and on that basis, we do believe and we do see relatively much better numbers on Fire, and with the activity on CAPEX, which is coming through, Engineering line of business should also do well.

So overall, Commercial, we would like to believe that we should be back to a double digit growth at the industry level.

Gopal Balachandran : Your last question was on the Combined. So, Prayesh, again, if you look at what we have been saying is, our performance will be in the context of how the market performs. So which is why we also put out as a part of the opening transcript as in to say that at the beginning of the

financial year concluded, we had possibly expected a lot more semblance to play out. But in reality, the market seems to have gone slightly more in that sense, north. Combined ratios have increased by almost about 100 basis points at an aggregate level. So obviously, we'll wait for the full year numbers to play out in terms of what the players report. But obviously, we will be at it, when it comes to driving profitable opportunities. So hence, the endeavor will be to try and see how we can create a lot more efficiencies, whether it is on loss ratios, costs, et cetera, and obviously select right portfolio mix. We will also see how the market direction plays out and in that context is how we would also want to see our Combined play through.

Having said that, definitely, the gap between us and the industry Combined, whichever way you look at it, we will be able to do a lot more positives to play out. And in the aggregate, what we have spoken about is time and again, we will look for trying to see if we can do that improvement in the return on equity that we can give to stakeholders, the range that we have generally spoken about in that range of 16% to 18%. The endeavor will be to obviously try and see over the long term to move towards 18% to 20%, depending on how the market plays out.

Sanjeev Mantri : Yes. So Prayesh, the simple answer is would we like to improve our Combined? Certainly, yes. And as Gopal mentioned, we saw a trajectory when we came in last year, the industry Combined had shown improvement, on the basis of th

at we felt we will go. We also would like to see a similar thing, but the deterioration happened, and the deterioration more so has happened in terms of Motor moving from 118.2% (in 9M FY2024) to 123.8% (in 9M FY2025) for a 9 month Combined. So that being said, we will let these things play out. And in our mind, the single factor that drives is are we able to generate ROAE?

And that's what largely Gopal is speaking about it, as far as we as an entity is concerned.

Prayesh Jain : Just your thoughts on Motor TP price hike. That will be my last for you.

Sanjeev Mantri : Sure. We always remain hopeful, but no news as yet. So is the industry seeking it? The answer is yes. Is it come through? The answer is no. We are planning ourselves for the hike, in that sense.

Prayesh Jain : Thank you so much and wish you all the best. Yes. Thank you so much.

Gopal Balachandran: Thanks Prayesh.

Moderator : Thank you. A reminder to all the participants, in the interest of time, please restrict the questions to two per participant. Next question comes from the line of Sanketh Godha with Avendus Spark. Please go ahead.

Sanketh Godha : Yes. Thank you for the opportunity. Gopal, in the current quarter, we seem to have done a little more reinsurance accepted business, because there is a meaningful difference between GDPI and GWP in the quarter, almost 10%. So sir, just wanted to understand the color of this business. And do you see opportunity in reinsurance accepted with price hikes going up, probably you will do the same kind of a business in subsequent year also. Any thoughts on those lines? Just want to understand.

The second question, Gopal, was that see, if you could not book capital gains in the current quarter, your yield remained at 6.3%. Suppose hypothetically, market remains weak largely for FY2026. So is it fair to say that your 6.3%, 6.4% is the yield probably for the entire FY2026, and therefore, we need to look ROE from that perspective. Just wanted to understand that bit from you.

Lastly, a data keeping question. If you can give Retail Health loss ratio breakup and Motor GWP breakup into new and old, which you usually do? Thank you.

Gopal Balachandran : Yes. Maybe I'll do the data keeping question first, which is something that keeps coming to us every quarter. So I'm just giving you the numbers, both for Q4 FY2024 and Q4 FY2025 and then I will give the numbers for the full year in terms of the breakup between Corporate Health and the Retail Indemnity numbers.

So quarter 4 of last year, Corporate Health loss ratios were 88.1%, and the Retail Indemnity numbers again for quarter 4 of last year was 64.6% vis-a-vis quarter 4 of this year, Corporate Health is at 97.2%, and Retail Health, broadly the range that we have spoken about, is at about 64.8%.

On a full year basis, this number for Corporate Health stands at about 93.7% last year and the current year, again, last year, Retail Indemnity numbers is 65.4%. Full year, this number for Corporate Health is at 97.6% and Retail Indemnity is 67.9%. So that's the numbers in terms of the breakup between Corporate Health and Retail Health.

Now coming to your point, first question on reinsurance accepted, one, at an aggregate level, obviously, if you ask us, underwriting philosophy is to drive profitable growth, whether it is with respect to the Gross Direct Premium Income that we write or even with respect to, let's say, the reinsurances acceptances to the extent whatever we do. So therefore, from a philosophy standpoint, we will stand committed to driving profitable growth across the revenue streams that we source.

Having said that, if you look at, at an aggregate level, in terms of roughly the premium that we would have written of close to about ■ 28,000 crore or thereabout, t

he extent of reinsurance inward will be a single

digit number. So hence, to that extent, a large part of the opportunities is what we see clearly even in the domestic market. Plus, at the same time, given the fact that we also have an office in our IIO business, we would want to continue to see how we can leverage our profitable opportunities even through the IIO business. So hence, that is how we would play through. Whether a particular business comes through in a quarter or otherwise, again, as I keep saying, our business is significantly cyclical. And wherever we see opportunities play out is how you will continue to see the mix of business between direct, RI, et cetera, play out. The larger number to look at will be more on an annual basis. That will be more reflective of where we are in terms of our approach to writing domestic and reinsurance inward.

Sanketh Godha : I was asking this question predominantly because you will see a better pricing environment in next fiscal year. So if other segments slow down, say, Motor slows down a bit because of the weak auto cycle, is it fair to say that this product might be an opportunistic approach to drive the overall growth maybe from that perspective because of the pricing environment?

Gopal Balachandran : Yes, exactly. Sanketh, your point is absolutely right. That's exactly what I said. If you ask us, for us, both of them are preferred areas of opportunity. So therefore, where we see preferable segments for us to be able to underwrite, we will look at both. Will it suddenly become a very large proportion of our overall revenue streams? At this point of time, clearly not. But obviously, we will look at, as I said, profitable opportunities between domestic and reinsurance inward and the revenues that will eventually source will be mix of both.

On your point on capital gains, the approach that we have taken where building the investment portfolio is concerned, the treasury team has done a brilliant job in terms of how to balance the mix of asset classes between equity and the fixed income portfolio. That's the reason during the last periods of high-interest rate regime, we have been able to significantly go long, and which is the reason even in our earlier earnings call, we have spoken on our duration of the book. That still continues to be slightly in excess of 5.3 years. And if you look at the yield to maturity, the yield to maturity of the book also currently stands at about 7.55%. And this is what is translating into, if you look at our mark-to-market positions on the overall investment book, roughly an aggregate mark-to-market gain as on the balance sheet date of roughly about ■ 18 billion in terms of the mark-to-market unrealized gains is what we have. So the portfolio is well positioned.

The question to ask for is what happens in case if you see possibly sustained periods of price competition or sustained periods of low-interest rate regime? Now all of that, so far as the second part of, let's say, periods of low interest rates sustaining in the next year, to that extent, our duration call will largely reflect that. Reinvestment of the incremental cash flows will get subjected to getting placed at a lower interest rate and that will be true for the entire market. So therefore, the entire market will have to work much harder in terms of improving the pricing. And therefore, on balance, which is what we keep saying, the ROE range that we will work, which will be through a combination of driving underwriting outcomes and return on investment, that will be in the range of 18% to 20%, assuming the market obviously shows signs of change.

Sanjeev Mantri : And also, Sanketh, now I'll just give you the lay of the land. If you go back in time in April, as we were finishing o

ur FY2024, if you would have told us to guess the growth rate for Commercial lines of business, we

would have said definitely, it will be in double digits. If you would have told us on the Banca line of business, which is a big practice we have, again, we would have said a decent mid-double digit. But as transpired in the course of the year, both of these lines that are relatively difficult here. But again, the emphasis that we have as a multi-line, multi-product companies, are we agile enough to toggle.

Even if you look at the number that you see quarter on quarter in Motor, we had a significant gain in quarter 1 and quarter 2. And again, in quarter 3 and quarter 4, we have the PSUs, which have built up severe intensity, which is not making much of economic sense. And you have seen us growing relatively low while we finished the year overall with a gain on market share. So what I'm trying to emphasize to all of you is what we see and what comes through, there can be a gap and as an organization, we are expected to maintain that level of agility to make those shifts happen and what we predict not necessarily is the way the market will end up behaving. So we will have to factor that. And again, I come back. In light of that, the focus entirely for us as an organization boils down to are we able to generate the ROEs that is expected by all our stakeholders.

Moderator : Thank you. Next one comes from the line of Nidhesh Jain with Investec. Please go ahead.

Nidhesh Jain : Thanks for the opportunity. Sir, two questions. First is on Fire pricing, are we already seeing signs of improvement in Fire pricing for the industry?

Sanjeev Mantri : Yes. The answer is yes. There is some semblance, but I would like to put a word of caution, because we still have to see a lot more flowing through. But as things stand in first couple of weeks of April, there was definitely much better discipline in the market.

Nidhesh Jain : Sure. Secondly, can you speak about IFRS impact on our profitability or ROE, any rough indication? Because some of the other companies are disclosing their IFRS numbers, which is also quite useful. So if we can also give some indication around that.
Sanjeev Mantri: So Gopal will give the indication. My only point is, just to put things in perspective, there is an economic value and there is an accounting value. All these nuanced changes are eventually on the accounting part of it. There is obviously an implication in terms of how positively IFRS can help us. But we, as an organization, would 100% commit ourselves on the economic value. Now probably Gopal, if you can just talk about it.
Gopal Balachandran: Yes, Nidhesh, we have actually spoken this even in past calls. So therefore, our stance would still be the same, that we will continue to evaluate businesses more on an economic basis, because at the end of the day, that's what will eventually translate in terms of what is the outcome that we are writing from a risk perspective.
Transitions to IFRS, obviously, are accounting changes, which we will be, in that sense, well prepared. Also, at this point of time, obviously, we are getting most of our work done internally, whether it is in terms of understanding the impact of change, getting systems geared up so that as and when there are clear regulatory stipulations is what they have currently indicated. So we will be pretty much ready with whatever it takes to do the transition. But at the same time, we have been speaking about, also is the fact that as and when we will eventually transition to IFRS, there will be a lot of, assumptions, which will have to be made by the market at large. It is important for, again, various stakeholders to ensure consistency in comparison, a need for possibly to see if we can

get a lot more alignment with some of those assumptions that the market participants use.
So our endeavour is in that direction, and which is what we are working with the council to see how we can possibly play that role far better in the current times. But obviously, internally, we are pretty much well prepared.
Major areas of impact, I already called out. So, no specific incremental areas to call out as a part of the current impact assessment that we have done. But yes, we are ready, and we will roll out whenever we see the regulatory time lines coming into action.
Nidhesh Jain : Okay. And when we speak about economic prospective, we are talking more about ROE and not Combined ratio, right?
Gopal Balachandran : Yes, because end of the day, whatever you write has to translate into a return to stakeholders through a combination of what we deliver on underwriting, plus obviously, how effectively are we able to put the cash flows to use. So hence, to that extent is what we will be largely driving as an institution.
Nidhesh Jain : Thank you sir. That’s it from my side.
Gopal Balachandran : Thanks Nidhesh.
Sanjeev Mantri : Thanks Nidhesh.
Moderator : Thank you. Next question comes from the line of Avinash Singh with Emkay Global Financial Services Ltd. Please go ahead.
Avinash Singh : Yes. Hi. Good evening. Thanks for the opportunity. Just a couple of questions. The first one is on Motor TP. If I see again around ■ 915 crores

of reserve releases you had this fiscal and you have still you have not touched your FY2023 onwards, if I see. Now the backdrop is that the price hike is not happening. Do you see, the support from reserve releases to continue to provide the support in terms of your Motor TP claims ratio to catch up with the claims in place? Also on that front, also another question related is that, okay, industry has seen despite this

EoM coming, the overall non claims expense going up. Now do you see that scope next year if the claims were to be under pressure, OPEX side, because now the March 2026 deadline for reaching EoM limits some sanity prevailing among some extreme or aggressive peers, would that lead to your OPEX further improving from here? Because at the end of the day, that's a market-related phenomenon. You cannot outprice yourself in the market. So if the peers were to improve, will that also be helpful?

The second one on the April 1 renewal, if I read correctly, India, even in Asia, the reinsurance capacities and pricing both have been favorable. So in that backdrop, does that help in terms of your profitability in these reinsurance heavy line item like Commercial lines?

Gopal Balachandran : Okay. So maybe I will take the second part first. What you observed is absolutely right. So hence, obviously, that dent us, which is what we have been talking through. The more the market gets sensible, so far as the need for compliance to the expense of management guidelines are concerned, that definitely augurs well from an overall market discipline standpoint. And again, as you rightly indicated, FY2026 is the time period that the regulator has stipulated within which companies are expected to toe the line when it comes to meeting the guidelines on expense of management. So obviously, this is something that we would be definitely closely watching for. But at the same time, I'm sure all of

you are also clearly hearing that even the regulator is wanting to make sure that as an industry, pretty much everyone in the market follows the discipline on compliance to expense of management. So hence, the short answer is, of course, it augurs well for favourable market development is concerned. Within that, indeed, obviously, that's something that we have

always seen, when the market gets far more sensible on underwriting, then ICICI Lombard by virtue of its brand, technology, service, et cetera, is obviously able to command an incremental market growth without compromising on underwriting outcome. So that's the response to the second one.

To the response on the third one, with respect to the reinsurance renewal cycle, again, Avinash, you all understand insurance as much as what we do. So therefore, in that sense, the renewals are always through cycles. You will always see periods of softness and at some points of time, the market starts to get hardened.

The key is, end of the day, if you look at from our standpoint, what we have, again, particularly in the Commercial lines, where you relatively see higher proportion of reinsurance, we have continued to stay disciplined on picking risks which we think are viable from an underwriting perspective, irrespective of which cycle the market is currently operating at in terms of the reinsurance renewals.

Now that's what is finding favour if you were to see, which is what put out also on our investor presentation, the quality of the partners with whom we work clearly is pretty much there. So obviously, we don't, in that sense, want to take any unnecessary credit risk. So we are very, very conscious of making sure that we work with high-quality panel of reinsurers. So that gives us a lot of comfort when it comes to getting capacity and also now to your point on terms, obviously, we get terms

which are better than the market. So even this year, at least what we understand, relative to the market, given the underwriting performance that we have exhibited to the reinsurers, we believe we have been able to get terms both on commissions and the costs that we incur for protecting our net, to be possibly better than where the market is placed at. That will again aid us in our ability to further dwell on incremental market share. So that's in response to the third question on reinsurance

renewal cycle.
To your first point on Motor Third Party, again, I keep saying this, the ranges is what we have spoken about in terms of the Motor loss ratio. Again, I will keep saying we have to look at Motor as in the aggregate, and the range that we have spoken about even in the earlier earnings call, for the segment has been between 65% to 67%. Broadly, if you look at the loss ratio outcome that has played out for even the current year, it's pretty much within the range that we have been talking about. So hence, that's how we look at. Now what can happen in case if no Third Party price increase sustains for one more year in FY2026. Obviously, that means we'll have to do a lot more work to make sure that we are able to identify better risk selection and continue to see how we can drive profitable growth. That's what we will focus on. More importantly, for the market, they will have to work much harder, particularly for those companies which have Combined with no Third Party price increase and the compliance to expense of management is something that some of those market participants will have to work on. So again, we believe we again are favourably placed in terms of the opportunity that one sees on Motor Third Party.
Finally, on the point on reserving, our approach to the actuarial principles pretty much stands intact. There is absolutely no change in

the way how we have been reserving for the portfolio in terms of consistency and that's the reason even if you would have seen the reserve redundancy, that you would have seen across key lines, we continue to see one more year of reserve redundancy. So that reflects the quality of reserving that we have been able to play up to. So hence, no change in the actuarial thought process.
Avinash Singh : Thank

you. Very clear. Thanks.
Moderator : Thank you. Next question comes from the line of Shreya Shivani with CLSA. Please go ahead.
Shreya Shivani : Hi, thank you for this opportunity. I have one question that is on the expense ratio for the quarter. So the way I understood the impact of the 1/n accounting last time, the quarters are similar in terms of what happened in Q3 to Q4 in terms of the volume growth that you got or how much you have retained, then ideally, your expense ratio should have been similar to what it was in Q3. Even the absolute amount has declined in Q4, if I don't talk about the ratio, even the absolute amount has declined. So what has helped us in having much lesser net commissions, at least, if you can help me understand? This is just about the quarter.
Gopal Balachandran : Shreya, again, it's like the question that keeps coming to us in terms of the Third party loss experience on how the loss ratio movement are happening between quarters. Again, I will keep reiterating. Our focus is very clear it is to make sure that expense plus commissions put together as a Company, we are very, very conscious of making sure that we run the overall operations at an EoM threshold, which is less than 30.0%, and which is what if you see on a full year basis, for us, the expense of management number stands at about 29.5%. So hence, we are pretty

much committed. Within a quarter, various factors in terms of business mix, in terms of efficiencies that we always keep looking for, in terms of our own internal processes, and so there are numerous factors that go into it. So hence, which is why we keep urging to keep looking at numbers more on an annual basis rather than a particular quarter and more so on an absolute basis, again, there can be many factors to it. So for example, whenever if there are periods where I do a lot more of those investments, in that quarter, you will see the cost hitting us and so on. So a better number to look at will be more the expense of management

number than anything else.
Sanjeev Mantri : Also Shreya, since you're comparing quarter 3 and quarter 4, just to highlight, it's the configuration of business that comes in, in quarter 3, we have far more new book that comes in. It's a season where the sale of new growth, our market share in Motor also grows in a very, very significant way.
In January, typical January 1 also is a reasonably big line on the Commercial side of the business, which can further impact the expense ratio in a positive manner. So it's more driven by configuration of what nature of business you write, which creates the differentiation. Also, you know that when these things happen and you have a quarter where there's a new coming in, it would impact us.
Shreya Shivani : Yes. The only thing I was getting confused that if the retention ratios are similar between Q3 and Q4, then your commission rates should have been similar, ideally, your net commission ratios. But I get the part that if you've written more Commercial lines in Q4, then obviously.
Sanjeev Mantri : Okay. Thank you.

Shreya Shivani : Thank you.
Moderator : Thank you. Next question comes from the line of Prakhar Sharma with Jefferies. Please go ahead.
Prakhar Sharma : Hi. Good evening. Just wanted to delve upon the comment on the pricing stance by some of the PSUs or broader market in the Motor Vehicle business. Could you just elaborate on this that from what segments of GI Operators did you see some bit of an aggressive stance? And has there been any change? Because while we talk about the EoM sunset for FY2026, are the private ones also genuinely trying to consolidate on pricing?
Second, just connected to this is, is there a possibility or is there a discussion around the EoM getting pushed out by a year or

so just so
that everybody makes it without too much disruption? Thank you.
Sanjeev Mantri : So Prakhar, on the PSU aggression, it's primarily driven very extensively on the Motor side. Will it sustain? Too early to comment. There were shades of that visible in quarter 3, but quarter 4, if you see, they have overall buckled the trend and they have gained significant market share also in the Motor segment. It would be anybody's guess in terms of what their plan is. We are pretty ready to face whatever be the trajectory that they have and we'll wait and see how it pans out. As I said in my initial remarks, that we would continue to flow prudently, because these things can happen at multiple level with multiple players, sometimes it's private sector, sometimes it's public sector, but we need to stick to our trajectory of what we want to do.
With respect to the expense of management deferment, our understanding is that what has got called out was full and final. We do

believe it will be good long term for the industry if there's a semblance on that count. We are no one to comment in terms of whether a dispensation will be given for another year. But if you ask, I personally believe another year of dispensation will make them continue the practice as it exists and will not change anything because then they can ask another year of dispensation. So that's where we would leave this part of the conversation at least.
Prakhar Sharma : Perfect. Thank you so much.
Moderator : Thank you. Next question comes from the line of Aditi Joshi with JP Morgan. Please go ahead.
Aditi Joshi : Yes. Thank you for taking my question. Just a very simple one. Sorry, could not go through the presentation. With respect to the investment income, in the Q4 FY2025, it was lower on a year on year basis. So just wanted to understand, is it majorly on account of interest income or on

account of lower realized gains?
Gopal Balachandran : Yes. We put that in the quarter of the opening script, Aditi. So largely the nature of how we run the overall investment book. The short answer is capital gains. Q4 FY2024, capital gains were roughly about ■ 150 crore+. This year, pretty much our capital gains is as good as a very, very small number of roughly about ■ 6 crore. So that's the reason why you see the overall investment income for Q4 FY2025, to be slightly lower than the Q4 FY2024.
But having said that, what has worked well, again, as I said, the treasury team has done a great job in trying to make sure that the portfolio has got significantly balanced to make sure that we go long. Hence, which is why, again, time and again, we have been giving the yield to maturity

numbers, which used to be less than 7.00%. That number as we speak, currently stands at about 7.55%. So this is for here to stay. Hence, at least for Q4 FY2025, the short answer is capital gains.
Sanjeev Mantri : Yes. And also something which I must put across what our treasury team has done is even over quarter on quarter, we have increased the yield of the book from 7.00% to 7.55%, so which is a big one with a tenure also, which has gone to 5.34. Overall, it puts us well in terms of the current scenario that exists on the interest rate part. And also in quarter 3, it was more of a tactical call where our investment team felt that it was much better to book capital gains in that quarter vis-a-vis what would happen in Q4. In hindsight, it did work out for us.
Aditi Joshi : Okay. Thanks clear. Thank you.
Moderator : Thank you. Next question comes from the line of Neeraj Toshniwal with UBS Securities. Please go ahead, sir.
Neeraj Toshniwal : Yes, hi. So one question is on the growth side because during this 1/n will normalize from October, how should one think about overall

growth
and the preferred areas will remain held? And obviously, Motor, there's a lot of competitive intensity, which has increased, especially from PSUs, what I understand. So any comment on overall growth we are targeting in FY2026? That is one. Second is on book-keeping question on the other income from the non-operating reserves, which seems to be very high. So anything on that?
Gopal Balachandran : So maybe I'll take the first one. On the growth side, Neeraj, the good part is, if you look at some of the actions which are being taken, both at various governments and even our own insurance regulator, the efforts have been very, very positive. For example, the recent budget did see a

lot of people getting a higher disposable income, which augurs well. Now all of this will start to play through maybe over the subsequent quarters. So that's a very positive action which comes from the government.
Equally, regulators are doing their part in terms of trying to keep relatively the interest rate of the environment at far more acceptable levels. The very recent rate cuts, again, augurs well for driving retail consumption and in general, driving consumptions are concerned. So there are clearly a lot of positive factors, which should aid when it comes to growth because ours is a direct reflection of what happens in so far as economic activities are concerned. Some of these positive actions by the government and regulators augurs very well.
Coupled with this, if you look at side for the next 2 quarters, in general, we are very positively placed in terms of how we see the opportunity play out. Also, what we responded to the earlier question on how the initial corporate renewal cycle has been, that looks again very promising. That's something that has started off on a positive note right from the beginning of the year. So hence, even for the rest of the year, one should see that cycle play through. So overall, we are positively

looking at in terms of how the market should play out. Within that, what we have spoken is to try and see how we can continue to deliver that outperformance vis-a-vis the industry growth numbers are what we will be penciling in. First 2 quarters, you are absolutely right, Neeraj, in terms of the impact of 1/n will obviously play out. So maybe to that extent, industry growth could be a little subdued. But on a full year basis, we are very optimistic.

Neeraj Toshniwal : Got it, Gopal. Any comment on the Combined ratio guidance, if we are changing or revising giving any guidance?

Sanjeev Mantri : See on the guidance part, we've given a complete perspective. If the industry continues to deteriorate, our own belief would be that we are part of the same pond, right? So you would see overall challenges. But in our scheme of things, if there is an improvement in status-quo, you would see us probably improving. More importantly, it's the ROE part of it, which we would focus on and see what returns we are able to generate. And in that, we've always maintained that we want to see at least a 16% to 20% range for us as a Company being given to stakeholders.

Neeraj Toshniwal : Lastly on the book-keeping, on the other income on the non-operating results, you seen very high. Is it something regrouping or if you can throw some...

Gopal Balachandran : Yes, nothing specific, Neeraj, but it is business as usual for us. They will all be driven by whatever the regulatory stipulations are and no specific changes per se.

Neeraj Toshniwal : Sure. Thank you.

Moderator : Thank you. Ladies and Gentlemen, due to time constraints, we have reached the end of question and answer session. I would now like to hand the conference over to Mr. Sanjeev Mantri for closing comments.

Sanjeev Mantri : Great to connect with all of you, cl

osure of another financial year, and some exciting times of it. Look forward to interacting with each one of you, as and when your time permits. We do believe that the General Insurance industry is poised for a decent year going forward, and we would keep in touch and keep you updated. Thank you so much for joining in, and all the best to each one of you.

Gopal Balachandran : Thank you so much.

Moderator: Thank you. On behalf of ICICI Lombard General Insurance Company, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2025

ICICI Lombard General Insurance Company Limited

IRDA Reg . No. 115 CIN: L67200MH2000PLC129408 You can contact us at:
Mailing Address: Registered Office: Toll free No.: 1800 2666
Sixth floor - Interface 16, ICICI Lombard House , 414, Veer Savarkar Marg, Email: customersupport@i cicilombard.com
Office no 601 & 602, Near Siddhi Vinayak Temple, Prabhadevi, Website: www.icicilombard.com
New linking Road , Malad Mumbai - 400 025.
west , Mumbai - 400064.

Ref. No.: MUM/SEC/80- 7/2026

July 19 , 2025

To,
The Manager
Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001 The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot C/ 1
G Block, Bandra Kurla Complex,
Mumbai – 400 051

Scrip code: Equity (BSE: 540716/ NSE: ICICIGI)

Dear Sir/Madam,

Subject: Disclosure under Regulation 30 o f SEBI (Listing Obligations and Disclosure
Requirements) Regulations, 2015 - Transcript of earning s conference call for the
quarter ended June 30, 2025

This is further to our letter dated July 3, 2025 and July 15, 2025, please note that the Company had hosted an earnings conference call with investor(s) and analyst(s) on
Tuesday, July 15, 2025 to disc uss the financial performance of the Company for the
quarter ended June 30 , 2025.
In this regard, please find attached transcript of the earnings c onference call with
investor(s) and analyst(s) for the quarter ended June 30 , 2025.
The above information will also be made available on the Company's website at
www.icicilombard.com.

You are requested to kindly take the same on your records.
Thanking you.
Yours faithfully,

For ICICI Lombard General Insurance Co mpany Limited

Vikas Mehra
Company Secretary

Encl. As above

ICICI Lombard General Insurance Company Limited
Q1 FY2026 Earnings Conference Call
July 15, 2025

Management:
MR. SANJEEV MANTRI – MD & CEO
MR. GOPAL BALACHANDRAN – CFO
MR. ANAND SINGHI – CHIEF – RETAIL AND GOVERNMENT BUSINESS
MR. GIRISH NAYAK – CHIEF – TECHNOLOGY AND HEALTH UNDERWRITING & CLAIMS
MR. SANDEEP GORADIA – CHIEF – CORPORATE SOLUTIONS GROUP, INTERNATIONAL & BANCASSURANCE
MR. GAURAV ARORA – CHIEF – REINSURANCE, UNDERWRITING & CLAIMS FOR PROPERTY & CASUALTY

ICICI Lombard General Insurance Company Limited
Q1 FY2026 Earnings Conference Call
July 15, 2025

Moderator: Good evening, ladies and gentlemen, a very warm welcome to ICICI Lombard General Insurance Company Limited's Q1 FY2026 Earnings Conference Call.

From the senior management, we have with us today, Mr. Sanjeev Mantri – MD & CEO of the Company; Mr. Gopal Balachandran – CFO; Mr. Anand Singhi – Chief – Retail and Government Business; Mr. Girish Nayak – Chief – Technology and Health Underwriting & Claims; Mr. Sandeep Goradia – Chief – Corporate Solutions Group, International & Bancassurance; and Mr. Gaurav Arora – Chief – Reinsurance, Underwriting & Claims for Property & Casualty.

Please note that any statements or comments are made in today's call that may look like forward-looking statements are based on information presently available to the management and do not constitute an indication of any future performance as future involves risks and uncertainties which could cause results to differ materially from the current views being expressed.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touch-tone phone.

I now hand the conference over to Mr. Sanjeev Mantri – MD & CEO, ICICI Lombard General Insurance Limited. Thank you, and over to you, sir.

Sanjeev Mantri: Thank you so much. Good evening to each one of you. Thank you for joining the Earnings Conference Call of ICICI Lombard General Insurance Company for Q1 FY2026.

Let me give you a brief overview of the trends you observed in the economy, as well as our industry, followed by an overview of the business. Post this, our CFO – Mr. Gopal Balachandran will share the financial performance of the Company, for the quarter ended June 30, 2025.

India's GDP1 growth for Q4 FY2025 surprised positively at 7.4%, and the full-year growth came in at 6.5%, according to the data released by MoSPI2.

Key macro-economic indicators such as GST collections and performance of the infrastructure sector indicate some positive

momentum for Q1 FY2026. RBI's3 cut in the repo rate by 50 basis points in early June 2025, income tax incentives by government and benign inflation is expected to augur well for the domestic economy.
Let me now dwell on certain industry trends which can have an impact on the GI industry at large:

- In the current quarter, the government's continued emphasis on infrastructure deployment has fuelled growth across key sectors such as cement, steel, infrastructure and capital goods. With the banking sector remaining healthy and capacity utilization exceeding historical norms, any increase in domestic demand

1 GDP - Gross Domestic Product
2 MoSPI - Ministry of Statistics and Programme Implementation
3 RBI - Reserve Bank of India

could serve as a catalyst for private capital expenditure. These factors present a positive outlook for the Commercial lines of business in coming quarters.

- In Q1 FY2026, as per the data published by SIAM4, Private Car and Two-wheeler segment de-drew by 1.5% and 7.2% year on year respectively. However, in Q1 FY2026, basis the data published by FADA5, auto industry has grown by 4.9%. The Private Car segment grew by 2.6%, registering 0.97 million unit sales. The Two-wheeler segment has seen a modest growth of 5.0% contributed by both urban and rural consumers

. As the
monsoon is forecasted to be normal, we anticipate that it will further fuel the rural demand. Commercial Vehicle (CV) has seen a growth of 7.0%, which was led by strong growth in Electric Three-wheeler category. As an organization, we remain optimistic for the Motor business in the coming months.

- The Health Segment remains the largest contributor to the industry, accounting for 40.2% of the GDPI mix in Q1 FY2026. Rising hiring activity, escalating medical costs and sustained credit growth are the key drivers fueling continued demand for Health Insurance. However, the overall industry growth trajectory continues to be moderated by the impact of the 1/n accounting norm. Despite this, the fundamentals of the Health insurance segment remain strong, positioning it as a critical pillar of long-term industry growth.

Given the favorable economic indicators and positive regulatory environment, we expect the General Insurance industry to continue the growth momentum in medium to long-term. However, we remain vigilant on the ongoing geopolitical developments which may pose risk to both global growth and Indian economy.

4 SIAM - Society of Indian Automobile Manufacturers
5 FADA - Federation of Automobile Dealers Associations

Let me now share an update on key industry level events:
Happy to share that recently launched campaign, "Achha Kiya Insurance Liya" is a commendable step by the General Insurance industry towards enhancing awareness and consequently increasing insurance penetration across diverse customer segments. This unified effort reflects the sector's growing commitment to driving financial protection and resilience in India. As one of the leading players in this industry, ICICI Lombard is well placed to contribute and benefit from the same.
Another key event wherein the country was deeply affected was the tragic Air India plane crash. We extend our sincere condolences to the families who lost their loved ones. An event of this magnitude can have profound effect on all those involved. As an industry and as an insurer, we responded swiftly, prioritizing and supporting the affected family members and other stakeholders during these

difficult times.
Now coming to the industry performance for Q1 FY2026:
The Gross Direct Premium Income (GDPI) grew by 8.8% for Q1 FY2026. Excluding the impact of the 1/n accounting norm, the GDPI grew by 12.8% for Q1 FY2026. Excluding Crop and Mass Health, the GDPI grew by 11.1% for Q1 FY2026 (as published by GI council)
Speaking on the specific segments within the industry:
■ The Commercial segment reported a growth of 13.0% for the period ending Q1 FY2026. The growth is majorly driven by improved pricing in Property lines of business.
■ The Motor segment growth for the industry stood at 8.7% for the period Q1 FY2026. The industry continues to witness significant pricing pressure as reflected by higher industry Combined ratio for the Motor line of business.

■ The Health Segment, including Mass Health, grew by 8.1% for the period Q1 FY2026. Within this, the Group Health line of business grew by 9.6% for Q1 FY2026, whereas the Retail Health growth stood at 9.4% for Q1 FY2026, impacted by the 1/n accounting norm.
Speaking on the Underwriting performance of the industry:
Overall, the CoR (Combined ratio) for the industry, worsened to 112.6% for FY2025, as against 112.0% for FY2024. The overall CoR for private players worsened to 111.4% for FY2025 from 108.7% for FY2024. Industry Combined worsening was largely due to the Motor line of business. It stood at 123.7% for FY2025 vis-à-vis 118.5% for FY2024. As against this, our continued focus on driving profitable growth has helped us to show a Combined ratio of 102.8% for FY2025 v

s 103.3% for FY2024.
Also, it is pertinent to note that the Company's contribution to overall underwriting losses is at 2.7% only, vis-à-vis an 8.7% market share for FY2025.
I will now speak about the Company's performance across key business in Q1 FY2026:
The Company's GDPI registered a growth of 0.6% as against the industry growth of 8.8% for Q1 FY2026. Excluding Crop and Mass Health, the Company's growth was at 3.4% compared to the industry growth of 11.1% for Q1 FY2026.
■ In the Commercial lines segment, our growth stood at 6.8% for Q1 FY2026 as against the industry growth of 13.0% for the same period. Whilst the industry has seen an improvement in pricing at an overall level, however, there have been different levels of price action within sub categories of Commercial lines. We continue to drive profitability through prudent risk selection and distribution-

led growth. We have maintained a leadership position in the Engineering and Marine Cargo lines of business.
■ In the Motor segment, our growth stood at 3.2% for Q1 FY2026 as against the industry growth of 8.7%. In the backdrop of elevated competitive intensity, as stated earlier, we continue to drive our strategy in Motor insurance based on granular portfolio segmentation and distribution expansion. We continue to maintain our leadership position with a market share of 10.5% for Q1 FY2026.

Our portfolio mix for Private car, Two-wheeler and Commercial Vehicle stood at 54.8%, 27.0% and 18.2% respectively, in comparison to the mix of Q1 FY2025, which stood at 51.5%, 26.0% and 22.5% respectively.

■ In Health segment, we grew by 1.9% for Q1 FY2026 as against the industry growth of 8.1% as at Q1 FY2026, on a 1/n basis.

o Our Retail Health business line continued to maintain the growth momentum, pursuant to which we have gained the market share. We registered a growth of 32.2% as against industry growth of 9.4% as at Q1 FY2026. The continued innovation in Retail Health products and investment in Retail Health distribution has helped us to increase market share which now stands at 3.5% for Q1 FY2026 as against 2.9% for Q1 FY2025.

o Our Group Health segment de-grew by 2.5% for Q1 FY2026 when compared with Q1 FY2025 resulting in our market share being at 10.1%. This was essentially attributable to lower growth in our Group Benefit segment due to muted credit disbursements coupled with the impact of 1/n accounting norms.

Would now like to apprise you of other key initiatives of our organization:
o The initiatives under 'One IL One Team' continue to deliver measurable results, underscoring our commitment to sustainable and profitable growth at the organization level. A key initiative in this journey has been the consolidation of our customer-facing call centres into a unified, 'One IL One Call Centre' aimed at standardizing practices, enhancing operational efficiencies, and delivering a superior customer experience through strategic technology interventions.

The integration of process under this initiative resulted in a 78% increase in productivity for Q1 FY2026, along with reduction of headcounts of the fresh acquisition team and service team by 22% and 10% respectively. Our digital service engagement has gone up to 38% in Q1 FY2026, up from 22% in Q1 FY2025. This was made possible through the use of Artificial Intelligence, Voice Bot, Propensity Modeling and targeted campaigns.

o We further improved our efficiency in Motor claims. Our Preferred Partner Network serviced 74.6% of our non-OEM claims in Q1 FY2026, up from 72.0% in Q1 FY2025.

o Launched in April of 2024, our IL Sahayak initiative has strengthened on-ground claim support for our health customers. In Q1 FY2026, the initiative assisted over 28,000 customers, reflecting an incre

ase from 8,000+ customers
supported in Q1 FY2025. This growth highlights our continued focus on enhancing the customer experience and delivering timely, accessible support during the critical moments.

o Our digital platform continues to aid our growth with visitors increasing 21% year on year (YoY) and increase in fresh business by 69% year on year. This is fuelled by our one-stop solution 'IL TakeCare App' for all insurance and wellness needs. This surpassed 16.6 million downloads.

o Our focus on customer experience and process efficiency has led to an NPS of 68 and 69 for Health and Motor claims respectively for FY2025.
We have demonstrated resilience amidst industry challenges, maintaining our focus on profitability. Guided by our 'One IL One Team' philosophy, we continue to harness the power of data, technology and innovation to drive our progress. Our robust multi-product, multi-distribution strategy allows us to adopt swiftly and

serve our customers more effectively while delivering profitable growth.

I will now request Gopal to take you through the financial numbers for the recently concluded quarter.

Gopal Balachandran: Thanks, Sanjeev, and good evening to each one of you. I will now give you a brief overview of the financial performance of the recently concluded quarter. We have uploaded the Results Presentation on our website, and you can access it as we walk you through the performance numbers.

With effect from October 1, 2024, Long-Term Products are accounted on a 1/n basis, as mandated by IRDAI. Hence, Q1 FY2026 numbers are not comparable with prior periods. Please refer to our Investor Presentation for further details.

The Gross Direct Premium Income (GDPI) of the Company was ■ 77.35 billion in Q1 FY2026 as against ■ 76.88 billion in Q1 FY2025,

a growth of 0.6% as against the industry growth of 8.8%. Excluding Crop and Mass Health, GDPI growth of the Company was 3.4%, vis-à-vis the industry growth of 11.1% in Q1 FY2026.

Our GDPI growth during the quarter was primarily driven by growth in the preferred segments. The overall GDPI of our Property and Casualty segment grew by 6.8% to ■ 26.77 billion in Q1 FY2026 as against ■ 25.08 billion in Q1 FY2025.

On the retail side of the business, the GDPI of the Motor segment was at ■ 24.44 billion in Q1 FY2026 as against ■ 23.69 billion in Q1 FY2025, registering a growth of 3.2%.

■ The advance premium numbers for the Motor segment was at ■ 38.07 billion as at June 30, 2025, as against ■ 37.17 billion as at March 31, 2025.

GDPI of the Health segment was at ■ 23.81 billion in this quarter as against ■ 23.37 billion in Q1 last year, registering a growth of 1.9%.

■ Our agents, which includes the point of sale distribution count, was at 1,43,675 as at June 30, 2025 up from 1,40,736. This was the number as at March 31, 2025.

Our combined ratio stood at 102.9% for Q1 FY2026, as against 102.3% for Q1 FY2025.

Our investment assets during the quarter rose to ■ 554.53 billion as at June 30, 2025, up from ■ 535.08 billion as at March 31, 2025. Our investment leverage (net of borrowings) remains the same at 3.74x as at June 30, 2025, and as at March 31, 2025.

Investment income was at ■ 12.88 billion in Q1 FY2026 as against ■ 11.28 billion in Q1 FY2025.

Our capital gains (net of impairment on investment assets) stood at ■ 3.80 billion in Q1 FY2026 compared to ■ 2.84 billion in Q1 FY2025.

Our Profit before tax (PBT) grew by 28.4% to ■ 9.94 billion in Q1 FY2026 as against ■ 7.74 billion in Q1 FY2025.

Consequently, Profit after tax (PAT) grew by 28.7% to ■ 7.47 billion in Q1 FY2026 as against ■ 5.80 billion in Q1

FY2025.

Return on Average Equity (ROAE) was at 20.5% in Q1 FY2026 as against 19.1% in Q1 FY2025.

Solvency ratio was at 2.70x as at June 30, 2025, as against 2.69x as at March 31, 2025. This continues to be higher than the minimum regulatory requirement of 1.50x.

As I conclude, I would like to reassure that we remain committed and focused on our strategy of innovation and driving profitable growth, consistent and sustainable value creation for all our stakeholders, while continually ensuring that the interest of the industry and our policyholders is in the forefront at all times.

Thank you and we will be open to take questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from Nischint Chawathe from Kotak. Please go ahead.

Nischint Chawathe: Hi, thanks for taking my question. My question is actually on the Commercial lines of business. Somewhere at the beginning you mentioned that pricing has improved in this segment. But I think at the same time, you also said that there are different levels of pricing and as I see you have shrunk the market share a little bit in this segment. So just curious, what is your view on this segment? And do you expect this to be a profitability accretive in this financial year?

Sanjeev Mantri: Sure. Thanks, Nischint, for your question. The simple answer is, I mean, overall, yes, with the overall sentiment in pricing getting better, we do expect it to be more profitable. If you remember, last year when we were engaging in every possible quarter, we had spoken about the excessive intensity and aggression on the pricing front. Certainly, there is a bit of a semblance overall. But we also said that along with the multiple sections witnessing competitive intensity as we have seen, what we have done is distribution-led growth, primarily because on the corporate side of the large risks, still there has been some bit of an aggressive pricing which has come in. We have done what is required to drive profitable growth for us. Your seek on, do you expect it to continue? Our belief is yes and what market is doing at this point is pricing risk appropriately, to an extent, which was not happening otherwise in the previous year.

Nischint Chawathe: So, this should actually be a kind of profitability accretive this year is what we are trying to say.

Sanjeev Mantri: I mean, practically it is very difficult to forecast. The simple answer is pricing should hopefully be better than what it is. But you know, Fire as a business line has to play out over quarters because it's driven by very low frequency and very high severity. But on whether it should be profitable overall, my answer is yes. Having said the same, it will have to play out because it's driven by extreme losses as and when it happens, if it happens.

Nischint Chawathe: Yes, of course. The other question is, on the loss ratio in the Health business, if you could help us split it between the Retail and the Group business.

Gopal Balachandran: So, Nischint, I am giving the group numbers first, which is Corporate Health. Q1 last year was 97.9%. This is last year Q1. That number for Q1 this year is at 95.7%. On the Retail Indemnity, again similar periods, Q1 last year was 72.5%. Q1 this year is 74.3%.

Moderator: The next question is from Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Just a follow-up on the loss ratio of the Retail Health. You mentioned it's gone up from 72.5% to 74.3%. Given that we would have had a very strong growth on the fresh premium, would you say that the severity and the frequency of Retail Indemnity has gone up substantially?

Gopal Balachandran: So, Prayesh, I think, if you remember, even last year, first quarter, we did kind of talk about a

slight increase in incidences. So, we do see that playing out even for quarter 1 of this year. So, there has been an increase in incidence. But as you would have seen, even when we started the last year, quarter 1 number was 72.5%. But by the time we ended, if you would have seen the number on a full-year basis, our Retail Health loss ratio ended at about 67.9%.

Exactly to your point, I think what's helping us is the growth that we are seeing, largely aided by the Elevate product offering that we have been talking about. I think that continues to kind of do well. Therefore, this is just quarter 1 and our expectation is pretty much in line with the range of loss ratios that we have consistently spoken of. I think in all fairness, the expectation is that we should kind of end the year in the same loss ratio range of 65% to 70%. That is the range at which we are comfortable with. As of now, I think things seem to be pretty much looking around within that range. This is just a quarter 1 phenomenon.

Prayesh Jain: Just and again the 32% growth that you have seen on the Retail Health, how much of that would be say portability and how much would it be from first-time customers to the industry? Can you give some qualitative comments there because that will help us understand the quality of business?

Gopal Balachandran: Prayesh, in general, if you look at it, our market share in retail health has been on the lower side. So, I think as a Company, we have had an aggregate market share of 2.9% as at Q1 FY2025. I think we have moved the needle, which is what we talked about to and we have moved it to about 3.5% as at Q1 FY2026. And the endeavor for us is to kind of make sure that again, we undertake initiatives which help us retaining our own customers. We had spoken about the same in last year quarter 4 as well. So, therefore, in that sense, obviously, that is an area where we are actively focusing on so that we are able to improve our own retention. Two, again, the objective will be to try and see if we can get more customers, particularly which are new to insurance.

To your point on what could be the extent of portability, we don't separately call out that number. But clearly from our standpoint, what we can talk about is on a relative basis, I think the proportion of what we would have seen as a rollover, whether it is quarter 1 or quarter 4 of last year vis-à-vis what we have seen in quarter 1, I think definitely that mix is relatively on the lower side.

Prayesh Jain: And just coming back to the Motor segment, what are your thoughts on Motor TP price hike? Do you think that can come through?

Sanjeev Mantri: So, hi, Prayesh. Sanjeev here. We are also as much aware as you are. There is enough and more news that we can, we are ourselves seeing that something is expected. Has the industry made the representation? Answer is yes. But we would not have any update beyond that. But it is kind of expected, but in our working and in our thought process and in our sourcing, the way we operate, we take things as they exist at this point of time where there is no TP hike. But we must share the optimism, which is there overall since for the last four years almost, there has been very little that has happened on the TP side. Some increase would be a relief for the industry overall.

Prayesh Jain: Just a follow up on that. Can it happen without a chair person and a regulator?

Sanjeev Mantri: So, the manner in which it gets announced is more in consultation with IRDAI. So, it can happen technically, but again, this is something which is beyond our ambit and we don't want to further dwell on this structurally. From whatever is known to us, it may be possible. I mean, Gopal, any views on this?

Gopal Balachandran: No, the only other t

hing that I would add, Prayesh, is we definitely think a price increase is warranted and that is what the industry has largely been looking at As in, for example, again, similar to what we have been speaking, which is when we see court compensation or court award getting exhibited and the element of claim inflation that you are required to build as a part of the loss cost, definitely there is every reason for us to believe that one should definitely seek a price change. Exactly when will it happen? How it would get notified? I think honestly we will have to wait for it. But there is definitely a case for the industry to seek a price increase given the fact that for the last few years, we have not necessarily seen, in that sense persay, a meaningful price increase on Third Party.

Moderator: The next question is from Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Thank you for the opportunity. See, the Fire growth for us has been lower compared to industry. And we invariably are the market leaders after probably New India in that business. So, just wanted to understand that given the bulk of the business happens in first quarter in Commercial lines, is it fair to say that maybe because of the pricing environment, our expected growth, which was maybe meaningfully very higher, will remain at the current levels for the full year?

Sanjeev Mantri: Fair question, Sanketh. If it is something which you have to think in as a trend, I believe our growth can also increase overall in coming quarters. But the bulk of the booking does happen in 1st quarter. To that extent, mathematically speaking, you are right.
However, progressively, last year, the discounting kept increasing as quarters kept happening, right? So, the market kept hitting new levels of discount. So, to that extent, if there is some bit of a semblance that is coming in, the industry should show further positive trend as far as year on year growth is concerned. And in line with that, we would also like to believe and back ourselves to say that we will also see that positive trend continuing. However, whether we will be able to breach the delta that is existing in quarter 1, our endeavor obviously is to get that managed through quarters and see that we stay where we want to be. It will be purely a function of how the pricing elements are working out in different sections and we will take a call accordingly.
Sanketh Godha: Got it, Sanjeev. And the second thing which I wanted to understand is that if I look at the Motor growth based on the mix what you disclose in the PPT, it seems that you de-grew largely in the Commercial Vehicles while your growth in Two-wheelers and Cars looks okay compared to overall growth. So, is it largely because of the intensive competitive environment or are we recalibrating compared to what we did last year in that line of business?
Sanjeev Mantri: Sanketh, I think you are again spot on. See, beginning of the year, again the normal inflation and all of that comes through, owing our respective loss ratios that is expected to happen and if there is no TP hike, it does make the overall math adverse. Logically speaking, the cost of accretion to that extent should get adjusted so that the TP hike, if it's not there, still the overall math falls in place. We did realize that the market overall did not change the trajectory and we felt to be a bit more prudent at this point of time. You are spot on, Sanketh.

Yes. That’s what is reflective of. It is not that we don't want to do the right thing and see CV also showing positivity, but it is purely a function of selection which has made us come out the way we have come out in terms of outcome. But we don't want to do it and you know that, Sank

eth, at the cost of profitability.
Sanketh Godha: So, basically, in simple words, if there is a price hike, say, in a couple of months, then is it fair to say that you might see a pull back or a better growth in CV segment.
Sanjeev Mantri: So, it is a function of how the market reacts. Further, suppose, I am just giving a scenario. The simple answer to what you said is logically yes, meaning it should work out what you are saying. But supposedly the market reacts again more sharply and ends up throwing a lot more money in terms of cost of acquisition, we will again end up calibrating. So, logically what you are saying should happen, but we will have to wait till it plays out.
Sanketh Godha: And last one, Crop insurance, ■ 1,425 Cr, what we did last year. Today we are doing just ■ 18 Cr in the current quarter, maybe timing difference. So, given you mentioned in the PPT that you won a few clusters, so is it fair to say that there will be year-on-year growth in the Crop business in the current year?
Sanjeev Mantri: Year-on-year growth, difficult to envisage. See, for Crop, most of the things will come up for bidding next financial year. This year, there are very few actions. So, as luck would have it, Maharashtra, where we were already there and this year should have lasted, has gone for re-tendering, consequent to which we had to rebid. Whether we were to match it or grow, only time will tell, but not too many

opportunities at this point of time to see that we can exceed that number at this juncture.

Moderator: The next question is from Nidhesh Jain from Investec. Please go ahead.

Nidhesh Jain: Hi, sir. Thanks for the opportunity. Sir, my question is on competitive intensity. So, which are these players who are engaging in intense competition at this point in time? Because last time these were mostly private sector players. But this time if we look at the industry data, the market share gain is happening from PSU players. So, what is driving that and how do you see that ending up? Last time, a couple of players have shown very high losses and then competitive intensity reduces for one year. But again, we are seeing that competitive intensity is increasing. So, how do you see this plays out? And what are the timelines, let's say, when this will taper off?

Gopal Balachandran: So, Nidhesh, I think the way I think we would respond is, all of this thankfully is public information. Therefore, the market clearly knows which companies are aggressive, which companies are kind of gaining market share. So, without specifically kind of getting into names, I think this is all there in the public domain. I think all that, is what we kind of put out as a part of the opening transcript, and we called out the same even last year. I think on Motor specifically if you would have seen, honestly there was an expectation last year for the industry to actually see an improvement in Combined, which, if you remember, finally ended the year with a Combined ratio of almost 124% for the industry as a whole, compared to roughly about 118% that we had seen one year back. So, that's how we have entered into the current year and that's also the reason why, if you would have seen for us, I think relative to the industry growth in Motor which has been a single-digit number of roughly about 8% plus, our growth in Motor has been 3.2%. So, that's again a conscious call.

Now how long can some of these players subsist elevated competitive intensity? The good news is, again, for each of the companies there is public disclosures on their outcomes in terms of

Combined ratios. While majority of the companies we have the full-year numbers, some companies possibly could have announced numbers even for quarter 1 as we speak. So, clearly, it seems to suggest that the market continues to stay competitive. At 124% plus, honestly we don't necessarily see, at an aggregate level in that sense gaining market share. But within the segments, obviously we will grow where we think it is appropriate.

Sanjeev Mantri: And you know, just to add to it, as an entity we have to show tremendous patience. If you go back into history, last year in H1 we had gained, then we kind of moderated and that kind of moderation continued. But we know that if there is this kind of intensity which is at a very different level at this point of time, we are willing to wait it out and we know those cycles will come where we will have our opportunity.

Nidhesh Jain: Yes, the only thing is that the time difference between cycles is quite short. We are just getting one year of time period where the competitive intensity is okay. But again then some new set of players keep coming in and the competitive intensity increases. So, it is not that the two, three-year period that is upcycled in terms of reasonable competitive intensity in the sector.

Sanjeev Mantri: Fair point, Nidhesh, but the fact of the matter is, if new players are coming, they also, over long-term, are expecting value to be created and that's why they are attracting new players. Suppose there are no new players coming, also speaks of the fact that the sector is not doing enough to attract capital.

Frankly speaking, my view to that, Nidhesh, is the other way around and while that we would love to have periods of three years, two years, as you mentioned, but we are very well equipped with a multi-line, multi-product, multi-channel entity to manage these kinds of variability. It's part of our day-to-day existence.

So, at times, from an investor standpoint, when you look at it, you wonder what's happening. But as a Company, you know, and you see the numbers from almost 2008 since the de-tariffing happened, the industry grew at 15% and they are around that region. But we have probably grown at about 13, 13.5, almost a percentage and a half lower over from 2008 to 2025. But the CAGR profit growth of the industry is probably about 8% to 10%, and ours is almost 20%. So, we back ourselves in these times also. We would love to have it the way you are saying and this keeps us agile also. So, it really doesn't worry us, but from your standpoint, maybe you have got a point.

Nidhesh Jain: That's it from my side.

Sanjeev Mantri: Thanks, Nidhesh.

Moderator: The next question is from Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani: Thank you for the opportunity. I have two questions. First is on the tragedy that you mentioned about. I just wanted to understand, how much of these claims have been included in our performance this quarter with the hull losses have they come in this quarter or whether they are going to come in the next quarter? And I am assuming there will also be the personal accident bit. So that can be spread over some time, I understand. But what has happened with the aviation claim? That I wanted to understand.

Second is on the long-term policy. So, I remember when this was launched, there was a bit of confusion or not confusion, the entire way in which you are paying out commissions to your distributor on the long-term policy has also changed, right? It will be in that one-third, one-third, one-third format or whatever, whatever 1/n format. So, has the behavior of the distributor changed now that you are 6-

9 months into it? In which product segments has it changed? Are some product segments going to become one-year product only instead of being long-term because of this policy change? Some commentary around that. Those are my two questions.

Gopal Balachandran: So, Shreya, on the first one, I think again as we hav

e always said, I
think it is very difficult to comment on individual claims. I think what we can say for sure is, which is what we have been telling even earlier at the time when the incident had happened, given the exposure that we have on the risk, the impact that we have on the net, they have been completely kind of provided for.

So, whatever results that you see for quarter 1 factors in for the likely impact of claims because honestly we will not know when the estimate will eventually play out. But I think it is well within our ability to absorb such losses. That's primarily the business that we are in. Therefore, to that extent, we have been able to kind of provide for estimates. This is what we have as of 30th of June, 2025.

To your second point on long-term policies, that's the flexibility which I think clearly the market has got. I think they have to decide in terms of how do they want to incentivize sourcing of policies. As we speak, you are right, we are into the 3rd quarter of the change. Market still continues to exhibit differentiated behavior in terms of some of them exhibiting, some of them kind of seeking upfront, some of them obviously willing to kind of take over a period of time. But if you ask us, has there been any major shift in the behavior relative to what we had seen in Q3 and Q4, the short answer is no. We have not necessarily seen any major shift.

Sanjeev Mantri: No, so, there you know, I will quickly update you that as Gopal said, in certain constructs of long-term, there can be differential practice. But more so on the Health side, the industry has been very unified in terms of procuring long-term products. Initially, in initial quarters, we

did see the long-term sourcing getting impacted for us because we had moved in line with the regulation and others had not moved. But thank God in the sense that now the practice has been uniformly addressed by each one of them and from there on, we all see those numbers reverting back. So, to that extent, it is a positive sign and the partners are also finding an obvious benefit of doing long-term policies for the customers. Yes, so there is normalcy as far as Health part of the business is concerned on the Retail side.
Shreya Shivani: And just on the first question, just a follow up, sorry. How much can we say is the total Combined ratio impact of that event, if there is a number?
Sanjeev Mantri: It's baked in and the fact that we are not calling out, otherwise we would have called out, it is something which comes in the usual course of business. And these are all estimates. It will fructify, but it's addressed at this juncture and we don't think it's appropriate to call out that number separately.
Shreya Shivani: Sure, sure. It's okay. Thank you so much. This was very useful.
Gopal Balachandran: Thanks, Shreya.
Moderator: Next question is from Madhukar Ladha from Nuvama Wealth Management. Please go ahead.
Madhukar Ladha: Hi, thank you for taking my question. I got disconnected in between, so maybe this is a little bit of a repeat. So, when you point out competitive intensity, are we seeing some letdown in competitive intensity due to increased, due to probably slightly lower commission payouts, because EoM ratios remain high for a lot of private guys? And is it because of that, that the PSU guys are increasing their share or is it that the PSU players pricing itself is lower? So, that was one question. And what is your expectation given that now a considerable amount of time has passed and EoM levels still remain

very high for a lot of the guys? So, what is your expectation on what can happen out there?
Gopal Balachandran: So, Madhukar, I think you are absolutely right. I think what will be a key watch will be because this will be the thi

rd year of the glide path that the regulator announced in 2024. Even if you look at public disclosure of all the companies which is now out for FY2025 as we speak, it's been about 50% of those companies are still yet to toe the line within the limit of 30% or 35% that the regulator has stipulated. So, hence, that will be something that will be closely watched for. Clearly, if you recollect even last year when the regulator had kind of looked at these companies, they have been asked to kind of give a clear roadmap every quarter in terms of what is their plan to achieve the numbers within that limit of 30 or 35. So, hence, that will be clearly a key determinant for most of the players who have not necessarily yet met the limits.
What could happen in terms of the competitive intensity is, again, which is what we responded in response to one of the earlier calls, which is to say that I think players who have chosen to be very aggressive in the last 2-3 years, you can clearly see basis their public disclosures, their Combined ratios have got significantly impacted. They are clearly calibrating growth numbers. Hence, of course, this is market, so obviously there are other set of players who choose to then get a bit aggressive. In entirety, when you put all of this together, which is where we called out, industry Combined ratio still continues to remain elevated at about 113%. And within that Motor continues to stay elevated at about 124%. How long can this subsist? Honestly, we believe that you cannot continue to lose 25 cents to a dollar for a very long period of time.
Sanjeev Mantri: Also, Madhukar, we also believe that sometimes the solution you are seeking on the EoM can be worse than the problem. And that's what

Gopal is talking about. You may want to chase a business which comes on a lower cost of acquisition and at a pricing, which is very aggressive now. Clearly, if that is the solution industry seeks to manage the EoM glide path, we will let them take that call. And to be fair, it's each one to his own self on that. But we will have to see how it plays out.

Madhukar Ladha: Right. Also, a follow-up. See, even on Health, because of the long-term policies, how has industry sort of reacted in terms of payment of commission over there on the long-term policies? That's one part of the question. Are most people paying any…?

Sanjeev Mantri: The answer to that is, Madhukar, it's all 1/n. We pay it on a yearly basis for long-term Health policy. Yes.

Madhukar Ladha: And on renewal premiums, are we seeing some sort of reduction in commission in renewal? Because that was one of the expectations also given...

Sanjeev Mantri: It is and you are spot on. Definitely there is a delta which exists between the fresh sourcing of Health and the renewal. And to be fair, it's at the industry level. It's not only for ICICI Lombard.

Moderator: The next question is from Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: Hi, sir. Just two questions. One on the Group Health part, obviously, you had kind of moderated your growth trajectory somewhere towards the second half last year, given the competitive pressure. So, just wanted to get some sense, you know, with your base kind of normalizing from, let's say, the second half of this year, I mean, how do you see the growth in that part of the segment and the competitive intensity? Your loss ratios have also kind of improved a little bit on a YoY basis. So, how do you see that segment behaving on the Corporate Employer-Employee side?

Second, on the Retail Health portion of the business, I mean, I think this question was asked previously also, but you know, some back calculation would suggest that loss ratios on the back book are probably kind of operating at levels which is m

aybe a little bit higher than where the industry averages are, or maybe your stated averages of around 65% to 70% steady-state run rate, on the back book I am just talking about. So, first of all, is the assumption correct? And secondly, I mean, if yes, then how do you kind of aim to recalibrate it?

Gopal Balachandran: So, Group Health, Dipanjan, I think the call is pretty much similar to what we spoke about on the rest of the lines as well. Now this is a segment where even Sanjeev has spoken about, let's say, typically you get to exhibit maybe slightly chunky premiums, but maybe comes at a very relatively lower cost of acquisition. So, hence, competitive intensity continues to be higher on that particular segment, given the fact what I spoke about on possibly some companies wanting to write this segment of business to meet their expense of management obligation. Within that is how we have played out our growth. So, we will watch for the development in case I think if we see signs of easing for, let's say, for companies who have to meet their EoM, then obviously we are well placed to write the risk back. The good news, as we keep saying in our businesses, majority of our risks are one-year risks. And therefore to that extent, our ability to possibly get it back is always there with us.

Sanjeev Mantri: On the second one, on the Retail Health, it was more with respect to loss ratio. The loss ratio which you are talking, I think Gopal has already spoken about it. We do believe that coming quarters, this is, you know, the mix, the way it comes out and a lot of NEP that comes in and we have seen a bit of a frequency spike here and there. But your back-end calculation, it's spot on and we do believe that as a Company we would fare a lot better in coming quarters as the

growth of new would start impacting our loss ratios positively, overall. So, your calculation is right and we are also expecting a similar trend.

Moderator: The next question is from Meeraj, who is an individual investor. Meeraj's line seem to be on hold. That was the last question in queue. I would now like to hand the conference over to Mr. Sanjeev Mantri for any closing comments.

Sanjeev Mantri: Thank you so much for joining. I think you all had a long day, back-to-back calls. There was HDFC Life and ICICI Prudential. Now it is ICICI Lombard. So, enough and more calls. Look, I mean we have spoken overarchingly what we want to focus on and we look forward to interacting with each one of you in the course of the quarter. All the best and take care of yourselves. Thank you so much.

Moderator: Thank you very much. On behalf of ICICI Lombard General Insurance Company Limited, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Safe Harbor: Except for the historical information contained herein, statements in this release which contain words or phrases such as 'will' , 'would' , 'indicating' , 'expected to' etc., and similar expressions or variations of such expressions may constitute 'forward-looking statements'. These forward-looking statements involve a number of risks, uncertainties and other factors that could cause actual results to differ materially from those suggested by the forward-looking statements. These risks and uncertainties include, but are not limited to our ability to successfully implement our strategy, our growth and expansion in business, the impact of any acquisitions, technological implementation and changes, the actual growth in demand for insurance products and services, investment income, cash flow projections, our exposure to market risks, policies and actions of regulatory authorities; impact of competition; the impact of changes

in capital, solvency or acc

ounting standards, tax and other legislations and regulations in the jurisdictions as well as other risks detailed in the reports filed by ICICI Bank Limited, our holding company with the United States Securities and Exchange Commission. ICICI Bank and we undertake no obligation to update forward-looking statements to reflect events or circumstances after the date there.

Call: Oct 2025

ICICI Lombard General Insurance Company Limited

IRDA Reg . No. 115 CIN: L67200MH2000PLC129408 You can contact us at:
Mailing Address: Registered Office: Toll free No.: 1800 2666
Sixth floor - Interface 16, ICICI Lombard House , 414, Veer Savarkar Marg, Email: customersupport@icicilombard.com
Office no 601 & 602, Near Siddhi Vinayak Temple, Prabhadevi, Website: www.icicilombard.com
New linking Road , Malad Mumbai - 400 025.
west , Mumbai - 400064.

Ref. No.: MUM/SEC/139 -10/2025- 26

October 20 , 2025
To,
The Manager
Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001 The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot C/1
G Block, Bandra Kurla Complex,
Mumbai – 400 051

Scrip code: Equity (BSE: 540716/ NSE: ICICIGI)

Dear Sir/Madam,

Subject: Disclosure under Regulation 30 o f SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of earnings conference call for the quarter and half-year ended September 30, 2025

This is further to our letter dated October 9, 2025 and October 14, 2025, please note that the Company had hosted an earnings conference call with investor(s) and analyst(s) on
Tuesday, October 14, 2025 to discuss the financial performance of the Company for the quarter and half -year ended September 30, 2025.
In this regard, please find attached transcript of the earnings c onference call with investor(s) and analyst(s) for the quarter and half -year ended September 30, 2025.
The above information will also be made available on the Company's website at www.icicilombard.com.

You are requested to kindly take the same on your records.

Thanking you.

Yours Sincerely,

For ICICI Lombard General Insurance Company Limited

Vikas Mehra
Company Secretary

Encl. As above

ICICI Lombard General Insurance Company Limited
Q2 & H1 FY2026 Earnings Conference Call
October 14, 2025

Management:
MR. SANJEEV MANTRI – MD & CEO
MR. GOPAL BALACHANDRAN – CFO
MR. ANAND SINGHI – CHIEF – RETAIL AND GOVERNMENT
MR. GIRISH NAYAK – CHIEF – TECHNOLOGY AND HEALTH UNDERWRITING & CLAIMS
MR. SANDEEP GORADIA – CHIEF – CORPORATE SOLUTIONS, INTERNATIONAL & BANCASSURANCE
MR. GAURAV ARORA – CHIEF – REINSURANCE, UNDERWRITING & CLAIMS FOR PROPERTY & CASUALTY

Moderator: Good evening, ladies and gentlemen, a very warm welcome to the ICICI Lombard General Insurance Company Limited's Q2 & H1 FY2026 Earnings Conference Call.
From the senior management, we have with us today, Mr. Sanjeev Mantri – MD & CEO of the Company; Mr. Gopal Balachandran – CFO; Mr. Anand Singhi – Chief – Retail and Government; Mr. Girish Nayak – Chief – Technology and Health Underwriting & Claims; Mr. Sandeep Goradia – Chief – Corporate Solutions, International & Bancassurance and Mr. Gaurav Arora – Chief – Reinsurance, Underwriting & Claims for Property & Casualty.
Please note that any statements or comments are made in today's call that may look like forward-looking statements are based on information presently available to the management and do not constitute an indication of any future performance as future involves risks and uncertainties which could cause results to differ materially from the current views being expressed.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference ca

ll, please signal an operator by pressing * and then 0 on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sanjeev Mantri – MD & CEO, ICICI Lombard General Insurance Limited. Thank you and over to you, sir.
Sanjeev Mantri: Good evening to each one of you. Thank you for joining the earnings conference call of ICICI Lombard General Insurance Company Limited for Q2 & H1 FY2026.

I would like to commence with a brief overview of the recent economic and industry trends which have shaped the operating environment over the past few months. Following that, our Chief Financial Officer Mr. Gopal Balachandran, will take you through the Company's financial performance for the half-year ended September 30, 2025.

During the quarter ended June 2025, the Indian economy sustained its robust growth trajectory, registering a Gross Domestic Product (GDP) growth of 7.8% marking a 5-quarter high and surpassing expectations despite global uncertainties. The sovereign credit rating upgrade by S&P Global, coming after 18 years reflects enhanced confidence in India's economic fundamentals, fiscal prudence and related policies.

Following on the heels of the 100-bps repo rate cut and targeted income tax incentives, the Government has now unveiled a landmark overhaul of the GST framework which is expected to turbocharge the consumer sentiment. By rationalizing rates and simplifying compliance, the reforms are expected to make essential goods and services more accessible and affordable. This is expected to unlock stronger, broad-based private consumption and accelerate economic activity. Collectively, these three policy actions are projected to inject nearly ■2,200–■3,100 billion into the economy.

More importantly, these path breaking reforms are expected to provide a significant boost to the non-life insurance sector. The exemption of GST from individual health insurance premiums will make healthcare protection more affordable for households and is expected to increase the lives covered. In addition, the rationalization of GST rates in the automobile sector has lowered the overall cost of vehicle ownership. We truly believe that this will increase private mobility, enabling more Indians to own vehicles and encouraging upgrades to premium models. In line with our customer-first philosophy, we are committed to passing the complete benefits of lower GST rates to our policyholders.

In conjunction with the above reforms, I would like to update on the Q2 FY2026 numbers and dwell on the trends observed, along with their impact on the general insurance industry.

■ The health segment, continues to remain the largest contributor to the Industry, and accounts for almost 40%* of the GDPI mix in H1 FY2026. While the market continues to be moderated due to the 1/n accounting norm, post September 22, 2025 we have witnessed a significant uptick in the retail indemnity segment of business. We remain confident that more individuals and families will continue to enter the health insurance fold and also expand their coverage.

■ Now coming to the auto sector. In Q2 FY2026, basis the data published by FADA1,auto industry has grown by 1.3%. The Private Car segment grew by 2.9% and the Two-wheeler segment has seen a modest growth of 0.5%. However, for the month of September 2025, private car sales grew at 5.8%

and two wheelers at 6.5% compared to September 2024.
Notably, for the first nine days of the Navratri festival period, the private car and two wheelers growth stood at 34.9% and 36.0% respectively, when compared to the Navratri period in FY 2025, which is significantly positive even after adjusting for pent up demand. These trends coupled with our dominant presence in the OEM space, give us confidence for a positive momentum in the second half of the year.

* Source :- GI Council and Internal Estimates
1 FADA - Federation of Automobile Dealers Association

While the global economic environment remains volatile and uncertain, India's strong macroeconomic fundamentals, supported by a pro-consumption policy stance, are expected to act as a buffer and continue to drive domestic economic momentum.

Given the supportive regulatory environment, we expect the General Insurance industry to sustain its growth trajectory over the medium to long term.

Now coming to the Industry performance for the period ended September 30, 2025.

The General Insurance Industry reported a Gross Direct Premium Income (GDPI) growth of 7.3% for this period. Excluding Crop and Mass Health segments, the Gross Direct Premium Income (GDPI) growth stood at 10.5%* for the referred period H1 FY2026.

Speaking of specific segments within the industry:

- The Commercial segment reported a growth of 14.2% for the period ending H1 FY2026. The growth was majorly driven by the Fire line of business, which witnessed a robust increase of 20.5% during the referred period and the same contributes to more than 50% of the commercial business.
- The Motor segment growth for the industry stood at 7.6% for the period H1 FY2026. This segment continues to face significant pricing pressure, as reflected by higher industry combined ratio for Motor line of business. However as mentioned with the current momentum we expect H2 FY2026 to reflect improved growth levels vis-à-vis the first half of the financial year.
- The Health segment, including Mass Health, grew by 7.8%* for the period ending H1 FY2026. Within this, the Group Health line of business grew by 8.9%* for H1 FY2026 whereas the Retail Health growth stood at 9.3%* for H1 FY2026, impacted by the 1/n accounting norm.

Speaking on the Underwriting performance of the Industry:

Overall, the CoR (Combined ratio) for the industry, deteriorated from 113.9% in Q1 FY2025 to 115.0% in Q1 FY2026. The overall CoR for private players remained flat

* Source:- GI Council & Internal Estimates

at 110.8% for the period Q1 FY2025 vis-à-vis 110.7% for Q1 FY2026. Combined Ratio for the Motor Line of Business continues to remain elevated at 125.0% for Q1 FY2026.

Our continued emphasis on profitable growth delivered a lower Combined Ratio of 102.9% in Q1 FY2026, over 12 percentage points better than the industry average.

I will now proceed to present our Company's performance across key business segments for the period H1 FY2026.

The Company reported a de-growth of 0.5% in Gross Direct Premium Income

(GDPI), compared to the industry growth of 7.3% for the period H1 FY2026. However, excluding the Crop and Mass Health segments, the Company recorded a growth of 3.5%, while the industry grew at 10.5%* for the period H1 FY2026.

■ In the Commercial lines segment, our growth stood at 6.5% for H1 FY2026 as compared to the industry growth of 14.2% for the period H1 FY2026.

We continue to drive profitable growth through prudent underwriting, judicious risk selection and through our multi-channel distribution. While growth in the fire segment in Q1 FY2026 stood at 10.3%, we have been able to steadily increase growth in Q2 FY2026 to 27.3%. Specifically, in the month of September 2025, we grew at 36.4% in the fire segment.

We retained our leadership position in the Engineering, Liability and Marine Cargo lines of business for the period ended H1 FY2026. Furthermore, we continue to play the role of a risk solutions partner to our corporate customers, through providing them best-in-class Value Added Services which helps them mitigate risks with holistic risk management solutions.

■ In the Motor segment, our growth stood at 2.2% for H1 FY2026 as against the industry growth of 7.6% for the period H1 FY2026. While our growth in the first

5 months of the financial year stood at 1.3%, the month of September 2025 witnessed a sharp uptick due to the festive demand and moderation of vehicle prices attributable to the GST rate cut, taking our motor insurance growth to 6.5%. In an increasingly competitive market environment, witnessed over the

* Source:- GI Council & Internal Estimates

recent quarters, we expect to maintain the growth momentum that kicked off in September while remaining focused on our journey of profitable growth, underpinned by continuous distribution expansion and granular portfolio segmentation. Importantly, we continue to maintain our leadership position in this segment with a market share of 10.4% in H1 FY2026.

We remain agile and are constantly taking conscious calls to optimise the portfolio profitability and as a result of these efforts, our portfolio mix for Private Car, Two-wheeler and Commercial Vehicle which stood at 52.9%, 25.3% and 21.8% respectively for H1 FY2025 has moved to a mix of 54.3%, 25.8% and 19.9% respectively, for H1 FY2026.

■ In Health segment we grew by 4.2% for H1 FY2026 as against the industry growth of 7.8%* for the period H1 FY2026, on a 1/n basis:

o Our Retail Health business demonstrated strong growth of 25.2% for H1 FY2026, significantly outpacing the industry growth of 9.3%* as of H1 FY2026. Consequently, our market share has improved from 3.2%* in H1 FY2025 to 3.7%* as of H1 FY2026. For the month of September 2025, company has crossed 4%* market share in retail health. This performance has been driven by ongoing product innovation and sustained investment in strengthening our retail health distribution capabilities. This segment is expected to see an upward trajectory due to the GST reforms.

o The Group Health segment recorded a de-growth of 0.6% for H1 FY2026 over H1 FY2025, with our market share being 8.7%* as of H1 FY2026. The observed de-growth is attributable to a decline in business generated from the health benefit product on account of muted disbursements in the unsecured and microfinance sectors. However, on the overall Group Health Portfolio we continue to maintain a disciplined approach and in the month of September 2025 we grew at 10.5% as compared to industry de-growth of 1.8%*.

I would now like to apprise you of certain strategic initiatives that continue to drive operational excellence and customer-centricity across the organization:

* Source:- GI Council & Internal Estimates

o IL Sahayak has further strengthened on-ground claims support for our Health customers. In H1 FY2026, the initiative touched over 58,000 customers, up from over 34,000 in the same period last year. We received feedback from over 22,000 customers in H1 FY2026. 94.4% rated their experience as exemplary (≥4.5/5) highlighting the

support during claims processing and assistance with hospital coordination. This reaffirms our focus on best-in-class service to our customer during the moments that truly matter. Our retail health claim settlement ratio within 30 days stood at 99.6% for H1 FY2026, placing us among the industry's top performers and underscoring our commitment to prompt, efficient claim servicing.

o The Company launched Differentiated Service Desks in June 2025. These desks provide tailored servicing for two priority customer segments: senior citizens and high product density customers. By identifying these profiles at the point of contact and routing them to specialized customer relationship managers, we ensure conversations are empathetic, personalized and value driven. Over 96,000 calls were handled between June to September 2025 under this initiative, generating therein 3,000 cross sell opportunities. Our belief is that differentiated care simultaneously builds loyalty and long-term value.

o O

ur 'IL TakeCare' app , a one-stop solution for insurance and wellness needs, has now crossed 18.4 million downloads , reflecting growing customer engagement and digital adoption. The gross written premium earned from the IL take care app during the period H1 FY2026 was ■ 2,088.2 Mn vis-à-vis the premium earnings for H1 FY2025 which stood at ■ 888.1 Mn.

o We have continually enhanced our efficiency levels in Motor claims. Our Preferred Partner Network (PPN) serviced 75.1% of our non-OEM claims for Q2 FY2026, up from 72.8% in Q2 FY2025. Furthermore, in the Motor Insurance Own Damage segment, 96.4% of our total claims were paid within 30 days for H1 FY2026. If we look at the industry number for the period Q1 FY2026, the same stood at 82.4%, clearly highlighting ICICI Lombard's superior claims settlement practice.

o Our unwavering focus on putting the customer first continues to reflect in our Net Promoter Scores. For Q1 FY2026, we recorded an NPS of 72 for

Health claims and 66 for Motor claims, demonstrating strong satisfaction levels and reinforcing our position as a customer-centric organization.
We continue to demonstrate strong resilience in the face of rapidly evolving industry dynamics, underscoring our unwavering focus on delivering sustainable and long-term profitability. Our strategic direction is firmly rooted in our 'One IL, One Team' philosophy, which promotes collaboration, operational excellence and a unified approach across the organization.

In conclusion, GST 2.0 & other regulatory reforms being positive for the general insurance sector, we are well positioned to ride this momentum, responsibly scaling our reach, sharpening our value propositions and converting a more supportive demand environment into sustained, high-quality performance.

I will now request Gopal to take you through the financial numbers for the recently concluded quarter and half year.

Gopal Balachandran: Thanks Sanjeev and Good Evening to each one of you. I will now give you a brief overview of the financial performance of the recently concluded quarter and half year. We have uploaded the ‘Results Presentation’ on our website. You can access it as we walk you through the performance numbers.

With effect from October 1, 2024, Long-term Products are accounted on a 1/n basis, as mandated by IRDAI. Hence, H1 FY2026 numbers are not comparable with prior periods. Please refer our investor presentation for further details.

Gross Written Premium (GWP) of the Company was at ■ 151.11 billion in H1 FY2026 as against ■ 148.79 billion in H1 FY2025, a growth of 1.6%.

Gross Direct Premium Income (GDPI) of the Company was at ■ 143.31 billion in H1 FY2026 as against ■ 144.09 billion in H1 FY2025, a de-growth of 0.5% against the industry growth of 7.3%. Excluding Crop and Mass Health, GDPI growth of the Company was at 3.5%, as against the industry growth of 10.5%* in H1 FY2026.

Gross Direct Premium Income (GDPI) of the Company was at ■ 65.96 billion in Q2 FY2026 as against ■ 67.21 billion in Q2 FY2025, a de-growth of 1.9% against the industry growth of 5.9% for the same period. Excluding Crop and Mass Health,

* Source:- GI Council and Internal Estimates

GDPI growth of the Company was at 3.5%, as against the industry growth of 9.8%* in Q2 FY2026

Our GDPI during the quarter was mainly driven by growth in the preferred lines of business. The overall GDPI of our Commercial lines segment grew by 6.1% to ■ 15.84 billion in Q2 FY2026 as against ■ 14.93 billion in Q2 FY2025.

On the retail side of business, GDPI of the Motor segment was at ■ 25.11 billion in Q2 FY2026 as against ■ 24.82 billion in Q2 FY2025, registering a growth of 1.2%.

■ The advance premium was ■ 39.13 billion as at September 30, 2025, as against ■ 38.07 billion as at June 30, 2025.
GDPI of the Health segment was at ■ 16.49 billio

n in Q2 FY2026 as against ■ 15.29
billion in Q2 FY2025, registering a growth of 7.8%.

■ Our agents (including Point of sale or POS) count, was 1,47,408 as on September 30, 2025, from 1,43,675 as at June 30, 2025.
During the quarter the industry witnessed multiple CAT events, namely floods in various states of the country, thereby impacting our Combined ratio which was 104.0% for H1 FY2026 as against 103.2% for H1 FY2025. Excluding the impact of CAT losses of ■ 0.73 billion in H1 FY2026 and ■ 0.94 billion in H1 FY2025, the Combined ratio was 103.3% and 102.2% respectively.
■ Combined ratio was 105.1% in Q2 FY2026 as against 104.5% in Q2 FY2025. Excluding the impact of CAT losses of ■ 0.73 billion in Q2 FY2026 and ■ 0.94 billion in Q2 FY2025, the Combined ratio was 103.8% and 102.6% respectively.
Our investment assets during the quarter rose to ■ 562.00 billion as at September 30, 2025, from ■ 554.53 billion as at June 30, 2025. Our investment leverage (net of borrowings) was 3.57x as at September 30, 2025, as against 3.74x as at June 30, 2025.
Investment income was at ■ 25.38 billion in H1 FY2026 as against ■ 22.52 billion in H1 FY2025. On a quarterly basis investment income was at ■ 12.49 billion in Q2 FY2026 as against ■ 11.24 billion in Q2 FY2025.

* Source:- GI Council & Internal Estimates

Our capital gains (net of impairment on investment assets) stood at ■ 6.16 billion in H1 FY2026 as compared to ■ 5.21 billion in H1 FY2025. Capital gains (net of impairment on investment assets) stood at ■ 2.36 billion in Q2 FY2026 as compared to ■ 2.37 billion in Q2 FY2025.
Our Profit before tax (PBT), grew by 22.3% and stood at ■ 20.71 billion in H1

FY2026 as against ■ 16.93 billion in H1 FY2025, whereas PBT grew by 17.2% at ■ 10.77 billion in Q2 FY2026 as against ■ 9.19 billion in Q2 FY2025.

Consequently, Profit after tax (PAT), grew by 22.9% and stood at ■ 15.67 billion in H1 FY2026 as against ■ 12.74 billion in H1 FY2025. PAT grew by 18.1% at ■ 8.20 billion in Q2 FY2026 from ■ 6.94 billion in Q2 FY2025.

Return on Average Equity i.e., ROAE was 20.8% in H1 FY2026 as against 20.3% in H1 FY2025. The ROAE for Q2 FY2026 was 21.4% as against 21.8% in Q2 FY2025.

Solvency ratio was at 2.73x as at September 30, 2025, as against 2.70x as at June 30, 2025, continued to be higher than the minimum regulatory requirement of 1.50x. Solvency Ratio was at 2.69x as at March 31, 2025.

The Board of Directors of the company has declared interim dividend of ■ 6.50 per share for H1 FY2026 as against ■ 5.50 per share for H1 FY2025.

As I conclude, I would like to reaffirm that we continue to stay focused on driving profitable growth and sustainable value creation while protecting the interest of our stakeholders and customers at all times.

Moderator: Thank you very much. We will now begin with the question-and-answer session. Our first question comes from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Hi, everyone. Congrats on a good set of numbers. Firstly, just on this GST impact, the input tax credit will not be available for the Health insurance piece and so what was the impact of that in whatever the sales would have happened in 2Q? And secondly, going ahead, how are you trying to offset this

whether through commission cuts or balancing it across the other products that you have?

Gopal Balachandran: So Prayesh, I think September is just about 9 days and therefore to that extent, it is honestly too premature to call out in terms of what has been the impact. The key thing to look out is what we kind of spelt out as a part of the opening script. I think what we are seeing on ground, I think the demand momentum seems to be very promising and to that extent is what we have kind of clearly got reflected as a part of, clearly increased volume of Retail H

ealth policies getting sourced. I think the key to look for is, how do we see, let say, things playing out over the next couple of quarters. We are optimistic in terms of how this particular reform is likely to kind of play out. And in that context is how we have kind of looked at even, let say, possibly the eventual impact of any input tax credit on sourcing. I think obviously to that extent, we have communicated that it will be a part of the overall distribution cost in terms of how do we kind of manage the cost of sourcing. So in that context even any related input credit will be a part and parcel of that. That is the way how we are looking at it. But more importantly, as I said, what we are quite excited and optimistic is the relative scale up that one expects consequent to this reform that has got announced.

Sanjeev Mantri: Absolutely, Gopal. Prayesh, just to put across, we have been always discussing, debating in terms of what the sweet spot can be, can it be 12%? can it be this? Eventually, this stimulus which has come has been the biggest marketing in terms of letting the customer, every Indian know that Health insurance is important. And this move is very significant in terms of

managing a cost structure something which, there was always a need. I think the industry is working to make it more reasonable and it is also a win-win because the volumes that will come on account of that will also see that our partners have enhanced income. So there is a clear play which is evident and for us as a multiline Company more so, it puts us in a very comfortable spot because we have got other lines also. This is one component of the whole thing and we are seeing tremendous tailwinds. You can see our own growth numbers on Retail Indemnity which have been way ahead of the industry and this further stimulus that comes in also gives us an ability to scale at a much faster speed with a responsible underwriting. So the guardrails which will continue to guide us is that we underwrite in a responsible manner and then the rest should flow out and get evened out with the volumes that will come through it.

Prayesh Jain: Sure. But just further on that, Gopal, any impact that you would have seen in, I understand it is just for 9 days, but would that have elevated the cost ratios in this quarter in 2Q for the Health segment? And also, are you looking to increase the distributor, are you looking to cut the distributor commissions, any communications or any negotiations that would have been started in that regard?

Gopal Balachandran: So one, I think as we keep saying Prayesh, I think when you look at the sourcing objective, particularly in the context of Retail Health, we have always kind of looked at in the context of the Combined ratio of the book that we are kind of wanting to write at. And there, I think clearly if you see even on the loss experiences, pretty much even if you look at quarter two or

even for the matter of fact half year, the loss experience have pretty much played out in line with our expectations. So hence to that extent, the portfolio is kind of doing well. And linked to that is our cost of sourcing, which is obviously a part and parcel of the overall Combined numbers, which is what I called out. At this point of time, the way we are looking at is, whatever cost that we would incur as a part of sourcing will pretty much factor in also the related possible loss that one is expected to see consequent to any loss of input tax credit that we will see in the context of Retail Health. But having said that, what is more relevant is what even Sanjeev was kind of articulating. I think we will be kind of pretty much kind of pleased to look at how things will play out for quarter three and this is something that even the distributors will start kind of seeing the impact and the benefits. The increased volumes automatically translates

into a better revenue stream for them. And therefore, when they look at their overall distribution income, they would kind of clearly realize that they are clearly far better off in terms of where they are. And at this point of time, no significant changes to let say, whatever our overall cost of sourcing has been. I think anything that we would incur as a part of sourcing would also include the elements of input tax credit disallowance that we will see on the Retail Health book.

Prayesh Jain: Got that. Gopal, the other question was if I look at the NWP to GWP, that ratio has inched up or any change in reinsurance strategy which has kind of moved that or it is just a product mix kind of a change?

Gopal Balachandran: You have the answer, Prayesh. And so therefore, to that extent is what we keep saying. I think our businesses is obviously kind

of cyclical on different lines of businesses. As you would have seen, in quarter two last year, we did have a relatively higher proportion of Crop mix, which obviously has relatively lower retention. Compared to that, if you would have seen quarter two of this year, our proportion of Crop is definitely much lower, and therefore to that extent and the fact that Retail Health for us has kind of done very well. It was Q2 of last year is when we had kind of largely launched Elevate as a solution. And through the next 12 months as we speak is where we have been able to kind of witness an improvement in sourcing, . Also our retail health market share in the month of September is exceeding more than 4%, basis our internal estimates. So given the fact that has also kind of done well, where predominantly retain a large part of the risk on the net. So hence, short answer, no material change to the thought process in terms of core reinsurance philosophy. The outcome on the net premium to gross premium is purely a function of the change in the business mix that one has seen between quarters.

Moderator: Thank you. Our next question comes from the line of Madhukar Ladha from Nuvama Wealth Management. Please go ahead.

Madhukar Ladha: Hi. So a couple of questions on my side. First, if I look at the commission ratio that's inched up significantly in Q2, so probably more product mix and is it also because of longer-term products that we are writing, is it because of that? Second, on Motor OD, we see an inch up in the loss ratio and very high competitive intensity, and we are losing sort of market share also in that line of business. So with the GST cut, what would you expect from here? Should we expect sort of the competitive intensity to come down and some market

share recovery happening out there? And why are our loss ratios going up despite we being sort of more conservative in this line of business?

Gopal Balachandran: So Madhukar, on the first part, again, as we keep saying, one is what you rightly answered and what I kind of talked about, there is always an element of change in the business mix in terms of what you look at in quarter two versus, lets say, quarter one or even for the matter of fact, when you look at a comparable quarter last year. But the larger way that we have always looked at is in the context of the overall expense of management, which as a Company, as we keep saying, is something that we are very conscious of and even if you look at it for on a half yearly basis, our expense of management numbers are well within the limits of the 30% threshold that one has put out. So hence in that context, we are pretty much on course in terms of what we want to achieve. Again, at the end of the day, commission ratios, whichever way you look at it, will also be a function of what mix of business do you end up underwriting more in terms of the new vs renewal business underwritten. In the context of Retail Health which we spoke about, the same is doing well in terms of the overall loss experie

nce, a large part of the book that we have sourced also comes in the context of a new growth and that would entail some amount of cost of sourcing. So a lot of factors. But if you ask us, what we are quite comfortable with is the fact that we stay within the 30% limit on overall expense of management.

Madhukar Ladha: Sorry, is there any impact of GST, ITC in order to meet this?

Gopal Balachandran: Which is what I called out. At least so far as quarter two is concerned, which is why I kind of also responded to Prayesh's question. At this point of time, honestly, the commission ratio does not have any significant impact, at least so far as the essential material impact of GST is concerned. To the second point on the Motor Own Damage loss ratios, I think this is something that I keep talking about every quarter, for we should keep looking at one is, of course, is quarter to quarter a right comparison, honestly, as we keep saying, there are various factors or nuances that go into the loss ratio numbers. Secondly, as we have always mentioned in the past, the better way to look at is more in terms of Motor as a category and that to more on ideally on a year to date basis. If you recollect, just to refresh, the overall Motor loss ratio range that we have spoken about to the streets have been in the range of 65%-67%. Even if you look at the first half numbers for overall motor, the overall loss ratio stands at, if I remember the numbers correctly, it is about 66.6%. So it is well within that range of 65%-67% in terms of what we want to operate. Hence, but yes, between periods, there can always be, let’s say, some bit of volatility to the overall loss numbers. But honestly, what we are again, comfortable with is within the range that one is operating at.

Sanjeev Mantri: Also Madhukar, just to add to this for you and everybody else who are on the call is also the configuration of business. If you see relatively, if the new business is on the higher side, the loss ratios do tend to get lower while the old one, the loss ratios are high. So there is a mix that comes in and you know that the growth, if we leave aside what happened prior to September

22nd, was very muted. So we were seeing a lot more growth coming from the old vehicle where loss ratio can be a bit more elevated. So that element also gets played out and there is also quarter two, wherein little bit of CAT part that comes in to play which makes the loss ratios look elevated. So there is a combination which we don't see any challenge, as we continue to maintain our discipline. Also we are excited about the fact that the industry may probably see record numbers in the coming quarter.

Moderator: Thank you. Our next question comes from the line of Sanket Godha from Avendus Spark. Please go ahead.

Sanket Godha: Thank you for the opportunity. Gopal, given GST cut IDV will come down, so is it fair to assume that your Motor OD loss ratios invariably will go up because of the vehicle GST cuts. And do you think the ROE depletion which could happen because of the higher loss ratios in Motor OD, can it be more than compensated or at least compensated by the extra float either in the form of advanced premium or the premium you will collect because of the new sales? Will it be good enough to see the positive rub-off on profitability? Also related to that, on TP side, given GST on CV has been reduced and you have input credit benefit, so indirectly it is kind of a price hike to you guys. So just wondering that given we were never such a strong player in CV segment, given we are seeing a bit of uptake in CV segment in 2nd quarter compared to 1Q, whether you will change a bit of strategy on CV going ahead or not. So that is largely the question I have on Motor piece?

Gopal Balachandran: Yes, I think possibly Sanket, you have actually answered what you wanted to ask. So

therefore, to that extent, pretty much what you kind of asked. One, on the Motor Own Damage side, again, let us look at it in the context of what is happening on ground. There seems to be clearly a lot of festive cheer. There clearly is an element of pent-up demand and therefore pretty much similar to what I spoke in the context of Health. This is there to witness in terms of the data that was released by FADA, which is what we kind of put out as a part of the opening transcript. Clearly, there seems to be renewed momentum on ground in terms of increased volume of vehicle sales. That is an area from an ICICI Lombard standpoint where we clearly have an edge. That is the reason why we are specifically also called out to say that relative to what one had experienced in the first 5 months, when you particularly look at the month of September, we have been able to kind of get back a lot of our lost momentum. And hence, to that extent, we believe we are positively placed in so far as the opportunity for the future is concerned. On the impact on the possible reduction, of course, as we have again articulated as a responsible institution, we will obviously make sure that whatever is required to be passed on to the consumers in the form of the reform that has been entailed pretty much on course to make sure that all of those things will be passed on and that is what we have done. Also of course, as you rightly said, there are those various factors, depending on what volumes or what type of vehicles our customers are wanting to buy which will be a factor to determine how some part of the impact will get played out. Our own efficiencies that we can bring about in the context of the business mix that we write will

also be an element that will kind of to some extent take care of some of the possible impact that one would see on the book, assuming we don't do anything on the drop in the value of the vehicle. Thirdly it is obviously, again, a function of the claim efficiencies. As an organization, again, we have time and again spoken about the various claim intervention initiatives that we have kind of worked on. So all of this, which is why we called out even at the time when these announcements were made, we had said that all said and done, from an ICICI Lombard standpoint, we should be able to kind of take some of these impacts within the overall scale of operations. The key thing to look out for will be how things play out over the next couple of quarters, which is where we are kind of very positive and optimistic in terms of how do we see things playing out on ground. On the impact side, we think this is something that we should be able to kind of manage within the overall scale of operations.

Sanket Godha: Got it, Gopal. And lastly, on data keeping, with reinsurance accepted business ■ 462 crores what we did in current quarter or even a much bigger number in first half, it is largely related to which line of business and this number will continue even in second half?

Gopal Balachandran: So again, Sanket, this question does keep coming to us at different time points. What we have clearly maintained is pretty much similar to what we have kind of talked about in the context of Crop. These are opportunistic calls that we take purely from an underwriting standpoint. Whatever fits within our underwriting acceptances criteria is what we end up writing, whether it is for direct or even for the matter of fact as

reinsurance acceptances. But each of this, even if you look at it on a full year basis, for example, last year, our overall proportion of reinsurance acceptances to the total volume of gross premium that we would have underwritten as a Company has been clearly a single digit number. So when you start looking at some of these numbers, particularly vis-à-vis a quarter, there can always be aberrations when you start looking at it in th

e context of percentages. But if you ask us from a thought process or lets say, from a philosophy standpoint, purely guided by the underwriting filters that we kind of put in terms of risk acceptance, and do we expect each of these to suddenly become a very large proportion of our overall gross premium, the short answer is no. It will be well within the defined limit that we have as an institution.

Sanket Godha: Got it, Gopal. Thanks for the answers.

Gopal Balachandran: Thanks, Sanket.

Moderator: Thank you. Our next question comes from the line of Nidhesh from Investec. Please go ahead.

Nidhesh: Thanks for the opportunity. My question is on Retail Health

insurance. So can you share loss ratios in the Retail Health insurance and Group Health insurance for the quarter? And second is, what is the share of agency and non-agency channel in the Retail Health insurance? I am trying to understand how we have been able to show pretty strong growth in Retail Health insurance over the last one year?
Gopal Balachandran: I was just waiting for this question to be asked in the context of the split between loss ratios on Retail Indemnity and let us

say the Corporate Health. So I will just first give the numbers for quarter two last year and first, I will give the Group Health or let us say, the Employer-Employee Health numbers. Q2 last year, Employer-Employee or Group Health numbers was 98% on the loss ratio. This number for quarter two of the current year stands at about 93.7%. And on a half yearly basis, again Employer-Employee loss ratio H1 last year, that number was 98%. This number for H1 of the current year is at 94.6%. That is Employer-Employee Health. On Retail Indemnity, again in the same order, quarter two last year, the loss ratio was 70.3% and H1 of last year was 71.4%. And if you look at quarter two of the current year, the loss ratio on Retail Indemnity stands at 65.4%. And on a half yearly basis, it stands at about 69.7%. Now, just to kind of again refresh, on the Retail Indemnity book, pretty much similar to what I spoke about on overall Motor, where to the streets we have been generally talking about a loss ratio range that we are comfortable at 65%-67%. Even on Retail Health Indemnity, the range that we have been speaking about is to maintain the loss ratio in the range of 65%-70%. And if you see on a half yearly basis, on the Retail Health Indemnity book, the loss ratio is within that range of 65%-70%. So that is where we are in terms of the split of the loss ratio numbers. On the split of the business between agency and other than agency, generally the proportion of the book that we do through agency is about two-thirds roughly and the rest of the book will be the balance one-third.
Nidhesh: And both channels are growing at a similar pace?
Sanjeev Mantri: Agency has been relatively faster at this point of time. But it is, both of them are in very relatively high zone because the

overall growth itself of the book is in the 50s range if you look at n basis. So there is a significant traction that we see and we are excited about both the opportunities whether agency or non-agency.
Nidhesh: Sure. Thank you. That is it from my side.
Gopal Balachandran: Thanks, Nidhesh.
Moderator: Thank you. Our next question comes from the line of Avinash Singh from Emkay Global. Please go ahead.
Avinash Singh: Hi. Good evening. Thanks for the opportunity. Two questions. First, can you please sort of provide some color on your market share in Motor in terms of new and renewal? I am asking because if I understand correctly, your pricing is reasonably higher than aggressive competitors and you have a kind of a strong acceptance at the dealer points. So in that context, I wanted to understand if there is wide divergence in market share in the new or vis-à-vis renewal market in Motor? That is one. Second, now with this GST thing in act

ion, in terms of
growth driver at the industry level, do you think industry at the aggregate level going to return to a strong growth phase probably in the next year or so? Because in the recent year, Motor vehicle sales have been one kind of a pinpoint, then you also had some of these schemes fading out, of course, does not matter for you much, but like the Crop insurance and all that have been seeing a bit of a decline. So at the aggregate level,

what could we do in terms of the value terms premium driver for the industry, probably in FY2027? Thanks.

Gopal Balachandran: So Avinash, honestly, what we can talk about is more at an aggregate level in terms of Motor as a category. In terms of market share, which is there, if you look at the first half of last year, we had a market share of roughly about 10.9% and if you look at the first half of the current year, we have a market share of roughly about 10.4%. This is both half year to half year. Within that, we keep kind of toggling between new and renewal. So honestly, I think it's too difficult to kind of call out specifically what could be the market share, because that could keep changing depending on what kind of a mix of the portfolio that one wants to kind of underwrite. So that is the reason why we are not specifically calling out in terms of what would be market share between new and what would be market share between the renewal book. To your second point on do we expect the demand on ground to sustain even for the next year? Honestly, we will obviously play through the quarters in terms of how one sees demand playing out, which is what we called out even on the opening transcript. The good part is, the pace of reform that has been exhibited across the various regulatory authorities, has clearly set the tone on ground. And that is also kind of reflective in terms of the outcomes that one has seen in the initial few days of, let say, the quarter ended September. And the good news is, I think I am sure all of you are equally tracking in terms of what is happening on ground, particularly with respect to the volume of vehicle sales that is playing out. At the initial indications, even if one was to see in the months of October, I think the demand definitely is kind of continuing. And therefore, there is a clear expectation with some of these action/reforms that has been exhibited, as I said, across the various regulatory authorities, looks to be very kind

of conducive for the momentum to sustain over the next few quarters. But honestly, we will keep coming back to all of you in terms of what do we see on ground across various quarters. But at least clearly, as what one said, the tone that has been set clearly looks quite promising when you look at the road ahead and Sanjeev in case you would like to add something.
Sanjeev Mantri: No, absolutely right. Even if you look at in a bit of, you get to the second layer of number, the total incremental accretion in Motor has been on ■ 3,300 crore. And you see the distribution of that pie, you realize that one PSU itself has picked up more than ■ 1,000 crore. So it has been a very skewed one where things have moved not in a distributed manner and whenever something like this is there, we will have to be very picky. We still continue to be number one player as far as Motor category is concerned. We do acknowledge the fact that the loss of half a percent is more tactical where we do believe if it is not making sense, we will let it pass. But we also are aware that no one can keep doing something like this over sustained quarter/s after quarter/s. So we need to be patient. And just to add on to the fact, clearly, yes, new is our strength that we do see tremendous tailwind and we spoke about it very categorically. Will that lead to Motor industry per se showing a better growth? The belief and the answer is clearly we do believe so, b

ut it has to pan out on a more consistent basis. The only element that we want to adjust at this point of time is there was a pent-up demand, which also was there because post August 15, there wasn't much happening in the market. Our maths says even adjusted to that, the excitement in the market is very high and we will stay connected. I am sure those

numbers which you all are very well aware of, but we see a significant opportunity in quarter three and probably even H2 of this financial year. And this should augur well for the industry, even for next financial year if that is what your question is.
Avinash Singh: Thanks. And Any view on Motor TP tariffs?
Sanjeev Mantri: Well, your guess will be as good as ours. We keep hearing that something is on the anvil and the industry's demand per se on seeing some bit of a hike or adjustment or realignment of Motor TP is there in every single forum. And we do expect and believe that we will hear a positive news on that sooner than later.
Avinash Singh: Thank you. Thank you very much.
Gopal Balachandran: Thanks, Avinash.
Moderator: Thank you. Our next question comes from Shreya Shivani from Nomura. Please go ahead.
Shreya Shivani: Yes, hi. Thank you for the opportunity. I just have one question. This is on the Commercial segment. I mean..there have been many media articles, whether it be Fire, Marine, Crop, there is increased competition in the segment. Now, I understand that you guys are still growing quite well. However, if I look at your underwriting profit in the Fire book, 1H over 1H, it is down. The underwriting profit in the Miscellaneous Corporate book, it has turned loss making in this 1H versus previous 1H. So is it fair to assess that there has been some impact on our book because of the competition or the price war that is going on in the

segment in spite of the growth that we have been delivering? That is the only question I have?
Gopal Balachandran: So Shreya, I think again particularly on Commercial lines, the portfolio inherently is subject to an element of volatility when you look at it purely from an absolute underwriting outcome. The reason why we is saying this is, increasingly you are getting to experience a lot many more catastrophic events play out or as a matter of fact, even if you possibly experience any large risk event, then to that extent, you may possibly see the outcome of the underwriting book kind of reflecting an outcome which for a particular given period could be adverse compared to any other relative reference quarters. But having said that, I think from our standpoint, which is what we have been talking through, consistently our approach or thought process to writing risk has been to kind of keep looking for prudent/profitable risk selection portfolio. That is not just across Commercial lines, even across other lines of businesses. That is the reason why I think at an aggregate level, in the initial few months, we actually have been kind of losing again some market. But the good news is again, things seems to be kind of looking up quite positively for us when you see the month of September. Hence, to that extent, we continue to stay looking for profitable risk selection opportunities. Outcomes or underwriting, whether you take Fire, whether you take Miscellaneous Corporate, or for the matter of fact, anything from an absolute basis will be purely a reflection of some of the loss events that could have got played out in that particular quarter. The real reflection is, as what we keep saying, on the overall Commercial lines book, that is a book that has

inherently generated us good cash flows. It has also enabled us to kind of generate better ROE. And overall, the book that we have been writing has seen decent Combined ratio outcome. So that is something from a philosophy standpoint that we stand committed. But as I said, in

a given quarter or so
from an absolute outcome will be purely a function of some of
the loss events.
Shreya Shivani: So ideally, what time period should I look if I want to
understand the Fire performance?
Sanjeev Mantri: So Shreya, time period, I think submission of quarters, which is
there in the past 3 years or so, if you look at where the average
is, can give you a very decent indication in terms of where the
loss ratio resides. A quarter-to-quarter movement, as Gopal
explained, can be very dangerous to take a call. The long and
short, which we can put across very confidently is there was a
CAT event, there was one or two large losses, which is kind of
reflected, but it can play out over a couple of quarters, and you
will see moderation in the loss ratio overall in time to come. But
the best way to look at it is digging the past and seeing
submission. If you look at last 10 quarters, 12 quarters, how
does the loss ratio move, you will get a very clear indication
that this is what broadly the range is. In our mind, this is
absolutely nothing. In fact, I can share with you that the rate,
which is there on the risk basis, we realized more than 20%
than what we used to. And I would also put across the fact that
this was a lower base. Last year, if you see the commentary
that we had on Fire, the industry was not pricing it
appropriately. Some bit of semblance has come and that has
helped each of the industry players, including ourselves, but

what we tried is not on the incremental risk, but the selection
of risk that we want to ride. And that is what can be a big
differentiator over submission of quarters.
Shreya Shivani: Got it. This is very useful. Thank you and all the best.
Gopal Balachandran: Thanks, Shreya.
Moderator: Thank you. Our next question comes from the line of Neeraj
Toshniwal from UBS Securities. Please go ahead.
Neeraj Toshniwal: Hi, everyone. I think a lot of debate has already happened on
this. But still, to get more sense on how should one think about
second half in terms of growth and Combined both, any color
will be more helpful because definitely 9 days have been
positive. But to get a sense, because it will be obvious also in
terms of 1/n impact, which started from last 1st October, which
will also be a positive thing to support growth. How should one
think about growth and then obviously in terms of underwriting
profits and then overall profits?
Gopal Balachandran: Thanks, Neeraj. Finally, hopefully from next quarter onwards,
we don't have to really kind of talk about this n and 1/n.
Therefore, to that extent, All of us, there will be one set of
numbers that we will kind of start looking at it collectively. But
having said that, if you look at the narrative that we have
largely spoken Neeraj, to all of you is that on ground, which is
what we kind of have been calling out. We are very excited and
pleased with how some of the regulatory actions are getting
translated in terms of reforms on ground. And hence, to that
extent, from an ICICI Lombard standpoint, we are very well
poised to capitalize this opportunity of growth across streams

of businesses. So hence, to that extent, possibly the extent of
market share loss that one had seen, particularly over the last
couple of few quarters, one definitely expects that particular
trend line to start getting reversed. And hence, to that extent,
in line with what we have been saying, we should logically
start getting incremental market share vis-à-vis the industry
overall growth numbers. That is more from an overall growth
standpoint. But when it comes to more Combined ratio/ ROEs,
both Sanjeev and all of us, in general, what we have been
talking about is to try and sustain that ROE in that range of
18%-20%. And even if you look at it, whether you look at

quarter two or even for the matter of fact, if you look at half year, we have largely been able to kind

of stay around the range of 18%-20% from an ROE standpoint. And therefore, even as we head into the second half, we will be extremely mindful of making sure that we are able to sustain this. But all of this, we will obviously keep a very close watch in terms of how the industry is also kind of declaring their numbers. We do understand that some companies have started declaring results for quarter two and we will see the directional trend on how it plays out from our standpoint. Sanjeev, if you want to add anything.

Sanjeev Mantri: No. I think you have spoken and this is well spoken. I think nothing more to add to this.

Neeraj Toshniwal: Got it. And just one bookkeeping, what is the yield right now and the duration of the book and the long-term portfolio now versus last year?

Gopal Balachandran: So the duration of the book is about 4.74 years and yield on the book, YTM is about 7.39%.

Neeraj Toshniwal: And on the long-term portfolio, if we have that data handy?

Gopal Balachandran: Long-term portfolio, are you referring in the context of on the business side?

Neeraj Toshniwal: Yes.

Gopal Balachandran: So on N to 1/N, that is the number that we have called out separately, Neeraj, in our investor deck. If you look at the total long-term premium that could have got recognized as premium on a half yearly basis is roughly about ■ 6.2 billion. And for the quarter, that number stands at roughly about ■ 3.6 billion.

Neeraj Toshniwal: Thank you.

Gopal Balachandran: Thanks, Neeraj. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take this as the last question for today. I now hand the conference over to the management for closing comments.

Sanjeev Mantri: Thank you so much for joining in. We run into festivities going forward. So we would wish each one of you and your family members a great, safe, Happy Diwali. These are exciting times for us as an industry. While there are some questions in terms of how it will evolve, we truly believe that directionally H2 would see far more tailwinds. We will stay connected. We look forward to meeting with each one of you as and when you are back with your respective holidays. Have a great time with your families and be safe, be happy. Thank you so much.

Gopal Balachandran: Thank you.

Moderator: Thank you. On behalf of ICICI Lombard General Insurance Company Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Safe Harbor: Except for the historical information contained herein, statements in this release which contain words or phrases such as 'will' , 'would' , ‘indicating’ , ‘expected to’ etc., and similar expressions or variations of such expressions may constitute 'forward-looking statements'. These forward-looking statements involve a number of risks, uncertainties and other factors that could cause actual results to differ materially from those suggested by the forward-looking statements. These risks and uncertainties include, but are not limited to our ability to successfully implement our strategy, our growth and expansion in business, the impact of any acquisitions, technological implementation and changes, the actual growth in demand for insurance products and services, investment income, cash flow projections, our exposure to market risks, policies and actions of regulatory authorities; impact of competition; the impact of changes in capital, solvency or accounting standards, tax and other legislations and regulations in the jurisdictions as well as other risks detailed in the reports filed by ICICI Bank Limited, our holding company with the United States Securities and Exchange Commission. ICICI Bank and we undertake no obligation to update forward-looking statements to reflect events or circumstances after the date there.

Call: Jan 2026

ICICI Lombard General Insurance Company Limited
IRDA Reg . No. 115 CIN: L67200MH2000PLC129408 You can contact us at:
Mailing Address: Registered Office: Toll free No.: 1800 2666
Sixth floor - Interface 16, ICICI Lombard House , 414, Veer Savarkar Marg, Email: customersupport@icicilombard.com
Office no 601 & 602, Near Siddhi Vinayak Temple, Prabhadevi, Website: www.icicilombard.com
New linking Road , Malad Mumbai - 400 025.
west , Mumbai - 400064.
Ref. No.: MUM/SEC/194-01/2025-26
Janua ry 19, 2026
To,
The Manager
Listin g Department
BSE Limited
Phiroze Je ejeebh oy Towers
Dalal S treet
Mumbai – 400 001 The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot C/1
G Block, Bandra Kurla Complex,
Mumbai – 400 051
Scrip code: Equity (BSE: 540716/ NSE: ICICIGI)
Dear Sir/Madam,
Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of e arnings conference call for the quarter and nine -months ended December 31 , 2025
This is further to our letter dated January 6, 2026 and January 13, 2026 , please note that the Company had hosted an earnings conference call wit h investor(s) and analyst(s) on Tuesday, January 13, 2026 to discuss the financial per formance of the Company for the quarter and nine -months ended December 31 , 2025.
In this regard, p lease find attached transcript of the earnings conference call with investor(s) and analyst(s) for the quarter and nine-months ended December 31, 2025.
The above information will also be made available on the Company's website at www.icicilombard.com .
You are requested to kindly take the same on your records.
Thanking you.
Yours Sincerely,
For ICICI Lombard General Insurance Company Limited
Vikas Mehra
Company Secretary
Encl. As above

ICICI Lombard General Insurance Company Limited
Q3 & 9M FY2026 Earnings Conference Call
January 13, 2026

Management:

MR. SANJEEV MANTRI – MD & CEO
MR. GOPAL BALACHANDRAN – CFO
MR. ANAND SINGHI – CHIEF – RETAIL AND GOVERNMENT
MR. GIRISH NAYAK – CHIEF – TECHNOLOGY AND HEALTH UNDERWRITING & CLAIMS
MR. SANDEEP GORADIA – CHIEF – CORPORATE SOLUTIONS, INTERNATIONAL & BANCASSURANCE
MR. GAURAV ARORA – CHIEF – REINSURANCE, UNDERWRITING &

CLAIMS FOR PROPERTY & CASUALTY

ICICI Lombard General Insurance Company Limited
Q3 & 9M FY2026 Earnings Conference Call
January 13, 2026

Moderator: Good evening, ladies and gentlemen. A very warm welcome to ICICI Lombard General Insurance Company Limited's Q3 & 9M FY2026 Earnings Conference Call.

From the Senior Management, we have with us today, Mr. Sanjeev Mantri – MD & CEO of the Company; Mr. Gopal Balachandran – CFO; Mr. Anand Singhi – Chief – Retail and Government; Mr. Girish Nayak – Chief – Technology and Health Underwriting & Claims; Mr. Sandeep Goradia – Chief – Corporate Solutions, International & Bancassurance and Mr. Gaurav Arora – Chief – Reinsurance, Underwriting & Claims for Property & Casualty.

Please note that any statements, comments are made in today's call that may look like forward-looking statements are based on the information presently available to the management and do not constitute an indication of any future performance as future involves risks and uncertainties which could cause results to differ materially from the current views being expressed.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th

e conference call, please signal an operator by pressing * and then 0 on your touchtone phone.

I now hand the conference over to Mr. Sanjeev Mantri – MD & CEO, ICICI Lombard General Insurance Limited. Thank you and over to you, sir.

Sanjeev Mantri: Good evening to each one of you. Thank you for joining the earnings conference call for ICICI Lombard for Q3 & 9M FY2026. At the outset, let me wish you all a very Happy New Year and best of health and happiness.

I would like to give you a brief overview of the recent economic and industry trends, which has shaped the operating environment over the past few months. Following that, our CFO, Mr. Gopal Balachandran, will take you through the Company’s financial performance for the recently concluded quarter and nine months.

The Indian economy recorded a GDP growth of 8.2% in Q2 FY2026, up from 7.8% in the preceding quarter. The expansion was underpinned by sustained government capital expenditure, coupled with an increase in private capex, robust services activity, and a rebound in private consumption. Consumption was further supported by easing inflation and the GST rationalization implemented in late September 2025.

Coming to Q3 FY2026, the index of industrial production, IIP data indicates positivity supported by manufacturing growth, continued infrastructure development, and a turnaround in consumer goods segment. E-Way bills generation and toll collections during the same period record a growth of 13% and 17% Y-o-Y, reflecting strong underlying economic activity. We believe that these high-frequency indicators should augur well for our Commercial line-off segment.

Buoyed by GST rationalization, the automobile sector has seen a significant uptick in sales. According to Retail sales data based on Vahan registration, the auto industry recorded a growth of 19.5% for Q3 FY2026, resulting in a total of 9.4 million vehicles sold. Within this, Private Car has seen a growth of 19.3%,

translating to 1.3 million vehicles. The Two-wheeler segment grew by 19.2% with the 7 million vehicles, whereas Commercial Vehicles (CV) grew by 22.2%, with 1.1 million vehicles being sold.
Interestingly, the overall growth in the vehicle sales is the highest in last 12 quarters. To add to it, this growth is more broad-based, as tier 3 cities and beyond have demonstrated faster growth in both Private Car and Two-wheeler segment. This is also corroborated by a strong growth of 28.8% in tractor sales for the quarter.
Overall, the acceleration in new vehicle sales for the quarter has also led to a 7.7% growth for calendar year 2025, with 28.1 million units being sold.

The landmark decision of exemption of GST on Retail Health insurance has significantly improved affordability and increased awareness. The industry has passed on the complete benefit of GST exemptions to the end customers. This has led to an increase in policy uptake as more customers are seeking health care protection. Here, too, the growth in Retail Health appears to be broad-based across markets and is supported by a surge in first-time buyers, especially for tier 2 and tier 3 cities, which is a positive for this sector.
On the regulatory front, the Government of India took a significant step during the quarter by introducing forward-looking reforms in the insurance laws with the passage of Sabka Bima Sabki Raksha, Amendment of Insurance Laws Bill 2025. While most of these amendments will have far-reaching effects on the insurance sector over time, a few important changes pertaining to the Insurance Act are as follows:
■ Foreign investment in an Indian insurance company has enhanced from 74% to 100%, thereb

y supporting capital inflows.
■ Enabling provisions in the Amendment Act to facilitate business other than traditional insurance underwriting and distribution, thereby allowing insurers to offer holistic risk management services.
■ Simplification of provisions relating to investments of assets.
We are excited about these changes and we do believe that this should be structurally positive and would accelerate the growth and development of the insurance sector. This will also facilitate ease of doing business and provide better protection and risk management solutions to the policyholders.
In another significant reform in November 2025, the Government of India formally made effective four new central labor codes, including the Code on Social Security 2020. Consequent to this, benefits like gratuity, leave encashment, etc., paid on basic salary are now required to be paid basis the new broader definition of wage. We believe these changes should translate into a more resilient workforce and strengthen employee security over time. This change has a one-time impact on the financials, which will be covered by Gopal in his section.

Let me now dwell upon the industry performance for the period ended 31st December 2025:
The General insurance industry reported a GDPI growth of 8.7% for 9M FY2026. Excluding Crop and Mass Health segment, the GDPI growth stood at 13.3% for the period 9M FY2026.
Speaking on specific segments within the industry:
Commercial segment recorded a healthy growth of 14.8% for 9M FY2026 and 16.3% for Q3 FY2026. This growth led by strong momentum in the Fire line, which grew at 20.1% for 9M FY2026. As mentioned above, this is driven by an increase in capital expenditure, particularly in areas such as roads, railways, and renewable energy. The Motor segment grew at 8.9% in 9M FY2026, compared to 7.6% in H1 FY2026. For Q3 FY2026, the growth stood at 10.9%, supported by festive season demand and the positive impact of GST rationalization. Health segment grew at 14.2% for 9M FY2026, with a strong momentum of 27.6% growth in Q3 FY2026, led by Retail Health, which grew at 33.6% and Group Health growth of 23.1%, underscoring strong demand across the segment.
On the other hand, industry Combined ratio (CoR) worsened from 113.3% in H1 FY2025 to 119.2% in H1 FY2026, indicating continued underwriting pressure. During the same period, ICICI CoR moved from 103.2% in FY2025 to 104.0% in

H1 FY2026, reinforcing a superior financial performance through disciplined underwriting.
The Motor line of business remains a key area of stress with the industry CoR increasing from 124.8% in H1 FY2025 to 128.5% in H1 FY2026. ICICI Lombard demonstrated better portfolio management in Motor insurance with the Combined ratio improving from 108.0% to 106.9% during the same period.
I will now proceed to present our Company's performance across key business segments:
For 9M FY2026, Gross Domestic Premium Income (GDPI) of the Company grew by 3.6% compared to industry growth of 8.7% for the same period. Within this, for Q3 FY2026, the Company reported a premium growth of 13.3% compared

to industry growth of 11.5%, thereby improving its market share from 8.1% for Q3 FY2025 to 8.3% for Q3 FY2026. For December 2025 in particular, the Company's growth in GDPI was 16.1% in comparison to the industry growth of 14.4%. Excluding Crop and Mass Health, the Company recorded a growth of 7.5% during 9M FY2026, against the industry growth of 13.3%. Within this, for Q3 FY2026, the Company recorded a growth of 16.4%, as against the industry growth of 20.1%.
■ In the Commercial line segment, our growth stood at 7.4% and 6.8% for Q3 FY2026

and 9M FY2026, respectively, while the industry grew by 16.3% for Q3 FY2026 and 14.8% for 9M FY2026.
We continue to be focused on delivering profitable growth through disciplined underwriting, prudent risk selection and portfolio diversification, resulting in the growth of Fire segment by 18.8% in Q3 FY2026, driven by 27.4% growth in the SME segment. Further, the Company delivered a 19.3% growth in Fire compared to 15.8% industry growth for the month of December 2025.
In the Engineering segment, our growth stood at 15.2% and 13.3% for Q3 FY2026 and 9M FY2026, respectively, while the industry during the same period grew by 11.5% and 12.9% respectively. This led to reattaining leadership position in Engineering segment for the 9M FY2026.
On the other side, for 9M FY2026, the Company's growth for Marine Cargo and Liability segment was not in line with the industry growth on account of portfolio rationalization. However, we continue to maintain our leadership position in these lines.

■ In Motor segment for 9M FY2026, the Company recorded a growth of 5.0%, whereas the industry grew by 8.9%. While our growth in H1 FY2026 was only 2.2%, a rebound was observed in Q3 FY2026, driven by an underlying buoyancy in new Motor vehicle sales. Consequently, the Motor segment grew by 9.3% in Q3 FY2026, supported by a strong growth of 16.1% in December 2025. Despite heightened competitive intensity in the recent quarter, we remain focused on profitable growth driven by continuous expansion across distribution channels and a more granular portfolio segmentation.

Importantly, the Company continues to maintain its leadership position in the Motor segment with a market share of 10.7% for 9M FY2026. The Company's portfolio, Motor portfolio mix of Private Car, Two-wheeler and Commercial Vehicles stood at 53.6%, 25.8%, and 20.6% respectively for 9M FY2026.
■ In the Health segment, the Company grew by 42.0% and 13.8% for Q3 FY2026 and for 9M FY2026, respectively, as against the industry growth of 27.6% and 14.2% for Q3 FY2026 and 9M FY2026 respectively.
o Our Retail Health business delivered a robust growth of 85.8% in Q3 FY2026 and 44.8% in 9M FY2026, significantly outperforming the industry growth of 33.6% in Q3 and 16.5% for 9M FY2026. Our growth was fueled by new-to-industry customer growth of 1.7x for Q3 FY2026 and 1.4x for 9M FY2026. Thus, our market share increased to 4.0% in 9M

FY2026 compared to 3.2% for the same period in the previous year and for Q3 FY2026, our market share has increased to 4.5% from 3.2% for the same period in previous year. The strong performance has also been driven by sustained investment in strengthening our Retail distribution capabilities across channels.
o The Group Health segment registered a growth of 26.6% and 5.9% for Q3 FY2026 and 9M FY2026 respectively, while the industry grew by 23.1% for Q3 FY2026 and 12.6% for 9M FY2026.
I will now like to apprise you of certain strategic initiatives that continue to drive operational excellence and customer-centricity across the organization:
o The “One IL One Call Centre” initiative continues to deliver strong momentum in the Company's transition towards a digital first Do-It-Yourself (DIY) servicing model. In December, over 60% of the total service engagements were managed digitally as against 38% only for April 2025. This was possible due to our AI intervention through various bots which has helped

customers adopting DIY service modes. This has led to improve turnaround times, service consistency and increased productivity. Our differentiated service initiatives which we had spoken about in a previous call have resulted in increase of our Call Centre NPS to 73 in Q3 FY2026 fr

om 60 in Q1 FY2026.

o Building on a “One IL One Digital” framework, we continue to take positive strides toward offering a seamless and omni-channel experience across our website and the ‘IL TakeCare’ platform. As you might recall, the ‘IL TakeCare’ app was initially launched to provide a “Continuum of Care” for our Health insurance customers. Over time, the app has continuously evolved with new functionaries and features making it a comprehensive one-stop solution for service and sales across multiple Retail product lines.
The app has now crossed 19.7 million downloads as at December 31st, 2025, reflecting growing customer engagement and digital adoption. The Company registered a GWP of ■ 3.54 billion for 9M FY2026 from the ‘IL TakeCare’ app as against ■ 1.45 billion for the same period last year.
‘IL TakeCare’ has also made significant progress in addressing key customer service requirements and delivering a seamless insurance experience. Just to highlight, for ‘TripSecure+’, our premier travel insurance product, customers can now independently manage claims, policy cancellations, extensions, and modifications through the app. These enhancements have enabled 93% of service requests to be processed on DIY basis without the need for manual intervention, leading to a corresponding reduction in support call volumes. Notably, 79% of claim intimation for ‘TripSecure+’ in December 2025 were also initiated through ‘IL TakeCare’ app as compared to 22% in July 2025.

In order to continually enhance our efficiency levels in Motor claims, we have expanded our cashless garage network from 13,600 plus garages in Q3 FY2025 to 15,000 garages in Q3 FY2026. 75.2% of our non-OEM claims for Q3 FY2026 were serviced at PPN up from 73.6% in Q3 FY2025, leading to enhanced customer experience.
In the Retail segment, 99.6% of our total claims were paid within 30 days and for Motor Insurance Own Damage segment, 96.8% of our claims were paid within 30 days for the

period ended 9M FY2026.
As a result, our NPS for H1 FY2026 for Health claims stood at
70 and for Motor claims stood at 69, reinforcing our position
as a customer centric organization.
In conclusion, the domestic macro environment remains supportive with broad
base consumption showing healthy momentum. We remain focused on
building a sustainable long-term franchise anchored in the strength of our
technology processes and service architecture. Through our 'One IL, One Team'
initiatives, we continue to sharpen execution, drive consistency and deliver
customer outcomes at scale. We are well positioned to convert a more
supportive demand environment into a steady high-quality growth while
maintaining discipline and underwriting service delivery and operating
efficiency.
I will now request Gopal to take you through the financial numbers for the
period 9M FY2026.
Gopal Balachandran: Thanks, Sanjeev, and good evening to each one of you. I will now give you a
brief overview of the financial performance of the recently concluded quarter
and nine months. We have uploaded the results presentation on our website.
You all can access it as we walk you through the performance numbers.
With effect from October 1, 2024, long-term products are accounted on a 1/n
basis as mandated by our regulator. Please refer to the Investor Presentation

on Slide 16 for a much more detailed information on comparison of financial on
n and 1/n basis.
Now let me update on GDPI numbers. Please note these numbers are on 1/n
basis:
The GDPI of the Com

pany was at ■ 213.72 billion in 9M FY2026 as against
■ 206.23 billion in 9M FY2025, a growth of 3.6% as against the industry growth
of 8.7%.
GDPI of the Company was at ■ 70.41 billion in Q3 FY2026 as against ■ 62.14
billion in Q3 FY2025, a growth of 13.3% as against the industry growth of
11.5%, resulting in our market share to grow from 8.1% in Quarter 3 last year
to 8.3% in Quarter 3 of the current year.
On the retail side of the business, GDPI of the Motor segment was at ■ 33.99
billion in Q3 FY2026 as against ■ 31.09 billion in Q3 FY2025, registering a
growth of 9.3%. The advance premium for Motor segment was at ■ 41.26 billion
as at December 31, 2025, as against ■ 39.13 billion as at September 30, 2025.
GDPI of the Health segment was at ■ 20.44 billion in Q3 FY2026 as against
■ 14.53 billion in Q3 FY2025, registering a growth of 40.6%.
o Within this, our Retail Health segment registered a robust growth of
85.8% during the same period.
GDPI of our Commercial line was at ■ 15.72 billion in Q3 FY2026 as against
■ 14.63 billion in Q3 FY2025, registering a growth of 7.4%.
Our agent, which includes the point of sale distribution count was 1,50,458 as
at December 31, 2025, up from 1,47,408 as at September 30, 2025.
Our Combined ratio on 1/n basis was 104.2% in 9M FY2026 as against 102.9%
in 9M FY2025. On an n basis, our Combined ratio was 103.1% in 9M FY2026
as against 102.8% in 9M FY2025. Combined ratio on again 1/n for this Q3
FY2026 is 104.5% as against 102.7% in Q3 FY2025. Again on an n basis, for
Q3 FY2026, Combined ratio was 103.1% as against 102.3% in Q3 FY2025.

■ We have been talking about the impact of CAT losses. If one was to
exclude the impact of CAT losses of ■ 0.84 billion in 9M FY2026 and
■ 0.94 billion in 9M FY2025, the Combined ratio on a 1/n basis was
103.7% and 102.3% respectively. The same numbers on an n basis was
102.6% and 102.2% respectively.
Now coming to the quarter:
■ Excluding the impact of CAT losses of ■ 0.11 billion in Q3 FY2026, the
Combined ratio on 1/n was 104.3%, and the same numbers on an n
basis was 103.0%. There were no CAT losses in Q3 FY2025.
■ And as mentioned by Sanjeev in his opening remarks, excluding the
impact of wage code of ■ 0.55 billion, our Combined ratio on a 1/n basis
for 9M FY2026 and Q3 FY2026 was 103.9% and 103.5% respectively.

On n basis, our Combined ratio excluding wage code impact was 102.8% and 102.2% for 9M and Q3 respectively.

Our investment assets during the quarter rose to ■ 582.96 billion as at December 31, 2025, up from ■ 562.00 billion as at September 30, 2025. Our investment leverage net of borrowing was 3.60x at December 31, 2025 as against 3.57x at September 30, 2025.

Investment income was at ■ 37.57 billion in nine months current year as against ■ 33.73 billion in nine months last year. On a quarterly basis, investment income was at ■ 12.19 billion in Q3 current year as against ■ 11.21 billion in Q3 last year.

Our capital gains net of impairment to investment assets stood at ■ 9.33 billion in nine months current year as against ■ 7.96 billion in nine months last year. Capital gains stood at ■ 3.17 billion in Quarter 3 current year as compared to ■ 2.76 billion in Q3 last year.

On a 1/n basis, our PBT grew by 10.8% at ■ 29.41 billion in 9M FY2026 as against ■ 26.53 billion in 9M FY2025. Again for the quarter, on a 1/n basis, PBT de-grew by 9.4% at ■ 8.70 billion for the current quarter as against ■ 9.60 billion in Q3 last year.

Consequently, on a 1/n bas

is, PAT grew by 11.3% at ■ 22.25 billion in 9M FY2026 as against ■ 19.99 billion in 9M FY2025. The same numbers on an n basis for profit after tax grew by 13.8% at ■ 22.22 billion in 9M FY2026 as against ■ 19.53 billion in 9M FY2025.

On a 1/n basis, PAT de-grew by 9.1% at ■ 6.59 billion in Q3 current year from ■ 7.24 billion in Q3 last year. Again, coming back to n basis, PAT remained flattish at ■ 6.80 billion in Q3 current year from ■ 6.79 billion in Q3 last year.

Excluding the impact of wage code, on a 1/n basis, PAT was ■ 22.67 billion in 9M FY2026 and ■ 7.00 billion in Q3 current year, registering a growth of 13.4% and a de-growth of 3.3% respectively.

The same numbers on an n basis, PAT was ■ 22.64 billion for 9M FY2026 and ■ 7.21 billion in Q3 of this quarter, registering a growth of 15.9% and 6.3% respectively.

Coming to ROE, on a 1/n basis, it was 19.5% in 9M FY2026 as against 20.8% in 9M FY2025. ROE for the Q3 FY2026 was 16.5% as against 21.5% in Q3 FY2025. Excluding the wage code impact, on a 1/n basis, ROE was 19.8% and 17.5% in 9M FY2026 and Q3 FY2026 respectively.

Solvency ratio was at 2.69x at December 31, 2025 as against 2.73x at September 30, 2025, continued to be higher than the minimum regulatory requirement of 1.50x.

As I conclude, I would like to state that we are all aligned with our ethos of driving profitable growth, consistent and sustainable value creation for all our stakeholders while ensuring that the interest of the policy holders are in the forefront at all times. I would like to thank you all for attending this earnings call, and we will now be happy to take any questions that you have. Thank you.

Moderator: Thank you very much. We will now begin with the question-and-answer session. Our first question comes from the line of Supratim Datta from Jefferies. Please go ahead.

Supratim Datta: My first question is on the labor code. You know, we understand that there is a ■ 50 crore impact from the labor code changes. Just wanted to understand

what proportion of this was recurring versus what proportion of this was one time? That was the first question.

Secondly, coming to growth, now despite the GST tailwinds, the growth even on the Motor side, if I see, has been slower than what the industry has witnessed. And I do understand that competition has been elevated, but the regulator at the regulatory level has taken multiple steps, be it expense of management guidelines or discussions with industry to reduce the competitive intensity or bringing some bit of rationality, yet we are not able to see that happen. So from here, if I am taking a 2 to 3 year view, what will drive growth in the Motor segment for a player like you which already has 10-11% market share? If you could throw some light on that, that would be very helpful.

And lastly, on the Motor TP loss ratio, I do understand last time there was a TP release. But this time it seems to be a more normalized loss ratio. Should we

assume that the reserve release is too old and there is no further release that would come in the fourth quarter or could there be further releases that would come in the fourth quarter? If you could throw some light on the reserve release, that would also be very helpful.
Gopal Balachandran: Thanks, Supratim, for those questions. On the first one, so far as the labor code is concerned, obviously the impact of ■ 55 crore in that sense is one time because it is primarily the liability resulting from an actuarial valuation for the past service cost in so far as the wages is concerned.
Having said that, obviously this code is also evolving. So, hence, to that extent, we will have to see if there are any more incremental guidelines or rules that come into existence, but at this point of time basis whatever has been released thus far, this impa

ct of ■ 55 crores is what is the past service cost which is a complete impact that we have taken in the financials of Quarter 3 and 9 months. And if you would have seen also the disclosure that we have made, there is an element of roughly about ■ 17 crore. This is the amount of unamortized cost which will get amortized over the next 3 years in line with the actuarial report. Those are the two numbers in so far as the impact of wage code is concerned. ■ 55 crore is more a onetime impact in the financials. ■ 17 crore of un-amortized cost is something that will get amortized over the next 3 years. So that is in response to the first one.

On the response to the third question, Motor Third-Party loss ratios, I will keep reiterating this. What we have told the market is overall Motor loss ratio range that we have spoken is between 65% to 67%, and if you look at the 9 month numbers and that is something that we keep urging that you should keep looking at year-to-date numbers than more quarterly outcomes. The 9 month numbers for the current year Motor overall stands at about 66.3%. This is both Own Damage and Third-Party put together. It's pretty much playing out in line within the range that one has spoken about. And hence, to that extent, we are quite happy with the way how things have progressed.
To your point on any impact of reserving etc. again, we will keep stressing on the fact that there has been no change in any of our actuarial assumptions. And therefore, to that extent, it is not that we have done anything specific whether it was in the context of last year or even for the matter of fact when you look at the numbers from the current year perspective. So that is in response to the third one.
And on the second one, maybe Sanjeev.
Sanjeev Mantri: So, on the Motor part, clearly, first up, we are extremely excited with the positive environment that has got created. As I was giving the briefing, the Quarter 3 numbers, the growth in number of vehicles across Private Car, Two-wheeler as well as CV, which has been more than 19%, the highest in last 12 quarters, is a very, very good sign. This increase in number has also come with the GST rationalization which made the vehicles cheaper. And with that coming through, we had to also realize what is required and we also spoke about in terms of how the Combined for the market has moved in Motor from 124 which was hard enough to move to 128.
So the realignment was a very key piece, which is what we as an organization have done. Consequent to this, what we are seeing is the growth of December in particular where we have exceeded the market expectation. We remain very positively driven overall as to what Motor holds for us. We closed the year with a 10.7% market share, probably a loss of 0.4 or thereabouts as to what we had 9 months, but as we close, the positivity with which we expect even Q4 numbers to build up on the new sale would drive growth for us because that is the combination which we are probably best at.

Overall, from an environment standpoint, we do see consumption playing a big role and in that, of course, mobility of Two-wheeler customers seeking Private Car and thereabout also is becoming very clear. Also, one more point which augurs well for us is we have been a distribution-led Company and the growth is broad-based, which is where they say that we are on tier 3 and above where the market growth also is coming, it again is a bit positive for us and it will help us to drive what we want to drive as an agenda.
So, we are overall on Motor very positively placed, but the realignment in wake

of what the intensity is seen is something which is warranted and we always maintain that we will nev

er shy away from taking those calls, but a range bound 10.7% market share where we stand, we are pretty much involved as a number one player. As a top most player, we are also very aware of the responsibilities that we carry in the Motor segment in particular.
Supratim Datta: That's very helpful.
Sanjeev Mantri: Thank you, Supratim.
Moderator: Your next question comes from the line of Sanketh Godha from Avendus Spark. Please go ahead.
Sanketh Godha: See, the Retail Health growth 85 or 86 odd percentage in the third quarter, honestly, it has the unwinding portion of last year too. So, if I do n-to-n comparison, which is more like-to-like, so can you just spell out the growth, how the Retail Health has panned out if you look on n-to-n basis?
Gopal Balachandran: Sanketh, we are not separately calling that out. So, honestly, to that extent, I think what we would say is that, what we are very excited is what, I think, Sanjeev responded even on Motor. I think the underlying demand on ground is pretty much playing out consequent to some of the rationalizations that have happened in the context of GST that we have talked about even in the last quarter. And hence, to that extent, one would say that the growth is very, very exciting. And hence, to that extent, while it does have an impact, but honestly, our sense is, I think, broadly, even if I were to give a number even on an n basis, I think that growth would be more or less around the same range of between 80% to 85%. So, hence, it doesn't change much, which is what we had said.

What we are very, very excited is more the underlying demand momentum than looking at numbers whether on an n basis or a 1/n basis.
Sanjeev Mantri: Yeah. And also we have been talking about, if you look at the numbers, we have grown on 80% plus in all three months October, November and December. So, very clearly, the need for differentiating that and talking as it is, it is not an easy commentary. We are talking 1/n or n. For you to listen on audio itself is a challenge I can tell you. Probably you can make more sense than when you have the script in hand, but this growth and what we have been doing over sustained quarter also is reflected in the market share, which has increased to 4.5% in Q3, which clearly speaks about the underlying momentum that the team has been able to build.
And if your question is, do you see this momentum probably playing out even in Quarter 4? My answer would be every reason to believe, and it's again driven by a very good demand across markets. So, there is a play, and we have a product, and we have a team which is capable of driving this transition. If you would have asked the beginning of the year, did we expect 4.5% of a market share? My answer would have been, probably it would have been a shade lower than that. So, there is tailwind which is also helping us look better than what we could have been, probably would have been 4%. So, it is pretty much there and we are well settled. So we are at the right place at the right time as far as Health is concerned.
Sanketh Godha: Sanjeev, honestly, this growth is little extraordinary even if I look from the industry standard point of view. Is it any particular channel in which you were not present and now exploring the channel that has contributed to the growth?
Sanjeev Mantri: No, that I can explain you. That I can, Mr. Sanketh, if that is what your question was. So, see, the product Elevate was launched in July, 2024. Okay. So we had started doing well in that and that renewal base also comes and gets added to the book. So, mathematically plus supported by the tailwinds, that is an answer to that part. I mean, I am definitely not saying that 85% of the growth that will continue over quarters and quarters. So, mathematically speaking, the retention of a prod

uct and the quality product is there, then you get good customers and the retention also is very high. And so there is that part which is helping us to drive this kind of a growth, Sanketh.

Sanketh Godha: Understood, but any new channel which contributed, like, maybe you were not presenting one?

Sanjeev Mantri: Of course, our agency channel has opened up significantly, and we were able to attract lot more channels. So, agency is driving this growth, but at the same time, even on websites, so we have been pretty across channels. But the contribution percentage per se of what was there would not have gone through the significant change if you look at the distribution pattern. So, we are seeing this growth across channels, Sanketh.
Sanjeev Mantri: And even Banca for that matter.
Sanketh Godha: No, the reason I am asking this question is that, is our payout structure to the distributor is more skewed on n basis rather than 1/n basis?
Sanjeev Mantri: No, no, no, no, we have absolute clarity that even if it is long term, what we will do is what comes with 1/n. As a team, for us, we continue to operate strictly on those guidelines, Sanketh.
Sanketh Godha: So, basically commission payouts are also on 1/n basis.
Sanjeev Mantri: On that, yes. So, it would be differentiated to that extent that first year would be something and then second and third year, that obviously is the case, but it is distributed basis.
Moderator: Our next question comes from the line of Prayesh Jain from Motilal Oswal. Please go ahead.
Prayesh Jain: Just a couple of questions. Firstly on the Motor side, Sanjeev, we have seen tremendous growth in volumes, and what I have understood is there is premiumization trends as well. In spite of that, the premium growth for the industry has a decent gap between the volume growth of the industry as well as the premium growth what we have seen, right? So, in that sense, what is causing that disparity? And have you seen any further pricing aggression in Q3 with respect to Motor OD premiums given that it was anticipated that the

growth would be there and the competition intensities increase? That is my first question.
And second question is in terms of Retail Health, could you give us some qualitative or some numbers around as to what is the growth that is driving the new customers that are coming? What are they coming at? What kind of sum assured they are coming? And also the existing customers, are they scaling up the sum assured and maintaining the premium levels? Or what is the kind of trajectory that we are seeing there?
Sanjeev Mantri: So, on the Motor side, Prayesh, clearly, if you see the growth has been broad based and we have seen small cars, the small hatchback cars being sold far higher than any other car. So, the volume growth may not necessarily translate into a equivalent growth in premium for the industry. And also what has to be noted is that this growth also is fueled by the rationalization which happened from 28% to 18%, which itself led to an impact on the yield per vehicle going down.
So, it is the combined thing, and that is where the realignment also had to be done by us as a team to ensure that what we pick up overall from the market with respect to our own Motor portfolio. And also we spoke about how the H1 is seeing the Combined ratio getting, that is to answer the competitive intensity that you are speaking about, the Motor Combined in 124.5 and thereabouts had very little room to go further down. It moved on to 128. And if that is the kind of development that comes in, there is no reason to believe that the competition intensity has gone down.
And at the same time, you spoke about specific player

s coming in and coming
out. Frankly speaking, our journey is very secular. You know, we have got a decent understanding, and we back ourselves in terms of what we are picking up and what we want to do in this Motor segment in particular. And we have always maintained that we are very comfortable walking away what is not making basic sense on the ROE level for Motor as a book.
So, we do understand we are willing to play the game if there is an ROE that comes through even if it is on an elevated Combined, but not in a random manner where we just keep acquiring because there is an opportunity

available. So that kind of a discipline is what drives us, and that is why when the industry has moved from 124 to 128, our Combined actually improved by some percentage and some few more basis points in that H1 period also. So, it is to be taken in collaboration while maintaining market leadership.

So, for further pricing aggression, very little room, but we have maintained that
over last couple of quarters, we are very unfazed because of our journey of
how we can slice and dice and do what makes sense for us. We would back
ourselves, and we are very confident that we will be able to deliver what is
warranted for us as a Company. Prayesh, I hope this answers what you are
seeking on Motor.
Sanjeev Mantri: So, I know TP hike is another part which I must add to say which has made the
yield look what it is. We have been always expecting it, but it's not come
through as yet.
Prayesh Jain: Just one thing on that Motor before you kind of answer the Retail Health. The
hatchbacks and the smaller cars, would you say that given a lot of them could
be the first time buyers structurally and given you have a large history of data
on the same kind of vehicles being sold and first time buyers, would you say
that the loss ratios could be higher on this segment going ahead?
Sanjeev Mantri: So, yes, of course, Prayesh, we can discuss in detail, but the long answer I will
make it short and say the cars have also started coming with much better
safety features. The road also has changed. So, there is a lot more. The challan
systems are getting digitized. The overlay in terms of investigating what's gone
wrong because there are cameras everywhere across the country, the
surveillance has increased. So, there is lot more pluses. There are lot more
minuses. I am not saying it, and these are all the factors that we are able to use
to drive what we want to drive as a team, and that is the USP that we carry,
right? So, we won't be too fazed by it. And if we do see segments going out of
hand, I think our ability to take a call probably ahead of the market is what
differentiates us as a team. I hope again I am able to put across what I am
saying, Prayesh.
Prayesh Jain: Yes, absolutely. Just the Retail Health.

Sanjeev Mantri: On the Retail Health, clearly we have seen far more awareness. I think this GST
cut besides, of course, making it more affordable has been the biggest
marketing to make the individuals and their families to realize that Health
insurance is critical. And as a trend, to be very honest, we do see sum insured
increasing significantly. We see bulk of our customers in the range of 7.5 lakh
to 10 lakh sum insured, which is a big positive. Also, to just share with all of
you, whenever a customer picks up a higher sum insured, their ability to retain
and be with us is much higher because the quality of the customer is much
better. So, yes, it is a big plus for us as a Company.
Moderator: Your next question comes from the line of Avinash Singh from Emkay Global.
Please go ahead.
Avinash Singh: So, couple of questions. The first one is, looking at the impact of 1/n in

terms of
a Combined ratio, is it kind of a fair assumption that your multi-year product
has seen a very, very strong growth? If you can sort of provide some color, I
mean, within your Retail Health, what is the multi-year premium share? So, that
is one.
Second, that now we have seen 9-10 months of the year, so for FY '27, if I have
missed, I don't know, you can provide some kind of guidance on growth as well
as on Combined? And in Motor Third-Party, should we expect by Q4 some
reserve releases, given that where you are reserves are setting or reserve
release in FY '22 to '24 is still pretty minimal, so is it fair to assume that okay
the Q4 should see some Motor TP reserve release?
Gopal Balachandran: So, Avinash, I think that I will go in reverse. So, Motor Third-Party, obviously,
yes, I think as an industry, we all have been waiting for the price announcement.
So, we will wait and see. By the time we announce results for the next quarter,
hopefully we will see where we land. So, we will keep all of you updated on
that.
On the second piece on what is it that we can expect for the next year, I think
this is something that we had spoken even in last quarter as in to say that,
given the strong growth momentum that we see getting rebound back to us,

what we have always maintained is at a top line or from a growth standpoint,
we have tried to see if we can be 100 to 200 basis point at a Company level
better than the industry growth numbers. This is cutting across all lines. And

that is exactly what possibly you would have seen getting exhibited in Quarter 3 for us in terms of where our growth vis-à-vis the industry growth. And even more specifically, if you would have seen even for the month of December, I think we have had an outperformance vis-à-vis the overall industry number. So, therefore, that is something that we would endeavor even as we head into given the strong growth momentum that one is seeing on ground. And hence, to that extent, that is what we would kind of pencil in terms of trying to continue to gain incremental market share.
On Combined, more important than the combined, I think what we have largely spoken is to try and see if we can continue to sustain delivering ROEs in the range of 18% to 20%. Even if you would have seen the numbers for the 9 months, it's been roughly around 19% there about. So, hence, to that extent, in that range of 18% to 20%. So, that is something that is what we would look forward again when you look at how we would want to play out even for the next year from an ROE standpoint.
To your first point, I think it is a high single-digit number in terms of the proportion of long-term premiums vis-à-vis the total premium that we underwrite, but I think the only thing that we would keep urging is, I think even as I was reading the transcript, I did realize there are so many numbers on n and a 1/n basis across various parameters. So, hence, to that extent, if you ask us, this will actually continue for even maybe for the next three quarters because while Quarter 3 of this year onward now everything is on a 1/n. But still there will always be a factor of the first question that was being asked in terms of what is the impact of accrued of last year in this quarter and so on and so forth. So, hence, to that extent, a far better reflection is to keep looking at numbers on an n basis. And there if you would have seen our Combined for Quarter 3 has actually been better. I think, if you look at Quarter 3 of last year, our Combined was roughly about 102.3%, and this number on an n basis for Quarter 3 of the current year is 102.2%.

Sanjeev Mantri: So, Gopal, there I just want to interject and make this point, and we had said that also when 1/n came in, as a Company, we don't want to confuse at any point of time economic value to accounting. We are very clear. So, we have in all our conversations with our team and key personnel who are involved, we only discuss on n basis because that is the true value which will get embedded in the Company. What comes because of the accounting part is just an outcome for us, and that is the real value that we can add. Even our budgets for that matter, if I have to share, are all taken on n basis because that is how portfolio can be picked up in the right manner and even cash flows can get generated. Otherwise, a tendency to make it shorter and shorter would erode value over long term.
Moderator: Our next question comes from the line of Nidhesh from Investec. Please go ahead.
Nidhesh: Sir, can you share the mix of new and what is old vehicles in Motor Segment? I am trying to understand whether the market share trends, how they are shaping up in both these segments? Have we lost market share in the new side that is reflecting into lower growth or it is in both segment market share trends are broadly similar?
Gopal Balachandran: So, Nidhesh, just for the benefit of all of you, I will give you two numbers. One is in terms of mix for Quarter 3, new is roughly about 35%, renewal is about 65%. And if you see these numbers for 9 months, new is about 33%, and renewal book is about 67%. So, in that sense, relatively for Quarter 3, the mix is about 35% and 65%. But more important than the mix, if you ask us, I think the point that we have been talking about given the underlying growth momentum playing out with respect to new vehicle sales, and there again in the same order as in I will give you Q3 numbers first, our new growth has been 12.4% and our old growth has been 7.7%, translating to an overall Growth in quarter 3 in Motor for as I said is about 9.3%. These same numbers if you look at it on a 9-month basis, the new growth has been 2.5%, the renewal growth has been 6.2%, translating to an overall growth of 5%.

So, this is exactly the point that we have been talking about. I think what we are seeing is clearly an underlying strong growth momentum coming in with respect to new vehicle sales. Having said that, that does not mean that for us renewal slash retentions are not important. I think that is equally very, very important, but what we have been able to leverage is a combination of both the underlying growth momentum with respect to new vehicle sales and then, of course, the continued focus on improving retentions as well.
Sanjeev Mantri: Yes, absolutely. And the fact that the 9 month average is when we talk about new is 2.5% and old is 6.2%, while for the Q3 the number goes the other way where the growth has been led by new. And as in the past, Gopal has been briefing you all, new has its own set of expenses that comes, but a better loss ratio, consequent to that, it will have its impact but will have a long-term value creation for us as a Company. In the past few quarters that we have done always was driven by old growth, and if you go back to our scripts that we have said, we have said our growth is driven by old. So, that is a big transition. It is a big plus overall for us, and we have been able to obviously garner more new in the market which has helped us to get this growth.
Nidhesh: Secondly, if you can share the loss ratio in Health segment wise?
Gopal Balachandran: We are just waiting for somebody would ask, but anyway. So, on Group Health, I will first give the Quarter 3 numbers and then the 9 month numbers. First, I will give you the Q3 and 9 month numbers of last year. Group Health last year was about 97.2%, and this number for 9 months of last year was 97.7%. The same Group Health numbers for Quarter 3 this year was 90.

7% and 9 month
numbers is 93.2%.
For Retail Indemnity, that is the other number that generally gets asked for. This again, Quarter 3 last year, Retail Indemnity loss ratio was 65%. This number 9 months was 69.1%. For the current year Quarter 3, Retail Indemnity loss ratios are 63.1% 9-month loss ratio numbers are 67.3%.
So, again, if you look at what we have been telling the market is on Corporate Health or Group Health, generally we have maintained that we are quite comfortable running at the book with the mid-90s. That is the threshold that we have spoken about on the Corporate Health, and that is exactly how it has

played out on a 9 month basis. And even Retail Health, the range that we have generally spoken to the market is to see if we are able to run the book at a range between 65% to 70%.
I think what we are quite excited with is the way how the growth in the book has played out and the fact that we have largely seen maybe couple of renewal cycles play through on the new product that we launched last year. I think the good news is, the experience that you are seeing on ground, is pretty much holding on to the assumptions that we penciled in when we launched this.
Nidhesh: And lastly, sir, on the health side, we are showing very strong growth, but from a longer term perspective, how do we plan to manage the issue of old lives getting subsidized by the new lives and that lead to loss ratio deteriorating over a long period of time? Currently, we are still a young Company on the health side, but as the growth matures, let's say, five years down the line, what is the strategy to manage the overall loss ratio?
Sanjeev Mantri: So, two, three data points. One is that the penetration of Retail Health in the country overall is 5%, okay. Most of us end up looking at Group Health as a fungible thing for Retail cover. That awareness is building up, and there is a long play available, and it is also linked to the purchasing power. If we believe that the GDP growth, the purchasing power, the income tax cut, the GST all are living this, there is a significant road available where the growth of new to the insurance or new-to-protection will keep seeing a significant traction. And also as loss ratio picks up, which is very real and you are absolutely spot on, but at the same time the expense and the commission of acquisition also goes down. So, there is a counterplay that comes in on the aging book in terms of how it evolves and develops, better medical solutioning, all of that what comes into play, we can talk about that when we meet again, but there is a play available, and that is why we see a future as we go about it. Of course, and just to add to it, there is a good preventive play that will also become a critical factor for each one of us in our life. And as a Company, we would be very actively involved. There is so much more available, and through our 'IL TakeCare', which has got good traction, in real terms, we do believe that we will play a significant role.

Right now it is all selling the policy and admission is how they interact, but that also is progressively changing. There is a good runway available, and it is all

that sitting in our room we don't play out and simulate as to how this portfolio will behave two years, three years, five years down the line. These are part of actual actuarial modeling and we are well aware of it.
Moderator: Your next question comes from the line of Swarnabha Mukherjee from B&K Securities. Please go ahead.
Swarnabha Mukherjee: Couple of questions from my side. First, on the commission, our commission number that has increased sequentially quite substantially, so I just wanted to understand that whether t

his is primarily due to our Retail products increasing in the mix or whether you are seeing even in Commercial lines where you source to maybe agents or brokers that there has been an increase in commission. So, some color on what you are seeing on the ground and just because it is also that we are hearing about some regulatory scrutiny on this side. So, how do you see the regulatory landscape playing out? So, that is the first one.
And secondly on the Group Employer-Employee, so you said that the loss ratio numbers look fairly encouraging. So, I just wanted to understand that this loss ratio outcome, is this more a pricing-led outcome or is this that the claims environment has become benign, which is why we are seeing this? And our growth, is this like also a function of the base effect? Because last year, I think, we were not growing this business. So, is that playing out or we have become fairly more constructive on this business than you were earlier? These will be my two questions.
Gopal Balachandran: We will obviously try and address all of them. So, on the first one, Swarnabha, I think, again, this is something that we always call out, and this is what even Sanjeev just at the end responded to one of the questions. See, our business has to be fundamentally looked at in the context of loss experience and cost of acquisition. So, to that extent, there are always these nuances that play out in terms of what mix of business that you write.
Relatively, I think the earlier question that was asked in terms of the mix between new and renewal in terms of Motor, and when I gave out the data points, clearly you would have seen that the proportion of new was much higher, particularly when you looked at the Quarter 3 numbers vis-à-vis what we had seen for the whole of 9 months. And new inherently comes with a high

cost of acquisition and hence to that extent, obviously, and more importantly, if you would have seen generally Quarter 3 is typically a period of season, and more so on Retail.
So, hence, any Quarter 3 you go back, you will always find the cost of acquisition to be relatively higher than let's say what you would have seen for other quarter. So, there is obviously an element of seasonality that plays out when you look at the commission numbers on an isolated basis, but what we would keep saying is to keep looking at it more on ideally the overall Combined ratio, which for us actually has dropped when you look at the H1 numbers relative to the industry adverse that has happened.
And the second number that we keep talking about is more on the overall expenses of management. So, even after considering the impact of the wage code, that I spoke about roughly about ■ 55 crore, as at 9 months, I think we are pretty much there in so far as the limits that are laid down by the regulatory guidelines. I think we are very, very conscious of what we kind of source and very, very conscious of what loss experience and the cost of acquisition that comes as a part of it.
To the second point on the regulatory evolution on this, I think honestly we all have to wait and see how it plays out. I think the good news is, I think from a regulatory standpoint, the regulator has been instituting the right set of guidelines for the industry. I think couple of years back, when they introduced this overall threshold on expense of management, that was a step in the right direction of making sure that all companies, all cost put together are well within that threshold of 30%. And if you look at basis public disclosures, roughly there are still maybe almost 21 out of 34 players possibly meet the norms. There are still a lot of companies which are still in exceedance on the expense of management.

So, honestly, what we would want to see from a market standpoint is to make sure t

hat every player in the market stays within the limit on expense of management, and then, honestly, we will wait for any subsequent changes that comes from a regulatory change, but we will be equally committed to whatever the guidelines that the regulator lays down. So, that is in response to the first

point on both commission increase and what could happen in terms of regulatory change.

To your second point on the GHI, yes, it is a combination of both. Again, this is something that we have articulated not only in the context of GHI. In general, what we have stayed focused on every line is to see how we can remain profitable and the very fact that the loss numbers that I gave out is a testimony to the fact that we have been very, very careful and selective in terms of what risk do we want to underwrite. Equally, it is obviously a combination of both the points that you made. It is a combination of, let's say, a better price in terms of what we are comfortable underwriting.

And two, we have our own in-house claims management team. I think they do a brilliant job in terms of making sure that once a Group Health account is underwritten, how is it that we can play a very, very important role in managing the overall loss experience and at the same time giving delight in so far as customer experience is concerned, which is again reflective of the NPS scores that we have called out, whether it is Motor or whether it is Health. So, that is how the growth has been reflected. And again, we will continue to see that play out even as we head into Quarter 4 or even for the matter of fact, the next financial year.

Swarnabha Mukherjee: Just on the first question I wanted to also check on the Commercial line side. So, is there any kind of like or where you have intermediaries has been in play commissioning inflation, anything you can talk of?

Gopal Balachandran: No, honestly, Commercial lines, in general, has been, if you remember, what we have to say is Commercial lines we have our own relationship team, which acts as a direct interface in so far as working with corporates are concerned and hence to that extent, obviously, relatively that cost of sourcing tends to be very, very low. But at the same time, what we also write as a part of the Commercial lines is some of the SME risks, which tends to be relatively widely distributed and there, there will be an element of cost of distribution. But overall, the point that I made, when you look at the loss experience plus the cost of acquisition put together, on the Commercial lines book, that is a very profitable book for us, and that is the way how we look at it again rather than looking at one element of the business that we source.

Moderator: We will take the last question from the line of Nischint Chawathe from Kotak. Please go ahead.

Nischint Chawathe: You have a very impressive growth in Retail Health and we can see an improvement in Retail loss ratios as well, but as we understand, typically the loss ratios in Retail products are significantly lower in the first two, three years and then they kind of move up from there on. So, I would have kind of said that this delta is because of the portfolio mix. Is it something that the new policies that are originated are ported or they are originated under different covenants or is as a cohort level profitability stable or improving or deteriorating, if you would give some color on that?

Gopal Balachandran: So, Nischint, again, I think, I will maintain the same response that I gave to the earlier question, which is I think the loss ratio range on Retail Health as a Company that we are comfortable running at is between 65% to 70%. So, that is the number that we wi

ll keep looking for in terms of how we are able to stay within that.

To a large part of in terms of sourcing, I think, honestly, what we want to do is in line with, let's say, some of the discussions that even the government has been doing to increase health care or increase health care penetration consequent to some of the reforms that they have done is to improve penetration at large.

So, hence, I think where we are largely expanding our distribution reach, which
is what we put out also as a part of the opening transcript to say that even on
health, we are seeing, let's say, an increase in tier 2, tier 3 cities contributing,
and these are, as we said, new-to-insurance.
So, hence, to that extent, so far as we are concerned, we would want to
continue to expand by acquiring a lot many more new-to-insurance customers,
and to, and more importantly, the earlier point that I said in terms of our ability
to continue to retain our own customers is something that we are very much
focused on. So, it will be a combination of those two is what will continue to
drive growth in the Retail Health book.

Sanjeev Mantri: And Nischint, just to add to what Gopal is saying, see, we have also
transformed our own journey, right? And we are a multi-line, multi-product
Company. For us, whether the customer comes from the root of Motor or from
Health, we are seeing it from a comprehensive one-stop solution. We were
underballed in our offering for a number of years as far as Retail Health is
concerned and we know that going in, as we move along, while we all know
that the loss ratios moved upward as we age and that is the truth which I don't
see would change, but at the same time, you also know if you are
comprehensively dealing with this customer, the Motor loss ratio also goes
down, I mean, just to share with you. So, it is a very clear mix and we are very
well placed as a multi-product, multi-line company.
So, what we are seeing is getting a good customer on board and then working
with them on a lifetime profitability. So, the math is what plays out vis-à-vis
what you see because at times you will see only Health, at times you will see
only Motor. But what we look at it is in a far more comprehensive offering and
with a 2.9% market share, which was just probably 18 months back for us to
be a 4-4.5% where we stand as we exit Quarter 3, it is just helping us to build
a very well rounded practice.
I am not saying it was not well rounded, but Health in particular was always in
a stage which was driven by GHI and underballed on this part. We see this as
a toggling part and we see it is a very significant play in our scheme of things.
That is why we have got invested and we stay positive. And in our business, it
is always possible that one or two lines will have a problem and COVID
happened. Health was all over the place. But Motor kind of saved the day for
us. So, that is the way the portfolio gets balanced and that is where we end up
talking about what is it that we can generate as an ROE.
Nischint Chawathe: That is very comprehensive. Just squeezing a last one. I am not sure if you
mentioned this, but in case of Health, there is the input tax credit loss because
of GST exemption. So, how are you dealing with that? Are you sharing it with
the distributors or are you absorbing it? Is that one of the drivers for high
expense ratios?

Sanjeev Mantri: So, clearly, yes, we will have to realign our cost structure and this is what we
have done. The benefit in totality of GST rationalization has got passed on to
the customers, and we had the benefit of, as the volume grows for us, in every
line of business, Motor or Health, eco

nomies of scale will kick in. We have a
large Health practice as a Company which is in combined from the Employer-
Employee as well as Retail Health. So, definitely we will do what is it required
to rationalize it and serve the customer appropriately, yes.
Nischint Chawathe: Are you sharing it with the distributor?
Sanjeev Mantri: Yes, of course, we have. The industry has shared. It is not only about us. We all
of us on the general insurance in the Retail Health have and then the increased
volume is not impacting the income of the distributor per se. so, there is already
a counterplay which is visible which can be seen in terms of the growth. So, it
is not that it is one channel which is getting impacted. Comprehensively, we are
all able to do better business. So, yes, it's got passed on.
We have also rationalized our cost structure because both part is required and
today's technology and so much which is going on, which we have not spoken,
but we can talk about it when we sit one-to-one, is helping us also to reduce
cost per transaction.

But I don't know, when you see the script which I spoke about as to how we have been able to use bots to get our digital part of serving, DIY serving significantly up vis-à-vis the operator handling it, which is driven by a lot more inconsistency and time consumption which can happen. So, there is so much that is happening. So the cost part will go down. So, we will be able to manage it on this front very easily.
Nischint Chawathe: Perfect. That is very reassuring.
Sanjeev Mantri: Great. Thank you so much for joining in and yes. Thank you, and have a great 2026. Thank you so much.

Moderator: Thank you. On behalf of ICICI Lombard General Insurance Company Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.
Safe Harbor: Except for the historical information contained herein, statements in this release which contain words or phrases such as 'will' , 'would' , ‘indicating’ , ‘expected to’ etc., and similar expressions or variations of such expressions may constitute 'forward-looking statements'. These forward-looking statements involve a number of risks, uncertainties and other factors that could cause actual results to differ materially from those suggested by the forward-looking statements. These risks and uncertainties include, but are not limited to our ability to successfully implement our strategy, our growth and expansion in business, the impact of any acquisitions, technological implementation and changes, the actual growth in demand for insurance products and services, investment income, cash flow projections, our exposure to market risks, policies and actions of regulatory authorities; impact of competition; the impact of changes in capital, solvency or accounting standards, tax and other legislations and regulations in the jurisdictions as well as other risks detailed in the reports filed by ICICI Bank Limited, our holding company with the United States Securities and Exchange Commission. ICICI Bank and we undertake no obligation to update forward-looking statements to reflect events or circumstances after the date there.

Call: Apr 2026

ICICI Lombard General Insurance Company Limited

IRDA Reg . No. 115 CIN: L67200MH2000PLC129408 You can contact us at:
Mailing Address: Registered Office: Toll free No.: 1800 2666
Sixth floor- Interface 16 , ICICI Lombard House , 414, Veer Savarkar Marg, Email: customersupport@icicilombard.com
Office no 601 & 602, Near Siddhi Vinayak Temple, Prabhadevi, Website: www.icicilombard.com
New linking Road , Malad Mumbai - 400 025.
west, Mumbai - 400064.

April 20, 2026

To,
The Manager
Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001 The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot C/1
G Block, Bandra Kurla Complex,
Mumbai – 400 051

Scrip code: Equity (BSE: 540716/ NSE: ICICIGI)

Dear Sir/Madam,

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of earnings conference call for the quarter and financial year ended March 31, 2026

This is further to our letter dated April 7, 2026 and April 15, 2026, please note that the Company had hosted an earnings conference call with investor(s) and analyst(s) on Wednesday, April 15, 2026 to discuss the financial performance of the Company for the quarter and financial year ended March 31, 2026.

In this regard, please find attached transcript of the earnings conference call with investor(s) and analyst(s) for the quarter and financial year ended March 31, 2026.

The above information will also be made available on the Company's website at www.icicilombard.com .

You are requested to kindly take the same on your records.

Thanking you.

Yours Sincerely,

For ICICI Lombard General Insurance Company Limited

Vikas Mehra
Company Secretary

Encl. As above

ICICI Lombard General Insurance Company Limited
Q4 & FY2026 Earnings Conference Call

Management:
Mr. Sanjeev Mantri – MD & CEO, ICICI Lombard
Mr. Gopal Balachandran – CFO, ICICI Lombard
Mr. Anand Singhi – Chief Retail & Government, ICICI Lombard
Mr. Girish Nayak – Chief Enterprise AI & Technology, ICICI Lombard
Mr. Sandeep Goradia – Chief Corporate Solutions, International & Bancassurance, ICICI Lombard
Mr. Gaurav Arora – Chief Commercial Lines & Motor (Underwriting & Claims), ICICI Lombard
Mr. Girish Sehgal - Chief Health UW & Claims, Customer Service & Operations, ICICI Lombard

FY2026 Earnings Call Script

Sanjeev Mantri: Good evening to each one of you. Thank you for joining the earnings conference call of ICICI Lombard General Insurance Company Limited for Q4 & FY2026.
I would like to commence with an overview of the economic and industry trends which have shaped the operating environment over the past few months, coupled with insights on our company performance and our key initiatives. Following that, our Chief Financial Officer Mr. Gopal Balachandran, will take you through the Company's financial performance for Q4 & FY2026.
The quarter gone by has been an eventful one. For the first 2 months, the Indian economy exhibited continued momentum of growth from the previous quarter, whereas the month of March 2026 has been unprecedented in terms of the geopolitical challenges. The ongoing conflict in West Asia has heightened global economic uncertainty, leading to volatility in energy prices and financial markets. These external risks could have some spill over effects on the Indian economy, warranting a measured and watchful approach.
That being said, India's macroeconomic fundamentals today are considerably stronger and more resilient than in previous periods of global stress. This provides a degree of comfort in our ability to absorb external shocks, although we remain mindful of evolving global conditions.
Let me now dwell upon the ensuing quarter and the year gone by.
Retail sales of private cars, two wheelers and tractors remained positive for the year. In accordance with the data reported by VAHAN, for FY2026, the sales growth of private cars and two wheelers stood at a healthy 11.9% and 13.2% respectively. Pertinently, for H2FY2026, the sales growth of private cars and two wheelers stood at 17.8% & 21.5% as against 4.6% & 3.2% respectively in H1 FY2026, led by GST rationalisation. This continued momentum is also seen in Q4FY2026, wherein the growth of private cars and two wheelers stood at a healthy 16.3% and 24.7% respectively. Also noteworthy was the fact that two wheeler sales surpassed their pre COVID peak and were at a decadal high.

Even the sales of commercial vehicles, basis the data reported by VAHAN, have

witnessed a growth of 20.2% in H2 FY2026 vs 4.9% for H1 FY2026 and a full year growth of 12.9%.
Given the early trends of numbers reported by certain banks, credit growth is expected to be in double digits for Q4 FY2026, with broad-based expansion across segments. Also, vehicle financing continued to be an important contributor to credit growth, broadly in line with the trends observed in retail automobile sales.
We believe that the above factors augment well for our industry in times to come.
Moving to the regulatory update, you may be aware, that IRDAI has mandated insurers to prepare and present their financial statements in accordance with applicable Indian Accounting Standards (Ind AS), effective April 01, 2026. We view this as a positive step as the enhanced disclosure requirements under the Ind AS framework will meaningfully improve transparency and align the reporting standards of Indian insurers with global practices.
While the regulator requires insurers to provide their reporting as per both Ind AS and Indian GAAP for FY2027 and FY2028, it has provided the insurers the option of seeking forbearance to transitioning the statutory accounting to Ind AS for the first year. We have examined the options provided by the Authority and believe it would be appropriate to seek the forbearance in order to ensure that the transition is executed in a calibrated and operationally robust manner.
Another important initiative announced by the Authority is the Public Insurance Registry (PIR), which is expected to become a key pillar of India’s Digital Public Infrastructure. As the framework evolves, PIR has the potential to support industry growth by improving penetration, driving efficiencies, elevating customer service, and enabling better risk selection across the ecosystem. We believe that over time, it will also enhance transparency, strengthen trust, and create enduring benefits for policyholders, insurers, and the broader financial system.
Let me now dwell upon the industry performance for the year ended March 31, 2026.
The General Insurance Industry reported a Gross Direct Premium Income (GDPI) growth of 9.2% for FY2026. Excluding Crop and Mass Health segments, the Gross Direct Premium Income (GDPI) growth stood at 13.3% for FY2026.

Speaking of specific segments within the industry:

■ The Commercial segment reported a growth of 12.2% for FY2026. However, if one was to break down this growth into H1 & H2, the growth was 14.2% and 9.6% respectively. As one can observe, the business witnessed elevated levels of competitive intensity & pricing pressure especially in the Fire segment in the second half of the year, leading to muted growth. The renewals for April 01, 2026 are also being reported at a discount to the previous year, reflecting that this trend is likely to continue in Q1 FY2027 as well. On the positive side, we would also like to mention that the re-insurance renewals for FY2027 have been soft.
■ The Motor segment growth for the industry stood at 9.2% for FY2026. With the momentum

experienced post the GST rationalisation, the second half of the year has witnessed improved growth levels at 10.5% vis-à-vis the first half which stood at 7.6%.
■ The Health segment, including Mass Health, grew by 15.4% for FY2026, which makes it the fastest growing segment for the last 5 years from FY2022 to FY2026. Within this, the Group Health line of business grew by 12.8% for FY2026, whereas the Retail Health growth stood at 19.9% for FY2026.

Speaking on the Underwriting performance of the Industry:

Overall, the Combined ratio (CoR) for the industry, deteriorated from 113.2% in 9M FY2025 to 119.3% in 9M FY2026. The overall CoR for private players remained relatively flattish from 111.2% for the period 9M FY2025 to 111.5% for the period 9M FY2026. Due to pricing pressure, Combined Ratio for the Motor Line of Business continues to remain elevated at 128.1% for 9M FY2026 vis-à-vis 123.8% for the period ended 9M FY2025.

I will now proceed to present our Company’s performance across key business segments for FY2026.

The Company reported a growth of 7.0% in Gross Direct Premium Income (GDPI), for

FY2026 compared to the industry growth of 9.2% for the same period. ICICI Lombard achieved a growth of 18.2% & 15.7% in Q4 FY2026 & H2 FY2026 respectively against an industry growth of 10.9% & 11.2% over the same periods.

However, excluding the Crop and Mass Health segments, the Company recorded a growth of 10.2% for FY2026, while the industry grew at 13.3% for the same period.

■ In the Commercial lines segment, our growth stood at 5.4% for FY2026 as compared to the industry growth of 12.2% for FY2026. During H1 FY2026 our growth in commercial lines stood at 6.5% vs 14.2% for the industry, whilst for H2 FY2026, the growth levels stood at 3.8% vs 9.6% for the industry.

Amidst competitive pressure, we continue to drive profitable growth through prudent underwriting and judicious risk selection through our multi-channel distribution.

We continued to maintain our leadership position in the Liability and Marine Cargo lines of business for the FY2026.

■ In the Motor segment, our growth stood at 7.6% for FY2026 as against the industry growth of 9.2% for the same period.

In H1 FY2026, we grew by 2.2% in the motor segment vs the industry which grew at 7.6%. However, in H2 FY2026, we exceeded the growth levels of the industry by 1.5% in motor i.e. 12.0% vis-à-vis 10.5%. This momentum was evident in Q4 FY2026, wherein we achieved a growth of 15.0% vis-à-vis the industry growth of 10.0%.
Our portfolio mix for Private Car, Two-wheeler and Commercial Vehicle stood at 52.8%, 25.4% and 21.8% respectively, for FY2026.

■ In the Health segment, for FY2026, we grew by 20.0% as against the industry growth of 15.4%, on a 1/n basis. For Q4 FY2026, the growth stood at a robust 38.2%, as against industry growth of 20.5%

o Our Retail Health business, continued to demonstrate strong growth of 51.1% for FY2026, significantly outpacing the industry growth of 19.9% in the same period. Consequently, our market share has improved from 3.3% in FY2025 to 4.1% in FY2026. For the year, the Company has seen a 2X growth in the new retail health indemnity business sourced compared to the previous year. Our share of long term premium in new business for retail health stands at 42.1%

for FY2026 up from 28.5% for FY2025. This performance has been driven by ongoing product innovation and sustained investment in strengthening our retail health distribution franchise.

o On the overall Group Health Portfolio, we continue to maintain a disciplined approach with a focus on managing the book effectively. The Group Health segment recorded a growth of 11.0% for FY2026 over FY2025, with our market share being 8.7% for FY2026.
We have kept a focus on augmenting cash flows through underwriting long term business in various lines of business. Our advance premium in mo

tor insurance has
increased by over 15% in FY2026 vis-a-vis FY2025. Our market share in advance premium, excluding motor, stands at 12.5% for FY2026, up from 9.6% in FY2025.
Our disciplined focus on profitable growth has helped us deliver consistent outcomes over time. While market fluctuations may impact performance in individual quarters, our track record reflects our ability to navigate cycles and deliver value over the long term.
If we analyse the 10-year time horizon from FY2016 to FY2025, it is pertinent to note that the Company’s average Combined Ratio (COR) stood at 102.9%, reflecting sustained underwriting discipline across varying market conditions. This would

compare favourably with the industry average (COR) of 115.3% over the same period. Furthermore, our investment performance has also remained strong. Over the same 10-year horizon, we delivered a robust average realized yield of 8.7%, supported by prudent asset allocation and effective capital management over multiple cycles. This, in turn, has translated into a healthy average Return on Equity of 19.1% over the 10-year period, which would compare favourably again with the industry average (ROE) of 4.0%, reinforcing the strength and resilience of our overall business model and consistency of our execution.
Our ‘One IL, One Team’ philosophy continues to foster collaboration and operational excellence, enabling a unified approach across the organization. As part of this philosophy, would now apprise you of certain key initiatives:
o First, I would like to highlight a strategic capability we’ve built in-house - one that materially strengthens our execution engine. We call it IL OneForce .

IL OneForce is an enterprise productivity platform, which has been in operation for over a year and is used by over 10,000 sales employees. It is on track to become the single operating platform for all our 15,000+ employees across the organisation.
IL OneForce integrates work execution, performance management, collaboration and recognition into a single platform, simplifying operations, reinforcing execution discipline and driving accountability with real-time, enterprise-wide visibility.

The platform enables structured partner engagement, task management and real-time performance analytics across the partner lifecycle. Its renewals capability has improved conversion by 5%, while enhanced engagement has doubled partner participation and expanded market reach. Notably, in health indemnity, improved engagement led to a 2x increase in agent activation and a doubling of new retail business.

o Our ‘IL TakeCare’ app, a one-stop solution for insurance and wellness needs, achieved 21.0 million downloads as at March 31, 2026, reflecting growing customer engagement and digital adoption. The gross written premium earned from the IL take care app during the period FY2026 was ■ 5,170.7 Mn vis-à-vis the corresponding premium earnings for FY2025 which stood at ■ 2,237.2 Mn. From a claim intimations perspective, 67% of the customers now intimate their health reimbursement claims through the app, while 82% of claim intimations for our Travel product, Trip Secure+, were through the IL Take care app. We will continue to focus on improving the service experience for our customers with a single simplified interface for their insurance requirements.

o We continue to improve our efficiency levels in Motor claims. Our Preferred Partner Network (PPN) serviced 75.5% of our non-OEM claims for Q4 FY2026 respectively, up from 74.1% for Q4 FY2025. For 9M FY2026, we recorded an NPS of 69 for Motor claims.

o In the retail health segment, 98.8% of our total claims were paid within 30 days for FY2026. For the period 9M FY2026, on a count basis, the number stood at 99.9%, with the corresponding number for the industry being 82.1%. For 9M

FY2026, we recorded an NPS of 73 for Health claims, demonstrating strong

satisfaction levels and reinforcing our position as a customer-centric organization

o IL Sahayak has further strengthened on-ground claims support for our Health customers with our customer coverage improving by 25% over the previous year. As a part of their feedback, 95.0% of the customers surveyed rated their experience as exemplary (≥4.5/5) highlighting the support provided during claims processing and assistance with hospital coordination. This reaffirms our focus on best-in-class service to our customer during the moments that truly matter.

o The “One IL One Call Centre” initiative continues to deliver strong momentum in the Company's transition towards a digital first Do-It-Yourself (DIY) servicing model. In March 2026, more than 5 lakh service engagements - 69% of the total service engagements, were executed digitally. Our differentiated service initiatives, which we had spoken about in a previous earnings call, have resulted in increase of our Call Centre NPS to 74 in Q4 FY2026 from 60 in Q1 FY2026 .

Before I close, the current year marks an important milestone in the journey of ICICI Lombard as we enter into our 25th year of operations. We would like to take this opportunity to express our heartfelt gratitude to all our stakeholders who have truly supported us in our journey so far and we look forward to your continued trust, encouragement and support in the years ahead.

I will now request Gopal to take you through the financial numbers for Q4 & FY2026.

Gopal Balachandran: Thanks, Sanjeev and good evening to each one of you. I will now give you a brief overview of the financial performance of the recently concluded quarter and financial year. We have uploaded the ‘Results Presentation’ on our website. You can access it as we walk you through the performance numbers.

With effect from October 1, 2024, Long-term Products are accounted on a 1/n basis, as mandated by IRDAI. Please refer our investor presentation (slide no. 16) for further details on comparison of financials on ‘n’ and ‘1/n’ basis.

It may be noted that all numbers are on a ‘1/n’ basis unless otherwise mentioned.

Combined Ratio:

Our Combined Ratio on an ‘n’ basis, for FY2026, was 102.4% as against 102.6% in FY2025.

o Our Combined ratio, on a 1/n basis, for FY2026 was 103.4% as against 102.8% in FY2025.

o Excluding the impact of the wage code of ■ 0.55 billion, the Combined ratio for FY2026 stood at 102.1% and 103.1% on an ‘n’ basis and ‘1/n’ basis respectively.

Our combined ratio on an ‘n’ basis, for Q4 FY2026 was 100.5% in Q4 FY2026 as against 102.1% in Q4 FY2025.

o Our Combined ratio, on a 1/n basis, for Q4 FY2026 was 101.2% as against 102.5% in Q4 FY2025.

Investments:

Our investment assets during the quarter rose to ■ 584.21 billion as at March 31, 2026, up from ■ 582.96 billion as at December 31, 2025. Our investment leverage (net of borrowings) was at 3.48x at March 31, 2026 and at 3.60x as at December 31, 2025.

Investment income was at ■ 47.42 billion in FY2026 as against ■ 42.50 billion in FY2025. On a quarterly basis investment income was at ■ 9.85 billion in Q4 FY2026 as against ■ 8.77 billion in Q4 FY2025. During the quarter under review, the Company has recognized an impairment on its equity investments of ■ 0.49 billion in Q4 FY2026 vs ■ - 0.03 billion in FY2025, driven by the prevailing market correction.

Profitability:

Profit Before Tax (PBT)

Our Profit Before Tax grew by 10.2% to ■ 36.59 billion in FY 2026 as against ■ 33.21 billion in FY2025.

o Excluding the impact of the wage code of ■ 0.55 billion, the PBT grew by 11.8% to ■ 37.14 billion in FY2026.

Our PBT grew by 7.5% to ■ 7.18 billion in Q4 FY2026 as against ■ 6.68 billion in Q4 FY2025.

Profit After Tax (PAT)

Consequently, Profit After Tax, on a 1/n basis, grew by 10.5% to ■ 27.72 billion in FY2026 as against ■ 25.08 billion in FY2025.

o

Excluding the impact of the wage code ■ 0.55 billion, the PAT on a 1/n basis, grew by 12.2% to ■ 28.14 billion in FY2026.

On ‘n’ basis, PAT grew by 14.1% to ■ 27.61 billion in FY2026 as against ■ 24.19 billion in FY2025.

o On ‘n’ basis excluding the impact of the wage code ■ 0.55 billion, the PAT grew by 15.9% to ■ 28.03 billion in FY2026

Our PAT, on a 1/n basis, grew by 7.3% to ■ 5.47 billion in Q4 FY2026 as against ■ 5.10 billion in Q4 FY2025

On ‘n’ basis, PAT grew by 15.6% to ■ 5.39 billion in Q4 FY2026 as against ■ 4.66 billion in Q4 FY2025.

Return on Average Equity (ROAE):

Our ROAE was at 17.8% in FY2026 as against 19.1% in FY2025.

o Excluding the impact of the wage code of ■ 0.55 billion, the ROAE stood at 18.1% for FY2026.

ROAE for Q4 FY2026 was at 13.3% as against 14.5% in Q4 FY2025.

Dividend:

The Board of Directors of the Company has proposed a final dividend of ■ 7.00 per share for FY2026. This payment is, however, subject to approval of shareholders in the ensuing Annual General Meeting of the Company. The overall dividend for FY2026, including the proposed final dividend is ■ 13.50 per share. Last year, the overall dividend was ■ 12.50 per share.

Solvency:

Solvency ratio was at 2.67x at March 31, 2026, as against 2.69x as at December 31, 2025, which continued to be higher than the minimum regulatory requirement of 1.50x.

o The solvency was impacted by 14 basis points, as an outcome of the Mark to Market losses experienced on the equity portfolio as at March 31,2026.

As I conclude, I would like to state that we are aligned with our ethos of driving profitable growth, consistent and sustainable value creation for all our stakeholders, while ensuring that the interest of the policyholders are in the forefront at all times.

I would like to thank you for attending our earnings conference call & we would be happy to answer questions that you may have.

Moderator: Thank you very much. We will now begin with the question-and-answer session. Our first question comes from the line of Supratim Datta from Jefferies. Please go ahead.
Supratim Datta: Hello, thanks a lot for the opportunity. My first question is on the competitive environment in the industry. There have been articles recently indicating that competition in the Commercial Lines has been fairly elevated. You indicated that the Motor Lines combined ratio remains elevated. So, if you could give us an idea about how competitive environment in the different segments is panning out, that would be helpful. And is there any improvement due to now the EOM guidelines kicking in? So, that's my first question. The second question, coming to the loss ratio side, this year's 4th Quarter Motor TP loss ratio has been significantly lower than what we have seen in the last year. So, just wanted to understand what has played out for this significant improvement versus the run rate that we have seen previously, and why is the crop loss ratio negative if you could give some color on that. Lastly, on IFRS, Gopal, would it be possible for you to give us some understanding or clarity regarding how your PAT under IFRS would look versus the IGAAP PAT? That would be very helpful. Thank you.
Gopal Balachandran: Maybe I can take the second and the third, and then maybe Sanjeev can respond to the first one. I think on the loss ratio, Supratim, I think this obviously comes to us every quarter, and I think our response will still remain the same, as in to say that one, you have to keep looking at Motor as a category as

compared to one looking at separately Motor-owned damage and third party. That's one. Second, I think we would continue to again request all of you to keep looking at numbers more on a full year basis as compared to, let's say, any given quarter. And just to refresh what we have been telling the street is, I think the range that we are

comfortable on Motor is between 65% to 67%. I think that is the range that we have maintained. And if you would have seen for the full year current year, I think we ended at roughly about 66.3%. It's well within that range. And hence, to that extent, I think that's the range that we would be tracking pretty closely. So, in that sense, there is nothing that has changed. If you ask us, has any of our reserving philosophy undergone a change, the short answer is no. And we continue to maintain prudence in terms of maintaining our loss reserves. So, hence, I think we have to keep looking at numbers more on a full year basis as compared to any given quarters. So, that's one. Crop, I think time and again, we have talked about it because generally again, just to refresh, most of the businesses in crop get booked around Quarter 2 and somewhere around Quarter 3 and maybe early Quarter 4. Because those are typically the two seasons that largely get exhibited. In our case, we had predominantly large exposure on crop, largely from one state, of which a large part of our premium was something that had got booked roughly around Quarter 2 of the year. And as we have said, it obviously takes time for the season to play out in terms of actual loss experiences. And in any quarter, when you see the experience play out, then to that extent, obviously, if you recollect, even at

the time of booking the policies, we obviously follow a very, very conservative approach of providing for almost 100% loss ratio at the time of writing the risk. And as the actual experiences play out, obviously, to that extent, in case if you see some a positive change, then to that extent, that gets reflected again in the given quarter. And hence, to that extent is why possibly you are seeing that number in line with the loss ratio outcomes for Quarter 4. Here again, I would continue to urge that you should again look at the numbers more on a full year basis. On a full year basis is pretty much range bound, whether you look at FY25 or whether you look at FY26.

On Ind AS, I think, in line with what we are also going to put out as a part of the opening transcript, at this point of time, if you ask us, now there is a definitive date in so far as transitioning to Ind AS is concerned. So, hence, that's a very, very welcome step in so far as the overall industry is concerned. I think that's what rightfully so the regulator has done it.

In terms of our own transition, I think we have been working on a plan of action in terms of getting our processes internally up and ready so that we are able to start reporting numbers to all of you whenever we are ready for it. At this point of time, I think we will continue to give in line with what we have done even in the past. We have been submitting pro forma numbers for the last two years. So, we will continue even for FY26-27 on a quarterly basis in line with the requirements. We will

continue to submit Ind AS based results to the regulator. And maybe we will come back to all of you at an appropriate time. And then we will possibly start talking about more specifics in terms of the impact that it does on both the combined ratios and maybe the return on equity objectives. Because those are the two things that the market obviously wants to hear from us. So, we will come back on that.

Sanjeev Mantri: So, also, just to close out the IFRS part, we have always said in the past also, that the year of adoption, there would be a significant decline in combined ratio. It can be in the range of 300 basis to maybe 400-450 basis point. But look, that's only the accounting part of it. The economic value over a period of time, it is expected to converge and have the same value creation for the Company as it happens. So, our stance pretty much remains the same. And yes, from next quarter one, we will end up doing our submissions on that count.

With respect to Supratim on co

mpetitive pressure that is there,
and we spoke about that also when we were giving the overall briefing for the year that has gone by. Yes, it has intensified on Commercial Line of business. At the same time, the capacity overall on the reinsurance side was very high available and we have been able to see to some extent is getting negated. Will this continue? My own belief is market forces will play out. But our own understanding is when we see intensive competition, the selection has to get sharper, will we compete in the market? Answer is yes. But what we have been able to write

and what we will write, we will be creating differentiation. If you remember last year, over quarters, we had said that there was a marginal loss of market share for us on the fire side purely was on account of the fact that we will do what is comfortable and the output is in some ways here to see. These are all very exposure-driven products, and you have to be cautious of what you pick and what you don't. And we continue to follow that. There is no overarching worry. We are very well placed as an institution in terms of what practices we have to counter any such measures that come up in the market. And overall General Insurance in particular, have seen these kind of conduct at multiple levels and we are well-placed about it. On Motor also in a similar vein, yes, the industry is being stressed at multiple counts. The combined ratio which I just spoke about for the nine months stayed at 128 clearly not a workable one. We continue to pick and choose and deliver a result which is differentiated from the market. It's purely led by on multiple count distribution and underwriting practices which differentiates in own damage as well as third-party which briefly Gopal spoke about. Thank you.

Moderator: Thank you. Our next question comes from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Hi everyone. A few questions from my side. Firstly, I just wanted to take a view on your solvency which is very high at 2.7 because you have been generating good profits over the past few years and in fact from FY22 to FY25 and even now

the solvency has been increasing. So, how do you see whether you can utilize the solvency better in terms of paying out dividends or in any other form, because unless the growth is really exceptional, I am sure that we would not need that excess solvency on the balance sheet. That's question number one. Second, Sanjeev, you have been talking about Motor TP price hike and we have discussed this in the last few calls as well, but given the trajectory on the Motor TP loss ratio that about 63.2 in FY25 and 63.8 this year for you, do you think that Motor TP price hike can come in? And my last question is on the Health Insurance front. Gopal, if you could split up the loss ratios for Retail and Group.

Gopal Balachandran: So, Prayesh, so the first one, I think, I think as a Company, what we have always maintained is sufficient margins when it comes to solvency because the Indian market is still on Solvency 1 Regulation. I think, of course, there is a roadmap to maybe eventually transition to risk-based capital, which again, as what the regulator has rightfully done on Ind AS, I am sure they would possibly try and do a similar thing even on transition to risk-based capital as well. So, obviously, one will have to wait and see how that plays out. But till that point of time, I think the Indian market continues to be guided by Solvency 1, which, as I said, still mandates capital asked to be maintained basis the gross exposures that you have as an entity. And hence, to that extent, we will have to be mindful of and prudent in terms of the levels of solvency that we carry as an institution. Having said that, I think to your point on the last

few years, I think fair observation. But if you see, I think last couple of years in specific, I

think we have been relatively lower when it comes to growth. But that's something that we have already seen clear positive reversal of trends emerging for us. And with the momentum that we have seen, in all fairness, one would obviously want to make sure that we are able to get it extended even as we head into FY27. And the moment you will see as what you have seen, let's say even in the second half of this year, growth coming back. So, to that extent, obviously, one will look at consuming some part of the solvency that we have. And three, our solvency is also guided by obviously a mix of what is it that we want to drive in terms of the growth objective. And two, at the same time, make sure that we are appropriately rewarding the investors who have obviously placed faith in us. And in that context, I think if you would have seen historically, we do have a Board-Governed Dividend Distribution Policy in place. On an average, I think what we have been able to distribute is roughly about 25% of our PAT. And this year, again, as what we had put out in our opening transcript, roughly about ■ 13.5 per share for the full year, roughly translates to almost about 25% of our profit after tax. So, hence, it obviously will be a continued combination of both rewarding the shareholders appropriately and at the same time making sure that we are able to use the capital for growth. And the third part, as I said, we will obviously keep a watch on the transition to risk-based capital. So, that's one. To your point on the breakup for the Health loss ratio numbers, thankfully, this time the question has come ahead of time so

maybe we will answer it. So, I think Q4 of last year, this right now, I will give you the numbers for Quarter 4, employer-employee book. Last year, Q4, the loss ratio was 98%. And this year, that number is almost the same at 98.1%. On the retail indemnity book, the loss ratio for Q4 last year was 64.8%. And this year, Quarter 4, the loss ratio on the indemnity book is at 57.6%. Now, the same year numbers on a full year basis, employer-employee book for last year has been at 97.2%. And this year, full year, the employer-employee book loss ratio stands at about 91.9%. On the retail indemnity, full year last year was 67.9%. This year, full year is at about 64.6%. So, just, therefore, to sum it. Again, on the indemnity book, I think the range that we have spoken about is between 65% to 70%. And that's what we have been largely talking through even in the past several quarters. And broadly, if you see the experience that one has seen, the good part is, I think, one, we have been able to build a book which is pretty much to our liking. And it has played out both in terms of growth in market share and also staying within the loss ratio range. So, those are the responses to the two questions.

Sanjeev Mantri: So, yes, I think, possibly, it has been almost five years now since the industry has got a hike. At the loss ratio, at the industry level, as far as Motor TP is concerned, is at around 85% and thereabouts, which is significantly elevated. If you see, and Gopal briefly spoke about it, we have to also reconfigure our portfolio to get aligned and drive the efficiency, which we have been able to reflect. It does, at times, leads to

a loss and whenever we end up having discussions, whether individually or collectively, there's so much of questioning as to why has the market share gone up that is what it takes to reconfigure. We have also recalibrated our practice in terms of ground surveillance and doing what is required to avoid fraud, which probably we would easily say is among the lowest in the industry. There's no way we can claim to eliminate it. So, there are multiple factors that go about it. We remain desirous of the fact that, yes, the TP hike for the industry is overdue and sooner than later, that should play out. But we can only control what is i

n our hand. This one definitely is not and in line with
that, we continue to forge our own understanding and
deliberation to penetrate market at multiple counts and make
it work for us as a Company. And from an industry standpoint,
sooner than later, we do hope the relief comes through.
Prayesh Jain: Thank you. Thank you so much.
Moderator: Thank you. Our next question comes from the line of Sanket
Godha from Avendus Spark. Please go ahead.
Sanket Godha: Thank you for the opportunity. My first question is that last
year, we lost market share in Commercial Lines. And given the
market is soft, as you highlighted, is it fair to say that we will
claw back market share in the softer market or we will remain
as cautious as we were last time? And in these lines, I just
wanted to understand, given the soft market growth outlook,
given your second half growth is 16% and maybe crop being a
new tendering year, how do you see growth of 16% to continue

for the next year? And any color if you can give on that, those
lines will be very useful. That's my first question. Maybe I will
ask another one later.
Sanjeev Mantri: Okay. No, Sanket, I think last year, I am saying when you say
last year, the year before the one given the result which is
Financial ‘25, we didn't lose market share, we had gained by
0.1%. We had a quarter here that we missed, but overall, we
had gained. We are talking about a market share which is in
the range of 13.7%, which was year before last. This year, we
have closed by 0.8%, 0.7% basis point lower. And it's driven
through multiple configurations when we meet up personally.
I am more than happy to, Sanket, run through that. That a
share that we draw, these fluctuations to ensure that we select
right can happen. But the Commercial practice that we have is
very unique in the industry. And it's not driven by what
business we are able to write, it's about how we are able to
even manage teams. There's a significant contribution on large
corporates to mid and to small. Honestly speaking, from an
entity standpoint, we have done a much more recent job on the
large corporate side. And over the last two to three years,
which we have been briefing to you, it has been a more
distribution-led growth. And we have been able to diversify
our portfolio in a significant manner. We do believe that we
have a very significant edge in the overall practice. And we will
be able to have a reasonable presence as far as Commercial is
concerned. I don't want to jump the gun to say where the
market share will be, but we will be a very relevant player. And

it's not easy to see us losing foothold on that on an overarching
basis. Crop coming into play and yes, the market opens up
significantly. We are still awaiting the details in terms of what
contours this market will open as in when those guidelines
come in, we will be able to comment as to what it is. But we
have always maintained our stand that crop will be purely on
selection basis of what we feel is appropriate, rather than a
targeted segment where we say we have to do this much at
least. That's not the way we look at it. Do we want to
participate, it is a bold ‘Yes’. Do we want to chase it? The
answer is no. We are very well-placed overall, and we are
excited actually in terms of the opportunity that will present
itself. Our current crop number vis-à-vis what was there a year
before last or this year is virtually half. And there is some play
available for us to make it count in this year.
Sanket Godha: Sanjeev, when I meant April last year, you lost market share in
Commercial Lines because you believed the market was too
soft. And if you are assuming it is too soft again maybe full

year you caught it up. But given April is very strong in the renewal for fire, whether it will have any implication in 1Q growth or April growth, which is significantly very big. And lastly, on crop, I just wanted to add is that whe

ther you
confined till last three years to one state. I don't know what final contours will be, but it is fair to say that you will be expanding beyond a particular state in the current year or not broadly that's the way you are strategically thinking in those lines or not, is the point I wanted to check.

23

Sanjeev Mantri: So, one state worked out because it was a line of what we wanted to do. It is not a plan that will continue to be a one state for this. We will go wherever it makes commercial sense. And we believe that it is appropriate and crop obviously can play out the way it is. We are still awaiting structures. So, we are open to whatever comes up our way, to be very honest, on that point. And on the Commercial part, in terms of what you were saying, look, the growth of the industry itself will get impacted. And we are an offshoot of that. So, we can do better, we can do worse, depending on how it pans out. But overall, if you remember in H1, we had a much bigger loss vis-à-vis what happened in H2. So, we have also done what is required. So, what cannot be acquired through large corporates, we have played out and distribution has taken its own play. But we are very well entrenched. So, we should be fine on the Commercial part also, overall, as an entity.
Sanket Godha: Understood and if it's a growth point of view, given...
Sanjeev Mantri: No, for growth and Commercial, because of fire being there, the industry itself may have challenges on growth. Let me put this very clearly. But it doesn't mean that it puts us at a significant disadvantage vis-à-vis anybody else. It would be probably single digit.
Sanket Goda: Sorry, Sanjay, just to squeeze in, I was asking that second half of our growth was 16%, though maybe weak in first half. So, this 16% growth run rate, you expect to continue largely for FY27?

24

Sanjeev Mantri: There is so much happening all around that how do we predict that? But yes, Gopal mentioned that very briefly, we are very confident of moving into the quarter one and quarter two on a positive note overall, as things stand. But how does the industry play out overall? We will have to watch at that. We also presume that the tailwinds which got created from GST cuts, which led to a very robust Quarter 4 would continue to play out, definitely will be well-placed for growth. We are excited with that opportunity, but we will have to wait in terms of how the market plays out. Thank you.
Moderator: Thank you. Our next question comes from the line of Nidhesh from Investec. Please go ahead.
Nidhesh: Thanks for the opportunity, sir. My question is on Motor. So, in Motor, in H1, we grew lesser than the market. In H2, we grew faster than the market. So, what drove that? And what is the outlook of our growth vis-à-vis industry growth in FY27 in the Motor segment?
Sanjeev Mantri: Yes, okay. So, Nidhesh, I think, yes, H2 was better. There was also a significant play that came out on account of new sales for the country doing better and there is nothing which we can say that we tend to do better when new sales are very high. And we have seen that new grew at almost 18.8% for us vis-à-vis 13.4% on the old side. So, on the outlook of Financial Year ‘27, we will have to see. We do expect a higher single-digit

growth at the industry level. And if that happens, it would be, again, good for us. Another thing which worked out last year

25

was the growth of two-wheeler. When I was talking, I said that it was at a decadal high in terms of the overall growth that happened. For the last three-four years, we have been saying that we have not beaten the pre-COVID number on two wheeler. That itself is, again, a big plus overall on the Motor side.

Gopal Balachandran: The only thing I will just add Nidhesh just to what Sanjeev was saying. I think one of the initiatives that we have also been speaking in our earlier calls is our relentless focus on improv

ing
retentions. And we will be very, again, happy to indicate that for the full year, I think at an aggregate, let's say, Company level, a large part of which will be predominantly, let's say, Retail business line. I think we have seen an improvement in our overall retention numbers go up by almost about 5%. So, hence, that is something that we will continue to stay focused on even as we head into FY27. That will be an important lever that we would obviously work on beyond, of course, the point that Sanjeev made in so far as new vehicle sales is concerned.

Nidhesh: Sure. So, basically, the growth acceleration that we have seen is the function of new vehicle sales going up and may be competitive intensity reducing and we gaining market share on a like-to-like basis.

Sanjeev Mantri: So, new and old, and I think we did sometime in quarter one last year that we had as a Company extensively worked on the retention part. A lot of work was done on multiple counts by

26

us. And that's what Gopal is referring to when he's saying that we have a delta of higher retention of our customers.

Nidhesh: Sure. So, should we expect H2 trend to play out next year also that we will grow faster than the industry?

Sanjeev Mantri: I think, let me put it this way. We are well placed overall, but there are multiple factors. See, if there is a challenge on the energy, if the Indian mentality moves into the saving part of it rather than spending, the Motor sales or auto sales, which probably all of you are well aware of it actually ends up getting really muted. We will have to see how that part comes in. But we would say that the momentum on Quarter 3 to Quarter 4 and so effectively in Quarter 1 should play out. I would say, yes, we are going with a very positive mindset at this point of time.

Moderator: Thank you. Our next question comes from the line of Avinash Singh with Emkay Global. Please go ahead.

Avinash Singh: Thanks for the opportunity. Good evening. A couple of questions. The first one, I would say, if you can clarify my understanding, this ■ 49 crore charge that you have taken for diminishing value of investment provisions in this quarter, is it largely driven by the equity market fall or bond or both? So, that's one. And second, in Motor TP, of course, you have explained a lot of things. My question is that we have not seen a sort of a price hike but what has changed for you that you have accelerated your growth in CV segment? Now, typically from whatever we hear, it is a CV by and large, where the price

27

revision is required and it's not so profitable. But in Q4, it seems that you have gone a lot higher in terms of, you know, that CV. So, what has changed there? What kind of a strategy is there? And for the full year, around ■ 780 crore of Motor third-parties

which we get, is that number I am seeing correctly?
Gopal Balachandran: So, maybe I can take the last one. So, again, we will keep saying, you should keep looking at the loss ratio range that we have spoken about for Motor as a category, which is between 65% to 67%. An absolute amount of reserve number that you spoke about, honestly, in our sense, is something that would not necessarily be a right metric to track. A better metric will be to keep looking at the loss ratio outcome, which is the range that we have spoken about between 65% to 67%. But the good part is, I think, what has worked for us, we have seen a clear rebound of growth. And at the same time, we have been able to maintain the loss ratio expectations that we have set out. So, hence, to that extent, I think, is where we have been able to deliver both on growth as well as in so far as the loss outcomes. And that's something that we are very- very happy with and very-very positive when we head into FY27. And as I said, in response to the earlier question, is there any change in the thought process of any of our reserving philosophies of reservin

g processes? Absolutely no. We continue to maintain prudence. We continue to maintain margins for any levels of uncertainty that we see in any of the books. And more so in the context of Motor third party, which has got long tail periods of large development. So, hence, to that extent, that's in response

to the point on Motor third party. To your first question with respect to the ■ 49 crore diminution in the value of investment, I think this is what I mentioned even as a part of the opening transcript. We have a policy on impairment of investments that we have in the context of equity investment specifically. And consequent to what we have seen, the market conditions getting exhibited in Quarter 4 of this year, we have obviously evaluated stocks that we hold. And basis the policy that we have, we have done an impairment of about ■ 49 crore. All of this ■ 49 crores is with respect to the policy on diminution in the value of equity investments.
Sanjeev Mantri: Yes, okay. So, now on the CV growth, I think you are absolutely right. It's done better. But there are multiple moving parts. I don't want to get into details. We can do it probably when we meet up Avinash and talk about it. We have done better. But the overall contribution of CV to the book has still been range bound at 22%. You see multiple things. And there's one more aspect that the cost of acquisition that comes into play. And if we see moderation, we see an opportunity, we are also scanning the market, adding new vectors and something looks viable, we end up doing it. We have also created a significant edge vis-à-vis the market through a fleet management system, which we are working for last almost 18 to 24 months. And that has also started giving us some bit of an advantage as to what we can do in Commercial Vehicle. It's overarchingly still come range bound. And we do believe that the overall growth in CV market also for H2 was at a reasonable level,

which I have given in the numbers in the details, which also again presented us with an opportunity to do what is required. Overall, on the practice side, if you see where ICICI Lombard is, certainly private car and two-wheeler is our trend. But CV, we continue to exhibit a lot more intensity, but the outcome used to be moderate for us and for last couple of quarters, it's come into play and I sincerely hope that we will have a similar trend going forward next year, or this year rather.
Moderator: Thank you. Our next question comes from the line of Nischint

Chawathe from Kotak. Please go ahead.
Nischint Chawathe: Hi. This is slightly open-ended. The regulator is looking at newer set of guidelines on commissions, probably capping commissions or deferring them. Assuming that this kind of leads to some amount of tightening, how do you see this impact on the industry and for yourself?
Sanjeev Mantri: Nischint, I think we have always maintained an environment where the regulator enforces it. In the past also, we have said that there are quite a few players who have sought dispensation or have not followed the guidelines and that does not augur well. Any tightening on a uniform basis across the industry would place ICICI Lombard at a significant advantage because we have remained within the limits of expense of management and if others fall in place, we can only see better time ahead for us as an industry. The only thing that remains is it should be practiced across the industry on a uniform basis. It is a welcome sign if it comes out, we have always also

mentioned the fact that we believe the expense of management should be on a single slab basis so that there's clarity of execution and let the market forces decide as to what works for each one of them in every single business line.
Nischint Chawathe: What is the latest in terms of regulatory engagement on EOM? Is there any revision expected around the corner along with this, separatel

y?
Sanjeev Mantri: We can only say that whatever is accessed by each one of you is what we access and we await for what the regulator has in mind. We don't want to do any second guessing but any tightening on account of that would be welcomed by us because it puts the industry in good path with respect to policyholder and also for us as an institution.
Nischint Chawathe: Got it. Thank you very much and all the best. Thank you.
Moderator: Thank you. Ladies and gentlemen, we will take that as our last question for today. I would now like to hand the conference over to Mr. Sanjeev Mantri for closing comments.
Sanjeev Mantri: Thank you so much for joining in. We look forward to the new financials with renewed hope. We have definitely as a team been excited as to how we have been able to close H2 over H1 and more so Q4 over the rest of it. We are positive in terms of how things can work out for General Insurance industry at large and with the reforms that the regulator has put in place. But at the same time, we hope that the world moves in a much more peaceful manner in times to come. Thank you so much

and all the best to each one of you for joining in. Thank you so much.
Gopal Balachandran: Thank you.
Moderator: Thank you. On behalf of ICICI Lombard General Insurance Company Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.
Safe Harbor: Except for the historical information contained herein, statements in this release which contain words or phrases such as 'will' , 'would' , ‘indicating’ , ‘expected to’ etc., and similar expressions or variations of such expressions may constitute 'forward-looking statements'. These forward-looking statements involve a number of risks, uncertainties and other factors that could cause actual results to differ materially from those suggested by the forward-looking statements. These risks and uncertainties include, but are not limited to our ability to successfully implement our strategy, our growth and expansion in business, the impact of any acquisitions,

technological implementation and changes, the actual growth in demand for insurance products and services, investment income, cash flow projections, our exposure to market risks, policies and actions of regulatory authorities; impact of competition; the impact of changes in capital, solvency or accounting standards, tax and other legislations and regulations in the jurisdictions as well as other risks detailed in the reports filed by ICICI Bank Limited, our holding company with the United States Securities and Exchange Commission.

ICICI Bank and we undertake no obligation to update forward-looking statements to reflect events or circumstances after the date there.